Deepak Nitrite Ltd. (DEEPAKNTR)

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May 19, 2023

Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
MUMBAI – 400 001

Dear Sir,

Scrip Code: 506401

Sub: Submission of earnings conference call Transcript

We enclose herewith the transcript of the earnings conference call of the Q4 & FY 2023 held on May 12, 2023 and the same is also available on the website of the Company at the weblink https://www.godeepak.com/financial-result/ .

Please take the same on your record.

Thanking you.

Yours faithfully,
For DEEPAK NITRITE LIMITED

ARVIND BAJPAI
Company Secretary

Encl.: as above

"Deepak Nitrite Limited
Q4 & FY2023 Earnings Conference Call "
May 12, 2023

MANAGEMENT : MR. MAULIK MEHTA – EXECUTIVE DIRECTOR & CHIEF EXECUTIVE OFFICER, DEEPAK NITRITE LIMITED
MR. SANJAY UPADHYAY – DIRECTOR, FINANCE & GROUP

CHIEF FIN ANCIAL OFFICER, DEEPAK NITRITE LIMITED
MR. SOMSEKHAR NANDA – CHIEF FINANCIAL OFFICER,
DEEPAK NITRITE LIMITED
ANALYST: MR. AKUL BROACHWALA – IIFL SECURITIES LIMITED

 Moderator: Ladies and gentlemen, goo d day, and welcome to the Q 4 & FY20 23 earnings confe rence call of De epak Nitrite Limited hosted by IIFL Securities Limited. At the outset , I would like to clarify that certain statements made or discussed on the conference call today may be forward looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded .

I now hand the conference over to Mr. Akul Broachwala from IIFL Securities Limited .

Akul Bro achwala : Good afternoon, everyone and thank you for joining us on Deepak Nitrite 's Q4 and FY2023 Earnings Conference Call. Apologies for the delay. Today w e have with us Mr. Maulik Mehta – Executive Director & CEO, Mr . Sanjay Upadhyay – Director, Finance & Group CFO and Mr. Somsekhar Nanda – CFO . To begin, Mr. Maulik Mehta will share his views on operating performance and the growth plans of the company followed by Mr. Sanjay Upadhyay, who shall take us through the fin ancial and segmenta l performance.

I now invite Mr. Mehta to share his opening comments.

Maulik Mehta: Good day every one and a warm welcome to Deepak Nitrite 's Q4 and FY202 4 earnings conference call. I hope you had an opportun ity to go through o ur results documents that was shared earlier.

We entered 2023 with a very challenging business landscape characterized by diverse internal and external factors. The Russia Ukraine war has served to fracture the global supply chain for crude, fertilizer s, petro-chemical derivative and specialty chemical. It led to large rises in input prices across the board resulting in a secular inflationary pressure unlike anything witnessed in the recent past. The cascading effects of central banks across th e globe , raisin g interest rates rapidly leading to a higher cost for capital even if forex volatility rose and risk spread expanded. Internally we were faced with a shutdown of our Nandesari plant for more than 40 days due to a fire in June. There were challenges and con straints to logistic s coupled with a rise in utility cost. Amidst this volatility in spot prices both customers and suppliers were seeking to capitalize on short -term opportunities even as they sought assured supply and pu rchase agr eement s. Notwithstanding these adversaries , we were able to navigate our schedules and fulfill all our supply obligations while maintaining wallet shares with all customers hence guaranteeing a dependable and stable supply of products to all our clients.

In th

is backdrop I will give you a brief rundown of our performance for the fourth quarter and the financial year ended March 31st, 2023, and the plans and strategic approach for the upcoming financial year . Mr. Upadhyay will then provide y ou with gr anular insigh ts into our financial performance and position. We are pleased to share that Deepak Nitrite has displayed agility in achieving growth while maintaining the high quality and adhering to the safety standards that are

 expected of us. Diversific ation across prod ucts, end-user segm ents, customers, geographies has been a bedrock of our strategy , which allowed us to be nimble and seek out more remunerative pockets of opportunity amidst operational and macroeconomic challenges. This has all owed us to maintain a strong a nd re silient busine ss model. Leveraging of f a solid foundation , incremental investments are tactically utilized to increase capacity and sustain demand f rom end-user industries , and this has enabled us to drive a healthy top l ine growth of 17% year on year an d set a new benchma rk of exceeding Rs. 8,000 crore on annual revenue which is the first for our group. Despite the recent cooling off in input prices , they continue to remain at elevated level and more than that at volatile leve l compared to the previous year. Whi le profitability fo r the year is lower than that of the prior year , EBITDA, and PAT in Q4 have grown in double digits compared to Q3 indicating that operations are progressing in the right direction as we enter the New Year .

Coming to the performance of st rateg ic business un its, the advanced intermediates unit delivered an impressive revenue growth on the back of resilient demand from end -user industry , and we actively pursued opportunities with both d omestic and in ternational customers during the period. We expe ct this segmen t to continue performing well given the shift in the global supply chain towards Asia and positive demand trends. However, it is worth noting that challenges around logistics and high raw material cost due to internal product transfers at ma rket prices with a time lag before prices have passed on. Future performance will be driven by several new multiyear contract s, successful pilots, and new product introductions in our baske t.

Deepak Ph enolics witnessed a healthy top line performance with so me co ntribution fro m pricing , but largely driven by the continued increase in plant efficiency. Our phenol plant recorded an average utilization of more than 120% for the quarter and ach ieved the high est ever quarterly domestic sales in Q4 along with the h ighes t daily phenol production. It seems sequentially phenolics has improved in volume and profitability significantly. This was due to healthy demand and improved product acceptance res ulting in a si gnificant increase in revenue realization for both pheno l and acetone compa red to the previous quarter. Profitability in the business was lower than last year due to normalized realizations this year compared with the previous period 's unusua lly high reali zations. The phenolics business has been using more of acetone in its downstr eam products and it is going to increase further upon the commissioning of projects under implantation such as MIBC and MIBK which are solvents. We are optimistic about the prospe cts for the business in the future.

FY2023 has also been a year in which a lot of our growth initiatives have taken concrete shape. In a key development, debottlenecking is a crucial development for Deepak Phenolics as it enab les the company to increase its production. T his is expected to come on stream within this quarter itself. Additio nally , the company has approved the implantation of an advanced process control project which is expected to be operational from the next quar ter. That project is expected to enhan

ce the operational efficiency of DPL and improve the quality of its product. The se developments are expected to further strengthen DPL's position in the market and enhance its

 competitiveness. In addition to our cur rent project , we are making stri des towards expanding our business through several other ongoing initi ative s. We have suc cessfully commissioned the installation of our SAC unit , which significantly improves our sustainability in Nandesari and we are planin g to commission the photochlorin ation and chlorination project in the third quarter followed by the ac id project in the f ourth quarter which will take care of current and future needs. In the first quarter of FY2025 we are scheduled to commission our MIBK and MIBC plants , both of which a s I mentioned are derivatives of acetone. Additionally , our hydrogenat ion a nd multipurpos e distillation facility has been approved marking further progress in our expansion plans. During the period under review, we have achi eved significant de -risking of b usiness through an assure d supply of critical raw material and paying do wn de bt to strength en the balance sheet.

Additionally , with Nandesari plant back to full operation, and other plants running at a high utilization , we are working with good momentum. With multiple plants underwa y to be commissioned in coming quarter s, we ar e poi sed to deliver growth and create value for all our shareholders. Recognizing this, the board of directors has announced a final dividend of Rs .7.5 per equity share which is 37 5% with a face value of Rs. 2 each for FY2022 -23 in view of the company 's steady performan ce.

Before I conclude, I would also like to make a point that DNLs Dahej facility received an unprecedented score of 10 0 upon 100 in Together for Sustain ability Audit . I just want to point out that TFS is very similar, it is the European coun terpart to res ponsible care which is an American institution. TFS is also recognized an d highly valued by every single large European company and many large Japanese a nd American companies. This is the first time ever in the history of TFS that a comp any h as received a perfect score in its first try. We are confident that this achievement is also going to catalyze many more such.

I would now like to hand the call over to our Director of Finance, Mr. Sanjay U padhyay , to address this forum and take y ou th rough the fina ncial performance during the period. Thank you.

Sanjay Upadhyay : Thank you Maulik. Good afternoon , everyone and thank you for joining this call today. I will walk you through highlight s for the financial results for the period during Marc h 202 3.

During the period under review , Deepak achieved positive top line performance despite facing macroeconomic challenge s. In FY2023, revenue stood at Rs.8 ,020 crore which is significant as compared to Rs.6 ,845 in FY2022 higher by 17%. This growth was at tribu table to stabl e demand and high plant efficiency. While EBITDA stood at Rs.1,337 crore against last yea r, it is lower by 19% on a year-on-year basis because last year's base was very high. PAT stood at Rs.852 crore in FY2023 versus Rs.1,067 crore last year. The results have been impacted due to war and resultant high input prices and resultant inflationary pressures. There is also an impact on the several external and internal factors as summarize d by Maulik in his comments. Both business

 segment showed soli d imp rovements cont ributing to strong revenue growth on a consolidated basis. The increase in demand and relation for our key products had the growth, despite the challenging environment, DNL remains focused on driving growth and expanding its operations to capture new opport unities.

Further it is worth noting DNL subsidiary DCTL has been actively e

xpanding its team by hiring
key personnel in various department s such as projects management, procurement , and support functions. DNL has invested Rs.400 crore in DCTL towards part funding of the groups ongoing capital projects.
On the operating front, our domesti c business revenue stood at Rs.1 ,512 crore and Rs.6 ,410 crore in Q4 and FY2023 higher by 22% year on year, respectively. Export revenues were Rs.449 crore in Q4 FY2023 and R s.1,562 crore in FY2023. On a consolidated basis, d omestic our revenue and the mix is 77 :23 for Q4 FY2023. During the quarter on a consolidated basis, revenues grew by 5% at Rs.1 ,974 crore as compared to Rs.1 ,876 crore in Q4 FY2022. The impre ssive top lin e performance was fueled by high prod uction volumes in several key products. EBITDA came in at Rs.361 crore as compared to Rs.414 crore in Q4 FY2022. In Q4 FY2023, PAT stood at Rs.234 crore versus Rs.267 crore of last year. Prof itability is lower on a year-on-year basis due to the high base in the previous year, but the company has significantly improved profitability on a quarter on quarter in line with the operational performance.
Moving to our segment al performance , in our a dvance intermedia te segment, revenue grew by 7% to Rs.810 crore in Q4 FY2023 versus Rs.759 crore in Q4 FY202 2. The growth is owing to sustain ed healthy demand from key customers . EBIT was Rs.137 crore with the margin at 17%. As Maulik mentioned growth in EBIT is no t kep t wit h the pace wit h revenue growth due to significant increase in input cost compared to the previous year. In FY2023, revenue grew by 21% to Rs.3 ,074 crore and EBIT came at Rs.555 crore achieving a margin of 18% despite the curre nt environment and ch allen ging circumsta nces.
Deepak P henolics delivered an encouraging performance with a revenue growth of 4% to Rs.1,173 crore in Q4 FY2023 versus Rs.1 ,131 crore last year. The comp any has operated all plants except for Nandesari unit at high utilization rate . The phenol plant has clocked an average utilization of more than 120% but even higher for the quarter and achieved the highest ever quarterly domestic sales and highest product ion per day of phenol. EBIT stood at Rs. 177 crore and EBIT margin came at 15% in the quarter. In FY 2023, revenue stood at Rs.4 ,986 crore and EBIT came at Rs.594 crore translating into margin of 12%.
While DNL has no debt, DPL has prepaid the term loan of an amount of Rs.61 crore in the fourth quarter. For the full year FY2023 the prepa yment of term loan by DPL was Rs. 161 crore leading to a saving in interest cost. This has reduced the net debt to equity ratio to almost zero, that is 0.03 as compare d to last year’s 0.20. On a consolidated basis, DNL remains debt free on a net
 debt basis w ith a net worth of Rs.4,090 crore . In 2006, Rs.25 crore of our balance sheet has adequate headroom to raise grow th capital for further expansions. Cash flows remains robust and we have reported operating cash flow of Rs.650 crore in FY2023 . When evaluated ag ainst EBITDA our OCF/EBITD A ratio has been 0.49.
We are entering FY2024 with a de -risk business model a very robust balance sheet and pipeline of projects line up for commissioning. We are highly excited about growth prospect s and look forward to building our performan ce momentum.
Before I conclude, I would like to provide an update on t he fire incident on Nandesari facility that occurred on 2nd June 2022. Against our insurance claim for loss of material damage, we have received an interim payment of Rs.11 crore in Mar ch 2023 and fu rther Rs.14 crore in April 2023 as an interim payment. We hope to receive the balan ce in the coming quarter.
Thank you for taking out the time to join our earning call. With tha t, I would now request the moderator to open the forum for Q&A session .
Moderator : Thank you very muc

h sir. We w ill now begin the question -and-answer session .
We have the first question from the line of Nirav Jimudia from Anvil Research .
Nirav Jimudia : Congratulations on a very good set of numbers. Sir I have two question s so one is when we see our performance in FY2020, vis-à-vis what we have delivered in FY2023 for the standalone business, I think our gross margins have remained at the similar levels like at around cl ose to Rs.1,370 crore but this has come with clos e to 32% higher turnover when we compared FY2023 with FY2020, so this could be a combination of volume growth plus some raw material cost inflation which you just eluded in your opening remarks, so my question is with the brownfield expa nsion and debottlen ecking, what we are undertaking in the standalone business how much of the volume growth can we expect for FY2024 and though some of the raw material prices have corrected predominantly the ammonia pr ices which have corrected close to tw o third of the pric es what they were in the month of December , how much of our current turnover of Rs.3 ,000 crore in the standalone business has a scope for margin expansion on a per kg basis so if you can just answer to this I can add up on one more q uestion?
Maulik Mehta: Okay so first of all you are right that there has been a lot of volatility including in ammonia

however India continues to remain the most expensive buyer of ammonia in the world if I l ook at the index. Nonetheless it has cer tainly co me down from i ts peaks last year. Now what has happened over a period of time also is that the FG prices will automatically correct as they adjust. Nonetheless , we have been able to maintain a reasonably hea lthy margin on a per kilo basis and as we expand , in FY2021 , we had a plant which was about 15% less in terms of its capacity than we have now so on a stable year you can expect sodium nitrite and its associated nitrate volumes to increase by about 15% to 18%. How this results with regards to top line growth is diff icult to
 say because the market continues to be volatile. We continue to maintain reasonably healthy margins which have been as they were when ammonia prices were low as well as they were when ammonia prices were high.

Nirav Jimud ia: So becau se you rightly said that turnover is difficult to predict because it all depends upon the selling prices of the products , but if we see FY2020 we were close to Rs.800 crore of operating profit when the ammonia prices were lower as last y ear also we w ere a t around Rs.68 0 crore so this year would have seen some cost inflation on the operating cost side also because the plant was not running full and several other factors . So, what could be the fair assumption based on the volume grow th you just eluded up on wh at could be th e figure we should look upon because there could be some benefits coming to us in terms of some pockets of the raw material prices as well as reduction in the operating cost?

Maulik Mehta: So Nirav I would expect tha t FY2024 and FY2021 one re ason why they should not be compared is because one of the key raw materials which we used to get as a large volume in a formula linked price which was linked to ammonia prices. Now we are forced to buy it in the spot market at far higher prices and w e hav e to see how w e can de -risk our supply chain itself . So, for this year I would say that one can expect a performance which is in Deepak Nitrite similar to what it was last year if we had n ot faced the impact of the fire and I thin k between 40 to 60 days of lo st production.

Nirav Jimudia : So, we could be closer to FY2022 performance in terms of our absolute EBITDA numbers right?

Sanjay Upadhyay: Nirav let me interrupt here. You are comp aring this with 2019 -2020 am I right.

Nirav Jimudia : Correct , Sir correc t in 2019-2020 we w ere at Rs.800 crore ?

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anjay Upadhyay: Yes, but you are just seeing the absolute number 2019 -2020 had a very abnormal year for DASDA . If you go back to our previous concall or see the previous transcript , you will know that because of DASDA the numbers were abnormally high and that is why the percentage is high. You cannot just pick u p one per iod and then compare it with that.

Nirav Jimudia : No Sir , even FY2022 als o I think we were close to Rs.680 crore so I just wanted some clar ity.

Sanjay Upadhyay: The point is it is not going down. It was one single product whereas what you are seeing now is overall across all the produ cts and despit e sever al challenges which the industries facing outside. It is very difficult to compare the 2019 -2020 period which was completely different and what we are facing now, the world is facing now is completely different . Number s can be analyz ed by anyone but to compare you must see the outside environment also when you are comparing this.

Nirav Jimudia : Correct. Sir the second question is on like one of our competitor is also expanding on the NT side so how we are placed in terms of our e xisting utilization here because I think one of the monomer
 of NT is doing well because of the downstream agrochemicals is doing well so if you can just help us explain our exposure of sales to the agrochemicals o ut of our standalone business and are our s ales more prone to the niche generic or the patented agrochemical products where we supply those intermediates?

Maulik Mehta: Okay so first of all one thing I can correct here is I do not believe that there are any patents in agrochemical interm ediate s. The o ther thing that I c an say is that we are running our plant at full utilization. We will also be looking at expanding that. We will also be in our own manner significantly improving the resilience of the value chain and we are already also goi ng downstream. We h ave piloted se veral downstream products which come out of this cha in. Those have been accepted by the customer with regards to quality and now we are at an advanced stage of discussions for vol umes and long-term contracts.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley .

Vivek Rajamani: Thank you so much for the pr esentation. Tw o que stions from my side. Could you give some color on the demand trends that you have been witnessing for your key end segments in the month of April and May? If I believe in the last quar ter, you did say you have started to see some green sh oots so it wil l be great to get a n update on that by segment if it is possible and the second question was you have been mentioning that the share of exports has been rising in your portfolio in the las t two quarters? I just wanted to understand what is th e margin profi le fo r these export markets vis -à-vis the domestic markets and if there is a difference what could be differential ?

Maulik Mehta: Okay so first of all thanks for the ques tion and interesting that you should mention color and green , but one thing that I can t ell you is that our products which are intermediate are spread over multiple end applications. You can add the same product which goes into different end application. H owever right now dyes and pigment is seeing a nadir in that sense wit h reg ards to demand and with regards to the inventory levels even at customers and consumer end. The segments which are doing better comparatively are oil and gas, explosives, personal ca re, food, rubber and infrastructure and the segments w hich are relati vely neutral are pharma and agro. Now when I say neutral , I am talking about it with regards to volume. Prices may go up or down but in most cases we are protected by volume contracts wi th pass through clauses so when I spoke earlier about e xporting more th at is because in Q2 and Q3 the Indian dem

and for textiles
when it comes to dyes and other intermediates was very, very poor whereas the export need was higher because Europe had curtail ed its available supply and finally when oil prices wer e nearer to $120 , there was a flurr y of activity coming into oil and gas exploration and as we are intermediate s, we were able to pivot away from supplying to a low demand domestic market which priorit izes textiles towards a high demand export market which prioritize things like water treatment and oil chemicals. Now this is where we are able to remain nimble. In India many of these segments have started showing a certain improvement and hence we have b een pivoting back towards India to an extent. Our expor t market continu es to remain served by us. The margin
 profile on a net back basis I would say are relatively similar for two reasons. One is that the freight rates have normalized compared to the highs of last year and second is that there is a duty on our product when it is sup plied to the US so I am talking about net back rates which also addresses the duty element , so our rates were not lower or higher compared to our domestic rates and hence in b oth cases we are okay. We have adequate opportunities to grow in this segment and we ha ve the ability to pivot depending on end segment demand . This year we will have higher productivity and higher production. We are hopeful that we will be able to ca ter to the growing demand without needing to lose wallet share from one end segment to an other. I hope that answered your question.

Moderator: The next ques tion is from the line of Rohit Nagraj from Centrum Broki ng.

Rohit N agraj : Congratulations on a perfect score during the TfS audit. My first question is on phenol capacity so when we talk about 120% what is t he base we are taking? Is it 200 or 250 and we have agai n mentioned that we will be debottlenecking furthe r by 10% so what wi ll be the final capacity that will be on stream in Q1?

Sanjay Upadhyay: So base is 200 KT and when we say we have said i t is above 120 so it is higher than that and the debottl enecking in this we are expecting 50% increase in the c apacity from t he base of 200 KT.

Rohit Nagraj: Right got it. Thanks for that clarification. Sir , second question is in terms of the domestic dema nd, so exports demand has been very dynamic . What is our understanding in terms of domestic demand for the products wh ich a re further be ing exported by the converters or the downstream players ?

Maulik Mehta: For which segment are you talking? Are you tal king about phenol and acetone?

Rohit Nagraj: No, for the s tandalone segment .

Maulik Mehta: No, it does not matter , whether you are exporting it o r you are giving it to a domestic converter who is exporting it because the domestic converter has a contractu al agreement with an international client. It is essentiall y the same thing , and it depends on product to product because in the dye segment there is not much of this. However , this is much more prevalent when it comes to agrochemical s. As I mentione d earlier , in most of our cases , if not for all of our ca ses in agrochemicals , we have medium and long term contracts, some are annual and some are multi year contracts. So the volumes are relatively protected. As and when we are able to debottleneck an d make a little additional volume , we do have customers , who we are able to supply that on a spot basis at a spot price.

Rohit Nagraj: Sure, got it. Sir just o ne last clarification in our presentation you had mentioned that there are Rs.2,500 crore projects currently which are undergoing so what is the complet ion timeline and capex for FY2024 and FY2025?
 Maulik Mehta: What I have mentioned ear lier is that the fl uorination and photochlorination project

will be
commissioned in Q3 . The phenol debottlenecking will finish to a certain extent in Q1 and with the advanced process control which will further improve on our already global standard quality will start to get reali zed by Q2 and our upstream project will be commissioned in Q4 and downstrea m derivative of acetone which is also a solvent will be commis sioned in Q1 of next

year. Meanwhile , as I had also alluded to hydrogenation , multipurpose dis tillation, and a cer tain
amount of difficult challenging nitration this will all be commissi oned over the end of the second
half of the year all the way to the end of the Q1 of the next year. The project which we have
announced finally one last one which I forge t to mention t he polycarbonate compounding facility
will be commissioned over the next 18 months.
Moderator: The next question is from the line of Chetan Thack er from ASK Investm ent Managers Limited .
Chetan Thacker: Just two questions , one was if you can throw some li ght on the domestic demand for MI BK and
MIBC and what is the capacity that we are putting up and how do we see that ramping u p and
second was on the Rs.2 ,500 crore capex if you can let us know how much is into backward
integration and what is the g rowth capex and what kind of IRR should we expect on the
backward integration projects?
Maulik Mehta: Okay so firs t of all MIBK and M IBC we are targeting for the entire volume of both products to
be consumed in the domestic market. We will take the opportu nity to export if we think that the
realization is better , but the domestic market has significant scope for it an d whe n we are talki ng
about volumes, we are taking about 40 KT for MIBK and ab out 8 KT for MIBC. Both of these
projects will be commissioned p retty much together . With regards to upstream and downstream
integration , I would not consider that to be a crucial question. The upstream integration will be
able to significantly add t o our bottom line no doubt but while we are doing it we are also
confidently expanding our consumption capacities which will therefore add to the top line and
though the expansions come at a fraction of the capex that the upstream these projects require . So
net, net I will look at even upstream integration to be able to generate growth with minimum
investment in debottlenecking of our existing products . And as usual we do not get i nto a lot of
detail about the capex involved when we are talkin g about debottlenecking of products.
Chetan Thacker: Got it and sir just to get a sense the domestic total volume for MIBK and MIBC? 40 and 8 is
what we are setting up or 40 and 8 is the domest ic co nsumption?
Mau lik Mehta: Both of these are the same. We ar e confident of being able to take 100% of the requirement. Let
us also keep in mind that the requirement is growing at a healthy CAGR so we hope to apply our
self to seeing how we can debottl eneck this in short order after commissioning, but we are
confident that we should be able to take as close to a 100% of the con sumption demand.
Sanjay Upadhyay: Today it is 100% imported which is in the same range so that is what we will be able to supply to
the mar ket, substitute the import.
 Chetan Thac ker: Got it and on the Rs.2,500 c rore of the total capex that is there is i t fair to assume that since we
are moving up the value chain our payback time should be anywhere between three to four years
for these projects which is essen tially faster than w hat it would have otherwise been?
Sanjay Upadhyay: Yes, you are right.
Maulik Mehta: This is a correct assumption. Just I will highlight that when we co unt p ayback , we are only
considering the incremental value that we get.
Moderator: The next question is from the line of Abhijit Akella from Kotak Securities .
Abhijit Akella: Sir, first of all on this government incenti

ves that you have mentioned in Q3 of the results , I am
referring t o footnote three of the results , there is a table showing the government incentive
income , it is about Rs.59 crore for the year compared to only Rs.1 .6 crore the previous year so
just wanted to check if this is the us ual export incentive or it is a one off item or is this a
recurring it em going forward ?
Sanjay Upadhyay: It is a recurring item going f orward. This is an incentive given by the government for setting up
the project and I believe this will continue for the next five to six years.
Abhijit Akella: Okay is this Dee pak Chem Tech or De epak Phenolics?
Sanjay Upadhyay: It is Deepak Pheno lics.
Abhijit Akella: Okay so we should expect the same number to sort of continue for the next five to six years?
Sanjay Upadhyay: The numbers may vary up and down , there a re va rious paramete rs on which the incentive is
given , you can rou ghly take the same amount year -on-year not an issue. It can be a little higher
also.
Abhijit Akella: Sure understood. Thank you. Second thing was just on the polycarbonate compo unding capa city
it will be hel pful if could please guide us a little bit on wha t sort of value addition we should
expect between the compounding the products versus the base polycarbonate that we will
eventually produce so in terms of may be the price vari ants or the difference in marg ins? How
much roughly would we expect on that?
Sanjay Upadhyay: See this is rather than looking at this facility as an EBITDA increase or something like that more
important is that we are setting a base for polycarbonate. When you are going as a polycarbonate
if you go with just for polycarbonate without knowing the market then it will not be right. In fact ,
we want to go further one step beyond not just polycarbonate but little polycarbonate derivatives
also so that we have edge over the nor mal. There are vari ous poly applications of polycarbonate

which a pplication makes sense for us , where to go , where the strength lies and while the demand
 growing these are all parameters will test by getting into poly compoundin g facility first for which we h ave sanctioned Rs.250 crore and we are act ively working on that. Parallel ly, we will start work on polycarbonate but this has to happen first. This is a precursor to the polycarbonate. It will certainly when you select the right application y our E BITDA is bound to go up than normal pol ycarbonate. I will refrain from giving any numbers now because we are ourselves studying but the whole idea is to make your product more I would say not commoditized product but somewhere it is getting a color of val ue ad dition.

Maulik Mehta: I will just a dd one point here. This is what you will consider as seed marketing because customer approvals especially for high value compounds it takes anywhere from like six months to a y ear and a half so our goal is to make su re that we put our foot in the door ther e. Now of course it is a cherry on the top that the financials they do look attractive in any way when we are talking about the compounding facility , but the purpose of investi ng these few hundred crore is so that w e can fast track th e approval and validation process with the customers and in the meanwhile we work to see how we can connect between our current product portfolio and the manufacturing over a period of time s o that we are end to end completely integrated .

Abhijit Akella: That is helpful. The next question I just had was on the volume of contracted arrangement in the business? The presentation mentions that th ere is contracted supply of products from both t he segments which p rovides high visibility for continued growth so just sort of wondering if you could share what percentage of the business might be contracted in both the businesses and what sort of pricing agree

ments do we normally have? Is it on a quar terly basis for the se contracts or is it a longer term?

Sanjay Upadhyay: I will answer on the pricing first because see pricing it is always formula based. In today's world nobody gives you a fixed pric e unless it is only a couple of months or maximum for a quart er so there is no fixed pricing arrangement in most of the cases. In the finer specialty segment yes there will be a few contracts where it is fixed pricing , but the margins are certai nly in our control and that way. In DNL , this volume should be in the range of a round 25% to 30% wher eas DPL is in the range of 20% to 25%, the contracted business , but by and large we have the same set of suppliers. In DNL and DPL also and they have been with us for years. DPL also we are supplying to most of the large co nsumer s, and they are continuing with us. In today's market nobody enters into a long-term contract which you also know.

Abhijit Akella: Sure thank you so much. That is really helpful. Just one last quick clarification and I will get back in the queue . On slid e sev en we have sha red some volumes so for example sales of inorganic intermediates of 7 ,600 tonnes and hydrogenat ion volumes just wanted to clari fy are these for the quarter or for the full year?

Maulik Mehta: We will come back to you with this. I am so sor ry ab out that.

Moderator: The next question fro m the line of Rohan Gupta from Nuvama Wealth Management .

 Rohan Gupta: Sir, I was asking on this ammonia and for our phenol production first how do you see that and you had mentioned that changes have been there already in place for the cost structure what we incurred as we are going forward now so with the fall ing p rices globally and also in India how do we see that our ammonia cost will come down and how the phenol spread in your view is going to move in the near future if you can just give some sense on that?

Maulik Mehta: So, both o f these are challenging ques tions to answer wit h this volatility . One thing that I can say is that right now while the gas prices are temporally sub dued especially in the summer season in Europe what we will end up having is compared to la st year an increase in the production of ammon ia. Meanwhil e, most places have large inventories stockpiles of urea so there will I believe be more ammonia available for chemical companies such as Deepak. There will also be an increase in t he new capacities that come in with regards to ammonia p roduc tion which I h ope will give at least some level of consistency with regards to price and availability. Now beyond that with regards to the spread between phenol, acetone , and their upstream these are linked to some extent to crude but the one thing that has ha ppene d over the las t two years is that very easily linkage where you were able to derive some sort of a regression analysis that has broken because even the consumption has been aff ected. Styrene monomer which is a benzene downstream is doing reasonably ok ay co mpared to befo re, but polyurethane in fact are not at the current time. In the mean while paraxylene is not doing well therefore there is lower production of benzene. Some refi neries are down because they do not want to manufacture at a volatil e crude price so this has currently affected that easy predictability , or I can definitely say is that benzene currently is exhibiting some level of resilience. Propylene is getting softer. We will see how this goes as more plants either tone down their production or increase depend ing on availability of crude so very difficult question to answer gi ven the current circumstances but one thing is for sure , I think everybody whether it is a man ufacture or whether it is a consumer , everyone expected that even this year wo uld b e business as usual and I do not understand why because t

he second largest play er in th e chemical space which is China it came back with a bang from January onwards with hug e stock piles of manufactured products which they had not earlier moved out of th e cou ntry for reaso ns of labor and unavailability and some such . So of course yo u are going to have a short term situation where there is glut in the market for certain pro ducts simply because they need to exhaust their inventory levels as well. The situatio n wil l normalize what that means is difficult to answer but you must look at the last quarter and the current quarter keeping this brand -new dark horse also in mind. The largest player coming back disrupts the entire supply chain.

Rohan Gupta: So, Sir it me ans t hat with the C hina situation and that you said that the way t he Chinese production is coming in market and since we have just started coming in the market there may be high supplies of phenol in the market where you see that going forward or in the near-term phenol pric es can further come down ?

 Maulik Meh ta: No, absolutely this is not what I am saying . Let me reiterate. First of all we have not in the past and we d o not in the present or in the near term in the future next year or whatever it is , expect to have competitio n coming from Chinese phenol. We ha ve had phenol coming from other countries , but not China and at least I can assure you that when it comes to phe nol, acetone, and IPA your company remains resilient with regards to its wallet share and most of it or if no t all of it is dedicated to domesti c consumption which is also on an improving trend so you do not need to be worried about China coming into India with value destructive prices in phenol and acetone.

Rohan Gupta: But Sir , still a large p art of the domestic mar ket is fed from the phenol im port. As I understand the phenol business , we may have control on domestic consumption and the volumes w e are not worried about but prices will be determined by global prices.

Maulik Mehta: China is a large pro ducer as well as a very large con sumer of phenol so China generally speaking is a producer and a consumer , and it will focus on increasing and main taining its consumption activities within China itself. China has never in the past been a global player when it comes to the exp ort of phenol . It is self sufficient just like it is in the alkali industry. It is the largest producer of caustic chlorine but it does not affect the global trade flows in any way.

Rohan Gupta: Regarding our further phenol extension , do we have any further future plans or in the near term any furt her plan on expansion of the phenol plant.

Sanjay Upadhyay: Rohan this question is again linked to your earlier question also. Frankl y, with C hina or withou t China, India today impor ts around 2 lakh tonnes of phenol because demand is growing significantly and it is not a surprise that you people giving higher correction, higher numbers tha n what you people have expected. It is not only the price , what will ha ppen if China comes or goes , there are other thin gs also . Like in the first commentary we said that we a re digitalizing our systems and processes which is going to improve our efficienc y that you do not know what the impact is quite large by doing those things, opera tiona l efficiency. On top of it we have other products which are also equally doing well like AMA , acetone and I PA. Let us not read too much into China remarks . We are very confident that this year we will also give you a good result, do not wor ry on that. Th ere is a room for one player I must tell you because India is growing significantly in phenol and yes at an appropriate time , we may al so come to the market but you need to wait for that.

Mode rator: The next question is from the line of Naushad Chaudhary from Aditya Birla Sunlife AMC .

N

aushad Chau dhary : If I remember it correctly earlier we have indicated the proje ct in phenolic s resin I think it was ventil phenol about which we were talking . What is the status currently of thi s project? What kind of investment we are planning and by when should it be commercialized ?

Maulik Mehta: No this was a conjecture. We are not looki ng at this ventilated phenol .

 Sanjay Upadhyay: Where we have announced it. I do not think we have eve r made any announcement about this.

Naushad Chaudhary : Okay and secondly Sir on the investment pipeline of Rs. 2,500 crore as of FY2023 closing on a base of Rs.1,300 crore of EB ITDA with this investment of Rs.2 ,500 crore how much EBI TDA it could contribute ?

Maulik Mehta: Let me just give some light here. Over the next four to five years we are p lanning as a group to double the revenue that we have had in FY2023 and the products that we are ge tting into a mix between downst ream of Deepak Nitrite and downstream of phenolics. The margin mix will be

similar so this is what we are putting i nto motion over the next four years.
Naushad Chaudhary : And doubling of revenue and doubling of gross profit as EB ITDA should we take it the same way?
Maulik Mehta: As I mentioned the margin profile is similar. I hope you are not asking about the percentage margi n.
Naushad Chaudhary : Understood so Rs.1 ,300 crore of EBITDA and Rs.2,600 crore of gross profit should be doubling early with the kind of investments we are doing.
Maulik Mehta: I am just reiterating the margin profile is similar to the current margin profile in a normalized year, FY2023 was slightly suboptimal in that sense. If it were a normal year we would be talking about doubling of the revenue and a similar margin profile over the next four years.
Moderator: The next question is from the l ine of Krisha n Parwani from JM Financial .
Krishan Parwani : Two or three clarification , so one is on the photo chlorination so just wanted to understand is it for side chain reaction of toluene or xylene as well and is chlorination being done for reducing the import dependency ?
Maulik Mehta: So photo chlorination what we have put up as an asset is an up engineered asset and you are right that it can done toluene but it can also do oth ers like xylene. The as set itself wil l start of f with a base chemical and then we will be looking at utilizing p art of the asset which is actually broken down into multiple plants. We are talking about photo chlorination but it is done in multiple train so we will be able t o ded icate individu al trains to different products as we require them. The balanc ing equipment is all that will be required which is minor and which can be executed very quickly and with regards to the fluorination this is in a similar fashion up engineere d whe n it comes to the MOC s, the pressure, the temperature that it can handle so while it may make one product to start off with which will reduce our volatility and increase our ability to deliver higher value intermediat e. It is also designed with the int entio n of manufactu ring products which use this platform but are not di rectly connected to any existing value chain. We will also be able to operate individually in individual trains .

 Krishan Parwani : So on the phenolics side can we also think of add ing diacetone alcoh ol or glycerin glycol because they also are imported into India and there is a high demand so just wondering about that.
Maulik Mehta: These are all very good idea. Certainly, we can t alk about them later because they are being worked on wheth er they should be worked on with a higher priority or lo w priority again the question is what is going to get us to as I mentioned earlier doubling of our revenue in the next four years, is it goin g to

be a better substitute to something else that we may w orking on it i s worth considering.
Krishan Parwani : Understood and just a last bit on the capex front , I think you mentioned about the commercialization schedule etc . but I am sorry if I missed out so can you just give the capex break up of 2024 and 2025 and the commer cial schedule once again sorry .
Maulik Mehta: The capex breakup I will not give you because these are all in process because the capex breakup might include cap exes which we are not yet announced so that we can achieve our four-year target, five-year target. Okay , if you are only talking about the Rs.2,500 crore which we have already announced very quickly we have the phenol debottlenecking happ ening in Q1, the APC happening in Q2, we have photo chlorination and fluorination happening in Q3, w e have the up stream integration happening in Q4 and we have the acetone derivative happening in Q1 of next year and between Q4 to Q1 we will also be commis sioning our expanded hydrogenation multipurpose distillation and multipurpose nitration.
Sanjay Upad hyay: So whate ver we have announc ed with the Rs. 2,500 crore capex , quarter -on-quarter you will find one or other project getting ma terialized and the numbers itself with speak for itself . So project wise details you can consider all this coming up in the next two years, with the Rs.2,500 capex and the doubl ing of revenue over four years there are different plans.
Krishan Parw ani: Understood so this Rs.2,500 crore is for 2024 and 2025 combined for whatever you have announced, 2025 could be higher depending o n whether you announce that project or not corre ct.
Sanjay Upa dhyay: You are right.
Maulik Mehta: Last one that I forgot to mention is the compounding facility which will be commissioned over the next 18 months.
Krishan Parwani : Understood. I am sorry. I think I missed one point, the reason for hi gher phenolics spre ad this quarter on a gross level that is before power, fuel and other expenses so that is the last one for me.
Maulik Mehta: In Q4 actually compared to sequentially in Q3 we had rather unfortuna te incident out of our control when the lar gest supplier of on e of the feedstock had an extended shutdown longer than that was originally announced and hence we were forced to buy the intermediate ‘cumin ’ from

 the global market at prices which would be muc h higher than what we would have manufactured at ourselv es an d this has imp acted our Q3 numbers. Of course , in Q4 we did n ot need to do that and our supply of raw material was steady as was our phenol and acetone to customers.

Moderator : The next question is from the lin e of Nitin Tiwari from Yes Securities .

Nitin Tiwari : I am sorry if yo u have already answered the question and just wanted to clarif y what is the purchas e of finished goods reported in this quarter of about Rs.122 crore?

Sanjay Upadhyay: I think that is 'cumin '.

Nitin Tiwari : So as Mr . Mehta was just mentioning this 'cumin ' purchases was for this quarter or was it for the last quarter? I mean I d id not get that.

Sanjay Upadhyay: It will be Q3 largely.

Nitin Tiwari : But Q3 also had a small figure of about Rs.16 crore and in Q4 we are still looking at a figure of Rs.122 crore so there is a large purchase in Q4 as well of 'cumin '.

Maulik Meht a: The regular shutdown that we have which is for catalyst replacement and maintenance activities along with minor activiti es that were done for some expansion resulted in a period where we did purchase a little bit.

Nitin Tiwari : Understood a nd on t he ph enol expansion I just wanted to get some clarification , also right now we have operating capacity at 250,000 tonnes per ann um is it or the name plate is still 2 lakh per annum.

Maulik Mehta: Forget about the name plate. What I can tell you is t hat norm al most chemical

ma nufacturing plants especially ones which are continuous in nature which requires cooling and chilling, the plant throughput is higher in winter because of cooler environment and lower in the summer and hence we have actually touc hed much higher numbers in winter, the debottlenecking activities will allow us to manufacture at much higher rate through the entire y ear maybe possibly try to squeeze out a couple of more tonnes in winter possible to increase our throughout even in summe r months .

Nitin Tiwari : So when we say 120% utilization that is 120% of 200,000 as we had alluded in June last year that we now have operational capacity to work at 250,000 so is it 120% of 250,000 or 200,000 is what I am trying to understand.

Sanj ay Upadhyay: Nitin, what we have s aid is above 120%. We have not given you exact 120% it is more than that.

 Nitin Tiwari : But 120% of what.

Sanjay Upadhyay: So, it is more than 120% and with this debottlenecking let us not do too much of maths 120 of 240 or 260 beca use t hat will keep on varying. This is what our capacity will touch 50% higher than 2 lakh that is the base.

Nitin Tiwari : All right so we will be roughly at 300 after debottlenecking.

Sanjay Upadhyay: Yes.

Nitin Tiwari : Unders tood and Sir my last question if I may. So , how do we look at the phenolics pricing so as you mentioned our 30% roughly it is c ontracted so is this understanding correct that rest 70% business in phenol is spot market related so is that right und erstanding and secondly if that is the case then ho w do we see the pricing for us because if we look at the March quarter as far as the Asian prices are concerned we did see some weakness in phenol and acetone prices and such so how do we basically foresee our traction pricing in the bac kdrop of how Asian price would be so if you can throw some light on that.

Sanjay Upadhyay: This is contra cted then you have not heard my view because I said it is always a short -term contract and a form ula we try. We are not contracting anything on a long-term basis because neither the customer would want it nor we will want that. Prices keep on fluctuating in Deepak Nitrite you will have fine specialty business at a price for may be six month s, nine months but not in phenol. There are no fixed price s con tracts in phen ol.

Nitin Tiwari : So, the pricing contracts are short term or either spo t is what you are saying.

Sanjay Upadhyay: Yes, but volumes are tied up.

Nitin Tiwari : Volumes are tied up and on the pricing front how do we try and understand the p ricing that we have vis-à-vis the Asian pricing if you can just help us understand that a little bit because there is a contrast in the way Asian prices have behaved in the quarter and the way our margins have been.

Sanjay Upadhyay: But you are linking why the prices is marg in. You do not consider our other things which I repeat, there are efficiencies there are other product s. You answer very honestly whether it was better that what you expected it or no.

Nitin Tiwari : Sir 100% better than what I was expectin g and that is why I am curious to know to how we see that going forward.

Sanjay Upadhyay: Every quarter we have been surprising you . Every quarter you ask me kya b reak hai, kyon isa hata hai, acha dehta hai tho be you question.

 Nitin Tiwari : Nai nai sir aise bath nahe hai samajne ki koshish kar rahi hai bas.
Sanjay Upadhyay: Koshish mein nahi kar rah ahu tum kyu kar rahi ho . I must tell you repeatedly we are doing v ery well. I mean there are several steps we are taking. There is a product called AMS which was earlier going to China where our realization were very low, now we are going to Europe with that. That is also adding to the phenol margins t his things are neve r ever considered by your people. Like Maulik was mentioning in 'cumin ' there is definitely an impact of that so when you consider with that vis -à-vis and this year we are going to do better as against last year also so there ar e several improveme nts which we keep on doing. We cannot , ab hey China mein kay hua wapas aisa kya hua if we think like this then we will not be able to run our business but we are taking so many steps to strengthen our business and make our base sound whi ch g ives the numbers an d this is what we are precisely doing, doubling the capacity. This is all th ere but then first you make your business solid that is what we try to do. Like Abhijit ka question tha that was the export for the quarter, our exports was really we ll for this ye ar so these are thing we continue to do and which will strengthen our bottom line and business.
Moderator: The next question is from the line of Janakiraman Rengaraju from Franklin Mutual Fund .
Janakir aman R.: Congrats to you and your team fo r a very creditable performance so Mr. Mehta mentioned that China's return to the chemical industry is a big event for this year and in that context while Deepak's Ph enol busi ness may be immune to that dev elopment , will the other operating segments be impacted by that either on the raw material side or on the finished goods either positive or adverse impact s.
Maulik Mehta: China currently operates a s a wild card . What we be lieve influenc es our performance in DNL standalone more is the volatility in the consumer buying behavior. We maintain very very high valet shares with our customers and our customers have been gracious enough to always give us our premium over whatev er wa y the prices a re in China are. Let me also reiterate that in 2020 and in 2 021 China was operating at full scale. In 2022 did it go into a partial or total shutdown , so while the rest of a world did have a COVID induced lockdown and scarce in 2020 and 202 1 we were competing head on with China in every one of our products and we w ere able to maintain strong performance so while China is there customer continue to prefer to buy from Deepak regardless of whatever happens we are always c onfident that our opera tiona l efficiencies are as good as China if not better in every one of our p roducts. In most of the products we actually have to compete in European markets with giants like BASF and Lanxess as well. While they are not Chinese compan ies they have a home ma rket advantage whic h we have to be able to match so when we have global scale we have the capability and the experience to match that so I will only say that what I am cautious about is inflation and consumer buying behavior whil e they continue to buy the s ame v olumes from us they remain more focused on what will happen over the next three months and six months. Nonetheless every one of our customer who has an annual or multiyear contract with us has reiterated multiple times in t he last couple of months that t he

 entirety of the contracts is to be honored both by Deepak as well as by them. They recognize that volatilities are there. They are there in the short term but they are expecting us to honor those commitments just as much a s we are expecting them those r elationships contin ue to grow and we are looking at expanding the am ount of business even in new products that we have with the same customers even with these are products which are new extension to our existing product baske t and value chain.
Janakiraman R.: Got it and again f rom a broader perspective the last three, four years the kind of ROC E that Deepak has generated is fairly impressive in light of this and the fact that you will be committing a large amount of capex ove r the next two years can we sustain these levels of mi d 20% ROC E?
Maulik Mehta: Mid 20 is easier t o sustain. Right now , we have been ope rating at high 30s and the low 40s, so mid 20s sounds doable.
Moderator: The next questio n is from the line of Meet Vora from Axis Capital .
Meet Vora : I just wanted to understand the dynamics of phenol acetone plant so for example we have setup a plant with nameplate capacity of 2 lakh ton nes n ow we are debo ttlenecking at 50% and taking it to 3 lakh tonnes for example if our requirement of phenol acetone increases going further how much we can debottleneck further till the time where there is a need for setting up another capacity.
Maulik M ehta: There is a need for setting up another capacity . This is something we are actively working on because the amount of easy headroom is limited after 3 lakh tonnes . It is still possible but takes more effort and after that it will start coming with certa in po ssible down si des when we are

making 150% w e are confident of being able to do it without any impact whatsoever with regards to the reliability and the maintenance of the plant anything beyond that and we sta rt having to take comprises we are not will ing to so we do nee d to actively work to see how we can maintain and grow our wallet share.

Sanjay Upadhyay: But here also I will add to what Mauli k has said . Our technical team have always s urprised us. We used to believe that we could not cross 2 50. W e have crossed 250, the n 275, now 3 lakhs so people are giving us surprise s. They are saying there is no capacity. It is more to do with the competency and I will not be surprised if they give me 5 to 10,000 more beyond 3 lakh also so let us keep our f inger crossed but t hen ther e is a need for one more plant now that is for sure.

Meet Vora : Sure Sir and also if you can highlight the capex that we need to do. For example , we did a capex of ar ound Rs.1,400 crore for our original 2 lakh tonne now how much cape x wou ld we have spent on this additional 1 lakh tonne debottlenecking that we did over and about the 2 lakh capacity.

Maulik Mehta: Less than Rs. 100 crore.

 Sanjay Upadhyay: Have you seen anything in the balance sheet showing higher capex. You must appreciat e this.

Meet Vora : So we have done hardly any capex on the additional 1 lakh tonne.

Maulik Mehta: Actually the only capex that we did were on IPA and the power plan t.

Meet Vora : Okay that is great and the second question , if you can share any u pdate on the sodium nitrite project in Oman that we have announced in the last quarter.

Maulik Mehta: So that is going on track. See you have to remember it is a diffe rent country which has its own challenges but we are targeting between 24 to 30 months fo r commissioning. As I mentioned earlier this is in line with that.

Moderator: The next question is fro m the line of Anika Mittal from Nvest Research .

Anika Mittal : I have two questions. My first question is why there is a delay in the commissioning of the project. What factors have contributed to this delay in commissioning and h ow has it impact ed?

Sanjay Upadhyay: Which project was delayed ?

Anika Mittal : In the Q3FY23 presentation, a delay of one quarter in M IBK and MIBC plants , according to your presentation it was written that it will be commissioned by Q4 2024 financial year but in this quarters presentation it s written it will be commissioned by Q1 FY2025.

Maulik Mehta: There were certain challen ges w hen it came to technology , supplier, and some part of the engineering. This is partially also owing to some challenges that they have faced from th eir own sub-contractors in Europe. These are actually very large and complicated asset s especially the column, and they ha ve significant amount of engineering require d. Nonetheless I hope that the problem is behind us so we should have a better chance of s ticking to the schedule that we have announced. We see what best we can do o r tr

y to bring forward but what we are telling you is something t hat we are willing to commit to.

Anika Mittal : Alright . My second questions is we ar e expanding the business in downstream and upstream products which are more profitable , and value added than the current offeri ng. We have more than double revenue fro m Rs.2,700 crore in 2019 to Rs.6800 crore in 202 2 however the margins have been affected by the fluctuations and commodity pricing which makes us look like a commodity driven company rather than a value -added company . We are not saying that we can avoid t he volatility of the industry should we believe that our margins can improve w ith our end products so my first question is when we can be recognized as a value -added company rather than a pure play commodity one.

 Maulik Mehta : We are ne ither a pure pl ay commodity company nor we are a CDMO company. We are a diversified chemical manufacturing company which has significant operational excellence and a wide basket of operational platforms that we can put into play. Now when you see on you r things like margin, pressure. If you look at Deepa k Nitrite , we had a fire incident I touched that and that has resulted in impact with regards to out percentages but over the last three years every quarter you will see a remarkably sta ble margin profile for the company as a whole and that is because of the length and the breadth of our value chain. Now when it come s to phenolics , yes of course there is a nature of commodity margins creeping in and that is one of the reason why there are certain projects wh ich are more focused on downstream rather than ups tream in phenolics. DNL has investment but in upstream as well as downstream. Phenolics has only investment in downstream and those investments will have margin profile which are similar to Deepak Nitrite standalone and hence between then will help to el evate the margin profile of what you consider the phenolics business to something which is somewhere between its current profile and Deepak Nitrite so please do not make the mistake of tr eating u s a purely com modity again let me highlight we are a divers ified chemical manufacturing company. We prioritize on intermediates because this is where we believe we can play a great role with regards to operational capabilities. Our ROCE please find compani es in commodit y space or in what you would call the CDMO or the specialty space which have consistently over 14 quarters been able to deliver higher than 35% ROCE while also making new investments for growth.

Moderator: Thank you. Ladies and gen tlemen , that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you Sir.

Sanjay Upadhyay: Thank you all for joining this call. In case you have any further questions, you can write to us or get in touch with Mr. Somsekhar Nand a, Mr. Gopal Thakkar . Thank you all. Thank you once again.

Call: Aug 2023

DNL/138/BSE/ 905/2023
August 1 6, 2023

Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
MUMBAI – 400 001

Dear Sir,

Scrip Code: 506401

Sub: Submission of earnings conference call Transcript

We enclose herewith the transcript of the earnings conference call of the Q 1 & FY 2024 held on August 8 , 2023 and the sam e is also available on the website of the Company at the weblink https://www.godeepak.com/financial -result/ .

Please take the same on your record.

Thanking you.

Yours faithfully,
For DEEPAK NITRITE LIMITED

ARVIND BAJPAI
Company Secretary

Encl.: as above

Deepak Nitrite L imited
Q1 FY24 Earnings Conference Call
August 0 8, 202 3

MANAGEMENT : MR. MAULIK MEHTA – EXECUTIVE DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DEEPAK NITRITE
LIMITED
MR. SANJAY UPAD HYAY – DIRECTOR , FINANCE AND
GROUP CHIEF FINANCIAL OFFICER – DEEPAK NITRITE
LIMITED
MR. SOMSEKHAR NANDA – CHIEF FINANCIAL
OFFICER – DEEPAK NITRITE LIMITED

MODERATOR : MR. RANJIT CIRUMALLA – IIFL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Deepak N itrite Limited 's Q1 FY24 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode . There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being r ecorded.

I now hand the conference over to Mr. Ranjit Cirumalla from IIFL Securities Limited. Thank you, and over to you, sir.

Ranjit Cirumalla: Thank you, Do rwin. Good afternoon, everyone, and thank you for joining us on the Deepak Nitrite Limited 's Q1 FY 24 Earnings Conference Call. Today, we have with us , Mr. Maulik Mehta, Executive D irector and CEO; Mr. Sanjay Upad hyay, Director, Finance and Group CFO; and Mr. Somsekhar Nanda, CFO, Deepak Nitrite Limited. We will begin the call with opening remarks from the management team followed by an int eractive Q&A session.

To begin with, Mr. Maulik Mehta, will share his views on operating performance and the growth trends of the company followed by Mr. Sanjay Upa dhyay, who shall take us through the financial and seg mental performance.

I now invite Mr. Mehta to share his opening comments. Thank you, and over to you, sir.

Maulik Mehta: Good afternoon, everybody, and a warm welcome to all of you on Deepak Nitrite 's Q1 FY24 Earnings Conference Call. To begin, we pay tribute to Shri CK Mehta, visionary Founder , and Chairman Emeritus of Deepak Nitrite Limited, who departed peacefully surrounded by family on July 3rd, 2023. Over 50 years ago, he ramped up Make in India , leading to the establishment of Deepak Nitrite Limited, a professionally driven organization epitomized by strong values, excellence, and responsible chemistry. His legacy of nation -building by serving society continues to inspire and guide the Deepak Group. As we cherish his illustrious life filled with inspirational moments and fondly remember him for his contribution to the nation, to society, to the Company , and to our entire fraternity of stakeholders.

Our results documents were shared with you earlier and I hope you have had the opportunity to glance through them. I will initiate by briefly taking you through the key financial and operational highlights for the q uarter ended 30th June , 2023 . Mr. Upad hyay will then present you with a more compreh ensive financial overview during the period under review. Following this, we will op en the forum for a Q&A session.

As we stepped into fiscal year 2024, we faced an array of challenges arising from global macroeconomic pressures and slower -than-anticipated demand from key customer segments. The Indian chemical industry, including Deepak Nitrite was impacted in Q1 FY24 by factors such as additional supply from China opening up , a global destocking of inventory and a slowdown in the Euro zone. This has led to the softening of realizations and impacted the volume off-take.

In order to save our profitability and market share, the Company proactively took several measures like exploring new customer opportunities, optimizing procurement and evaluated

valorizatio n opportunities of byproducts , apart from continuous improvement around operational excellence. These have helped us to operate plants efficiently and consistently deliver supplies to customers , while making progress on growth initiatives and strategic parameters.

During May 2023 , we reported highest -ever production for some of our products, showcasing solid business resilience. Notably, we have been able to export key pharma and agro - intermediates to China during the last two quarters and we will continue to do

so. We have also
successfully enhanced walle t share in each and every one of our products.

Apart from carefully navigating through challenges, we made progress on strategic endeavours . We proactively de -risked our business model by securing assured input supplies from alternate sources. We have rec ently commenced a captive power supply and are driving value from waste. Further, the growth initiatives to enter a substantial supply contract in all segments ensure a clear pathway for sustainable growth.

The development that I am personally excited abou t is the setting up of a world -class R&D center in Vadodara . This R&D center is under implementation and will allow us to further deepen our capabilities and expertise across existing as well as new complex chemistries. We've also made considerable progress on all of our growth initiatives and capex plans, making Q1 a

fairly eventful quarter on all counts.
With this backdrop, I shall share an overview of the performance. In Q1, consolidated revenues were INR 1,800 crore, lower by 13% Y -o-Y and 9% Q -o-Q. The challenging industry -wide conditions amid the opening of China , inventory destocking, etc. We believe that this is transitionary and have undergone several such cycles in our history , our focus during the quarter was on factors within our control such as optimizing of procurement, operational excellence, and exploring new opportunities with existing and ne w customers and new products that we have enhanced our valorization opportunities for. This has enabled us to partially mitigate the impact of prevailing weak industry trends, but we must also remember that many of these are sustainable improvements and wi ll take us well into stronger quarters.
EBITDA for Q1 FY24 was INR 242 crore, lower by 33% Y -o-Y, translating into an EBITDA margin of 13%. The changes in the global chemical landscape intensified by China's product dumping at lower prices , resulted in lo wer sales realization. Sales at several key products, including phenol , owing to a general sluggishness of market impacted our o perating performance. Consequently, EBIT and PAT for the quarter declined by approximately 36% year -on-year. However, in most o f the cases, we have been able to either retain or increase wallet share.
Projects under implementation for brownfield of existing products and processes and capex for an assured supply of inputs using photohalogenation and complex Halex fluorination, as well as projects for asset supply are expected to be commissioned over the next 6 to 8 months. These will enhance our competitiveness and together with the cyclical recovery in prices will buttress our profitability going ahead.

Now coming to our segm ental performance. In Q1, the Advanced Intermediates segment generated revenues of INR 719 crore, lower by 3% on a Y -o-Y basis, amidst a decline in input prices and hence realizations. Despite inventory destocking by our customers, our margins in AI remain ed steady. As a result, segment PBT was resilient at INR 115 crore as compared to INR 131 crore last year.
Deepak Phenolics reported revenue of INR 1,089 crore in Q1. The decline in revenue and EBITDA is due to a sharp contraction in phenol spreads due to a supply glut arising from the opening up of China , as well as the slowdown in global markets and spreads being at a multiyear low.
We do have to also mention that the phenol plant was shut down for the first time in 4 years for its regular maintenance change, and this was for 15 days in the beginning of the quarter. We also looked at the improving raw material trend to self -finished products at a much more accelerated rate and we entered Q2 with a multiyear low opening inventory to take the best advantage out of the improved feedstock prices.
The Phenolic s division aims to enhance downstream offerings to projects

such as MIBC and
MIBK, which will lead to higher capital utilization of acetone and attractive margins. Looking ahead, we are strat egically positioned to capitalize on increasing demand and benefit from the trend of import substitution in India. The asset on derivatives remains a significant progress on ground for the project execution. The plant is expected to be commissioned in the first half of FY25, enabling d ownstream value -added products.
In a key development, Deepak Chem Tech Limited (DCTL) , our wholly owned subsidiary, signed a INR 5,000 crore MOU with the Government of Gujarat to manufacture specialty chemicals, phenol , aceton e as well as bisphenol in the state. DCTL will invest approximately INR 5,000 crore across these projects , aimed to commence the first phase in '24, '25 and complete the project by '26, '27.
Just health indicators, I'd like to share because I know that this question will come up during the discussion. In Deepak Phenolics, we expect quarter 2 to be better on a Y-o-Y basis as well as a Q-o-Q basis. In Deepak Nitrite, we expect quarter 2 to be flat on a Y -o-Y basis and improved on a Q -o-Q basis. And on a consolidated level, we expect both Deepak Nitrite and Deepak Phenolics together to be able to deliver better o n Q-o-Q as well as Y -o-Y basis .
So, closing, I'd like to emphasize that Deepak Nitrite is well positioned for expansion in various aspects with a strong integration in the value chain. Our investment plan, which, at the moment, the project under execution amount to about INR 2,000 crore plus or minus, reflects our enthusiasm to seize opportunities, both in India and worldwide.
We continue to diversify our product offerings, expand our client base and enhance overall value propositions with a strong financi al position, valuable customer relationship and well considered growth initiatives , we're poised to elevate our business proposition. Our expansion plans will improve our competitiveness, grow market share and generate value for all stakeholders.

I'd now l ike to hand over the call to Mr. Sanjay Upadhyay, who will address this forum and take you through the financial performance and key updates during the period.

Sanjay Upadhyay: Thank you, Maulik. Good afternoon, everyone and thank you for joining us today on Deepak Nitrite's earnings call. I'll walk you through the highlights of the financial results for the quarter ended June 30 , 2023 . Deepak performed interestingly during the quarter , despite a challenging environment, which impacted most of the che mical industries all over the world.

In Q1, consolidated revenues were lower by 13% at around INR 1,800 crore due to declining realizations and lower volumes in light of inventory destocking by global customers. In spite of that, Deepak Nitrite 's volume s hare has not gone down like at one year. But the impact is largely because of the price realization which were lower as compared to earlier period.

EBITDA was INR 242 crore, down by 33%. Spreads across key product in phenols have reduced in past quarter. In fact, phenol witness ed multiyear cyclical lows this quarter as the real EBITDA margin has compressed to 13% during the quarter, PBT and PAT decreased to INR 202 crore and INR 150 crore, respectively. Our domestic business has generated revenue of INR 1,432 crore and export revenues were at INR 336 crore during the quarter.

Moving to our segmental performance in the Advanced Intermediates segment , revenues decreased by 3% to INR 719 crore in Q1 versus INR 739 crores in Q1 FY23, while EBITDA was down 9% to INR 136 crore during the quarter under review, the Advanced Intermediates segment reported a resilient performance on the back of diverse product portfolio and strong customer service capabilities performing very creditably , despite the ch allenging ind ustry back drop.

Deepak Phenol

ics reported a lower revenue by 19% to INR 1,089 crore in Q1 versus INR 1,338 crore in Q1 FY23. EBITDA was INR 107 crore, down by 51% in Q1, while EBITDA margin came in at 10% versus 16% in FY23. The Company's working capital position improved by INR 321 crore. Advanced Intermediate by INR 41 crore and Phenolics by INR 82 crores.

In Q1 FY24, D NL witnessed exchange r ate volatility ranging from a peak of 82.85 to a low of 81.61. To manage the forex volatility risk, the Company employed dynamic hedging strategies, which led to a gain of INR 0.24 crore in Q1 FY24. Lastly, on the balance sheet front, Company 's financial position continues to be strong, being net zero debt Company and with solid cash flows, we are well p oised to execute on growth plans.

During the quarter, we effectively managed surplus funds to make advanced payments to select suppliers, receiving cash discounts and remaining funds w here invested in safe investment avenues and surplus funds are in the process of being deployed in growth prospects. As a result, we achieved an aggregate gain of INR 8.6 crore in Q1 FY24.

On a considerable basis, the Company remains debt free and boasts of a substantial net worth of INR 4,240 crore. This will facilitate leveraging in balance sheet for potential expansion projects as and when needed in the future. This was explained in detail by our Chairman in the AGM last week.

Our investment in its wholly -owned subsidiary DCTL was INR 499.5 crore , of this INR 94.5 crore was invested in Q1 FY24. The total investment in DCTL comprises of INR 9.5 crore in equity and INR 490 crore in CCDs. Approved projects are being executed a s per planned. We are poised to announce commissioning of projects over the next several quarters in a phased manner.

Once commissioned, the plants will help secure internal supply of critical raw materials and thereby elevate the profitability levels at f ull utilization. Further, the Company is building world - class R&D centers as explained by Maulik near Vadodara to solidify its capabilities and expertise across complex chemistries. While accelerating growth momentum , existing R&D setup keeps working on va rious product and processes.

With that, I would like to now request moderator to open question and answer session please.

Moderator: The first question is from the line of Madhav Marda from Fidelity International.

Madhav Marda: I just had one very broad question. I think in the initial remarks, you mentioned that you all have seen quite a few sub -cycles in the history of the Company. Just wanted to understand, what are the key things which are similar and the key things which are different in this c ycle versus the past ones . And in your view, what could help in the cycle , sort of correcting itself and things coming back to more normal levels? That would be very helpful.

Maulik Mehta: See, when we alluded to the fact that we have seen several cycles, what we mean is in a general sense, when new capacities are coming in, you will always have a short period of time when demand grows and demand grows at a relatively consistent phase, 5%, 6%, 7%, 8% CAGR. But when capacities come online, they come online in a certain manner.
So, over a period of time, this normalizes, so the dem and is able to match up to the capacity that has been commissioned. And hence, when we're talking about commodity chemicals where Deepak Phenolics play largely, you have such situations of bull and bear cycle. But over a period of time, they normalize.
Similarly, as China has always been over the last 25 years, a significant player, maybe the most significant player in the production of chemicals. Generally, what ends up happening is that the production comes online in a normal market situation. What we ha ve right now is a perfect storm, where there is low consumption in China and ce

rtain unlocking of COVID measures in
China have pushed a lot of volume out.
But globally, because of tightening interest rates, there is also a headwind with regard to long - term visibility on consumption. Let me clarify that in the short term, demand is there, and consumption is there, but customers are not able to project a situation beyond the next 3 to 6 months. And wherever they are, that is simply because they may have their own downstream tied up in the consumption markets as well.
So, cyclicality in this sense in the chemical industry, whether it is in specialty or in commodity chemicals from the involvement of players like China and from the involvement of players like Europe, this we have seen. And we expect that Deepak is not only well positioned, but we'll be

having an opportunity to be able to make significant strengthening of its moat as we move forward.
Sanjay Upadhyay: I would just add one thing to this. Though cycli cality affects the prices, we can maintain our volumes. Even if you see Phenolics, we are confident that we will achieve last year's production level. Maybe we'll not produce more but the turnover , maybe we'll cross that also. So the market share remains i ntact and the position in Deepak Phenolics is strong , once the demand picks up, we are very confident we will do better than what we have done in the first quarter.
Madhav Marda: Got it. And just a follow -up from my side would be that so the key thing to watch for incremental is China's own domestic demand kind of coming back and that should solve a lot of challenges that the global chemical industry faces. Is that one key thing to watch out for or what are the other pointers that we should look at to sort of think about recovery?
Maulik Mehta: So as generally, as the interest rates stabilize, global consumption comes to a point where they can project over a longer period . As I mentioned, right now, customers also have visibility of only a couple of mon ths. But as they become confident that the global situation is stable, even if it is stable at a higher level, they are very happy to place a long -term commitment to volume. But at the same time, China is picking up its internal consumption as well. So, whatever you see, which is a slowdown in terms of quarter , month -on-month export as well as imports in China. A large part of this is prices, not so much volumes. Volumes are intact in that sense. And as we move forward, we expect that China will go closer to its own self-sufficiency and India will be more linked with the rest of the world in terms of global demand and supply.
Madhav Marda: So, the Indian supply chain diversification, has been a key driver for growth for the companies in India. That kind of s till holds, right? This is more of a cyclical challenge than anything changing structurally on the ground .
Maulik Mehta: Yes. But I will also caution that it is easy for companies and investors to just bet on the same horse. So , this is certainly a key dri ver, but by no means is it the only driver. And there are other important factors at play too, including, but not limited to the Indian companies' own resilience and competitiveness.
Companies like Deepak are used to competing with China. So , our performan ce matches China's ability to perform on the best of days as well as the worst of days. So , we don't necessarily need to depend on China doing well or badly in order to have a level of resilience from our own operational excellence.
Moderator: The next question is from the line of Nirav Jimudia from Anvil Research.
Nirav Jimudia: Sir, on the spend onto post capex, all the plans which we have commissioned. So , if you can share the capex as well as the cost savings which could accrue to us with the commiss ioning of this plant.
Maulik Mehta: So, I mean, the plant has been commissioned, but

cost savings are not the right way to put it
because we have significantly reduced the volume of spend that we will push out and cost

savings are always going to be in rel ation to the price of fresh asset. What I would like to, however, say is that this will add a significant score advantage to our scope 1, scope 2 emission disclosures.

And more than that, it allows us to have a more sustainable operation where we are less dependent on external vagaries. So , all of these things have a cost of energy, a cost of fresh materials, and these things change. So , it is difficult to give you an exact number. But anyway, what I can tell you is that the fantastic concentration plant fits well within our internal benchmark about savings and has the significant added benefit of improving our ESG. So , I look at it from not the bottom line but from the right thing to do.

Moderator: Thank you. The next question is from the line of Rohit Nagr aj from Centrum Broking. Please go ahead.

Rohit Nagraj: Sir, the first question is on the new R&D center. So , we have been building capabilities over the last few years and that is also displayed in terms of the newer products that we are working on and th e projects which are getting commissioned. I mean, we plan to work on this new R&D centre . So, is it that we now would be also focusing on the export market given that predominantly earlier, our focus was on import substitutes? So, your thoughts on the sam e from a vision perspective ? Thank you.

Maulik Mehta: So, we supply to the import substitution market. But more and more , the import substitution market has become a good foil for the global market because more and more of these multinational companies have started putting up their own investments into India or have tied up with converting partners in India.

So now, I mean, we don't look from Deepak Nitrite's perspective at just an import substitution, but we look at it from the perspective of making in India and making it to be able to supply to the world, which, of course, includes India. So , processes that we are building up in our R&D center. Some of these are the processes that we currently have in our technical toolkit, and we are adding new processes in this, which are at a very advanced stage.

And what we are doing is we are ensuring that we have a very high level of integration, both software integration as well as hardware integration between our R&D, our scale -up facilities and what we would call our challenged product, challenged capability plants, which are somewhere between mini plants and pilot plants where we are able to demonstrate our capability.

Now we are also getting into a lot of gas -liquid reactions and gas -gas reaction. And as I have mentioned earlier, we are moving ahead with at least three life sciences products, which will be downstream of our existing product basket. And these are, as I e arlier also mentioned, going to be tied up with strategic customers in multi -year contracts. And we'll have some small volume of sales into the market as price discovery also.

So, these will all be taking place on an accelerated basis in our new R&D center . What it will allow us to do is it will allow us to do more of the same faster rather than keeping everything in a long line of projects that need space from the assets that are available. Along with that, it will

also allow us to get into a couple of new processes, which I will not get into detail about right now.

Rohit Nagraj: Sure, sir. This is helpful. Sir, the second question is on Phenol. So , in your opening remarks, you alluded that there have been supplies coming from China. So, does it mean that t here have been significant capacity additions in China, which are over and above their internal cons

umption ?

And that will probably have some bearing on the spreads over the medium term . And a second, a light question to that. In terms of the capacity debo ttlenecking that we're talking about 10%. So, after the debottlenecking, our capacity would increase to 330,000 from 300,000? Thank you.

Maulik Mehta: Okay. So , for the first part, we are not seeing any significant imports of Chinese phenol into India. How ever, because China is the largest producer in the world, its presence on a global stage means that there is increased pressure from non -Chinese phenol suppliers to also participate in Indian consumption. Nonetheless, as we alluded to in our opening remark s, Deepak has been able to maintain as well as grow its wallet share. So , while these imports were there before we started, these imports continue even when we are running our plant. We expect that these imports will continue even in the future.

Sometimes, this is because the new capacities that have been commissioned in the l ast six months have not yet had their downstream capacity commissioned, which generally may happen

with a delay of a couple of months. Nobody wants to be in a situation where they commission a downstream first and then the upstream. So , this may have a tra nsient effect, but all I can say is that, yes, there will always be this pool between the changes in terms of RM and the changes in terms of SG especially for a commodity chemical like phenol.
But we remain confident that we will maintain or grow our walle t share in India as consumption continues to increase even compared to the rest of the world where consumption may be moderating or slightly decreasing, India is a bright spot in the global economy when it comes to consumption and Deepak is in a prime posi tion to be taking advantage here.
The second question that you asked with regards to the capacity, rather than going into numbers, 330,000 that, whatever. What we can say is that on a debottleneck basis compared to the design capacity, Deepak should and w ill be able to produce about 150% of what it had invested to produce in 2018.
Sanjay Upadhyay: Actually, I would rather elaborate here that, see, when you say debottleneck ing in the process is already on. If we have touched this capacity, say, 135%, 140% I mean this is not one should go, this is now debottlenecked and capacity will go up like this. It has gone up. In 1 year, we have gone up from 220, 225, 230, 260, 270, 280. So , this is how it is. And to put any number is difficult as our team is capable of being much, much more than what we say anytime. So , we are very confident that we will deliver, as Maulik mentioned, about 150% on a consistent basis that the approach, can cross even beyond that.
Moderator: Thank you. The next question is from the line o f Anas Savarkar from Value Quest. Please go ahead.

Anas Dadarkar: So, I didn't quite get the last one, you mentioned the Chinese imports. So , if you could just repeat what you've said. Because I understand, I think in the Q4 call, you mentioned that the Company doesn't have competition from Chinese phenol manufacturers.
Maulik Mehta: See, direct phenol from China. There is some in India, but it is very, very small. But because China is a large player, it's applying to the global market to disrupt other suppliers who then divert more volume to India. This is a normal situation. You have to think of phenol like Benzene, Toluene, Xylene, where it is an ocean. If one place gets occupied, it's water, it moves into another location.
Moderator: Thank you . The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.
Ankur Periwal: First question on the advanced intermediate side. In your opening remarks, you did mention 3% Y-o-Y decline is largely led by realizations, while volum es have been largely intact. Just wante

d
to understand within the segment considering from, let's say, the basic product or the value - added segments, is there any significant diversion there? And how has been the competitive intensity in both of them?
Maul ik Mehta: Okay. So let me give an indication of what we are seeing in the end application industries. So , plywood, and I'm telling you about the Company as a whole, including Deepak Phenolics. Plywood and construction, we are seeing an improving trend for sure. Auto we are seeing somewhat of an improving trend. And what I'm telling you right now is on a sequential basis, just to be clear, Pharma is relatively flat or slightly better. Dyes is flat, but it is flat at a low point over the last couple of quarte rs, Dyes has not picked up to what it was maybe about a year, 1.5 years ago.
Agro also flat. Paper and textiles also flat but also at a very low level. So , when I am saying that we are seeing an improvement is on the basis of how we see quarter 2 going whe re there are certainly green shoots that are visible, as I mentioned earlier, in the construction and the auto segments. And the other places where we see an improvement is because we are able to take wallet share away from other players who are in the sam e product.
Ankur Periwal: Sure, sir. And from a growth perspective, given that we have been launching newer products earlier as well. And now also, there are plans of the new value -added products getting launched. How do you look at them, let's say, from a growth perspective in terms of your market share gains with the existing ones as well as the new customer addition?
Maulik Mehta: So, our guidance with regards to growth and the value that, that growth would bring into our top line and bottom line remains intact. So even today, we see a similar top line as well as our bottom line to all of the capex which are currently under execution. There are a few other capexes, which we have not yet started to execute, which are at the engineering level. And these are also being seen from the same life.
Today, we expect a similar outcome from those, we are going into it with caution, talking to customers because they also need to be able to give us the same confidence not only on prices but also in terms of volumes bec ause it will all be multi -year contracts. But today, I can tell you

that there is no drop in our excitement about the existing projects as well as the ones that we have not yet announced.
Ankur Periwal: Sure, sir. And just a follow -up on that. What percent age broadly of the business here will be more on a longer -term basis, more like a client commitment there?
Maulik Mehta: So, most of the new products that we get into will be with a significant part of the volume , the majority of the volume being on a contractual basis. Some brownfield expansions that we do for existing products, will continue to have the same blend of contract ual and non -contractual. I hope that gives clarity.
Moderator: Thank you. The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.
Abhijit Akella: Just had one question actually with regard to the project pipeline that i s getting commissioned over the rest of this year, FY23 -24. So , while we are aware about the integrati on too as well as the asset capacity, both of which will serve backward integration. Any other projects, brownfield or greenfield that were commissioned i n the past that we should expect to start contributing to the numbers over the rest of this financial year?
Maulik Mehta: So, at this moment, we have give or take about INR 2,000 crore, INR 2,100 crore, which is under execution. This does not include proje cts where we have not yet tied -up everything. So , if we have tied -up everything, including the customer contracts, including the RM sourcing, etc ., then we would add t

o this number.
So, when we're talking about that INR 5,000 crore and all that, that is a separate amount because we're still in the process of tying -up with customers and all. So , this INR 2,000 crore is well on its way and over the next, I think, one year or at least the next five quarters, pretty much all of these should be commissioned. And this will be a mix 50 -50 of bottom line accretive as well as top line accretive. Let me highlight that anything which is top line accretive, is obviously also bottom line accretive.
Sanjay Upadhyay: If you're asking about the past brownfield, whatever we have done, the expansion and then the quantities were fully sold. Only issue is that today, if you see the agro industry is not doing that well. The demand is subdued. We are not gunning at 110 million side at double the capacity. So , if you ask the double capacity, are we running fully? Then no. But then we are much higher than the earlier levels. That much I can tell you.
The word capacity is of course, we have done in past a full doub le capacity. But today, it is lower. And then say, nitrite also, we have capacity much more that what we are. But yes, we are running a little lower than our full capacity. So today, there is a subdued demand in the market, no doubt on that. We are running full, selling higher volumes as compared to earlier years and even this year also. But we still have scope to increase further capacity if the demand revives further.
Abhijit Akella: That's very helpful. So just maybe one follow -up on the advanced Interme diates business. Sanjay bhai, you mentioned the sodium nitrate running a little bit subdued utilization levels. How about

the other major products in that segment, like if we take nitrotoluene or DASDA, OBA , or the Fine Speciality side? Is pressure sort of visible across all of these some and others
Sanjay Upadhyay: Let's not get into product specific but and we also told that, the products going to dyes and dye intermediates. There is definitely an impact. So , we're going to textile also. So there, you wil l see this impact on demand slowdown is certainly felt, anything there for past one year. Things have not improved as such in those industries. And there, we are not able to do 100%, beyond 100%.
Normally, our strategy is to go beyond 100%, which we are no t able to do, though, we are selling the volumes higher than last year, but then capacity can be debottlenecked , and we have debottlenecked. But to answer your question, running at 100%, 115%, is not possible. because the demand is subdued. End application s rather than product -specific . You know where the application is.
Abhijit Akella: Yes, absolutely. No, that's clear. And one last thing on the raw material side, we've been seeing softening commodity prices but for us to sort of benefit from those, will w e again need to see demand recovery before we start to be able to hold on to those benefits
Sanjay Upadhyay: No, not really. In fact, if you see the first quarter, we were having some impact of these inventories also because we are importing also for our fine & specialty. Now if you import, you

don’t import in a very small parcel. So , when the price suddenly fall s and prices started falling, we were carrying inventories, and that was consumed in the first quarter.

So Q2 will not have much impact on raw materials . So, we should start seeing the benefit. As Maulik explained, this quarter looks better than the consequential basis of Q1. That is largely because in Q1 volumes are sold, but this will not be seen and then, you'll see a better number in Q2.

Moderat or: Thank you. The next question is from the line of Rohit Jain from Tara Capital Partners. Please go ahead.

Rohit Jain: Thank for the opportunity. Sir, one question on the outlook for global Phenol. You said that globally, the demand fo

r Phenol is not growing and India remains the bright spot. So, in that sort of context, this pressure that, we have from goods getting imported from other parts of the world. Is that something that, we should expect on a sustained basis in the future also? Or you still maintain that, this is a transient issue and this is going to solve itself out?

Maulik Mehta: Okay. Just to clarify, it's not that the demand for Phenol is not growing. It’s just that, the supply of Phenol in the last six months has been significantly faster than the growth in demand. And as I alluded to right in the beginning of the call, this is part of the regular bull -bear cyclical trend that one sees with commodities. Now India's demand is growing faster than the world's demand. And hence, just because of the gravity of India's demand outstripping world demand, there is more interest from international suppliers. But as I also mentioned, Deepak has been able to hold its own, has grown its wallet share and has ensured that, we can be able to make product available from its plants.

In Q1, we had a short 15 -day shutdown. But this is the first time in four years that we've taken it, and this is a critical part of maintaining any capital invested , chemical plant, which operates on a continuous basis. So yes, there has been an impact that was felt in Q1. Similarly, there has also been the impact of Deepak destocking its own FG in order to ensure that it is able to best take advantage of the lower -priced raw materials heading into Q2.

And so , both of these, have been playing on the numbers that you see in Q1, which are both limited to that quarter and will not come into Q2. What this means with regards to global demand and supply is that, look, the global production of Phenol is higher than it was at the same tim e last year.

And soon enough, we will also start seeing a significant increase in the consumption of phenol as the downstream capacities come online. So , in the interim period, we may have a situation, where the supply of Phenol is more than the consumpti on of Phenol , and this will moderate over some quarters. So , I would just urge all of our stakeholders to be patient with us, this is a normal situation.

And there's nothing here that is particularly pertaining to the kind of strategy that phenol has to undergo. Nonetheless, as we have also mentioned Deepak is investing in its own downstream capacity, which will be consuming both phenol and acetone at market prices. So , any benefit that we see there is only accretive on the base numbers that we are seeing t oday. And even the EBITDA percentage will be slightly better than whatever we are seeing when it comes to the prices for phenol and acetone.

Rohit Jain: Okay. And just one related question to that. You've mentioned that, you have seen the cycles earlier as well. One question is, how long do you expect this cycle to last? I mean, is it a one quarter - or two -quarter phenomenon? Or do you think, it could go on for slightly longer than that?

And the reason I ask is there is a view that, a few market participant s have, which is that structurally, China's growth is now at least the capital investments are going to be much lower than it has been in the past. So , recovery in China, even if it happens, would be consumption led and not investment -driven. So , with that sort of a context, how long do you expect the cycle of extra supply and lower demand to sustain?

Sanjay Upadhyay: I'm going to answer your question on a consolidated basis, not just Deepak Phenolics or Nitrite. But on a consolidated basis, we do believe t hat the amount of destocking that took place in the first half of the year has softened, and we expect going into Q2 and then Q3 onwards, the destocking will still be there, but with a materially lower impact compared to the first half. Now whether this

me ans that, we are back what do we consider as a normal is a question. But all I can say is that Q2 and Q3 look s to be sequentially better than the first half.

Primarily under pressure simply because of the destocking. That part will be slowly addressed.

Now what happens with regards to macro interest rates and recession, taxation and all that, those are in the hands of things like the federal reserve or the bank or wherever else you look at it. So those are not in anybody's visibility. But we are seeing som e level of cost correction there as

well. Where the tightening of interest rates does not expect to be something that continues for quarters at an end.

Moderator: Thank you. The next question is from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Hi, sir. Thank you so much for the presentation. Just one clarification and one question from my side. So , I just wanted to clarify, when you were talking about the end segment demand with respect to the trends that you are seeing like plywood, construction, autos, etc., you're talking about it from a sequential perspective, right, Q2 over Q1, right?

Maulik Mehta: Yes, it is sequential. I agree there. However, I would also like to mention that a couple of them are seeing, fo r example, plywood is seeing improvement even compared to the third quarter of last year. Right? So , one where we are seeing an improvement, certainly, I mentioned sequentially, but it is also longer than sequentially. For the rest of them, you are correct . Dyes over the last one year have been down. Even last year, it was down. We waited for a long time for festival season to come, and it didn't clearly come. Nonetheless, we sold some of the highest volumes that we have sold, and we will exceed that number this year. Primarily, this is because of taking market share away from other players. But if I'm talking about the demand in the end industry, we are yet to see dye s and colours get into a celebratory mode.

Vivek Rajamani: Sure, sir. Thank you so much for the classification. And the question that I had was, you mentioned in your presentation that you've been acquiring customers, and you have also talked about the commencement of exports to China. Just wondering, would it be possible to give any indicat ive sense of the margin profile from some of these new customers? Is it comparable to your existing customer base? Or is it better? Or can you just give some colour along those lines, that would be really helpful? Thank you very much.

Maulik Mehta: I can't give you a lot of details there, but I can say that it is actually a little bit better. So , when we are selling to China, we are discovering that the margins are better. Now whether they remain better or not, I don't know. We will see how it goes. But right now, this is more exploratory. And it's too early to tell, but the margins are at least a s good, if not better compared to our normal sales.

Moderator: Thank you. The next question is from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta: Hi, sir. Good afternoon and thanks for the opportunity. Sir, just a few clarifications. S o, first is on phenol plant. You mentioned that the consistent utilization rate will be 150% of the rated capacities of 2018.

Maulik Mehta: Existing consistent capability rate, we will manufacture, and we will sell whatever we believe is the right number. But our ability to produce consistently will be, as you mentioned, compared to the installed capacity, a significant improvement .

Rohan Gupta: Yes, sir. Fair enough. I'm talking about production only. So, definitely selling will be dependent on the market conditions. So , does it include the 10% kind of expansion in Brownfield, which you are likely to go through,

our debt is on over and above this?

Maulik Mehta: No. This is includ ed

Sanjay Upadhyay: Rohan, I just responded to earlier question, when we talk of debottlenecking 10% and this is from the last level. But we always close that, what we achieved last. So, the capacity is going up beyond 3, you can assume, and that's what Maulik was mentioning that consistently achieving 150%, that will be done, once the debottlenecking is overlaid , which is likely to be over in next couple over this month. So , after that, it can go beyond that also, but consistent 150%.

Maulik Mehta: That will be our new floor . Further, w e can make more.

Sanjay Upadhyay: 10% and this, we cannot talk about it now.

Rohan Gupta: Right. So , this 150% will be available from Q3 onwards, right?

Maulik Mehta: Yes, fr om the current year , in winter, we may be able to produce more because we must do less Chilling . We don't include that in an y guidance.

Rohan Gupta: No, sir, that is fine because those are the technical things, that compensate in annual number. Sir, second question is on your new project of INR 5,000 crore investment commissioning. Sir, if you can give some more light on that. In terms of, your still in talk to the Government and the project has to kick off.

But will it include phenol as its own , all these are the re in your existing line of products on the specialty chemicals also, you have mentioned that some of the new product s and will be included there. So , can you give some more sense that, it is completely in the existing line of the business of the Company , or you are trying to add some more diversified revenue stream from the INR 5,000 crore, MOU project signing ?

Maulik M ehta: No, so you've answered that question yourself. While there will be some participation of phenol and acetone, most of the other products, including, for example, as you mentioned bisphenol, including the specialty chemicals that we will be putting up our products which are having a very tight level of synergy with our existing platforms, but these are new products.

Bisphenol also for us is a new product. When we get into manufacturing of polycarbonates, it will also be a new product. But as you can im agine, all those deals will benefit from these are upstream and downstream.

Rohan Gupta: Yes. So, these are all the products which you have already talked about. I was just asking that are we expecting any completely new chemistries or new revenue stream to be included there?

Maulik Mehta: Yes, yes. Because see, when I say specialty chemicals, it gives me so much bandwidth to be absolutely vague pretty much all of the capex that is here is of products which are not currently manufactured by Deepak, which will be manufactured by Deepak , and which will have a very tight level of integration with our core competencies as well as the new ones that we are adding.

For example, we're just stepping into photo chlorination and fluorination. So, these now bec ome part of our technical toolbox and when we invest into this larger capex, they will become part of what we call our core competency. So, something which we are not used to is it is an opportunity. Once we invest in something and we start doing it commer cially, but it is only for a couple of products, we call it part of our technical toolbox.

And once it is something that we are comfortable using from multiple products and in multiple states, when we call it part of our core competency, diazotization, nit ration, hydrogenation, these are part of our core competency. sulphonation, fluorination, chlorination, these are part of our technical toolbox.

Rohan Gupta: Sir, just last question for the clarification only, you mentioned that our plant is likely to wit ness a Y-o-Y as well as a sequential improvement. I understand probably sequential because of your plant shutdown this cu

rrent quarter and extremely low spreads, which we are seeing, but in standalone business, also you mentioned that still Y -o-Y kind of f lattish kind of number.

That business, as we have been consciously investing and last year, it has gone through a complete low cycle, our standalone business and the products there. Still, it is not seeing any significant improvement there on Y -o-Y basis we should be seeing some surge and uptick in that business.

Maulik Mehta: See, on the standalone business there is a good amount of it which goes into the dyes and colours segment, right? So , while this and so the two industries, which DNL on a standalone supplies to, one is in the dyes and the other is in to paper and textile. These continue to be underperforming the rest of the applications like agro, Pharma, rubber, those things, which are reasonably good , and our contractual agreements are well maintain ed.

What we have is two end segments, which are slow, and I'm giving you a cautious guidance because if you speak to a lot of other companies who are in this space exclusively, they will give you buoyant optimistic visibility with regards to dyes. We are just telling you what we have been told, if this picks up well and good maybe it picks up in the tail end of Q2, maybe it picks up in Q3.

I have also mentioned that there is a sequential improvement that we are seeing. So, being halfway into Q2, what I can tel l you is that these are segments which have not seen as much of a bounce back as we had hoped. And hence, we have given a guidance of flat compared to last year and better certainly much better compared to Q -o-Q.

Rohan Gupta: And sir in our agrochemical bu siness under fine and specialty, we were planning to launch a couple of AI technicals and also intermediates. As you mentioned that in agro chemical industry is going through a tough time, are there any delays in those product commissioning or they are all intact as for now?

Maulik Mehta: No, no. There is no delay. In fact, as Mr. Upadhyay mentioned last year, at the end of last year, we commissioned and then within a couple of months. So, for example, if we plan to commission a plant to make 100 tons, we c ommissioned to 100 tons, and then we debottlenecked it very quickly to 150 tons. So, when we debottleneck to 150, we are today selling about 100.

So, it is as per what we had invested in, but not as per the debottleneck capacity, we expect this to come ba ck anyway. But here and now because there is destocking going on through the entire value chain, including at the farmers end, we are cautious about this based on the indications our customers ha ve given.
What I can tell you is that not only does the wall et share remain intact, but the long -term visibility for the growth of these applications also remains intact. So, I would caution to say that agrochemicals ' is not doing well. In fact, on a longer -term basis it is, but on a shorter -term basis, there are h eadwinds, which I believe will culminate over the next quarter or two and then we should have something of a normalized situation.
Moderator: Thank you. The next question is from the line of Krishan Parwani from JM Financial. Please go ahead.
Krishan Parwa ni: Thanks for the opportunity. I think you answered a couple of my questions in the previous answer, but just a couple of clarifications on that. So, it is regarding the INR 5,000 crore investment. So, just wanted to understand because in order to put up, let's say, or in order to kind of reduce the imports of bisphenol of India, you would have to also expand to some extent phenol as its own capacity. Is that understanding , correct?
Maul ik Mehta: Yeah. Part of it is from expansion and part of it is from Greenfield, correct.
Krishan Parwani: Understood. I mean, have you kind of finalized how much of this INR 5,000 crore number wo

uld
be towards the bisphenol production and how much would be for, let's say, phenol expansion and how much for specialty chem icals?
Maulik Mehta: No, we have an indication internally. Certainly, it is not right for discussing externally.
Sanjay Upadhyay: If you see the press release , we will say Rs. 3,500 crore towards phenol and bisphenol and Rs. 1,500 crore towards fine and specialty chemicals .
Krishan Parwani: Noted. That is helpful. , are you okay to kind of, let's say, go into the detail of specialty or should I not ask at this moment?
Maulik Mehta: No, no, not at this moment because all of these are at a very advanced stage when it comes to engineering and planning. So, while we are still discussing with customers for signing up of these multiyear legally binding contract s, I would not like to go into more detai ls.
Moderator: Thank you. The next question is from the line of Hitesh Agarwal from Fair Value Capital. Please go ahead.
Hitesh Agarwal: Yes, sir. My question was on the capex, which we'll be doing under a Deepak Chem Tech is exclusive Rs. 2 ,000 crore announced for Deepak Nitrite and Phenolics?
Maulik Mehta: Yes, whatever is ongoing is ongoing. This would be in addition to.
Moderator: Thank you. The next question is from the line of Vaishnavi Deshmukh from Yashwi Securities Pvt. Ltd. Please go ahead.

Vaishnavi Deshmukh: So, we can see the outlook on the demand side for Deepak Phenolics, I just wanted to have a light on the margin side. So, are we going to plan on doing on the actions that we're going to take to improve the margins of Deepak Phenolics as compared to the first quarter or these are gone be because you already said that the guidance for the margins are going to remain same as you have already said that before. So, what are we going to do to improve the margins here to Deepak Phenolics?
Maul ik Mehta: I would not like to specifically answer any questions about A product or B product but let me give you a clarity. We maintain a particular guidance that we have in Deepak Phenolics in the next couple of quarters, in Q2 - Q3, we should see a range -bound EBITDA of about 12% to 15% as compared to whatever it was in Q1.
And in DNL, we should see it range bound between 20% and 22%. On a consolidated basis, hence, we should see something between 15% to 18%. This is, of course, different from what you sa w in Q1 and hence, I'm confident that in the rest of the year, we will be able to perform definitely better on consequential as well as on a Y -o-Y basis.
Moderator: Thank you. The next question is from the line of Hitesh Agarwal from Fair Value Capital. Pl ease go ahead.
Hitesh Agarwal: Yes, sir, the capex plan, which we have signed, the INR 5,000 crore MoU, could you give us some guidance on what is the asset turns and how we are likely to fund the capex?
Maulik Mehta: No. I think we have enough tools in our toolbox to be able to do it via a judicious mix of internal accruals and debt. Right now, we are at nil as well as raising funds if required through other routes.
Sanjay Upadhyay: In case required.
Maulik Mehta: So, we are comfortable, and we have lots of options.

Moderator: Thank you. Ladies and gentlemen, that was our last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Sanjay Upadhyay: Thank you very much for joining us on this call. In case you need further clarification, you can talk to Mr. Somsekhar Nanda or our Investor Rel ations team. Thank you once again.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure a high level of accuracy.

Call: Nov 2023

DNL/138/BSE/ 923/2023
November 16, 2023
Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
MUMBAI – 400 001
Dear Sir,
Scrip Code: 506401
Sub: Submission of earnings conference call Transcript
We enclose herewith the transcript of the earnings conference call of the Q 2 & H1 FY 2024 held on November 9, 2023 and the sam e is also available on the website of the Company at the weblink https://www.godeepak.com/financial -result/ .
Please take the same on your record.
Thanking you.
Yours faithfully,
For DEEPAK NITRITE LIMITED
ARVIND BAJPAI
Company Secretary
Encl.: as above

Deepak Nitrite Limited
Q2 & H1 FY24 Earnings Conference Call
November 09, 202 3

MANAGEMENT : MR. MAULIK MEHTA – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER – DEEPAK NITRITE LIMITED
MR. SANJAY UPADHYAY – DIRECTOR , FINANCE AND GROUP CHIEF FINANCIAL OFFICER – DEEPAK NITRITE LIMITED
MR. SOMSEKHAR NANDA – CHIEF FINANCIAL OFFICER – DEEPAK NITRITE LIMITED

MODERATOR : MR. VIRAL SHAH – IIFL SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Deepak Nitrite Limited ’s Q2 FY24 Earnings Conference Call, hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.
I now hand the conference over to Mr. Viral Shah from IIFL Securities. Thank you, and over to you, Mr. Shah.
Viral Shah: Good afternoon everyone and thank you for joining us on Deepak Nitrite's Q2 & H1 FY24 Earnings Conference Call. From the mgt., we have Mr. Maulik Mehta, Executive Director and CEO; Mr. Sanjay Upadhyay, Director, Finance and Group CFO; and Mr. Somsekhar Nanda, CFO of Deepak Nitrite Limited. We will begin the call with opening remarks from the management team followed by an interactive Q&A session. To begin with, Mr. Maulik Mehta will share views on the operating performance and the growth plans of the Company, followed by Mr. Sanjay Upadhyay, who shall take us through the financial and segmental performance. The results documents have been shared with you earlier and have also been posted on the Company's website. I now invite Mr. Mehta to share his opening comments. Thank you, and over to you, sir.
Maulik Mehta : Good afternoon everybody and a warm welcome to all of you on Deepak Nitrite's Q2 & H1 FY24 Earnings Conference Call. First of all, I want to wish everybody a very,

very Happy Diwali and a wonderful Prosperous New Year for not just you, but your family and friends as well.
Our results documents were shared with you earlier, and I hope you have had an opportunity to glance through them. I will initiate by briefly taking you through the key financial and operational highlights through the quarter and half year ended 30th September 2023 . Mr. Upadhyay will then present you with a more comprehensive financial overview during the period under review. Following that, we would love to hear your questions.
In the first half of this financial year, the global chemical industry faced significant hurdles. Concerns have been about destocking by Chinese enterprises, uncharacteristic weakness in the Eurozone, and a transient reduction in discretionary income and expenditure owing to a hike in interest rates to calm inflation in major economies .
Despite these challenges, our business demonstrated resilience due to various factors like cost leadership initiatives , changes in product mix and geographies and strategizing procurement of certain key raw materials where possible.

In addition to skillfully overcoming challenges, we have progressed on key strategic initiatives, including growth capexes which will cater towards bringing in upstream as well as downstream products. These projects have the capability of being both top line and margin accretive.
In the current scenario, DNL has experienced a decrease in revenue due to the transient reduction in realizations. In Q2 FY24, consolidated revenues were INR 1,795 crore, lower by 9 % year-on-year and flat on a quarter -on-quarter basis. Sequentially, we witnessed consistent performance in the face of a challenging operating environment. This was primarily due to a strong growth overall in the Phenolics segment and a steady demand for Advanced Intermediates products.
We have also observed a quarter -on-quarter normalizing trend with regards to volumes, particularly in products geared towards specific end -user sectors like glass, paper, home care and more. We anticipate a normalized performance starting from Q4 of this financial year . While key export markets are grappling to demand pressures due to the global situation, the good news is that domestic consumption and demand remains largely in

tact.
Our strategy remains focused on products and geographies that enjoy stable to positive demand. Nevertheless, our market presence has remained steady across all product lines and geographies, thanks to enduring relationships with customers and the persevera nce of our teams to maintain operational excellence. Hence, in all cases we have retained, and in a few cases grown, our wallet shares.
However, in terms of profitability, EBITDA has been impacted by input costs and a migration to relatively non -native markets for some of our products, which earlier had a home in geographies such as the Eurozone . In Q2 FY24, EBITDA was INR 319 crore, up 32% quarter -on-quarter, translating into an EBITDA margin of 18%. Our EBITDA grew quarter -on-quarter, attributed to an uptick in Phenol production driven by an increased demand and optimized capacity utilization. Additionally, cost savings on raw materials, operational improvements have all enhanced profitability by the ir own little bits , all of this while maintaining healthy margins. Consequently, PBT and PAT for the quarter grew by 37%. Thus, our primary focus co ntinues to remain on enhancing productivity through our dedicated efforts and maintaining and growing our relationships with key customers, and as well as ensuring that our products find a good home, even if there is a migration in geographies in some case s.
On the operational front, our domestic business generated revenues of INR 1,437 crore, while exports were at INR 341 crore during the quarter.

Coming to our segmental performance. In the first half, the AI segment generated revenues of INR 1,379 crore, lower by 3% on a year -on-year basis despite these challenges. Further, during the quarter, we observed a positive uptick in our sales volume compared to the previous quarter. We are actively working on establishing new relationships in both th e short and long term with key customers to ensure

consistent offtake. Furthermore, we successfully maintained or increased our share in the market, as I menti oned, in new geographies as well.
Deepak Phenolics reported revenues of INR 2,188 crore in H1 FY24. In Q2 FY24, revenue stood at INR 1,120, up 5% on a quarter -on-quarter basis, and EBITDA margins improved to 17% from 10% last quarter. This quarterly improvement in profitability can be attributed to increased volumes, margin improvement and an improvement in VOC owing to the establishment of the advanced process control systems that we have put in place.
We also see that there is a gradual improvement in demand in the Phenolics segment. Our sustained high-capacity utilization of 136%, that continues to be a key factor. Notably, our efforts to introduce new downstream products are also now materializing, indicating promising growth prospects.
Moving to some interesting updates about our projects. First of all, our Acid project is steadily progressing and is planned to be commissioned as scheduled. Other projects such as photochlorination, fluorination, MIBK, MIBC, hydrogenation, the new Researc h and Development Center and brownfield expansions, are all progressing well and expected to be commissioned over the next few months.
In conclusion, Deepak Nitrite continues to be strategically positioned for comprehensive expansion, continues to increase its integration within its value chain and new value chains. Our investment plans underscore our readiness to capture these opportunit ies as they come to our home market, and we persistently aim to diversify our project portfolio , broaden the customer base and enhance our overall value propositions. We have a firm and robust financial standing, very strong client relationships and a wel l-planned growth prospect.
We are trying to enhance our business proposition, market share and shareholder value. We have taken substantial steps to mitigate

risks in our business model, ensuring a
stable input supply, establish captive power, increase the amount of generation of power and steel using sustainable means, and valorization of waste. Our ongoing and upcoming inv estments reflect our commitment to seizing opportunities in a responsible manner with an unwavering focus on innovation, customer expansion and value creation. I would like to hand this now over to Mr. Sanjay Upadhyay, who will address this forum and take you through the financial performance.

Sanjay Upadhyay : Thank you Maulik. Good afternoon everyone. Thank you for joining us on this call today. First of all, let me wish all of you a very happy and healthy festive season.
I will now take you through the highlights of the financial results for the quarter and half year ended September 30 , 2023 .
During the period, Deepak Nitrite Limited maintained a solid performance despite a challenging operating environment marked by volatile raw material prices and utility costs. Despite this , the Company managed to increase its market share, especially in Phenolics, strengthening its topline across various business segments. Consequently, our operations remain highly capital -efficient , resulting in enhanced return on capital employed , the overall ROC E stood at 27% in Q2 FY24 .
Coming to our financial performance , on operating front, domestic business revenue stood at INR 1,437 crore and INR 2,869 crore in Q2 and H1, respectively. Export revenues were INR 341 crore in Q2 and INR 677 crore in H1. On a consolidated level, domestic: exports mix stood at 81:19. And in Deepak Nitrite standalone, it is remaining at the more or less same level, so around 60 :40 or maybe 55 :45.
In H1 FY24 consolidated basis, revenues are lower at 11% at INR 3,595 crore compared to INR 4,041 crore in H1 FY23. EBITDA stood at INR 561 crore in H1 FY24 compared to INR 648 crore in H1 FY23. Margins came at 16% in H1 FY24 against 16%, almost at par with FY23. PBT and PAT were at INR 479 crore and INR 355 crore, respectively.
In Q2 FY24, on a consolidated basis, revenues came at INR 1,795 crore, again almost at par with INR 1,800 crore in Q1 FY24. On Q -on-Q basis, EBITDA came in at INR 319 crore from INR 242 crore in Q1 FY24. Margins at 18% , higher operating cost and other utilities along with the lower recovery and f uel products , PBT and PAT stood at INR 277 crore and INR 205 crore, respectively. Profitability was aligned with the operational performance of the Company, which was impacted due to review clear ed by the inflationa ry pressure and in RM and other utilities. In the ensuing quarter s, the circumstances are expected to improve in the second half of the year.

Moving to segmental performance , in the advanced intermediate s segment, revenues stood at INR 670 crore in Q2 FY24, while the EBIT stood at INR 103 crore during the quarter under review. In H1 FY24, revenue came to INR 1,379 crore and EBIT came in at INR 218 crore, translating into a margin of 16% despite the current environment and challenging circumstances.

Phenolics segment delivered encouraging performance revenue growth of 5%, INR 1,120 crore in Q2 versus INR 1,068 crore in Q1 FY24. While EBIT of INR 170 crore

and EBIT margin came in at 15% in the quarter. In H1 FY24 , revenue decreased by 16% to INR 2,188 crore and EBIT came in at INR 258 crore translating into a margin of 12%.

Lastly, on the balance sheet front, the Company's financial position has significantly enhanced, and the Company continues to maintain zero debt position with a net worth of INR 4,342 crore on a consolidated basis and INR 2,765 crore on a stand -alone basis, thereby strengthening the balance sheet for all future expansions.

During the quarter, our cumulative investment in wholly owned subsi

diary , DCLT was
around INR 599 crore. Of this, INR 100 crore was invested in Q2 FY24.

Approved projects are progressing well and on schedule. Our R&D team is actively developing new products to establish additional speciality chemical facilities . Once operational, these plant s will enhance our self-sufficiency in critical raw materials and boost our profitability. Additionally, we are constructing a state-of-the-art R&D center near Vadodara. And it will come up maybe towards the end of next year. And this will certainly help in boosting our growth prospects in the future, particularly in the fine and specialty chemicals segment.

With that, I will now request operator to open the floor for question -and-answer session.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Nirav Jimudia from Anvil Research.

Nirav Jimudia: I have two questions. So first, on our stand -alone business and if you can share your thoughts on three of our traditional products like sodium nitrite, DASDA and PNT part. In terms of the demand situation in H1 of FY24 in terms of the capacity utilizations, which we have clock ed. And if you can just walk us through in terms of the situation for H2 of FY24 and then next year in terms of where we can see the first line of improvement coming. So could it be DASDA, because what we have seen is last 3 years after FY20, DASDA had been a muted growth. So where can we see the meaningful jumps , coming from DASDA and then you can share your thoughts on nitrite as well as the PNT chain.

Sanjay Upadhyay: Nirav, Maulik will answer this question, but I just want to know why you are calling these products only as a traditional product.

Nirav Jimudia: Yes, because these are the products which generally, we come to know in terms of the market understanding because sodium nitrite, we have the leadership position. PNT also and DASDA also had contributed good amount of profitability in FY24. Probably,

I am aware of these 3 major products, there could be others also. But if you can walk us through other products also that would be also helpful, sir.

Sanjay Upadhyay: There are many. Will let Maulik answer.

Maulik Mehta : Okay. First of all, Nirav, thanks for the question. Happy Diwali. I will take them one at a time. DASDA, the largest in application for this is optical brightness, and they go into detergents, textiles and paper. Now you are right in saying that the last couple of years have been muted. If you compare it to high point, that high point also, I will consider as noise because it was a one -off. But what I can see today is that while Q1, Q2 and even before that has been muted, we are seeing, if you look at a lot of the announcements that are made from paper companies and some detergent companies about increasing their investments in India, increasing their capacities in India.

You will see that the optical bright industry certainly has bottomed out over the last couple of quarters. And sequentially, we will start to see an uptick. Now as the only liquid discharge manufacturer and with a market leadership position when it comes to both DASDA and optical brighteners, we are primed to be able to take the largest share of this growth as it comes.

What has happened over the last year, 2 years in fact, is that there has been a malaise in the traditional geographies for these products, which were in the Eurozone, partially because of water cost, power costs, these things. And you have also noticed that over the last 2 years, there has been a steady stream of announcements about shutdowns in these. But also correlated to that, increase in investments in debottlenecking the Indian and Asian capacities outside of China. So, as these start to get commissio ned, we will start to see an increase in

volumes. And as we start to see an increase in volumes, it will be followed by an increase in our margins.

Now PNT, the largest home for PNT is DASDA. So, they are not directly correlated, but there is a significant correlation. The other segments are more into the dyes and the pigment segments. Now those have had a depressed couple of years. But there also, we believe that the situation, by and large, has bottomed out. So, it is not going to get worse, so to speak, it is going to get better. How fast it gets better is also a very good question. Now when it comes to sodium nitrite because it is a so -called inter mediate/ commodity product it has many, many end applications. Certain end applications are doing very well when certain traditional end applications like dyes and pigments have been suffering, especially in places like India. But there also, we are seeing that there is an expectation of improvement. We continue to rem ain the market leaders. We will continue to remain the market leader with the new capacities that we add in Oman as time moves forward. And we are very confident in these industries as well, b ut also in

certain export markets where we have pivoted to in the last quarter two, where earlier they were relatively unexplored.

We have increased our focus on that. It has started off well, it factors in our overall export market s, because we are new into these markets, the margins may not have been as interesting. But as we develop our understanding better and work with the consumers, they are better, we are strongly under the impression that this will also improve. So, in all these cases, I can tell you that the demand will certainly sequentially improve; the rate of which, we will see. But you are seeing also that there are lots of announcements made by other companies, which would be our customers. So that should give you confidence.

Nirav Jimudia: Sir, second question is, if we see in terms of standalone Deepak Nitrite, most of the products which we have developed, we have a substantial market share in most of them. And over a period of time, we have either backward integrated or forward integrated in terms of the product profile and this has also helped us in achieving close to INR 3,000 crore of sales in the standalone side.

So just wanted to understand your thoughts in the standalone business, and I am excluding the downstream portion of Phenol Acetone part. When can we see such similar blocks coming in terms of, let us say, three, four products or a block of three, four products putting together or contributing to close to INR 500 crore to INR 1,000 crore of incremental sales?

And if you can correlate it with the acid plant, which we are currently putting on. So, could the acid plant also give us an opportunity to develop some of the newer downstream products, which can help us to get a meaningful improvement in our standalone sales going forward?

Maulik Mehta : So, I will answer this question now. While we are in process of commissioning our upstream, naturally it is sensible for us to expand our consumption as well. And that is also taking shape in line with our commissioning of the upstream. So, you will see that value accretion there. Now with regards to the absolute number that you talked about, INR 500 crore, INR 1,000 crore, our priority is always on ensuring that we are growing our market share and growing our bottom line. The top line is a fa ctor of the market prices. So, it is difficult to comment on that.

I believe that as the demand situation improves, so will the prices. When that happens, it is your guess as well as mine. But we have not only increased the capacity utilization in brownfields. We are also going to be introducing new products which will t ake advantage of Deepak's existing core capabilities. Now there may be new value chains, but they have similar process profiles where we have a high degree of competency in.

So, these are investments that you will see coming into announcement and then into play over the next two years. We have already made certain announcements. We have not made certain announcements even though we are at a pretty advanced stage, because we are waiting just to tie up some of the last bits.
But if you are looking at what Deepak Nitrite standalone business profile looks like over the next couple of years, then I do not see any challenge in achieving and crossing the numbers that you were earlier referring to.
Nirav Jimudia: Got it. And sir, just a last bit of thoughts on the commissioning of the various brownfield expansions which we have been talking about. So where can we see those capexes coming online over the next three to six months? So, what portion of the capexes from the brownfield side would get commissioned over the next 6 months?
Maulik Mehta : Hydrogenation brownfield will get commissioned over the next eight months. Rest of the brownfield expansions will be commissioned over the next 6 months .
Moderator: The next question is from the line of Bharat Gupta from India Inside Value Fund.
Bharat Gupta: So, a couple of questions. First, on the growth capex front. So, we signed an MOU with Gujarat Govt. regarding the INR 5,000 crore investment plan. So, what is the progress on it? And if possible, can you throw some light with respect to the bifurcation of the capex across the specialties , phenol, acetone, bisphenol , and probable timelines for the same?
Maulik Mehta : So, I do not want to break it down into specialty or non -specialty because all of this, at the end of the day, will depend on how you define specialty. So, this whole notion of assuming the specialty margins should be higher. I think now we may all accept that this is not always accurate. What I can share is that the MOU that we signed is for very specific products, that those are progressing along well on finalizing wi th regards to the technology suppliers. We are also clear about where we will be putting w hat up .
And we should see these being invested in and commissioned over the next 4 years.
Sanjay Upadhyay: So, this technology, as Maulik was mentioning, it is in advanced stage. We are acquiring land very soon in a couple of months because that is also the prerequisite of going ahead with this INR 5,000 crore expansion. So, things are in place and moving as per the schedule. There were some delays in land areas, but yes, now we are progressing fast. So, it should not be an issue at all.
Bharat Gupta: So, going forward for the next four to five years, it will be a complete transformation from being to exchange of commodity to going venture into a specialty kind of setup.
So just wanted to get a sense, like whatever investments which we are making in, so where does China compete ? And particularly, it can be a big trade because a lot of

investment will be going in this particular domain. So, if this particular destocking in Chinese continues for some more time. So, can it have a delay on the timelines which we are setting in?
Maulik Mehta : No, no. you are mixing up the two . Destocking of China cannot continue for two, three years. And then this is actually frankly you ask me , it is the right time to set up the projects because the world is seeing a very volatile situation today and unless we understand that it is very difficult for anybody to comment what will happen in next few years , suppose you ask me what will happen in 202 5 or 2026 . I can give you a guess only because nobody knows how Israel war will take place or what is h appening on interest and so. Guess work can be done by anybody, but nobody can tell you exact answer .
So, the point here

is, if we are going into the projects now, we expect and hope things will settle down in the next couple of years. And the world will again start though other countries are doing well, many countries are not doing well. So, if thing happen as per expectation for the next two, three years, if you see there is a revival in the world economy, see there is a right time to enter the market also. So, I think what we are doing is the right thing to do today and go ahead with the expansion plans and you are entering the market and there is a up cycle.
Bharat Gupta: Right. Sir, just a basic question was around the fact that the segments where we will be investing in particularly. So, is China a big play in that particular segment as well?

Sanjay Upadhyay: Let me tell you. Please understand what projects you are setting up in this because it is making our Company much stronger or going backward, going forward and China may come or Europe may come or anybody can come. We cannot stop anybody coming. But the resilience of the model of what we are creating if you see that way. I mean that is something which we can sail through any such crisis or any such additional capacity. Yes, there can be ups and downs in the business. But business remains on a very, very strong foundation and fundamentals. Let us appreciate this. You see Deepak Nitrite standalone. You see Phenolics also whatever announcement we have made. And the way the demand for Phenolics is growing and the way we are entering the market and capturing. Let us appreciate that the steps are taken in the right direction. If somebody comes, if they do not come, that is a different question altogether. And we have our basis strong, I think we can face any challenge as such.

Maulik Mehta : I just want to clarify, this whole concept about destocking. I think that the definition in the market is wrong . Destocking, just to be clear, means that somebody will try to sell a product regardless of whether they are making a negative margin or not.

Now it does not matter what country you are from, whether it is India or China, nobody wants to sell at a loss. The reason that they believe that they are okay with selling at a loss right now is so that they can empty their inventories in order to make new product, whic h will be sold at margins which are better th an the products which they currently are holding in inventory. That essentially is what destocking means. And it also assumes that for whatever reason, the market demand right now is slower than it will be in the future.

So, they want to ensure that they are able to get a better part of the better market environment with their higher -margin product, which they will make freshly and put it in their inventories. So destocking is not desirable for anyone, regardless of the capac ity that are being put up. Let us be clear about that.

Second point is that the investments that we are making in, call it specialty, call it a semi -specialty, are what we call our right to win. And when we look at our right to win, we compare ourselves against companies that may have actually established plants with fully depreciated business models. So, we do not make an investment hoping that the market will improve and hoping that destocking will end.

We look at the situation where we are up against someone who has all of the where we call and we are investing fresh money. So, believe in Deepak and believe in the study that we have put in place. And I will not really want to get into if these are specialty, because what does specialty mean? Is it about margins? Is it about SKUs, what is it? Is it about the length of the relationship with the customers? Because most of the products that we make, even in these segments, even if we are talking about polyca rbonates, they are not going to be done with a sense of just putti

ng them all in
our department store and hoping someone buys them. They will be done with established long -term commitments with key customers who will also be putting up investments on their own side to consume Deepak's product. So, I think we should realign with the idea of destocking and specialty chemicals, as we see it not as per the market hype.

Bharat Gupta: Thanks for the brief, Maulik and the team. Just a last bit from my side in terms of the guidance. So, I think in one of the calls you mentioned the Company will probably look to double the turnover over the next three to four years' time frame. So currently, are we holding upon the same given all the headwinds of which the industry is speaking?

Sanjay Upadhyay: You mentioned the right word, transformation. We are at a stage where it is going to be a significantly different 'Deepak Nitrite' in next four, five years ' time . We are still confident of this. And whatever you have said, yes, it is doable.

Moderator: The next question is from the line of Anika Mittal from Nvest Analytics.

Anika Mittal: Sir, my question is, is there an update on the ongoing projects, specifically the Photo halogenation and Helix plant anticipated for completion in December 2023. I am interested in understanding the strategic implications of this initiative in light of the evolving situation in China. If China gradually starts reoffering, could you elaborate how the completion of this project aligns with our objective to mitigate the input supply dependency on China? And additionally, considering the change in dynamics, how do we anticipate the man ufacturing cost in comparison to the forecast? And what is the impact on our profitability? If you could also quantify the capex allocated to this project, sir?

Maulik Mehta : So first of all, for those particular sets of products, it will completely eliminate our dependency on China on every aspect, given the raw materials. So, we will be completely derisked. We will also be the only company in the world with that kind of end-to-end integration.

Now our commissioning is by and large on track, maybe a couple of weeks here or there. But by and large, it remains on track. Now with regards to what we will do there, it will allow us to manufacture both our consumed products as well as new products, because the assets have been up engineered to be able to manufacture a much wider variety which is currently in advanced stages in R&D. And once we establish ourselves with the base intermediate that we will be consuming, we will also be making these same as sets more fungible in campaign manners. I would not want to get into the numbers specifically about the capex element here. To a certain extent, they have already been clarified earlier. And that clarification continues to hold. So, no new colouring on that point. But that is again on track and it dovetails very nicely with some of the other commissioning that we are going to come online over the next three to six months as well.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: Congrats on a very strong comeback on the Phenol segment. So, first question is on the Phenolics front. So, we have seen a very strong comeback in terms of margins sequentially. What is your assessment in terms of the domestic demand and the inventory situation. Have things come back to more or less normalcy, and incrementally we will see that the performance will be remaining similar for the next foreseeable future?

Maulik Mehta : So first for last quarter, the performance was subdued, but we have also given clarity that we ourselves went into destocking because we anticipated a change in the raw material prices. Also, we had about three weeks of low production in Q1, which

affected our EBITDA percentage as well as our absolute. So, if you are looking at Q1 as a source of comparison, we had clarified them as well, that it was an unusual performance. But by and large, we believe that the downstream segments for phenol, acetone and IPA remain relatively healthy as we had in Q2. That is what we should be seeing in the next couple of quarters as well. We have, as I mentioned earlier, also completed our advanced process control commissioning, which allows us to operate more efficie ntly and operate at a higher capacity.

Rohit Nagraj: Same question again on the Phenol segment. So, one of the petrochemical players in domestic market that they have announced 300,000 ton nes of capacity. And in our MoU signed with Gujarat Government, we also plan to go in for maybe a phenol acetone, bisphenol , and downstream products. So how do we assess this particular development, given that currently, obviously, we have more than 200,000 ton nes of imports in the country, and the new capacity probably will be able to absorb a significant part of it. So, your assessment of the same?

Maulik Mehta : We assess it by feeling so very confident about the growing consumption of phenol and acetone in India.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital Limited.

Ankur Periwal: Wishing everyone a very Happy Diwali. First question on the R&D side. The new center is coming up in the next financial year, and we already have around 100 -plus manpower there. In terms of your thought and let us say, focus areas, given we have been doing R&D in the fine & specialty as well as the phenol derivatives, how do you allocate the resources there incrementally?

Maulik Mehta: So first of all, whenever we are looking at very, very large volume, for example, if we were looking at something like polycarbonates. Now there, in our R&D, we work on formulations, but on the main facility, we would prefer to license it with an established and proven player. When we are talking about specialty chemical value additions, where we are looking at things like waste valorisation , that is where our R&D comes in. So internally, our R&D is focused on two things. One is new product development and one is operational excellence. So, both of these are given equal and due importance. Internally, in our labs, we do not really discriminate between a specialty and a non -specialty chemical. That said, when we are directly interfac e with a customer to develop or co -develop a molecule for a long -term contract with them, we do assign a special team which works in lockstep with the customer's R&D and technology team. So, they collaborate at every stage here so that at the end of the date, there is a great deal of clarity and confidence built even in the development process.

Ankur Periwal: Just a clarification. If I have got you correct, you mentioned that the polycarbonate compounding, the formulation part will be outsourced to a specialized third party, not done in -house?
Maulik Mehta: No, no, that compounding can be done internally using our own skills and talent. The facility, something which would convert key raw material, for example, bisphenol into a polycarbonate. That is where we will go with established, mature players where there are multiple different technologies, but we will go with someone who has a proven track record.
Ankur Periwal: Sure, sure. That is helpful. Secondly, on the standalone side, especially fine & specialty, there have been excess inventory, China led issues, etc . So, your thoughts in terms of demand outlook there and how are we seeing the product basket there in terms of new launches?
Maulik Mehta: So, the product basket with regards to new launches, the pipeline is clear. Now some of them, for example, maybe what we are co

nsidering a specialty, but they may have something like phenol as a raw material . And the end application, because it goes through multiple stages, will be a specialty chemical with the characteristics of that, meaning long -term contracts, particular quality and spec, high value adds, all of those things, even if the feedstock is phenol.
In the meanwhile, when we are looking at new products that are being added, they will be added over the next 2 years. And with regards to demand, there is a selective soft demand in certain parts of the agrochemical space, whereas in other parts, the deman d is relatively robust. When it comes to Home and Personal Care, the demand is strong. When it comes to niche applications like thermal paper, the demand is weak.
Ankur Periwal: Fair enough. And will it be fair to say that most of the fine & specialty business will be largely contracted? As in client commitments, maybe short term or long term?
Maulik Mehta: Yes. Generally, that is the characteristic. It is not always like that, but more often than not, this is the case. They may be annual contracts, they may be multiyear contracts, or in a couple of cases, they may be half -yearly contracts.
Ankur Periwal: Just last question, from our China dependence right now in terms of RM sourcing, where are we right now? And post the expansion, where do we expect us to be?
Maulik Mehta: We source from China. We will continue to source from China wherever we need. But for every single raw material, we have sources which exclude China as well. So, our critical dependency on China is not there, I think, in any business. However, it does not mean that we will not take the opportunity to buy from them. Obviously, if we are going to be manufacturing the raw material ourselves, there is no question about it.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.
Vivek Rajamani: Happy Diwali to you and the team. If I may, just on the demand point. I think in your opening remarks, you mentioned that you saw a sequential increase in volumes across the board in this quarter. If I just look at the revenue line on the Advanced Intermed iates, the revenues have obviously come down on a sequential basis, which implies that your ASPs w ould have obviously been lower.
My question is, do you get a sense that the decline in ASPs is now maybe stabilizing, and maybe going into the second half of this year, you start to see some pick -up there in line with the demand that you are seeing? That was the first question. And just as an extension to that, obviously, we are in November. For the first month and 10 days of this new quarter, do you get a sense that you are seeing an increased pace of green shoots coming through in some of these segments already?
Maulik Mehta: Just to be clear, I did not say that demand in terms of volume is normalized in quarter

2. I said that there is a sequential improvement in the volume demand trajectory that
we are seeing as we move towards Q3 and Q4.
So just to be clear about that. And Q2 did have some weak spots of demand. And
hence, we chose strategically to migrate towards other geographies that are in
applications for some of our products which previously used to be sold in the more
mature economi es. Now when it comes to how we are seeing Q3, I think what we
should look at is over a period of time, Q3 so far, from October until now, has largely
been occupied by the festival season.
So, October and November, every single year, not just this one but even in past years,
should never be reflective of what you would see in the rest of the year. Just like in
China, you would never look at a Jan -end and Feb as an indicator of the rest of the
year, because it was largely shut down because of, it is all New Year festivals. But we
are continuing to see slight green shoots wit

h regards to a stabilization, normalization
worldwide. Nonetheless, it is premature to assume anything right now.
Vivek Rajamani: And just a second question. Obviously, on the phenolics side, spreads have been very
strong this quarter, and I think they have continued to hold up pretty well. If you could
just give a sense of the regional demand/ supply situation. I think last quarter, there
were some shutdowns or so. If you could just give a sense of how the regional demand/
supply balance is shaping up into the second half of this year, that will also be very
helpful.
Sanjay Upadhyay: See, we are running phenol plant at 136%, 135%. That answers your question that there
is a demand, and we are able to supply . People will import because we are not able to

meet the full demand. That is a different thing. But I mean you have seen how second
quarter has performed, and we are very confident that second half of the year also will
continue the same momentum in Phenol as well as Deepak Nitrite also. So yes, there
is a demand in the sense of discretionary spending and this, yes, I mean that is going
for quite some time. It is not very recent. When Maulik talked about the textiles , and
these are all last one year, 1.5 years, we are seeing this, there is a subdued demand,
And overall, if you see the world economy also, people are maybe deliberately or
maybe because of the extra situation, the demand is gradually slowing. So, we expect
this to improve, but it may not improve so soon. But our product, we are selling full
volumes. Not an issue at all. Yes, there could be pressure on the realizations because
in this market, we are able to se ll full volume. But we are not worried about these
things . We are reaching the bottom of the cycle and things can only go up from here.
Moderator: The next question is from the line of Rohan Gupta from Nuvama.
Rohan Gupta: Sir, first question is on our Phenol business, we are seeing a sharp improvement in
margin. Though , I do not think that the spreads have improved so sharply. So, it is
definitely driven by the better cost management and maybe higher utilization or excess.
So, can you give some sense that how the spreads have improved on a Q -on-Q basis?
And how much growth in the margin or profitability has come from the better
volumes?
Maulik Mehta: Also because of the low base of Q1, because we had 3 weeks of no production. So, the
base of Q1 was, I would say, unusually low. Hence, it looks like a significant
improvement. But by and large, we are seeing that it is reasonable , what we entered
Q2 with and what we are exiting Q2 with and in Q3 with, it is by and large, along a
similar track.
Sanjay Upadhyay: See, Rohan, we have been mentioning again and again the Phenol normal margin
would be in the range of, say, 15% to 18%. And this, what you are seeing now and
these volumes, these are all here to stay. If it is going below that, around 10%, 11%,
then there is something abnormal in that quarter, maybe because of o ur shutdown,
maybe because of the inventory suddenly there is a volatility in the raw material pricing
in this. But otherwise, this is the margins, one should expect. So, there is no
abnormal ity in Q2.
Rohan Gupta: So, our capacity utilization for the phenol plant, still it stood at roughly 136% at H1.
Sanjay Upadhyay: It is not H1, it is Q2 because 1 we had a shutdown.
Maulik Mehta: We also had a brief shutdown in Q2 when we did a hookup. So, 136%, as you see, is
the capacity utilization. It is not the capacity, the updated capacity. So, we will be in a

position to be able to cater even more to the demand in India and wherever it is. So, I do not think you look at 136 % as absolute ceiling. We have the capability to ensure that we are able to supply to the growing market as well.

Rohan Gupta: Sir, yes, that was my exact question that with the advanced process control and with that which has helped us in debottlenecking. Should we expect then H2 utilization level, I mean, on an increased capacity can go up by another 15% from here in terms of vo lume, additional volume?
Sanjay Upadhyay: Let us not put this in terms of percentage, but yes, it can go up because there is a demand in the market. And our team is quite capable of delivering more. So, there is no issue as such on that.
Maulik Mehta: And the APC did not factor in Q2 at all. Other than, unfortunately, necessitated a very short shutdown for hookup. So, it actually affected negatively in Q2. And the benefits of that in terms of plant availability will be seen now onwards.
Rohan Gupta: Sir, recently, we have seen that the crude has gone up and which is likely to have some impact on us?
Sanjay Upadhyay: See, by and large market absorbs, we see crude volatility has remained. So, market absorbs these ups and downs.
Maulik Mehta: Rohan, from when you started the question and now crude has totally gone in a different direction. So, we are more concerned with our ability to maintain our appetite, pass it over and the demand in the market.
Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.
Abhijit Akella: Yes. Just a couple of clarifications I wanted to seek. So, 1 is with regard to the capex in the first half, it is about INR 310 crore or so , what number should we work with for the full year, please, this year? And maybe if you can give a number for next year also, if it is possible to share?
Sanjay Upadhyay : See, Abhijit, by and large now the things are moving to the first quarter of next year, first quarter onwards, I would say, because every quarter, you will see new capex is coming up. So whatever capex we spend, say, around INR 1,500 to INR 1,700, this all is getting now not an entire year, but Q1, Q2, Q3, that where it is progressing in next year, and it will commission from Q1 onwards.
Maulik Mehta : Except for the Fluorination .
Sanjay Upadhyay : Except Fluorination will be commissioned in Q4. This Q4.

Abhijit Akella: Okay. But in terms of the fresh capex on the newer projects, when should we expect a major pickup in spending on that? Will it be this year or next year onwards?
Sanjay Upadhyay : Abhijit, are you mentioning about the larger capex of INR 5,000 crore or what we have already said around INR 2,000 crore, INR 2,220 crore?
Abhijit Akella: Yes, more of the INR 2,000 crore, INR 2,200 crore .
Sanjay Upadhyay : That is what I was mentioning that you will find this every quarter, commissioning of 1 project from next year onwards.
Abhijit Akella: Then there is no Government incentive income this quarter in Deepak Phenolics. So just wondering what the reason for that might be? And whether we should expect some incentive income going forward?
Sanjay Upadhyay : Yes, of course, it is not going anywhere. Now it depends on the Government where if they have fund, then they will start distributing. I mean our filing is already there, and it can come any day, the process it may take time, but yes, you can expect this incenting load. In some quarter , it may be there, in some quarter it may not be there, but it is there, and here to stay.
Abhijit Akella: One last thing is just on Advanced Intermediates. So last quarter, we had pointed to a normalized margin expectation of about 20% to 22% EBITDA margin for Advanced Intermediates. We are running a little bit below that, but how should we think about that fo r say, the second half and then beyond, next year?
Sanjay Upadhyay: This year, Abhijit, I think Q2 and Q3 will also have this kind of whatever we are achieving today. Most likely from Q4 or next year onwards, things will change and will improve. I mean th

ere is nothing wrong with the demand, but only there is a pressure on pricing because though we are able to sell, but yes, overall, things have slowed down. So , there is an impact there. So next year, we will definitely , we are not

doing bad in AI, it is reasonably good. But if you are expecting still bette r performance, then you can expect from April onwards.
Maulik Mehta: And I know that I also put myself out there saying that the normalized EBITDA should be in the range of 20%, 22%. And it will be. We are starting to see anyway , it is just that the rate of improvement, sometimes you end up overestimating or underestimating. In this case, maybe I overestimated. But nonetheless, the factors that would go in that direction are all in place. And we are seeing those conversations with our c ustomers. Let us say in this year, certainly towards the end of the financia l year, we should be coming back to those numbers which we were used to.

Abhijit Akella: Got it. So, improving trajectory in Advanced Intermediates and Phenolics to remain around these levels or maybe slightly improve in Q 3 and second half. Is that it?
Sanjay Upadhyay: Yes, you are right.
Maulik Mehta: No, no, no. Phenol, you can expect by and large around this. So, I would not look at a quarter -on-quarter improvement. Volume will increase. The percentage will remain around this plus 1%, minus 1% kind of thing.
Moderator: I now hand the conference over to the management for closing comments.
Sanjay Upadhyay: Thank you all for joining this conference call of Deepak Nitrite. In case any further clarifications are required, our invest or relations team under Mr. Nanda will be glad to reply to you all. Wishing all of you a very Happy Diwali, a very happy festive season. Stay fine, stay healthy.
Maulik Mehta: Stay safe, and please enjoy the time with your loved ones. Thank you and have a great year.

Call: Feb 2024

DNL/138/BSE/9 52/2024
February 2 1, 2024

Department of Corporate Services
BSE Limited
Phiroje Jeejeebhoy Towers
Dalal Street
MUMBAI – 400 001

Dear Sir,

Scrip Code: 506401

Sub: Submission of earnings conference call Transcript

We enclose herewith the transcript of the earnings conference call of the Q3 & 9M FY 2024 held on February 15, 2024 and the same is also available on the website of the Company at the weblink https://www.godeepak.com/financial -result/ .

Please take the same on your record.

Thanking you.

Yours faithfully,
For DEEPAK NITRITE LIMITED

ARVIND BAJPAI
Company Secretary

Encl.: as above

Deepak Nitrite Limited
Q3 & 9M FY24 Earnings Conference Call

February 15, 2024

MANAGEMENT : MR. MAULIK MEHTA – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER – DEEPAK NITRITE LIMITED
MR. SANJAY UPADHYAY – DIRECTOR , FINANCE AND GROUP CHIEF FINANCIAL OFFICER – DEEPAK NITRITE LIMITED
MR. SOMSEKHAR NANDA – CHIEF FINANCIAL OFFICER – DEEPAK NITRITE LIMITED

MODERATOR : MR. RANJIT CIRUMALLA – IIFL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Deepak Nitrite Limited's Q3 & 9M FY24 Earnings Conference Call hosted by IIFL Securities Limited.
As a reminder, all participant lines will be in listen only mode, and there will be an opportunity for you to ask question after the presentation concludes. Please note that this conference is being recorded.
At the outset, I would like to clarify that certain statements made or discussed on the conference call today may be forward-looking in nature and a disclaimer to this effect has been included in the investor communication shared with you earlier.
I now hand the conference over to Mr. Ranjit Cirumalla from IIFL Securities Limited. Please go ahead. Thank you.
Ranjit Cirumalla: Good afternoon everyone and thank you for joining us on Deepak Nitrite's Q3 & 9M FY24 Earnings Conference Call.
Today, we have with us Mr. Maulik Mehta – Executive Director and CEO, Mr. Sanjay Upadhyay – Director (Finance) and Group CFO, and Mr. Somsekhar Nanda – CFO of Deepak Nitrite Limited. We will begin the call with opening remarks from the Management Team followed by an interactive Q&A session.
To begin with, Mr. Maulik Mehta will share views on the operating performance and the growth plans of the Company, followed by Mr. Sanjay Upadhyay, who will take us through the financial and segmental performance.
I now invite Mr. Mehta to share his opening comments. Thank you, and over to you sir.
Maulik Mehta: Good afternoon everybody. Thank you for taking the time out to join our Earnings Call. Our results documents were shared with you earlier, and I hope you have had the opportunity to glance through them. I will now walk you through the operational highlights and strategic action during the third quarter and nine months of Financial Year 2023-24. Mr. Upadhyay will then present you with the financial overview during the period under review. Following that, we will open up the forum for a Q&A session.
The Global chemical industry continued to witness adverse conditions in the third quarter also. A combination of uneven economic growth, sustained inflationary pressures and present interest rate regime have caused fears of recessionary conditions in leading developed economy. Geo-political tensions have added to the cost of doing business including stretched cash conversion cycle, accompanied by the cost optimization focus in many sectors. The resulting global consumption trends have been adversely impacted so far. And the flow through impact to the

chemical sector has meant that there was persistent softness in demand from certain regions as well as certain segments.
Our customers are responding to these challenges by re-evaluating the requirements, tightening their inventory levels, and negotiating for the best possible price. Amidst this, we have witnessed Chinese suppliers continue to undertake aggressive steps to destock the inventory of intermediates that have been building up.
How have we responded to this perfect storm? Firstly, we focused on optimizing our assets and driving efficiencies to enhance competitiveness. Various plants have been debottlenecked. Moving forward, Greenfield capacities will supplement with order growth where Brownfield expansion falls short.
Secondly, we have leveraged our brand equity and market position to prioritize wallet share and reliable supplies to our key strategic relationships. The improved production volumes need to be placed with customers and we have reported increased volume-led growth this quarter.
Thirdly, we continue to evaluate areas for process efficiency and cost optimization. These initiatives have provided savings in areas such as yield enhancement, reduction in power and fuel costs as well as a reduction in CO_2 emissions.
Deepak's broad product portf

olio and versatile plant capability has allowed the Company to focus on driving volume led growth in certain pockets, which have enabled it to counterbalance subdued demand sentiment in other parts of the portfolio. As a result, this has led to a 13% quarter-on-quarter increase in topline, with provisions made for further improvement as the operating environment improves. The robust growth in the Phenolics segment, driven both by volume gains and improved realization has been a key driver for the accretive growth. Supported by focused initiatives to enhance operating efficiency and debottlenecking via software and hardware.
In terms of segmental performance, advanced intermediates have reflected subdued demand recovery in certain industries, such as agro chemicals, textiles, dyes, and pigments, while other end applications like construction, infrastructure, and homecare, continue to show healthy demand. Mixed sentiment in end user industries influenced by cautious buying behavior, and resilient petrochemical linked raw material prices have led us to prioritize wallet share. Several

key intermediates recorded the highest ever quarterly sales and production following the commissioning of opex initiatives.
While prices of some key inputs have decreased, others which are petrochemical linked remain firm due to low operating rates at refineries plus war premiums on crude. We anticipate that the timing of backward integration and Brownfield capacity expansion will align with a more secular demand improvement going forward.

In our Phenolics business, we delivered a solid performance on the back of improving plant efficiency and healthy sales volume. Additionally, the implementation of advanced process control and favorable weather conditions has facilitated record production figures of Phenol and Cumene this quarter, elevating average utilization to a new benchmark.
Meanwhile, our ongoing projects such as PhotoHalogenation , High Pressure Fluorination, acid units and others are progressing well and are expected to be commissioned as planned. The operation and commissioning team are actively involved in preparing for the system handover of the high-pressure fluorination and Photochlorination project, with commissioning being anticipated within this current quarter. Regarding the acid unit, construction and equipment erection activities are at peak with most equipment deliveries completed. Other expansion projects such as MIBK, MIBC and Hydrogenation amongst others are also taking shape and are on track for commissioning as per plan. The polycarbonate compounding project is steadily progressing as well. Customers have accepted and appreciated product quality as delivered by Deepak.
In notable developments, we signed a memorandum of understanding worth Rs. 9,000 crore on January 31st, 2024, this adds to the previous MOU worth Rs. 5,000 crore on May 23, 2023, aggregating to almost Rs. 14,000 crore. Projects covered by this investment of about Rs. 9,000 crore will be completed by 2027. The projects of all the investments that have been announced will be completed by 2027. And the focus for this recent announcement will be on manufacturing three new products, Polycarbonate Resins, Methyl Methacrylate (MMA)/ Poly Methyl Methacrylate (PMMA) Resins and compounds as well as Aniline.
Additionally, we have signed a term sheet with Petronet LNG, which is based in Dahej, which de-risks our growth trajectory by ensuring critical raw material availability via pipeline. We are set to uptake 250 KTPA propylene and 11 KTPA of hydrogen over a 15-year period from the initial delivery. This long-term agreement provides Deepak with assured access to feedstock for production processes at a competitive cost. Further, considering the supply will be through pipeline, not only will it be safe and cost effective, but it will have nil environmental imp

act as
compared to road and rail transport.
In conclusion, our steadfast focus for enhancing operational excellence, optimizing assets and solid project execution has allowed us to set new production benchmarks in several key intermediates. India's robust economic growth presents opportunities for the chemical industry at a global stage, and we are excited about not only our growth potential, but the opportunity for Deepak to be an anchor for tomorrow's India growth potential. Through strategic and substantial investments in new and Brownfield projects including those in the Phenol Acetone value chain that enable upstream and downstream integration. Our expanded capacities will enable us to serve not only the baseline growth as envisaged, but also our production migration from high cost region. In fact, our long-term plan envisages in creating one of the most integrated chemical and petrochemical complexes globally, which is sure to unlock new frontiers for Deepak and India's burgeoning chemical industry. We believe our ability to capitalize on these opportunities,

ensuring growth, value maximization and serving the nation sustainably will benefit all stakeholders.
I would now like to hand the call over to Mr. Sanjay Upadhyay, who will address this forum and take you through the financial performance and key updates during the period.
Sanjay Upadhyay: Thank you, Maulik, and good afternoon everyone. Thank you for joining us on this call today. I will walk you through the highlights of the Financial Results for the Quarter and Nine Months ended December 31, 2023.
Deepak Nitrite has demonstrated stable and resilient performance this quarter in the face of challenging market conditions prevailing in the global chemical industry during the third quarter, and in fact throughout the year. We have been consistently communicating about the increased level of volatility in the industry warranting faster response times and sharper strategic initiative to capture key parts of the value chain. We have demonstrated this during the quarter as the

Company successfully expanded its market share in all businesses and boosted its revenue across various business adapters. By maintaining consistent and reliable supplies, Deepak Nitrite has upheld its long-standing relationships with the customers resulting in increased volumes across key product categories and balanced mix of domestic and export sales. Consequently, the Company's operations will remain highly efficient in capital utilization reflected in an enhanced return on capital employed of 26% in Q3 FY24, continuing its streak of robust performance over the past 12 quarters.
Now coming to the financial performance in Q3 FY24, on a consolidated basis revenue came in at Rs. 2,023 crores as compared to Rs. 1,795 crores in Q2 FY24. On a quarter-on-quarter EBITDA came in at Rs. 318 crores from Rs. 319 crores almost flat in Q2. EBITDA margin was stable at 16% despite the pressure of higher raw material cost and other utilities. PAT stood at Rs. 202 crores from Rs. 205 crores in Q2. Profitability aligned with the operational performance of the Company was impacted due to lower realization and higher prices of the raw material. In the ensuing quarters, the circumstances are anticipated to improve. In nine months FY24 on a consolidated basis, revenues were at lower by 7% to Rs. 5,613 crores as compared to Rs. 6,046 crores in nine months FY23. EBITDA stood at Rs. 879 crores in nine months FY24 compared to Rs. 976 crores in nine months FY23. Margins were stable of 16% in FY24, PAT came at Rs. 557 crores as against Rs. 618 crores.
On the operating front, our domestic business revenue stood at Rs. 1,572 crores and Rs. 4,474 crores in Q3 and nine months respectively. Export revenues are Rs. 451 crores in Q3 and Rs. 1,134 in nine months. On a consolidated basis, domestic export stood at 78% and 22

%.
Now moving to the segmental performance, in the advanced intermediate segment, revenue was flat at Rs. 685 crores in Q3 FY24 versus Rs. 684 crores in Q2 FY24. While EBITDA stood at Rs. 123 crores during the quarter under review. Nine months FY24 revenue came in at Rs. 2,084 crores and EBITDA came in at Rs. 390 crores, translating into a margin of 19% despite the

current environmental challenging circumstances. Deepak Nitrite has also adjusted product pricing to offset rising input costs resulting in maintaining margin performance compared to the previous period, signaling a proactive approach amidst market challenges.
Deepak Phenolics delivered an encouraging performance, grew by 20% to Rs. 1,355 crores in Q3 FY24 versus Rs. 1124 crores in Q2. While EBITDA stood at Rs. 201 crores in EBITDA margin came in at 15% in the quarter. During the nine months, revenue de-grew by 6% to Rs. 3,558 crores and EBIDTA Rs. 497 crores translating into a margin of 14%.
Last year on the balance sheet side, the Company's financial significantly enhanced and the Company continues to maintain a zero-debt position with a net worth of Rs. 4,543 crores on a consolidated basis. And Rs. 2,839 crores of standalone, thereby strengthening its balance sheet for the future expansion.
Additionally DNL has made a cumulative investment of Rs. 656 in Deepak Chem Tech Limited, its wholly owned subsidiary, with Rs. 56 crores invested in Q3 FY24. DPL prepaid its remaining balance term loan during Q3 to become debt free following the footsteps of DNL which has been debt free for several quarters now. The Group as a whole, enjoys liquid investment of Rs. 386 crore. During the quarter, DNL has invested Rs. 17 crores in Deepak Oman Industries to acquire 32% stake. The treasury gains for the quarter stands at Rs. 5.7 crores in Q3 FY24 and Rs. 22 crores in nine months of FY24.
The Group has undertaken many digitalization initiatives one of the key initiatives is the successfully implementation of SAP along with Customer Relationship Management, Ariba and logistics tools from November 2023, DCTL and DNL are set to follow sequentially.
Furthermore, the Company has implemented measures to enhance operational efficiencies through process optimization, yield improvements and cost reductions in power and water consumption. Our project pipeline remains robust and investment of around Rs. 2,000 crores are expected to be commissioned between January to December 2024. And will steadily add to the capacity, or to backward integration providing impetus to the growth.
With that, I would now request the moderator to open the forum for question and answer session. Thank you.
Moderator: Thank you very much. We will now begin the question-and-answer session.
We have our first question from the line of Nirav Jamudia from Anvil Research.
Nirav Jamudia: So, I have two questions. So, one on the standalone, and then on the Phenolics. Sir, if you can share for Q3 and 9M FY24 what sort of volume growth we have witnessed in the standalone business. And along with if you can just share your thoughts on how much of our current capacity like including those debottleneck is currently utilized and has a scope for further utilization?

Sanjay Upadhyay: Nirav, nine months our volume growth is in the range of say 17% to 20%. And as regards capacity, the capacity, we are using around 80% to 85%, some plants are having surplus capacities. But then it's not very difficult for us to debottleneck and go ahead, in any case capacity is just a word, let's not get bogged down by how much capacity is empty and all. This year we have demonstrated that one of the plants we have spent little amount and then produce additional product which was never there in our budget or never in our pipeline, the sudden demand came, and we could produce that. So, that way our plants are flexible, multi-product plants and the team is capable of delivering. But you can take around 80% to 85% capacity utilization for the nine months.

Maulik Mehta: I'll just add one thing that, our debottlenecking exercises have been a mix of hardware as well as software not only in Phenolics, which we have also mentioned, also in advanced intermediates. This is also coming on the back of lesson that we learned about two years ago, when we realized that we were unable to grow our wallet share because in many places our capacity was constrained. Now we have shown with a judicious mix of our opex as well as increased assets, we have ensured that our capacity is more than the current increased volume that we are pushing out into the market. So, wherever possible, we have created headroom. As, I mentioned in my initial remarks, and where we feel like, by and large we will not be able to go much further here. We have also initiated land for large scale capex which should be Greenfield for example, Oman plant.

Nirav Jamudia: Sir, let's say if we consider the backward integration projects what you mentioned, the nitric acid part. And coupled with the headroom of the capacities available with us in terms of the debottleneck and some pockets where it is currently underutilized. What's a fair assessment in terms of our quarterly EBITDA again moving to those ranges of Rs. 150 crores, which we used to do on a quarterly basis in FY23, because this quarter if we see we were at Rs. 112 crores. So, if you can just help us like what will be the combination of volume growth, as well as the benefits of backward integration facilities can help us to take that level of run rate in which of the quarters of FY25.

Maulik Mehta: So, rather than getting into quarter number, what I can share is that both of these will have their own compounding value that they can give. And all of this depends significantly in terms of the improvement in the off take or the products that we make, over this period of time we have in that sense, gone through this baptizing of fire and by increasing our wallet share, at the expense of competition, so when their wallet share reduces, their operating costs also increases as our debottlenecking as well as backward integration commission it will allow us to maximize on this position that we have worked diligently to take. I won't give you an answer with a quarter, but I can tell you that, one way or another this is the direction that it will trend at, whatever numbers you are giving, either add a quarter or subtract a quarter. But when these plants come online, this is the cumulative.

Nirav Jamudia: Sir any expected timelines which you can share when the nitric acid plant would be commissioned?

Maulik Mehta: I can just share that we have already announced by and large every quarter there will be some plant, or another being commissioned, some with upstream, some with downstream, some is in AI, some is in Phenolics, so rest assured we will see good value over a period of time being increased to the top line and the bottom line.

Nirav Jimudia: Got it sir. And Maulik just one question to what you mentioned like, agrochemicals, textiles dyes and pigments have been showing subdued growth. So, if you can just help us know how much of our standalone business would be or standalone revenue would be coming from these four broad segments currently?

Maulik Mehta: It would be a considerable amount, but what I was sharing was largely the situation that was at play into Q3, agrochemicals especially the products that we give to multinationals, they in some cases, they have had difficult years in CY2023 and as they close their books, they would also want to move forward with a minimum overhang in terms of inventory and working capital. So, Q4 is going to be incrementally better than Q3 in terms of volume. Now, in some products there is continuing to be softness in terms of demand in some places, that is largely because of the specific customers, where their balance sheets also maybe stretched. In other places, we are finding that there is a fragile improvement. Now for products where Deepak is into the dyes, the textile intermediate there also we are seeing certainly there is an improvement in demand, if I compare Q4 and Q3. But all these things at the end of the day are sequential in nature. So, I'm

comparing it not to the last year, but to the previous quarter.
Nirav Jamudia: Got it. Sir second question is on the Phenols business, like based on the reported volumes, what we have shown in the presentation, our opex comes to closer to $185 - $190 if we do some rough math, so does it include the benefit of the 29 megawatt captive power plant which have been set up and if yes, going forward is there any further scope of reduction in our operating costs. Along with it, if you can just share some list of initiatives which we have taken in the Phenolics business over the last one or two years to bring down our operating costs and improve the efficiency levels?
Sanjay Upadhyay: Nirav, several measures are taken, this performance will not come if you are just relying on the market volatility. We must appreciate that by increasing the capacity itself, the overhead cost per tonne goes down significantly, that's the major, major advantage these people are making, and it increases the efficiency of the plant. On top of it, there are logistical improvements what we have done, increasing the size of containers, which will reduce, which will of course reduce the cost as well as ESG is beneficial, we have taken care of every advance process control management system, which is also controlling my processes and then improving the yield and production. And then valorization of products that is also helping us in a big way. So, these efforts are on, we don’t stop at this, it continues. So, various measures and we have a very, very capable team of people handling this. So, don't worry about this, these people efficiencies, and the production of the phenol is absolutely I would say in well control by the team and all improvement whatever possible people are doing there on all the fronts.

Maulik Mehta: Including sustainability, we are continuing to reduce our carbon footprint on a kg of production. And keep in mind that we also in many cases have to take up the cost of logistics of getting the raw material, as well as in some cases giving the final product. So, when we look at improvements, we look at net of.
Nirav Jamudia: Sir just a small clarification here. So, does the benefit of the 29 megawatts fully capture in this quarter, or some benefit is yet to yield here?
Sanjay Upadhyay: The power plant benefit is fully captured.
Moderator: We have our next question from the line of Gagan Deep from Nvest Analytics Advisory LLP.
Gagan Deep: So, as you know, there has been a demand slowdown at a global level despite that, you people have sustained the performance in terms of top line and bottom line. So, two parts of question on this, whether the inventory destocking by the Chinese players is over and can we expect the things getting normalizing in FY25. And secondly, how do you see the chemical prices, specifically the Phenol and Acetones shaping up in the near term followed by in FY25?
Maulik Mehta: Okay. First of all, this concept about destocking, I emphasized it last time, I will just re-emphasize it again. Destocking essentially means that for whatever reason, a manufacturer believes that his cost of manufacturing tomorrow for whatever reason, may be a little bit, either the same or more and hence he is choosing to manufacture today, but if then try to push it out so that he can manufacture tomorrow. Now at the same time, the h

eadwind is the customer's ability to take, and the customer’s ability to take is linked to his ability to sell. So, destocking is not a situation which is something that happens in a transient manner. It is the rate of destocking which is the question, and the rate of destocking obviously has to slow down because the inventory level themselves get depleted as destocking is accelerated right now. So, over a period of time, you will see a slowdown in the destocking where the demand and the supply by and large start to come to a parity. Generally, this will happen over the next quarter, couple of quarters depending on the end segment. And in places where there may be geopolitical uncertainty or economic uncertainty, interest rate uncertainty, those will all play some role or another in either convincing a customer to choose to buy more regardless of whether they need it or not or buy less to maintain a low balance sheet overnight. Now, when it comes to products like phenol and acetone, these are manufactured as well as consumed in large volume. And they are made by players all over the world. And there's a significant part of it, which is also the freight component, a significant part of it which is also the ability to hold inventory. So, moving forward, it's not going to be about whether phenol price acetone prices go up or down, it's going to be about how they move in relation to their upstream and downstream price. So, when we look at our performance, it is about whether we can manage the product pricing to continue to give a sustainable margin over material. I don't care if benzene prices go up and propylene price prices go up, as long as I am able to pass it on. What I care about is, that I am focused on volume improvement, quality improvement and my domestic consumption base is continuing to show robust growth in demand, and I am there cost competitively manufacturing and supplying them

the quality they need. So, I am reasonably satisfied as long as my plant is always able to ensure whatever is being required is being manufactured.
Moderator: We have our next question from the line of Abhijit Akella from Kotak Securities.
Abhijit Akella: Sir, just on the Rs. 9,000 crore MoU signed with the Gujarat Government. There are two sets of new products mentioned within that which is the MMA and PMMA and Aniline. So, is it possible to share some further color around the breakdown of capex between these, the capacities that we plan to set up and your revenue and margin expectations that will be helpful. Thank you.
Maulik Mehta: So, Abhijit I don't think we need to go into the breakup of the capex because there will be lots of scope for optimization in this in terms of one whether it is with regards to land or utilizing certain assets as allocations and things like that, like boilers and things like this. Now, the reason that I feel confident, and by these are not just two products, MMA and PMMA are made using feedstock's which we are already very comfortable using feedstocks such as acetone, ammonia, etc. And what is critical here to keep in mind Abhijit, is that it will also involve a cyanation block of significant capacity. Now, this will be at a world scale as usual, when it comes to Deepak and this will be significant fundamental asset which will then be available to the Indian ecosystem, obviously for Deepak's Specialty Chemical needs and all that moving forward. So, Cyanation today generally is not performed in India maybe with some small capacity here or there. Similarly, when you are looking at polycarbonate, you are looking at process competencies, which will then be put here at a world scale, and it will allow those processes whether it is like oscillation or melt to be used for various different Specialty Chemical applications. So, today if I was to hypothetically say that I will have 100 tonnes requirement for Cy

anation, I will invest in 110 tonne capacity, 120 tonne capacity, this will allow me to get into niche Specialty molecules as well as a large commodity play and most of these including the ones that we have announced like polycarbonate, this is a resin which will then go downstream into the compounding. So, the margins of all of these will be either equal to or in an accretive manner better than what you are currently seeing in Deepak Phenolics. So, on a net basis or on a consolidated basis you will see a blended EBITDA which sits comfortably between Deepak Nitrite, normalized situation where it is upstream and downstream integration as well as Deepak Phenolics EBITDA.
Abhijit Akella: Understand, thank you. And regarding the financing of these projects, will it primarily be debt financed. And if so, is there a sort of peak debt to EBITDA number that you have in mind going forward?
Sanjay Upadhyay: Abhijit, we will come back to you, on this when we crystallize our plan and thoughts, it's too premature to tell you today, going to only thing one must know that we are having a strong zero debt company and Rs. 5,000 crores networth line. So there is enough room for debt also and enough room for equity also. There is no issue as such on financing because the financing also depends on the requirements outcomes, the cash flows, year one, year two, year three, so we have time enough to run our things in a most beneficial way to all.

Abhijit Akella: One last thing is just on the Rs. 2,000 crores of new investments that are being commissioned during CY24. So, this would include all the projects listed on slide number #10. So, polycarbonate compounding, fluorination acid, MIBK, all these basically getting commissioned during CY24?
Sanjay Upadhyay: Yes, by December 2024 we are expecting.
Maulik Mehta: So, there will be one Specialty chemical which will reach that a little bit by in a month or two months, now of course we are still trying to see how we can optimize that.
Abhijit Akella: Right. FY26, you would expect all these projects to pay off optimally or it would be a slightly graded kind of ramp up for some of these?
Maulik Mehta: They will all go into production ramp up as we have normally done, our plan for production ramp up, which includes safety, while it also includes optimizing as quickly as possible. Asking us whether we will have a payback by 2026 is that what you are asking us?
Abhijit Akella: Just sort of asking about the optimal utilization, can we sort of expect most of these will be at optimal levels by FY26?
Sanjay Upadhyay: Yes, no doubt on that.
Maulik Mehta: We have accelerated ramp up; safety is the primary focus. So, if safety is kept in place, the ramp up plan in terms of customer requirements, they are saying faster, better.
Sanjay Upadhyay: Yes, it will be optimal utilized no issues on that.
Moderator: We have our next question from line of Vivek Rajamani from Morgan Stanley.
Vivek Rajamani: Two questions from me. Firstly sir, on the advanced intermediates side, you have mentioned to the earlier participants that, Q4 you think it's going to be better from volume perspective from Q3. My question was looking at the recovery from an FY25 standpoint, do you think it's going

to be more of the case that you are seeing sequential recovery every quarter going into the next
year or do you still think given, what you are seeing in the industry, it's still a situation where,
you see a recovery one quarter, and then maybe a step back. Just wanted to get your thoughts
more in terms of the pace and trajectory of recovery going into FY25. That was the first question.
And the second one was in Phenolics. Just given the debottlenecking and all the initiatives that
you have done and the industry spreads, I would have thought that the sequential improvement
would have been much higher on the Phenolics

side. Just wanted to clarify if there was
something different that was happening in this quarter. Thank you so much.
Maulik Mehta: Thanks Vivek. I will just answer your second question first, I would be interested in seeing the
data that gave you an indication that the improvement should be significantly better. From every

data point that we see that Q3 has been strong performance for Phenolics given the current
macro-economic client, given the fact that there is not a single plant in pretty much in most of
the world, which is into merchant sales of phenol, which is operating at anywhere close to 140%
- 150% like Deepak Phenolics is, I would be curious to understand the data, and it would help
me also make better estimations in the future. Nonetheless, what we can share is that the team
on the ground and the technical team continues to find further headroom for improvement
whether it is on capacity or efficiency that continues, and we encourage the team to be creative
in looking for opportunity for growth.
Now with regards to the first question, whether the recovery will be consistent and secular in
nature. This is difficult to say from where we are looking right now. It does seem like it, but it
is a fragile recovery. Geopolitical economic shock seems to have become a norm over the last
few years. And there is already a lot of stuff which is priced in, but escalation in any of these
things remains to be seen as possible, Black Swan. We believe that more than anything else,
India will continue to be a remarkably bright arc in the middle of all this uncertainty. And hence,
Indian consumers and Indian customers will be the most benefited by having domestic suppliers
of key raw materials, such as Deepak. So, we see how the improvement on a global scale pan
out. But rest assured that, India will always be a couple of 100 bps ahead of the rest of the world
in terms of rate of recovery.
Vivek Rajamani: Just very clear. Thank you so much for the answers. Just one book keeping question from my
side. What would be the current phenol nameplate capacity after all your debottlenecking that
you have done so far?
Maulik Mehta: We have forgotten that it used to be 200,000 tonnes when we commissioned it in 2018, I don't
think anyone has asked that again.
Moderator: We have our next question from line of Rohit Nagraj from Centrum Broking.
Rohit Nagraj: Sir, my first question is on the finance front. So, have we seen any new capacities coming in
China, and maybe Korea and other parts of the world. And how do we see the spread going
ahead, will they continue to improve and stabilize here or probably FY25 will start qualifying
when we will start, whether they will be able to go up. Thank you.
Maulik Mehta: There is lots of capacity that has been commissioned over the last year, especially in China and
the Far East. And that was expected in any case. Now, with regards to spread again, difficult
question to answer in the current situation, you see what has happened is that the Red Sea as
well as what is happening currently with regards to the Panama Canal, has almost split the world
into two. So, freight rates and extended cash conversion cycles are forcing customers to make
very different kinds of buying decisions compared to what we would make if it was only linked
to demand consumption. Now, keeping this in mind, keeping also in mind that Asia is the world's
largest manufacturer of petrochemical, spreads is a very difficult point to put in place, because
it is not just about the spread between phenol and benzene or propylene. But it is also about

whether the product is in what is called contango or backwardation. So, we buy our benzene in
a manner in which it is N minus one and we sell our phenol at current market rates. This gives
us the delta of about a month, month, a

nd a half, where we have that breathing room and it gives
us the opportunity to optimize our pricing policies with regards to feedstock availability. This
visibility is key for us to make the right decisions when it comes to margin over material.
Moving forward, the spread may increase, or decrease based on whether it becomes easier to
move material around the world like it was a year ago or a couple of years ago. If there continue
to remain such obstacles like what is happening right now around the Suez Canal or around the

Panama Canal, then that will change both seller and buyer behavior. Right now, with the current situation with crude prices as well as the geopolitical premium. There's a lot of refineries which have gone into voluntary lower run rate or voluntary shutdown, these will all come back and that will allow a significant improvement in the flow of feedstocks such as benzene. Now how this translates into phenol, it is also a matter of how it is consumed and how customers stock it. We will see, it's not a good time to crystal ball gaze and give you a perspective of the next few quarters. But what we are ensuring we are doing is maintaining a broad purchasing scope, so we don't depend on one or two suppliers, we buy from as many suppliers as possible, we tighten our purchasing rates because we are very large consumers. And we are also exactly where we need to be in terms of supplying our customers who don't want to be depending on a very long credit cycle to get there, in phenol acetone or IPA. And moving forward over the next six, eight months we will also become significant consumers of our own product, we have to ensure that our debottleneck capacity is allowing us to maintain our wallet share despite an internal consumption story also.

Rohit Nagraj: Sure, sir that’s helpful. Sir second question in terms of the total Rs. 14,000 crores of investment into Gujarat, just to get a perspective in terms of whether the project will come all together, or maybe some projects will come in 2026 and the rest of them will come in 2027?

Maulik Mehta: So, we have clarified that about Rs. 2,000 crore out of that is in advance phases of execution and will be commissioned over a period of time, over the next few quarters. The remainder of that we are working along with technology providers to optimize which comes first, which comes second, but it's clear what needs to happen by the end of 2027. So, look at it from the perspective of knowing that for a company like Deepak, 2027 end is a very clear perspective, we have to make sure that we get our things right for which we have a good internal strength, financial strength as well as technical strength. So, if you look backwards from 2027, you will see a very clear picture emerge, well it almost becomes irrelevant, whether things are bundled together or not. What will also add a fillip to this is that one of these capacities, as we mentioned earlier, Phenol-2 or Cyanation of various processes for making the polycarbonate and the compounding come into play, it gives us a wide constellation of applications for this Tech Chem industry, which we are also keeping some amount of dry gunpowder on the side in terms of investment availability. So, 2027, we will see a marked base increase for Deepak both in the quote, unquote commodity chemicals which will be downstream with the current play, as well as what one

would qualify as Specialty Chemicals, which will be multistep including these processes, which are all not exactly for almost for the first time in India.

Rohit Nagraj: Just one last clarification, given that we have operated the Phenol plant at close to about 88,000 tonnes of capacity during this quarter. If I just calculate on an annual basis for four quarters, the capacity comes to about 350,000 tonnes would that calculation be right. Thank you.

Sanjay Upadhyay: Yes, that calculation is right. But you can't multiply because each quarter we saw some changes in quarter. But what you are saying is right, it is around that only.

Moderator: We have our next question from line of Pavnish Kumar from Ashwani Cars Pvt. Ltd.

Pavnish Kumar: So, first question is that, with the kind of projects that we have planned in upcoming two, three years, what kind of operating margins are we looking at like in last quarter we did around 15% - 15.5% operating margins. What kind of operating margins are we looking at with all the capacities coming up and running?

Sanjay Upadhyay: See let’s understand one thing, whatever announcements we have made, as mentioned by our Chairman, Deepak will be the most integrated petrochemical plant, maybe, perhaps in the world. We will add certainly to whatever current margins you are seeing, because ultimately, we are going downstream in the product. We are going upstream also in the product. So, combination of all these things, and it puts Deepak in a different horizon altogether, so when we talk of this Rs. 9,000 crore announcement, I would answer your financial numbers, the payback should be or will be in the range of say five years, but then this depends on various uncertainty in the market, and this is the calculation, roughly one should expect 2% - 3% higher than what normal Phenol margin is, in all these projects so, you can calculate accordingly.

Pavnish Kumar: Okay. Second, I wanted to know in the last annual report there was a mention of a QIP that was planned for Deepak Nitrite?

Sanjay Upadhyay: So, we will come back to you on all these things, we will have to finance Rs. 14,000 crores project out of that Rs. 2,000 project done. But, say Rs. 10,000 crores capex is there, so we will get back, we have to sit and work it out because we are having enough room for date, we have enough cash available, we are generating this is what we are talking of 2026, hence on depending on the cash flow requirement every year, as I mentioned in my earlier remarks also, this is too early to answer your question, how are we going to, QIP will happen, and all this. We will certainly come back to you once we finalize our thought process, I don’t want to jump in saying

something it's very easy to say for me to say debt and equity will happen and interest accrual
will happen but let us work it out and then come back to you rather than just giving numbers or
figures.
Maulik Mehta: I just want to take this opportunity to answer your earlier question here. You need to think about,
I would like you really to think about Deepak as a balanced portfolios of equities and bonds. We

like individual businesses that are counter cyclical by their natures. The most significant question
that you should be asking is, whether you believe in the fundamentals of the company.
Pavnish Kumar: Agreed sir. Just last question sir, we have made lots of announcements recently like Rs. 9,000
crores we have promised in Gujarat, then Rs. 5,000 crores we have also promised in Gujarat.
Then we have some project coming up in Oman also, just for the benefit of all the audiences can
you please summarize all the projects that we are planning in next four, five years?
Sanjay Upadhyay: Summarize you want to make us name the products?
Pavnish Kumar: The capex that we are doing in the next four, five years, can you just summarize all of them?
Maulik Mehta: We have announced that we are getting into Specialty chemicals, upstream integration including
hydrogenation, we are getting into a Greenfield expansion of phenol acetone, there will be
Bisphenol A which will be as a downstream of phenol and acetone as well as an upstream of
polycarbonate resin. We will also be making MMA, which as you noticed was a tongue twister
for me when I was discussing, that will then also go into making of poly MMA. We will also be
manufacturing

Aniline, which by the way will be what one would call high-grade Aniline. So,
just to be clear, it is not the average PU grade Aniline, but it is what you call an aramid grade
Aniline. You also will be looking at an investment in Oman, which we have announced, and we
are calling it a phase one announcement, because this will be for sodium nitrite and sodium
nitrate. We will also be putting up an investment for a world class research and development
center which is also by the way, progressing well and should see the light of day maybe by about
12 months from now. And over and above this, you have the infrastructure development which
will house all these projects because they will need utilities and other assets online as well. The
reason that we put up a separate project management company is to ensure a high degree of
governance because we will be doing multiple projects at the same time in multiple geographies.
And for what it's worth we do not make announcements about capex's incurred for
debottlenecking Brownfield expansion, and we also do not announce capex's if they are involved
in Specialty chemical products which will be delivered in Deepak basket as an additional to what
we are currently developing. Those are not mentioned, not included, and not discussed. These
large-scale projects, which we have announced, by and large these are all happening semi
concurrently and by our internal team, some of these will have external technology suppliers
who have demonstrated globally plants of a world scale capacity.
Moderator: We have our next question from the line of Mrunal from Axanoun Investment Management.
Mrunal: So, whatever the products that we are manufacturing, is there any anti-dumping duty on any of
the products?
Sanjay Upadhyay: No, not today.

Maulik Mehta: Currently, there is on Aniline. We are not manufacturing, okay, are you talking about existing
products?
Mrunal: Yes.
Maulik Mehta: No.
Moderator: We have our next question from the line of Chirag Shah from White Pine Investments.
Chirag Shah: There are two questions very, very basic ones. If I compare FY22 as a base and currently, if you
can annualize nine months if required or how is the volume growth that we have seen in
Phenolics and other than Phenolics in a very simple way if I have to ask you? For our business
what has been the volume growth ballpark if you can indicate?
Maulik Mehta: So, across Deepak Nitrite standalone and Phenolics there has been a volume growth, you can
assume that it is somewhere between 15% to 17%.
Sanjay Upadhyay: Around 17% to 20%.
Chirag Shah: Per annum basis or from point to point?
Maulik Mehta: You asked from a base number?
Chirag Shah: Yes, for point to point, okay. And it is similar for both or Phenolics would have a higher and
other would have lower?
Maulik Mehta: So, gross volume for Phenolics is always higher.
Chirag Shah: Okay. And the second question is, now you have partly answered, historically you always used

to maintain that our EBITDA margin guidance, broadly should be 16% to 20%, based on business cycle, product, mix, etc. Given the value addition that we are looking to do, and including downstream also in that, shouldn't this ballpark guidance actually show a significant uptick when the project stabilizes?
Sanjay Upadhyay: So, that's what I mentioned that yes, the guidance is right 16% to 20%. And with all this, because this is going further downstream and even somewhere it is upstream also, it should add to though it will not add to the top line if it is captive, but it should add 2% to 3% over current EBITDA margins.
Chirag Shah: So, it is right to look at 12 months out the project stabilization if you start a project today, you should see those benefits 12 months out that is the right way to look at it?
Maulik Mehta: No, it depends. Project stabilization is different for different

products. If you are using a
hazardous chemistry for example, you need to have a very flow scale up so that you can measure

the impact with regards to the internal equipment as well. If you are using assets which have generally a very robust manufacturing profile, you can scale up fast and in some cases the scale up is also contingent with regards to in-line with the customer's buying requirements. So, for example there are a couple of Specialty chemicals which we will be making, which will be high value but the customer himself or herself requires about six months with regards to ensuring that the product is remaining stable with regards to shelf life. So, these are depending on different products and different chemistries.
Chirag Shah: And last question is, you mentioned that for the new capex that you are doing, ballpark payback is five years. So, if I do a very basic math, it is ROCE dilutive as compared to what current ROCEs that we have, any thought on that side?
Sanjay Upadhyay: With the new capex versus today's ROCE, you are considering the depreciated assets. So, there is a big difference between the two. You can't compare today's situation with a new capex. After three or four years, whatever investments we are making once they start generating profit, you will have same ROCE but not in our initial phase.
Chirag Shah: That's for this, because I was wondering five-year payback generally, when you say a five year payback, the first two year payback ROCEs would be significantly lower and then it will scale up. So, that's why I was trying to understand how we are looking at this five-year payback number.
Sanjay Upadhyay: Okay, I answered it, this is general ballpark number, some projects will have three years, some projects will have four years so we are talking of Rs. 14,000 crores investment.
Moderator: We have our next question from the line of Dhara Ganatra from ValueQuest Investment Advisors.
Dhara Ganatra: So, one of the largest Phenol manufacturers has shut its capacity. So, are we seeing any benefits coming in terms of volumes and realization, and our wallet share increasing. And when is the resale capacity of Phenol coming in and what is the kind of timeline?
Sanjay Upadhyay: So, we are seeing all that already here, we are able to sell such a volume that itself shows that.
Maulik Mehta: If you are referring to the recent shutdown in Germany?
Dhara Ganatra: Yes.
Maulik Mehta: That is a force majeure, it did not shut down like how you have heard about in other places in Europe, which is a permanent closure. This is a force majeure, now there is it starts off with some level of sentimental buying, we don't comment on that. Sometimes it will be there, sometimes it will be more of desperation in terms of volume, pricing, those are all parts of regular business. I will not comment about the impact of any of its force majeure. And we will see how

long it pans out because they themselves are not to the best of my knowledge declared how much time it will take in line with force majeure. We remain capable of supplying increased volumes if there is a requirement and meanwhile, we are focused on ensuring that.
Dhara Ganatra: Okay. And if you can share the timeline for the Greenfield Phenol expansion?
Maulik Mehta: Before 2027, it should be commissioned, before end of 2027 that is when we will be consuming this increased amount of propylene.
Dhara Ganatra: And what would be the size?
Maulik Mehta: It can happen at that time only.
Dhara Ganatra: Okay. And the capacity would be?
Maulik Mehta: Similar by and large, maybe it will be a little bit more adventurous with regards to the capacity but assume it will be something similar to what we have currently.
Dhara Ganatra: Okay. And one book keeping question as you can share the Phenol volu

me number in the last
three quarters that you have done?
Maulik Mehta: Sale volume, production what?
Dhara Ganatra: Sales, what you have done in the last three quarters if we can get that number?
Sanjay Upadhyay: I don't think we should share with you the numbers on the call.
Maulik Mehta: What is the relevance, because these numbers are inclusive of acetone of IPA, of AMF, whatever I don't know.
Dhara Ganatra: I just wanted to see on a standalone basis how much of the growth is led by volume?
Maulik Mehta: We have already mentioned that there has been 13% revenue growth, that has been volume led growth.
Sanjay Upadhyay: Total volume growth is around 17% to 20% in the cumulative nine months, that's what we have seen now, we don't want to give you details of each product and that will not be right for us.
Moderator: We have our next question from the line of Garvit Goyal from Nvest Analytics Advisory LLP.
Garvit Goyal: Just one question on the PhotoHalogenation and chlorination part. So, how is ramp-up going to happen and what contribution do you expect in FY25?

Maulik Mehta: So, with regards to the ramp up, the ramp up will be in a structured manner, the requirement is already there, partially it will be consumed internally and partially the production will be sold externally. But the same assets will also be used to manufacture the product. And that is why the assets have been what we call up-engineered. So, PhotoHalogenation product will also be sold out. The high-pressure chlorination will be downstream from the halogenation. That will also have further downstream flowing into both Deepak Nitrite's requirements, as well as our customers' requirements. On a blended basis, I would qualify that in the medium term. The margin profile is in one way similar to what you normally expect from Deepak.
Garvit Goyal: I was asking because of the contribution to top line.
Maulik Mehta: With regards to month-on-month simply because there are always new challenges, and you want to make sure that you are doing things safely first and then efficiently second.
Garvit Goyal: Yes, sir that I understand, can you share any number like what percent utilization do we expect in FY25?
Maulik Mehta: By the end of the second quarter, we should have very high utilization. Frankly speaking also just, I want to be very honest, I would say that when it comes to both of the processes. These are not easy, and these are also the first time that Deepak as a company is doing it, we are committed to doing it safely and responsibly. We also have the best talent in the country, who is going to help us, so how confidence is based on the confidence that our team has. But we are also humble enough to accept that this is a new chemistry for us. So, whatever it is we will, there on the side of caution, our people on the ground are our most valuable commodity.
Garvit Goyal: And sir what is the peak revenue do we expect from this chemistry?
Maulik Mehta: Difficult to answer, because some of these are going to be as I mentioned, products that Deepak itself will consume and sell. But some of these are also going to be used for co-development with our customers for fine chemicals. So, those will depend, the revenue coming in will depend on the kind of agreements that we have in place with our customers. Those are all covered by NDA. So, even though these are just a handful of assets, it's difficult to give you an answer because it's a blended product portfolio.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.
Sanjay Upadhyay: Thank you all for joining this call. In case any further clarification is required. Please get in touch with our IR team led by Mr. Somsekhar Nanada. Thank you once again.
Maulik Mehta: Thank you and stay healthy.

Call: May 2024

DNL/138/BSE/9 88/2024
May 27 , 2024

Department of Corporate Services
BSE Limited
Phiroje Jeejeebhoy Towers
Dalal Street
MUMBAI – 400 001

Dear Sir,

Scrip Code: 506401

Sub: Submission of earnings conference call Transcript

We enclose herewith the transcript of the earnings conference call of the Q 4 & FY 2024 held on May 22, 2024 and the same is also available on the website of the Company at the weblink https://www.godeepak.com/financial -result/ .

Please take the same on your record.

Thanking you.

Yours faithfully,
For DEEPAK NITRITE LIMITED

ARVIND BAJPAI
Company Secretary

Encl.: as above

Deepak Nitrite Limited
Q4 & FY24 Earnings Conference Call

May 2 2, 2024

MANAGEMENT : MR. MAULIK MEHTA – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER – DEEPAK NITRITE LIMITED
MR. SANJAY UPADHYAY – DIRECTOR , FINANCE AND GROUP CHIEF FINANCIAL OFFICER – DEEPAK NITRITE LIMITED
MR. SOMSEKHAR NANDA – CHIEF FINANCIAL OFFICER – DEEPAK NITRITE LIMITED

MODERATOR : MR. RANJIT CIRUMALLA – IIFL SECURITIES LIMITED

Moderator : Ladies and gentlemen , good day , and welcome to Deepak Nitrite's Q 4 & FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask question s after the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

At the outset, I would like to clarify that certain statements made or discussed on the conference call today may be forward -looking in nature and a disclaimer to this effect has been included in the investor communication shared with you earlier. The results document has also been shared with you earlier and has been posted on the company's website.

I will now hand the conference over to Mr. Ranjit Cirumalla from IIFL Securities. Thank you , and over to you , sir.

Ranjit Cirumalla: Good afternoon everyone and thank you for joining us on Deepak Nitrite's Q 4 & FY24 Earnings Conference Call. Today, we have with us Mr. Maulik Mehta – Executive Director and CEO, Mr. Sanjay Upadhyay – Director , Finance and Group CFO, and Mr. Somsekhar Nanda – CFO of Deepak Nitrite Limited.

We will begin the call with opening remarks from the management team followed by an interactive Q&A session. To begin, Mr. Maulik Mehta will share his views on the operating performance and the growth plans of the Company, followed by Mr. Sanjay Upadhyay, who will take us through the financial and segmental performance .

I now invite Mr. Mehta to share his opening comments. Thank you, and over to you , sir.

Maulik Mehta: Good afternoon everybody. Thank you for taking the time out to join our conference call.

As we entered FY24, we faced a multitude of headwinds such as low-price dumping from countries such as China, continued recessive trends in the EU zone, a crisis that continues in the Red Sea area which affects geopolitics as well as freight, and a general weakness in certain parts of the market due to an uncertain future caused by many of these tensions at these points. In addition to this, demand for products relating to agrochemicals remain ed soft.

Despite these obstacles, we successfully navigated the complexities and maintained a steady supply of products for our clients. We also maintained or in many cases improved our wallet share. If there is one thing that the team at Deepak understands, it is the business landscape that is challenging rather than conducive , and we are prepared to apply ourselves to adapt and to innovate in order to navigate through the variables of this macro backdrop.

As we have demonstrated over the past 50 plus years, we strive to deliver a steady performance and enable and ensure a reliable supply to our clients, regardless of the external pressures we face. We have responded to recent business headwinds by implementing the following tactical initiatives over the last 12 months.

One, we leveraged our strong brand and market position, prioritizing our most important strategic relationships, enabling us to achieve growth in sales volumes.

Two, we have put in a lot of work to optimize our assets and enhance efficiencies, which has led to debottlenecking opportunities and record production for key intermediates. This has elevated our competitive position in a situation of abundant supply and will continue to serve us well as the market sentiment improves.

And third, additionally, our initiative in process efficiency and cost optimization have resulted in savings in areas such as yield enhancement and power and fuel costs, providing some counter to the margin pressure from the current business landscape.

With this backdrop, I will outline

our performance for the fourth quarter and the financial year ending March 31st, 2024, as well as our strategic plan for the coming year. Following this overview, Mr. Upadhyay will delve into the details of our financial performance and position. We will then open the floor for a Q&A session to address any questions that you may have.

Deepak reported consolidated annual revenues of Rs.7,758 crore, a resilient performance across business lines driven by increased volumes. This was enabled by improved plant efficiency and our teams have been able to deliver record volumes in several products. FY24 production volumes have been increased by 1 3% year -on-year.

We have improved our market share despite the moderate environment characterized by lower sales prices. This performance was anchored by strong gains in the Phenolics segment, which witnessed continued volume growth owing to enhanced operational efficiency and debottlenecking efforts.

Revenue performance was maintained in the Advanced Intermediates segment on a sequential basis despite subdued pricing trajectory amid a benign RM price environment.

We have reported an EBITDA of Rs.1,199 crore in FY24, lower by 11% reflecting this moderate realization. This does not include the insurance claim of Rs. 80 crore received during the quarter,

which is classified as an exceptional item.
Favorable product mix management coupled with increased volumes in the AI and Phenol segments have helped us safeguard profitability. The operating leverage gains helped maintain

the quarter -on-quarter EBITDA performance in an environment that was marked by a steep decline in realization for several products, even sharper than the raw material price decline.
Our teams have done a commendable job given this macroeconomic backdrop. Taking cognizance of this achievement, the board declared a dividend of Rs. 7.5 per equity share, which is 375% on a face value of Rs. 2 each for the Financial Year 2023-2024.
In our strategic business units, the Advanced Intermediate segment experienced little pressure on revenue, though the volumes have been higher by 16%, propelled by resilient demand from both domestic and international markets.
While agrochemicals -focused products are still witnessing demand headwinds, other applications relating to pharma as well as discretionary sectors like dyes, textiles, paper, home care, glass, among others, are seeing a gradual volume -led recovery. In this business environment, the company has, as I mentioned, either maintained or increased its market share across nearly all its products.
Deepak Phenolics achieved a healthy topline performance, driven by plant efficiency improvements, with the highest production during the year ended notably in Phenol , Acetone, Cumene , and IPA. While profitability saw a dip due to subdued realization , prospects continue to remain optimistic, with a stabilizing demand -supply scenario and pla nned forward integration projects. Continued efforts to enhance plant efficiency and optimize assets are expected to further strengthen DNL's position in the market and drive future growth.
The strategic de -bottlenecking endeavor was pivotal for Deepak Phenolics , catapulting the Phenol production in FY24. Moreover , various initiatives carried out to improve operational efficiency and product excellence amplified Phenolics' competitive edge in the market.
As a general practice, the company continues to interface with third -party experts who audit the plant's safety and reliability in these conditions as well. Future performance is anticipated to be buoyed by multi -year contracts, successful pilots, and new product introductions, along with new formulation introductions.
While some segments experienced subdued demand recovery, others, such as construction and infrast

ructure, will continue to show healthy growth prospects, prompting a focus on wallet share and de -bottlenecking initiatives to optimize operations.
In terms of geographic split in our standalone operations , we improved the share of exports from 43% in FY23 to 47 % in FY24 . On a cons ol basis, the proportion of domestic and export revenue of 80 :20 remains unchanged.

Coming to our ongoing project s, the Photo -chlorination one is being commissioned, and we expect regular operations imminently. Our solvent project is progressing as scheduled and will be commissioned on time. The Acid Unit has also made significant progress, with manufacturing expected to begin in the next quarter or so.
We are also advancing other expansion projects, such as hydrogenation and nitration, which will be rolled out in phases starting the Q2 FY25 . Also, we are constructing a state -of-the-art research and development center in Savli, Vadodara , targeted for completion within the financial year.
Our subsidiary, Deepak Chem Tech Limited , is actively bolstering its workforce, recruiting adept professionals across project management, procurement, and support domain. Deepak's substantial infusion of over Rs. 709 crore in DCTL underscores its steadfast financial backing for the subsidiary's flourishing journey ahead.
In FY24, several growth initiatives have come to fruition, and I am thrilled to share some key developments occurring across the group. Deepak has commissioned production of its fluorination asset in Dahej .
These developments strengthen Deepak's backward integration for crucial agrochemicals, enhancing the company's supply chain resilience, as well as being able to participate in various contract manufacturing opportunities because of the addition of fluorination in its technical competency basket. These will serve on supporting the domestic market first, underscoring the importance of meeting local needs and demands before expanding onto the international markets.
DNL's board has approved increasing of stake in Deepak Oman Industries FZC LLC (DOIL) to 51%, effectively making DOIL the subsidiary of DNL. The strategic acquisition aligns with our

goal of strengthening our market position and expanding our operational capabilities. Further , cementing this growth trajectory, Deepak Chem Tech signed two memorandums with the Gujarat Government, totaling about Rs. 14,000 crore, which also , includes a previous commitment we have made. To facilitate these projects, we are str engthening our balance sheet and maintaining favorable credit ratings.

During FY24, we secured a long -term supply agreement with Petronet LNG to ensure a steady supply and mitigate project risks.

Additionally, an ESOP plan has been approved by shareholders to reward performing employees and retain key talent, aligning their efforts with the company's long -term success.

Lastly, the construction of our state -of-the-art R&D center is progress ing well, which will allow us to enhance our ability to parallel ly innovate for the entirety of Deepak Group.

In conclusion, our dedication to improving operational efficiency and maximizing asset utilization has driven us to establish new production standards in critical intermediates. India's flourishing economy presents global prospects for the chemical industry, and we are eager to be a cornerstone in creating this ecosystem for India's future as a global chemical player.

Our targeted investments, notably in the downstream of phenol and acetone, in operational excellence and integration, as well as in specialty chemicals, are positioned to seize these opportunities, guaranteeing growth, value, sustainability, with a highly valuable right to win, well integrated into our strategy.

I woul

d now like to hand the call over to Mr. Sanjay Upadhyay , who will address this forum and take you through the financial performance and key updates during the period under review.

Sanjay Upadhyay: Thank you, Maulik. Good afternoon everyone and thank you for joining this call today. I will walk you through the highlights of the financial results for the quarter and year ended .

In FY24, the global chemical industry grappled with significant headwinds such as leaner inventory by customers, dumping and destocking by Chinese producers, pockets of geo -political instability, and reduced consumption due to inflationary pressures.

Despite these challenges, our company demonstrated resilience by focusing on retaining market share, in fact growing market share also, cost optimization, calibration of product mix and strategic procurement of raw materials.

Importantly, the near -term volatility did not distract us from our medium -term and long -term objectives of de -risking our business model . As a result, there has been considerable progress during the financial year on further solidifying our balance sheet, assured supply of critical inputs, waste management and by -product optimization as well as moving ahead of growth capex to enable value addition.

In the backdrop of volatile raw material prices and impediments to logistics, Deepak Nitrite delivered a resilient performance in FY24, increasing market share particularly in phenolics and driving overall revenue growth across segments. These operational efficiencies translated into an impressive 23% return on capital employed , which has been maintained at a high level. Both business segments witnessed strong improvements fueled by improved demand and product realization, contributing to robust consolidated revenue growth.

Coming to our financial performance, on the operating front, our domestic business revenue stood at Rs. 1,712 crore and Rs. 6,135 crore in Q4 and FY 24, respectively. Export revenue were Rs. 414 crore in Q4 and Rs. 1,547 crore in FY24. On a consolidated level, domestic to export ratio stood at 80 :20.

In FY24 , on a consolidated basis, revenue stood at Rs. 7,758 crore compared to Rs. 8,020 crore in FY23. EBITDA stood at Rs. 1 ,199 crore in FY24 compared to Rs. 1 ,337 crore in FY2 3. Margins were stable at 15% FY24. PBT and PAT came at Rs. 1,102 crore and Rs. 811 crore, respectively.

In Q4 FY24, on a consolidated basis, revenue came in at Rs. 2,145 crore as compared to Rs. 2,023 crore in Q3 FY24 . On a Q -on-Q basis , EBITDA came in at Rs. 320 crore from Rs. 318 crore in Q3 FY24. PBT and PAT stood at Rs. 349 crore and Rs. 254 crore, respectively.

The compan y's profitability mirrored its operational performance influenced by a review triggered by inflationary pressures in raw materials and utilities . However , improvements are anticipated in the coming quarters . Basic and diluted E PS for Q4 FY24 stood at Rs. 18.61 per share and that of FY24 was Rs. 59.45 per share .

In an update following the fire in cident, the company received an insurance claim of Rs. 79.80 crore, which was recognized under exceptional item in the statement of profit and loss for the

year ended March 2024.
I am pleased to share that ICRA has reaffirmed DNL 's and DPL 's long-term rating at ICRA AA and short -term rating at ICRA A1+ for the b ank facilities with positive outlooks. Additionally, Deepak Chem Tech Ltd. has been assigned long -term and short -term ratings of I CRA A and ICRA A2+ respectively for bank facilities with a stable outlook. These ratings underscore our solid financial position and optimistic prospects.
Moving to the segmental performance , in the Advanced Intermedia tes segment , revenue came in at Rs. 671 crore in Q4 FY24 versus Rs. 674 crore in Q3 FY24, while EBIT grew 43% quarter -on-quarter at Rs. 134 c

rore during the quarter under review . In FY24, revenue came in at Rs.
2,724 crore. EBIT came in at Rs. 446 crore translating into a margin of 16.4% despite the current environment and challenging circumstances .
Deepak Phenolics delivered encouraging performance where revenue growth at 9% quarter -on-quarter to Rs. 1,466 crore in Q4 FY24 versus Rs. 1,349 crore in Q3 FY24, while EBIT stood at Rs. 206 crore higher by 15% quarter -on-quarter and EBIT margin was 14% for the quarter. In FY24, revenue was Rs. 5,003 crore and EBIT of Rs. 644 crore trans lating into a margin of 13%.
Our cash flow generation remains sturdy with net operating cash flow of Rs. 878 crore recorded in FY24 driven by improved working capital and operational gains. In investing activities, resources were allocated to diverse new projects, initiatives, and essential materials. Meanwhile, financing activities involved a disbursement of dividend interest payment totaling Rs. 112 crore.

Lastly, on the balance sheet front , company 's financial position is significantly enhanced, and the company continues to maintain net zero -debt position with net worth of Rs. 4,822 crore on consolidated basis thereby strengthening the balance sheet for the future expansion.
Moving to our investments in capex plan, DNL invested Rs. 709 crore into its wholly owned subsidi ary Deepak Chem Tech Limited with Rs. 54 crore infused in Q4 FY24, while its total investment in Deepak Oman Industries FZC LLC secur ing 51% stake stands at Rs. 27 crore including Rs. 11 crore in Q4 FY24. Additionally, DNL has invested Rs. 5 crore in DPMC, that is Deepak Projects Limited.
During the year , DPL paid off long -term loans, achieving debt -free status with Rs. 306 cror e in liquid investments . DPL implemented SAP in November 2023 followed by D CTL and DNL enhancing the operational efficiency and aligning with industry standards . The synchronized integration ensur es streamline d processes across all subsidiaries , optimizing performance and fostering collaboration .
Further , approved projects are progressing well as plan ned, includ ing the construction of a new specialty chemical plant . Our R&D unit is innovati ng new products , supporting the expansion of specialty chemical facilities . A new plant will enhance autonomy in raw materials and increase profitability . A state -of-the-art R&D hub near Vadodara will strengthen our expertise and accelerate expansion efforts .
Additionally , the company has implemented strategies to improve operational efficiency including process optimization , yield enhancement s and reduction in power and waste consumption cost . DNL has also adopted product pricing to more rapidly transmit inc rease in input prices resulting in improved margin performance despite fluctuation in profit s demonstrating a proactive approach to preserving profitability amid market challenges .
With that , I would now request the moderator to open the for um for question -answer session .
Moderator: Thank you very much. We will now begin the question -and-answer session.
The first question is from the line of Nirav Jimudia from Anvil Research .
Nirav Jimudia: Congratulations on the good set of numbers. I have two questions. The first is on the Advanced Intermediate s business. So , what portion of our raw material will be secured once the backward integration project start operation s? And when can we see the benefits of this backward integration project start reflecting meaningfully in our operating profits?
Maulik Mehta: So, Nirav, thanks so much. First of all, dependence on this particular raw material is about 20%. Now , we are also increasing our capacity for the consumption of this product. So, over the future , this might increase, and it will start to show meaningful impact on our bottom line ,

in the group

I am saying , over I think the second half of the year. So , maybe from mid Q3 onwards and then next year , full year of course after that it will normalize. But we will continue to also keep investing and hence we will have a great right to win in the products that we are already well

entrenched.
Nirav Jimudia: So, this would again be extended towards the newer capex es which we will be doing for which we already signed the M oU. So , this is what you are trying to say on this particular raw material ?
Maulik Mehta: The M oU that we have signed in December and January of FY24 envisaged a significantly large consumption of these raw materials. But the capital investment for those has also been factored into what we have announced as our investment plan for the next three years. These investments are expected to be commissioned within this financial year and we will have next year as a full year of operation s. We will also be expanding in existing businesses. So, what we have announced, you would be well aware we don't really get into micro details of the capital investment that we put in existing products. The strategic new investments for new products, those are the ones that we have announced and those will have a level of a backward -forward integration as required.
Nirav Jimudia: Second question is on the fluorination complex or the fluorination part, which we started operations on. So , once those products are used for our captive consumption for the agro - intermediate which you have highlighted in our investor presentation, is the market big enough for those products to be sold or we need to further create the downstream products to utilize these capacities?
Maulik Mehta: So, while there is already an existing market in India also and in abroad also that is available to Deepak, w e need to go into development of new molecules. However, we have also consciously up-engineered part of the asset to be able to manufacture products which would be more contract manufacturing opportunities, maybe high pressure, high temperature, different kinds of throughputs and metallurgies which would allow us to do these things as the opportunity presents while we are discussing with some strategic customers. So, we will have this level of flexibility either to service intermediates which we are making in the whole plant or to utilize a significant part of the plant for those and the rest of the plant for contract manufacturing.
Nirav Jimudia: So, before this plant got started, were we importing those intermediates for our finished products or was it available in the domestic market and we were getting those materials domestically?
Maulik Mehta: I mean, we do both. On a normali zed basis, we look at what is the best for our strategic growth. So, we are happy to buy domestically and happy to import also, idea is to be beneficial , and stable prices for long-term views.

Nirav Jimudia: And, with the given two, three months of our operations in the fluorination space, how has been our experience in terms of running the plant and how we are able to differentiate ourselves given there are a lot of existing players also on the fluorination side?
Maulik Mehta: Fair enough. So, first of all, I will be very candid. I will say that we are not able to differentiate ourselves on fluorination , but it is heartening to know that within three months, based on the combined experience that has come into the company as well as our experience of operating, we believe that we have very clear visibility towards being able to manage fluorination assets using HF, like many of these players who have been in it for decades now. It is a matter of time and right now, I believe that we are manufacturing what we are making as well as any

body else in
the world, even ones who have been in it for 15, 20 and 30 years. So, that is a good start for us. We are not seeking to be the best , but our first aim is to be as good as. As we grow our own confidence and our own talent pipeline, you can be rest assured that we will apply the same filter we do for our core chemistry.
Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.
Vivek Rajamani: Two questions from me. On the advanced intermediates, could you give us a bit more color from an FY25 perspective , how should we think about the pathway of recovery over the course of fiscal year 2025 from a demand and pricing perspective? And this maybe is an extension to that, given that you now have some of these backward integration facilities which will be coming through. Do you think the fiscal year 2023 Earnings for advanced intermediates could be a good benchmark to look at for fiscal year 20 25? That was the first one.
And the second ques tion was with respect to your more medium -term capex plans. On the larger Rs. 90 billion M oU where you are targeting polycarbonates, MMA , etc. could you maybe give a bit more color in te rms of the timelines or funding plans or maybe any color on what kind of capacities you would be targeting?
Maulik Mehta: So, on the first question , I will give a perspective and then I will request Mr. Upadhyay to also share his. And then , of course , we can answer your second one .
So, on the first part, I think what's ending up happening is that we are seeing the year divided into two. So, the first half of the year where we are seeing a volume -led improvement in most of the segments except for some key ones like agrochemicals , and even there it is not a uniform downturn . But there are certain regions which are more critically affected than other regions in terms of demand. So, in the first half of the year , whether this is because of demand or

overstocking or over -dumping , whatever you want to call it , we expect that there will be some volatility . The second half of the year will be characterized by more even improvement in the business outlook across industries and it will be further supported by the commissioning of many of these projects that will come on stream at various points. So, I think that the second half of the year would be meaningfully better than the first half because both factors would be different.

So, while I remain very optimistic about the kind of investments that we have made, as they come on stream, we are also starting to see the situation improve. So, if I was to look at the later part of the year and whether that would correspond well with FY23, there I would have a greater degree of confidence. Of course, a lot of things can go right and wrong in the meanwhile. But I think that the first half of the year continues to be something where one must be very conscious that the situation is still on an improving trend.

I request Mr. Upadhyay also to share his perspective on the same thing.

Sanjay Upadhyay: See, I will just share with you, our products. Around 30-35% of our product s goes in agro. Now agro segment, it has not done well, but it is a good segment to be in. And we are seeing some signs of revival, but as Maulik rightly pointed out in first quarter and early 2nd quarter also, we will find agro is still weak as compared to other segments. So, revival will take place after maybe around mid of the 2nd quarter . Other segments are performing steady , the dyes and pigments and textile s where we have around 20% and other home care and pharma is around 10 to 15% . So, those things are doing well . And overall if you see , there is a sign of revival , but destocking and everybody is now wondering that how long this destocking will continue or hold this destocking whichever

way, but the prices were abnormally low in the last year and there has to be a change in the prices . In fact, the volumes are going up . We are expanding our market share also. It's a matter of time once the realiz ation starts going up , things will change . So, I personally feel that mid of the 2nd quarter or around end of the 2nd quarter , things will start changing and improving. And we are , in fact , that way Deepak Nitrite has a sound business model where Phenolics is doing well. Phenol products are finding applications, and the demands are also growing. Our team is performing exceedingly well in Phenolics . So, overall , if you see the model what we have is phenol, pharma, textile s dyes and pigments also. So, it's a well spread business model created, and it will balance out each other. So, performance will certainly be resilient next year also. We are very confident.

Maulik Mehta: You had a second question also about the timeline. I think there is a level of flexibility which we have alluded to before. But we have also categorically said that by and large, everything needs to be in line, online by mid , I think, 2027 .

Sanjay Upadhyay: Around 2027 end.

Maulik Mehta: Around 2027 end. So, whether you do one group first or second group first, or whether you do them in a combined manner and things like that, that will all be on the basis of how well we are able to exploit the opportunities that are made available. We will do it in a strategic manner, but as we have highlighted right from , I think , about two quarters or three quarters ago, there is a very clear end date, which is almost publicly available. These are the things that we need to get done within t his period of time.

Sanjay Upadhyay: Today, if you are referring to those announcements, we are actively working on technology discussions, because these are the products where we need a sound and very good technology, so that, as you have seen how we have done well in phenol, if you have good technology, if you have good understanding about the process and design, it helps in a big way. Phenol also, whatever debts were committed, we have commissioned the project on time. Here also , our endeavor is to start production latest b y 2028-29 beginning, and we have tied up our raw material also with the announcement with Petronet LNG , you must have seen that. So, things are progressing well. Our technology team is working very hard on this technology thing. So, once those things are tied up, the projects will start, it will go at the ground level. Before that, it needs lot of discussions with the team . It needs lot of discussion with the engineering people also. So, those things are in progress currently.

Maulik Mehta: I will just add one point that it is characteristic of us to not go into a great level of detail. But while we are demurring on that, you can be rest assured that the quality of the conversations we are having in all these things, including the technology, partnership, and all that, is at an extremely advanced and at a crucial stage. So, while we are doing that, we are also actively working on ensuring that our compounds, our products, which are not the intermediates, but which are finally for mulated compounds for specific applications are gaining significant traction and acceptance by international players already. So, these things will also accelerate once we start manufacturing it . Hence , we will be solution providers rather than just suppliers of intermediate chemicals. I think these are strategic initiatives well on track and please keep in mind that when we give a strong commitment out, it is backed by everything signed off including raw material supply, including timeline, including technology, partnership s, customer, acceptance, all those things. And until those things have hap

pened, we think that it is in the bes t
interest of shareholders to not overcommit and underdeliver.

Sanjay Upadhyay: In fact, as a part of strategy, since we are discussing that, let me tell you that we have started PC compounding . You must have seen that . So, that is a step taken to understand, because see ultimately these are all end -to-end, very well integrated projects and all projects must deliver. So, if you have the PC compounding, where it consumes polycarbonate per se, if you have that in your kitty and where your polycarbonate is consumed locally, captively , that is a very big step, I will say, the company is taking. We are progressing well on PC compounding . In fact, some people must be wondering what this OXOC is, but that is precisely the step we have taken for PC compounding . PC compounding also needs different applications and there are different types of compounding where some are common which we had already started, and some are specialized applications. We need some technical support for specialized applications. So, those things are progressing well where we are talking to the various technology suppliers on this also. So, those things are progressing. The capex will start on PC compounding at the earlie st. That is the first capex to start in fact. And then once that is established, parallelly we are working on PC and other products. So, it is all integrated and well -planned execution of the entire in vestments what we have announced.

Moderator: The next question is from the line of Ankur Periwal from A xis Capital.

Ankur Periwal: To start with , just one clarification. On the tech part , which you just highlighted, the technology for PC compounding and the specialized applications , last part of tech is in-house, or we are open to have a global tie -up as well, when you were saying, the work on tech etc. is ongoing ?

Sanjay Upadhyay: We are working on various options . It will be too premature or early to tell you anything about it. But yes, we are discussing with technology suppliers also. I mean in what way, which way we do that is a different thing , which we will let you know at an appropriate time. But it's under very advanced and active discussion.

Maulik Mehta: I think rest assured we will have significant updates on this question over the forthcoming quarter.

Ankur Periwal: And just in between you mentioned that the customer feedback etc. is very positive on the products. That reference goes towards the AI part of the business or towards the compounding part itself, wherein probably we would have already started some dialog there.

Maulik Mehta: The compounding.

Ankur Periwal: That’s helpful. Secondly, on the overall macro here, we have been hearing a lot about China adding capacities in commodity chemicals and hence the pricing pressures. But at the same time as you alluded, pricing have stopped correcting further and probably is more stable now. If you could share your thoughts on the overall demand supply balance in the phenol , acetone value chain globally ?

Sanjay Upadhyay: Globally, China is actually not supplying to the world. They have added facility , but it's largely integrated and for captiv e only. There are some plants which are closed down also . So, today it is at a stage where it's balanced. No new capacity is coming up in the near future. And we are actually doing very well domestically . If you see our market share and in fact, our whatever extra production, it's all going in the market. In fact , we are now today running at a full capacity, even more than that . You must have seen that , and our team is capable of actually further capacity expansion also. So, today there is no worry in the global market as such on the Phenol product.

Maulik Mehta: I will just add that there is investment also, there are new plants comin

g up in China. Most of
them , however , seem to be also downstream integrated into this Phenol and largely seem to be targeting the captive, I mean within China , consumption of the upstream as well as the downstream. But China normally has been a net importer and over the last couple of years has stopped being a net importer. But that has very little to do with India's growth, which is not only in phenol but also in the dow nstream of phenol that Deepak is getting into. I think we are confident that whether it is the existing capacity which will be de -bottlenecked further, or it is any expanded capacity, the opportunity for domestic consumption and growth remains

significantly more than what another geography like China or Europe or anywhere else might see. So, as being incumbent, I think we will have a good chance to succeed and continue to succeed in our investments.
Ankur Periwal: And just lastly in that background, how has been the demand outlook or let's say the margin etc . for our AI portfolio there, whether it is Delta or on the specialty chemical's part? You did highlight the slowdown in agro, but I was more keen on the overall business growth there in terms of pricing correction or in terms of demand updates.
Maulik Mehta: Yes, thank you for not forgetting the AI part of it . But in the Advanced Intermediate s segment , I think there is a good volume -led recovery , which seems to be relatively sustainable and consistent when it comes to applications in dyes and pigments, in f uel additives, in glass, in home and personal care. So, these improvements are largely because one, the situation bottomed out, but the second is also that there is an improvement in demand and an improvement in expectation of this demand continuing. So, our buyers are actively engaging with us, not just for like a short -term opportunity, but more consistently, three months, six months, the quality of conversations that we used to have with them a couple of years ago. And that's great. Of course, there will be pricing pressure when you are facing these kinds of macroeconomic headwinds. But it's heartening to know that we can service this with our expanded capacity as well. Now, all these things are good but will hopefully get better as things normalize. In agrochemical s, it is somewhat the same, but maybe two quarters behind, because that's the kind of logjam that has been clogging up the system, whether it is at the shop floor level, or whether at our customers ' end or whether it is at the shop level of our customers ' customer , at the B2C level. So, this kind of logjam, as well as this dumping of cheap intermediates in order to push the supply chains more will start to even out . We are starting to see some signs of that. But it will take a couple of quarters . As I have also alluded that agrochemical is not across the board negative headwind. There are spots of it where things are marginally better than other spots and we are seeing that the situation will eventually come back to a normalized trend , but maybe i n the second half of the year. So, I just want to also highlight one thing that while we say that prices are soft right now and raw material prices are soft, some of the key raw materials that Deepak buys which are benzene, toluene, xylene, they are largely governed by artificial constraints that crude oil manufacturers put . And hence those prices along with crude prices remain range -bound at a high end, not actually reflective of the kind of demand that the world is seeing, but more reflective of the kind of supply constraints that are artificially being applied. So, while some of our raw material basket has certainly improved in its pricing position, a large part of it, especially ones linked to petrochemicals, have not improved at the same level. I guess, thi

s is a normal situation
for anybody who buys these kinds of benzene , xylene, toluene kinds of raw materials.
Moderator: The next question is from the line of Arun Prasath from Avend us Spark.
Arun Prasath: My first question is on the Phenolic s supply side situation. We saw a couple of large plants that started recently in the last year and in the early part of this year. So , is the phenol spread

sufficiently reflecting this new supply and are they completely rammed up ? And going forward , what kind of capacity is coming for the rest of the year 2024?
Sanjay Upadhyay: No, I just answered that question. See this new capacity is all fully absorbed. So the spread what you are seeing is after all those capacities. That has started in early 2024. And now what you are finding is some capacity in Japan has closed down also when you are saying the capacity has added.
Maulik Mehta: I think he is referring to the upstream or to phenol and acetone production itself.
Arun Prasath: So, phenol and acetone itself.
Sanjay Upadhyay: So this spread is after all these capacity addition as well as closing out of capacities. Now today, it is a market where no further addition s are taking place, at least in the near future.
Maulik Mehta: But I can also point out that the spreads in the last quarter have been some of the lowest that we have seen since we commenced operations. Just to give you an example, benzene is the raw material for phenol and the price of benzene is the same as the price of phenol. So , we buy the raw material, and we sell the finished product at the same price. It is as good as a negative margin as you can imagine. So , the situation is seeming to improve . Whether it improves a little bit or it improves in a more meaningful way is yet to be seen. But quarter four did see some of the most suppressed spreads between RM and FG.
Arun Prasath: And Maulik, you also mentioned that even many Chines e capacities are integrated , but obviously the plants or capacities o r companies which were supplying to China , they will have surplus and either they need to shut or need to dump elsewhere . So, it affects our spread also. So, from that perspective, what happen s to those suppliers? Have they shut the plant or are they waiting for the spreads to rebound and start supplying to the rest of the world? What is your thought process

on that?
Maulik Mehta: So, the easy answer gets compounded because of these issues like the geopolitical crisis and the Red Sea crisis which causes freight to spiral out of control. But generally before anyone considers shutting down, they start by reducing the run rate of their plants. So , most plants in this region are seeming to operate around the 60% to 70% utilization. I think Deepak might be the only one which is pushing higher and higher. I think now we are close to about 150%. But generally, when you operate at such a low-capacity utilization like 60%, 65%, 70%, your production also reflects that kind of inefficiency when the costing is done. And that further degrades the margin profile that many of these companies have to operate under. Some of these will fold. For example, there have been recent announcements both in Japan as well as in Korea of companies that are choosing to stop production in the forthcoming year or quarter or whatever it is. And somewhere you will have some manufacturers will say, we were making in three lines. Now we will only make in two lines, and we will mothball the third line. Maybe the situation

will improve over a period of time. So , these are all geopolitically affected exigencies. And how this will affect the crack is a difficult question to quantify because generally benzene prices are better governed by not just phenol , but a lot of other down

stream including things like styrene,
including things like MDI, as well as including things like gasoline demand, as well as upstream crude prices. So, there are many , many factors that govern the price of products like benzene and propylene. And phenol and its downstream seem to be a mino in terms of being able to dictate .
Arun Prasath: And secondly , globally , the Acetone prices are surprisingly holding strong . So, probably that is also giving some support to the spreads . What in your assessment is happening there in this market, especially now that there is a surplus situation in the MMA side and there are alternate routes also there for MMA ? So, what is happening in the acetone market?
Maulik Mehta: So, w e supply to the Indian downstream application of acetone as well as IPA. India does not manufacture Methacrylates .
Arun Prasath: But global acetone prices are influenced by these supply demand at the global level. We are NAV derived. The prices are derived. Of course , I agree volume is not affected , but prices get impacted as well.
Maulik Mehta: Correct. And there are many routes to manufacturing Methacrylates . Of course , acetone is one of the largest in terms of the number of plants that are available there. So , yes, there is a strong flow that is generally the case when run rates are low for the first co -product , there is generally a firmness in the second co -product. And how this affects the downstream is I feel more for non -integrated players to worry about . As Deepak invests and it invests downstream , it will invest in level of integration , which will allow it like how we are right now doing with IPA. It will allow it to remain flexible whether to sell more of acetone or more of IPA . And this is the advantage of integration as well as knowledge about how to manage co -products.
Arun Prasath: Just finally one book -keeping question . The most of the capex that is assets we are building are already in the final stages . All the capex is done or how much more is likely to go this year plus for our M oU of our Rs. 9,000 crore, is there any significant amount that will go out in this year?
Sanjay Upadhyay: So, we have Rs. 9,000 crore whatever we had announced and that will go maybe towards the end of this year, some portion will start . But out of the earlier announcement , we are already completing around Rs. 1,800 to 2 ,000 crore capex during the year . The annualized full results will be seen from the next year onwards because some are starting in Q3, some are starting early Q4. So, those will be like our backward integration . It is starting in the second half of the year. So, those things we will see, I mean if you have to really assess the performance , than full year operation will be the next year for all those things . Balance on phenol, phenol downstream and our mega plan t, as I earlier mentioned, we are working on technology, you will see the investment, some investment in comp ounding this year. We have already acquired a portion of

land for compounding in the process of acquiring other and that you will definitely see this year because that is the starting point of our investments.
Moderator: The next question is from line of Abhijit Akella from Kodak Securities.
Abhijit Akella: Just a couple. So, one is on the Phenolic s segment. This quarter we have seen about a 9% quarter -on-quarter increase in revenues. Is that entirely volume driven? And if so, can we expect this same level of capacity utilization to sustain through fiscal year 20 25 going forward?
Sanjay Upadhyay: Yes, yes, I believe so. In fact, it can be a little higher also. Why same level .
Maulik Mehta: No, it is entirely volume driven. But I think in the first quarter and the second quarter while

debottlenecking activities continue to remain ongoing, I don't know what t

he schedule is. I mean,
every year we have some schedules that we keep in place with regards to shut down, clean up, restart , those things. I don't know whether that is in Q1 or Q2, but certainly we can come back to you on that front.

Abhijit Akella: That's helpful. And the other one was on the Advanced Intermediate s segment. If I adjust for this insurance benefit of about Rs. 80 crore, the margins seem to have compressed quite significantly somewhere to about 9% or so, 8 -9%. So, from the first half perspective for next year, should we expect similar margins before they sort of start to come back towards mid -teens in the second half of the year? Is that how we should think about it?

Maulik Mehta: Yes, you are right that the exceptional item has played a role here. I don't know how you come to 8%, 9% because that is much, much under what I think .

Sanjay Upadhyay: You are talking about EBITDA margin, which margin you are saying, Abhijit ?

Abhijit Akella: EBIT margin , Sanjay. So, if I take this Rs. 134 crore EBIT and subtract Rs. 80 crore, I end up with about Rs. 50-55 crore or so, which implies about 8%.

Maulik Mehta: Let us come back to you on that point, but no, it should not be at 8%, 9%. Anyways, the question that you are asking is about whether it is representative of the year in general . No, I would not say that it is representative of FY25. There have been challenges in Q4. Some of those, for example, were more regarding things like overdue payments and these things which are not normal, not usual, which took place. I would prefer to say that I think, as I mentioned earlier, the first half of the yea r will be soft with marginal improvement and the second half of the year will be substantially better because also of our backward integration, forward integration and expansion that will come on line. So, I know that you are asking a pointed question . It is very hard for me to unpeel it for you.

Abhijit Akella: No, sure. I understand. Thanks for that. And just the last thing was on the capex outlook. So, fiscal year 20 24, we have shown about Rs. 700 crore of cash outflow towards capex on the cashflow statement. For fiscal year 20 25, is there a number we can work with ? I know we are capitalizing about Rs. 2,000 crore of investment . But i n terms of cash outflows, how much could we expect for the year?

Sanjay Upadhyay: Cash outflow for last year was somewhere around Rs. 800 to 900 crore and this year it will be around Rs. 1,000 to 1,200 crore cash outflow and most of the projects will be capitalized in the current year except maybe one. So, that is the total for these capex es.

Maulik Mehta: And EBIT excluding exceptional items in Q4 for the standalone was I think around 12%. Just a point to highlight that the investment that Mr. Upadhyay mentioned, there may be an aspect to the tail end of the year which may have some incurrence from the further growth of capex es that we have announced. There may be some participation in that which is not included.

Moderator: The n ext question is from the line of Rohit Nagraj from Centrum Broking Limited .

Rohit Nagraj: First question is again on Advanced Intermediates . This is the portion where we have categorically mentioned about the Chinese dumping. So, is that only the inventory which are getting de -stocked in the system or there have been some capacities which have come and that are again giving some issues from our, I mean we have been able to grow , but on a margins front , those capacities are impacting the margin. So, your thoughts on this.

Maulik Mehta: I am just thinking as you ask this question , Rohit . I don 't think that there is any new capacity anywhere in the world that has been announced for most of the products that the standalone company makes . Correct me if I am wrong, but I don't think t

hat is the case. However, there has
been a stockpiling of many of these feedstock s, many of these intermediates that are kind of getting unleashed over the last four quarters onto the global landscape. And p artially, this has also been to show that there is a production and sale because the domestic market in China, which would otherwise have been significant, has played a little bit of a spoilsport. So, as these things kind of get depleted, the situation of course improves and we are seeing that, as I mentioned earlier, that there is a volume -led improvement. I do not believe that there are any plans for new investments to be announced in the same segment that the stan dalone entity Deepak Nitrite plays in. There may be some, in the medium term, there may be some consolidations on the other hand, but other than some capacities in India which have been either announced or commissioned in China or in Europe, no.

Rohit Nagraj: That's helpful. Second question again, apologies for hopping on Phenolics . So, the Q4 performance in terms of volume growth and the margins where they are, can we take it as a quarterly performance in terms of the profitability for this segment for the next foreseeable future, unless we are going for further de -bottleneck ing, or the margin situation further improves ? Would that be a reason able assumption ?

Maulik Mehta: Difficult to say . Because it is highly affected by feedstock price and these things , but Q4 as we mentioned was some of the worst that we have seen since we commissioned the plant . We are seeing that there is an improvement in the spread , but I think the only thing that we can guide as of now is that this existing quarter and perhaps the next quarter would be relatively reflective of Q4. We are working to debottleneck also, but let's see when that fruition . Today , I think Q4 , Q1, Q2, by and large , one can look at it on an even keel.
Moderator: The n ext question is from the line of Rohan Gupta from Nu vama.
Rohan Gupta: My first question is on the fluorination plant , which we have just commissioned. Just wanted to have more views on that . You mentioned slightly , but j ust wanted to understand in fluorination what are the product pipeline which we have , like a part from the specialty salts which you have mentioned that how we plan to ramp it up. What are customer s' initial feedback on the product sampling which we have done ? And what are the most product pipelines that are expected out of this plant in fluorination whether forward integration or backward over next one year ?
Maulik Mehta: It's a very good plant . You should come and see it.
Rohan Gupta: Definitely we will seize that opportunity to see. But just wanted to understand the customer feedback and the product development and sampling which we have been doing so far.
Maulik Mehta: No, so the customer feedb ack is positive . So, Deepak itself also sells to select external customer s. So, the product matches global standards and specifications for impurities . So, I think from the product quality perspective, this was always flag on the ground that will not change . That we have to match it . It's part of the hygiene factor. Now, it allows us to participate in opportunities which we missed out on earlier, even though we had significant competencies for things like nitration reduction, even things like chlorination and all that, because we did not have fluorination . Now , it will allow us to par ticipate in many of these . Like tomorrow, for example, one of the reasons why we have high pressure, different metallurgy in half of our assets is because it allows us to also engage tomorrow, for example, in something like pyridine fluorination . I am not saying that is the target, but that's the kind of spread that we should be able to have. And this advanced metall

urgy will also be able to operate on a campaign basis, separate to the rest of the assets , which may operate more on a consistent annual ized way. So, we are actively engaged with customers and potential customers as we are supporting these products with their help. These will all start to see value in an intermittent manner over the next financial year.
Rohan Gupta: Any product which has been approved or I mean, that's what I was trying to understand that any product which has already been or closer to the approval stage in formulation which requires this fluorination chemistry . I was looking at it more from that point of view that are we nearing approval from the customers and which can become a formulate d product for us in the near term?

Maulik Mehta: I think you have two separate points. One is when we have engaged in the manufacture and formulation of products that go into the solar industry , the heat treatment s alts, that is one segment . And at the moment that has nothing to do with fluorination . Although in the future it might , today this is for the heat transfer salts, and this is a formulation . On the other hand , you are talking about the fluorination asset as it was commissioned and that manufactured products which are currently also being imported by many of these CDMO companies which are well - known, well -regarded and they have accepted our products in the same assets which will be of higher value which may kind of replace the original product or it may add on to them and those are also approved , but how we schedule them, how we develop our long -term agreements , those are all being negotiated and talked about with customers.
Rohan Gupta: The second question in terms of the technology development especially on the PC side and even you also mentioned in some other products also you are in talks with multiple technology suppliers globally. Just a little bit more clarification on this front . It's all related to the phenol - phenol chain on which we are working and looking for the technology suppliers from globally and it will be only on the technology front, or we are also expecting some kind of capital infusion also from these players going forward ? What kind of arrangement we are seeking or exploring right now?
Maulik Mehta: First of all , Aniline has nothing to do with ph enol or acetone . And neither do the down streams of Aniline. So, that is one thing to keep on the side. And we also have announced investments . We are also working on executing projects, which will go into specialty chemicals, again have very little to do with phenol. There will be products which will be made by Deepak Nitrite,

Deepak Chem Tech which may have phenol as a raw material, but which will have the kind of application and the margin profile and those things which are similar to Deepak Nitrite standalone. The polycarbonate manufacturing along with its upstream all the way to phenol and the second phenol plant, those are the one place . Along with that, I think the Methacrylate , which will have acetone as a con sumption, those are the two products which are directly linked to the phenol value chain. But the customer profile and all those things are also entirely different from the way that phenol is sold in India right now, which is largely to the chemical, plywood laminates and pharma spaces.

Sanjay Upadhyay: Rohan, see the technology what we are saying is on phenol and phenol downstream also, carbonate and this, we are discussing with them. Capital and this is, I mean too early to talk like this. I mean it's nowhere near i n our mind also today about that capital , there are other technologies also in PC compounding which needs a specialized technology and specialized recipes and all these things where again we are working actively involving technology partners.

So, those details can be shared at an appropriate time , not today , because we ourselves are working on various options and projects. So, too premature to talk about this, but yes, we are discussing technology with others, because we have to s ee that around Rs. 14,000 crore investment whatever we have announced must come by 2027 end, 2028 beginning , that has to

happen. So, those things are what we are actively actually pursuing and working on that. We will come back on details later as and when we ourselves are finalizing.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to the management for closing comments.

Sanjay Upadhyay: Thank you all for participating on Deepak Nitrite's Con call. In case you have any further questions or queries, please get in reach with our investor relation s team Somsekhar Nanda and Gopal Thakkar. Thank you all once again.

Maulik Mehta: Thank you very much. Have a great day.

Call: Aug 2024

DNL/138/BSE/ 1018/2024
August 1 3, 2024

Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
MUMBAI – 400 001

Dear Sir,

Scrip Code: 506401

Sub: Submission of earnings conference call Transcript

We enclose herewith the transcript of the earnings conference call of the Q1 & FY 202 5 held on August 8, 202 4 and the same is also available on the website of the Company at the weblink https://www.godeepak.com/financial -result/ .

Please take the same on your record.

Thanking you.

Yours faithfully,
For DEEPAK NITRITE LIMITED

ARVIND BAJPAI
Company Secretary

Encl.: as above

Deepak Nitrite Limited
Q1 FY25 Earnings Conference Call

August 08, 202 4

MANAGEMENT : MR. MAULIK MEHTA – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. SANJAY UPADHYAY – DIRECTOR (FINANCE) AND GROUP CFO
MR. SOMSEKHAR NANDA – CFO
MODERATOR : MR. RANJIT CIRUMALLA – IIFL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Deepak Nitrite Limited ’s Q1 FY25 Earnings Conference Call hosted by IIFL Securities Limited.
I would like to clarify that certain statements made or discussed on this conference call today may be forward looking in nature, and a disclaimer to this effect has been included in the investor communication shared with you earlier. The results documents have been shared with you earlier and have also been posted on the Company 's website.
As a reminder, all par ticipant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes . Please note that this conference is being recorded.
I now hand the conference over to Mr. Ranjit Cirumalla from IIFL Securities. Thank you, and over to you, sir.
Ranjit Cirumalla : Good afternoon everyone. Thank you for joining us on Deepak Nitrite's Q1 FY25 Earnings Conference Call.
Today, we have with us Mr. Maulik Mehta – Executive Director & CEO, Mr. Sanjay Upadhyay – Director (Finance) and Group CFO and Mr. Somsekhar Nanda – CFO .
We will begin the call with the opening remarks from the management team followed by an interactive Q&A session.
To begin, Mr. Maulik Mehta will share views on the operating performance and the growth plans of the Company , followed by Mr. Sanjay Upadhyay, who will take us through the financial and segmental performance .
I now invite Mr. Mehta to share his opening comments . Thank you, and over to you, sir.
Maulik Mehta : Good afternoon everyone. Thank you for taking the time out to join us on our earnings call.
As we step into FY24 -25, the global chemical industry continues to face substantial challenges. Customers remain cautious and the inventory destocking by China is ongoing, sustaining the pressure on realization. Despite these headwinds, Deepak Nitrite has again delivered a resilient quarter ly performance and achieved significant year -on-year growth. We are beginning to see early indicators of increased volume and improved customer sentiment. Even amidst persistent pricing pressure, we maintain our short -term guidance of meaningful recovery startin g from latter part of Quarter 3 .
In Q1, we reported a strong double -digit growth in revenue and profitability on a year-on-year basis. This includes a 21% growth in total income, 36% growth in EBITDA and PBT on a consolidated basis. Revenue growth has been driven by a combination of factors, such as

favorable pricing trends in phenolics due to a strong demand backdrop. This resulted in impressive year -on-year growth of 37%.
The segment has benefited from sustained demand across various end -use applications, leading to a healthy domestic requirement for phenol, acetone and IPA. The highest quarterly sales volume of IPA further highlights the case for domestic demand. Proactive steps to penetrate new territories and grow businesses with new customers offset a weak demand environment in the traditional territories of the Western world. This aided in an improvement in the product mix in the AI segment.
While there was soft demand in agrochemicals, which is expected to recover later this year . Contributions from sectors such as dyes, pigments, paper and home care have seen some improvement. However, the potential impact of the ongoing crisis in Bangladesh is yet another black swan, whose short -term positive or negative effect is yet to be properl y assessed.
In the Advanced Intermediates segment, we witnessed volume improvement in performance products and fuel additives. We have also introduced a new optical brightener to meet specific market demands. Effective debottlenecking initiatives and market migration have allowed the Company to maintain a generally high operating environment.
EBI

TDA growth has been driven by the Phenolics business, which witnessed a significant improvement in realization. This is in contrast to the Advanced Intermediates segment, where the pressure on realization has resulted in reduced EBITDA.
Ongoing OPEX initiatives will accommodate higher volumes with a lower carbon footprint and increased efficiency in time for an anticipated upsurge in demand. This is also well recognized by key customers who have set aggressive science -based goals . Efficiency of our sulfuric acid concentration facility at Nandesari is implemented.
We also commissioned the first industrial multi -fuel boiler in the chemical industry, which helps us in completely doing away with fossil fuels in one of our locations. Across the group, various initiatives for scoring such as TFS have resulted in extremel y high scores of 95 -plus in all of the

audits that were carried out in the last year.
Now although global geopolitical issues remain volatile, the Company 's integrated model and India's stability and consumption push provide a significant bulwark to the Company 's growth fundamentals. Supportive Government initiatives with large investment plans as well as PLI and infrastructure spending are creating a favorable environment leading to expectations of double - digit recovery in the industry. We are excited to be a part of this journey, and we have outlined expansion plans which will serve as key elements of our growth trajectory. We are moving forward with our 4 -year plan to enhance our capabilities and seize opportunities in both domestic and international markets, particularly in building blocks, intermediates and specialty chem icals.

You are all aware, we have signed 2 MOUs with the Government of Gujarat, which encompass an investment to the tune of about Rs. 14,000 crores towards the fulfillment of these objectives.
Various projects entailing an outlay of around Rs. 2,000 crores are in the final stages of implementation, and these are being commissioned during the current financial year. They include MIBK and MIBC, nitric acid, enhanced nitration, hydrogenation and specialty chemicals.
Further, we are implementing world -scale capabilities of acetophenone, which will be used as a specialty chemical in the flavors and fragrances segment. And this will be manufactured from recovered byproduct when we make phenol. This is under implementation and is likely to be commissioned in about 12 months.
Our new R&D center in Vadodara is expected to complete in the end of the current financial year and will enhance our innovation capabilities and support our strategic growth projects.
These advancements, coupled with our commitment to operational efficienc y position us well for continued success and growth.
In our AGM that just concluded, the Chairman updated that we expect to have licensing agreements in place by the end of the calendar year. With this, we look forward to embarking on the creation of a brand -new chain of chemistry platforms to service India's ever -increasing demand for engineering application chemicals. This will marry our existing core competencies with new technologies that will allow us to grow in the Specialty Chemicals segment in parallel to the Commodity segme nt. The kind of integration that has been planned is expected to bring to India a model that has seen significant success and value creation in m any other regions of the world.
To conclude , FY24 -25 promises to be the start of another transformative journey for Deepak.
With key projects advancing, improved customer sentiment and the conclusion of the destocking cycle in China, we anticipate a higher demand and stronger product realizations by the year -end.
Our strategic investments including the new R&D center, along with our robust domestic market presence, position us well to take advantage of this positiv

ity.
I would now like to hand the call over to Mr. Sanjay Upadhyay, who will address this forum and take you through the financial performance and key updates during the period under review.
Sanjay Upadhyay: Thank you, Maulik. Good afternoon everyone and thank you for joining us today on Deepak Nitrite's earnings call.
I will walk you through the highlights of the financial results for the 1st Quarter ended June 30, 2024 .
Despite persistent challenges from FY23 -24 into FY24 -25, including abundant Chinese supplies, export slowdowns and cautious customer sentiment due to geopolitical tensions, Deepak Nitrite

has maintained focus on long -term objectives. The Company has made significant progress in strengthening its product portfolio by investing in backward and forward integration in manufacturing units. It has also made progress in strengthening its balance sheet, optimizing risk management and advancing growth inv estments. It is important to note that on a consolidated basis, our Q1 FY25 performance has improved sequentially as well as year -over-year.
In Q1 FY25, we achieved notable performance improvements with maintained market share, revenue growth in industry -leading regions . By leveraging our integrated business model, enhancing production yields and exploring new markets, customers and product mix, we have successfully navigated current conditions and achieved cost savings, driving stable perform ance amidst ongoing volatility.
Coming to our financial performance in Q1 FY25 , on a consolidated basis, revenue stood at Rs. 2,186 crores compared to Rs. 1,800 crores in Q1 FY24. EBITDA grew 36% to Rs. 328 crores in Q1 FY25 compared to Rs. 242 crores in Q1 FY24. Margins have improved by 2% during the

quarter. The Company 's profitability was fueled by healthy operational performance and significant improvements seen out of sustainability initiatives. On a consolidated level, the domestic business revenue stood at Rs. 1,786 crores in Q1 FY25 and export revenue came in at Rs. 399 crores for the quarter.

Coming to our insurance claim , following the fire incident in Nandesari, we had submitted a claim of Rs. 127 crores, which was approved in full with the concluding payment received during the quarter. We have now received 100% of our claim amount, which is a signi ficant achievement.

Moving on to segmental performance , in the Advanced Intermediates segment, revenues came in at Rs. 716 crores in Q1 FY25, up 7% quarter -on-quarter and 1% year -on-year, while EBIT came in at Rs. 67 crores during the quarter under review, translating into a margin of 9% due to the current environment and challenging circumstances. Deepak Phenolics delivered an encouraging performance with revenue growth at 37% year -on-year to Rs. 1,464 crores in Q1 FY25 as against Rs. 1,068 crores in Q1 FY24. DPL set a new re cord with quarterly IPA sales of 22,000 KT showcasing our dedication to market demand and encouraging performance. DPL's EBITDA expanded by 117%, reaching to Rs. 231 crores in Q1 FY25 compared to Rs. 107 crores in Q1 FY24. EBIT stood at Rs. 208 crores, higher by 137% year -on-year, and EBIT margin was 14% for the quarter.

Moving to our investments and capex plans , Maulik has just outlined some of the focus areas of our expansion plan and they are being commissioned during the current financial year. These projects are being funded by mix of debt and internal accruals. So, the new project funding proposition is being worked out and will be shared with you at an appropriate time. Since we have a very strong balance sheet and continuing cash generation of around Rs. 1,000 crores per

annum and net worth position is around Rs. 5,000 crores, with the net debt negative, we are holding a v ery healthy financial position.

Further, I am pleased to share that ICR

A has reaffirmed Deepak Chem Tech Limited's long -term rating at ICRA AA with a stable outlook. These ratings underscore our solid financial position and optimistic process, which is important given the investment pipeline that we have charted . With that, I will now request the moderator to open the forum for the question -and-answer session.

Moderator: Thank you. We will now begin the question -and-answer session.

The first question is from the line of Nirav Jimudia from Anvil Research.

Nirav Jimudia : Sir, I have two questions. One, on the initial remarks, Maulik sir mentioned about the acetophenone discovery project. So, if you can share your thought process with reference to that? Like is this a byproduct along with our ‘cumin’ production or it's a purification of the AMS, which comes along with our phenol and acetone. And along with it, if you can also share that whether we are currently using acetophenone as a raw material for any of our product ion? And with this discovery, our dependence for this raw material from the outside wo rld will nullify.

Maulik Mehta : First of all, welcome, and thank you for starting us off with such a tough question. So, as I mentioned earlier, acetophenone will be manufactured using products which are generally considered as byproducts during the process of manufacturing of phenol. I am not commenting on which part of the manufacturing process that is. And this will obviously be a significant value add because they will be sold on spec to an industry, which values a particular purity profile as a specialty chemical. Now w hether we are using it as a raw material, I will also not want to comment on that because that is one of the ongoing projects between the group companies. But nonetheless, the major focus of this will be for market sales, the significant focus of this. And it will b e significantly value accretive compared to the current way in which the byproducts are valued.

Nirav Jimudia : Got it. So, let's say, if you can share something on whether this product is currently imported in India or there are some producers of it, and we will have the second mover advantage in terms of this product. So, if you can just share something on the market potential of this product, that will be very helpful, sir.

Maulik Mehta : It has a significant market potential in India, which is growing, but much more significant globally as well. So, I think internationally, the requirement for this product is currently in the excess of about 60,000, 70,000 tonnes per year. And there is a large domestic volume as well. And there is a bias in existing situation, significant bias for imports. So, we will be looking at participating in both parts, in the domestic market as well as in the export market. And as I mentioned earlier, we are talking about the feedstock being something which is much cheaper

than what would be manufactured otherwise. I think you can be rest assured that this has a strong business case, and we are eminently positioned to succeed in this product and the long -term business case.
Nirav Jimudia : Absolutely, sir. And, you mentioned about one of the user industry being flavors and fragrances. So, are there any other user industries where this product finds application or just flavors and fragrance is only the industry where this product is useful ?
Maulik Mehta : There's a vast number of applications. Flavors and fragrances, of course, is a large and growing segment. But it is also used as a solvent in many applications, including pharma and agrochemicals. Nowadays, agrochemicals are much maligned. But the demand pool for this particular product remains remarkably intact.
Nirav Jimudia : Got it. Sir, second question is on the DASDA and the OBA part. So, I think if we see from the annual report , DASDA has not done well in FY24 predominantly because of the user industr

ies
where it finds application. So, if you can share your outlook for FY25 with respect to these two products because I think we have also launched the newer product on the OBA side. So, if you can share your outlook on both of these products, that would be very helpful.
Maulik Mehta : See the problem with this segment, performance products, is that about two-third of the consumption of this product worldwide happens in a diluted form . So, you have about 70% water and 30% of the active optical brighten er. Now when things are okay in terms of ocean freight, we are very, very competitive with anyone else. So, if we are competing with a European manufacturer for a European customer, we are perfectly fine. Today, we are in a situation where ocean freight is so high that it leads to a decrease d margin profile because we have to compete with someone who is domestically catering their tankers. Now nonetheless, so the last year, the margin profile, we won't look at it in isolation of DASDA or optical brighten ers. It is linked because this is the single largest consumption. The reason that we remain bullish about this product is because moving forward, the demand is growing but only at 1 % or 2% points worldwide. That is in the face of international degrowth and India, especially, and also in South Asia, the growth expectation is so aggressive that it is actually covering up for and adding a percentage point or 2 to the world consumption.
So, in the last year, while the financial performance of performance products was not as good as we would like, in fact, it was our competitive disadvantage. As this demand migrates towards South Asia, it becomes a competitive advantage where suddenly you have the European and the American players completely outclassed in their competitiveness. And at that point, the market is our home advantage. In both of these products in the last year, we expanded our capacity by about 18% to 20% as well as improved our operational excellence as well as improved our carbon and water footprint. And all of these things have been well acknowledged by our customers as well. So, since we are bullish about this moving forward, I would like to highlight that like most mutual funds, past performance is not an indicator of the future.

Nirav Jimudia : Correct. So, if I read you correctly, you mentioned that we have expanded the capacities in DASDA and OBA by close to 18% to 20% in FY24. Is it correct, sir ?
Maulik Mehta : Accurate, yes. We have done it while reducing our energy footprint.
Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley .
Vivek Rajamani : First question was on the Advanced Intermediates. You spoke a lot about performance chemicals. So, in terms of the other two segments which make up advanced intermediates, could you give us some color in terms of how volumes have been behaving in this quarter? Because you mentioned you have seen some volume growth. So, any color with respect to how volumes are versus a normalized level, I don't know, Fiscal 2022 or 2023, any color with respect to that comparison would be super helpful.
Maulik Mehta : So now, since you've asked about volumes, I will answer about volumes, but also just to highlight , at the moment , as it was in the previous quarter and the quarters before, so the last 3 quarters, the price point and the realizations , margins are generally less than what are normalized for Deepak standalone AI business. Now when it comes to volumes, agrochemicals as an industry is still going through a febrile environment. But as you would ha ve seen from the contextual con -calls of many of these companies, they are maintaining the same kind of guidance that they gave. So, we do anticipate a slight improvement moving forward and the normalization maybe from the end of Q3 onwards. Volumes in a couple of products, hence, ar

e depressed. But
in most of the other products, volume recovery seems to be well on its way. We have also taken certain steps to migrate our customer base away from locations where they are seeing a general sense of malaise or where ocean freight is playing a pivotal role in margin profiles. So, while

this is happening, across the board, I think barring maybe 2 products, we have actually seen very healt hy levels of volume in our demand pull. So, our wallet shares are intact and growing. The domestic market certainly seems to be on a high industrial activity mode. And we believe that moving forward as some of these geopolitical uncertainties end, customers will be more bullish about booking long -term orders rather than shorter visibility orders like quarter -on-quarter. And that is the kind of general enviro nment that Deepak Nitrite stand alone has been used to operating in. But I will hasten to say that there are, as I mentioned, a couple of segments, for example, agrochemicals which are sti ll soft. And as I mentioned earlier, the Bangladesh prices has not yet been fully accounted for or assessed, because it is a significant player in the garment industry.

Sanjay Upadhyay : So, Vivek to add to this, volume overall there's a growth of 5%. As Maulik mention ed about the products where there was some softness, those are export products. Whereas domestic volumes are growing and domestic volumes are doing well. Though pricing pressure, of course, is there because of China destocking. These are the reasons which we all know now. This is there, but there is no issue on volume as such.

Vivek Rajamani : Sure, sir. This is super helpful. Just one clarification on this. You mentioned 5%. That would be a year-on-year comparison for Advanced Intermediates, correct?

Sanjay Upadhyay : This is what I said as compared to Q4, not year -on-year, in the sense, not the entire year. It is higher by 5%.

Vivek Rajamani : Okay. Got it, so it’s a sequential number. And sir, the second question I had was actually just a couple of clarifications on the medium -term aspirations. I think you mentioned that in the AGM, you've agreed to get the licensing agreements done by the end of the year. This is wit h respect to the specialty chemicals investment only or with respect to the entire line of new products that you are considering?

Sanjay Upadhyay : This was about the MOUs and expansion plans, not about the specialty end use, right . This is what our Chairman mentioned. Vivek, the Chairman was mentioning about the polycarbonate, and he had actually shared his detailed planning, our further actions on that. And there, he said that I've been mentioning this for the past couple of quarters, we are at a very advan ced stage, and he expect s to finalize on technology by this fourth quarter end. That's what he mentioned then. It has nothing to do with specialty chemicals as such. There are projects which are ongoing in our existing capex es, which are related to special ty chemicals. And we shall go on stream by Q3 end or Q4 beginning.

Vivek Rajamani : Got it, sir. And just lastly from my side before I rejoin the queue. Would it be fair to say that for Fiscal 2025, the focus of the management team would be on getting these Rs. 2,000 crores worth of projects up and running properly? And the more meaningful execution of the other larger MOUs would really start to pick up pac e in F Y26? Or do you think there is enough bandwidth to kind of keep executing the Rs. 2,000 crores as well, as well as taking some significant steps on these large MOUs over the course of this year?

Sanjay Upadhyay : See, Rs. 2,000 crores capex , by and large, it will be over by fourth quarter end. Maybe there could be some overlap of one product by, say, April, May, but then that will be over during that time. And in the meanwhile, we are progressing on the technolog

y front and acquired land als o and those things, the infrastructure development, these things are now going on. So, FY25, FY26 onward, you will find our entire focus on the new projects, which Chairman mentioned and the large projects, plus there could be some small projects also, I am not saying no. But yes, focus will be on the larger projects.

Maulik Mehta : I will just clarify on this point also that when we are tying up technology, there is work that is done after the tie up of technology. You are fine-tuning the engineering plan and the project execution strategy . Now that is done by a separate team, and the actual project execution is done by a separate team. So, while the execution team , I know it has its hands full executing the projects which we have already announced, the Rs. 2,000 crores worth, which will, by and large, be finished by the end of Q4, maybe with a little spillover, as Mr. Upadhyay mentioned. The

engineering, the design and the project strategy team will be busy working on the results of the technology tie -ups, which will take place between now and, say, December. So, this is part of a normal process. And then once the project execution team is done with its current project, it will then start taking over charge of the actual execution , it's a different department working on those right now. It will be a different department that works after the technology has been tied up. And then it will be a dif ferent department that is focused on the execution. So, these are discrete stage

gates for us.
Moderator: The next question is from the line of Dhara Ganatra from ValueQuest Investment Advisors .
Dhara Ganatra : I have this first question on getting some clarification on the capex done in the last 2 years, which is about Rs. 1,100 crores ; Rs. 770 crores in FY24. If you can break the capex amount into how much would be backward integration projects and how much would be the revenue generating projects. If you can first help me with that ?
Maulik Mehta : I think it's similar to the guidance that we have given earlier. This is a question that has been asked and colored. Generally, you can assume that the initial capex , as we have explained, has an aspect of it, which is related to the purchase of land and the development of infrastructure. So, there is an element of that also in the Rs. 2,000 crore . And the rest of it is split between about 60% going into upstream integration and 40% going into downstream after subtracting the infrastructure and land capexes . I will also mention that when we consider that something is upstream, for example, fluorination as well as photochlorination, these are assets which are engineered to give a multi -product application. So, there will be available assets also for making new products. So, there will be a level of fungibility, which gives us the opportunity to use i t for upstream integration as well as for new customers and new applications. But you can assume that Rs. 2,000 crores minus land and infra, the remainder is about a 60 -40, 60 % upstream and 40% downstream.
Dhara Ganatra : So, if you can provide us with some number of how much would be land and infrastructure of the Rs. 2,000 crores?
Sanjay Upadhyay : Around Rs. 300 crores to Rs. 350 crores.
Maulik Mehta : So, when we say land and infrastructure, infrastructure is actually a very wide -ranging group of assets, which includes things like boiler and steam generation, effluent treatment plants etc. as well as labs. So, a lot of infrastructure is required for safe and sustainable activities . So, I hope that our answer was sufficient enough to give you some color on the questions you asked.
Dhara Ganatra : Yes, sir. I have the second question on the capex that is there for FY25, particularly, that is about Rs. 1,200 crores. If you could help me understand if this also includes th

e polycarbonate
compounding project, and if you can provide the split between the different projects that are going to be planned with this Rs. 1,200 crore capex in FY25?

Sanjay Upadhyay : Polycarbonate compounding is a separate project, not a part of this Rs. 1,200 crores whatever you are saying. So, R&D, and then next phase is polycarbonate compounding and the larger capexes .
Maulik Mehta : I will just highlight that this polycarbonate compounding that we keep talking about is a pilot plant. And the intent of a pilot plant, I mean, it is a 30,000 tonne plant, which sounds like it should be a commercial plant. But the main intent of this is to be ex tremely fungible and focused, rather than only on a pure -play margin. It is critically focused on getting customer approval for the products that we make at scale. So, like I said, it has a margin, but it is not to be looked at in an operational sense as a regular manufacturing asset.
Moderator: The next question is from the line of Ankur Periwal from Axis Capital.
Ankur Periwal : First question on the Advanced Intermediates. 5% Q -on-Q volume growth, you did allude towards continued slowdown in ag -chem industry. But would it be fair to say that barring ag -chem, all the other end -use application, dyes, pigments, textiles, detergents , etc., there will be a decent uptick there? This will be contributing to the positive volume growth?
Maulik Mehta : So, one thing is, as I mentioned, we are yet to ascertain the potential impact of what is p laying out in Bangladesh. And the textile industry is the largest consumer of the dyes and pigments industry. Now this may have a positive aspect to it. I mean, it's a social disaster, whichever way you look at it. But if I am looking at it from the business sense, th ere is an opportunity, so we supply to the Indian peers of a lot of Bangladeshi companies. Nonetheless, the garment industry cannot really function if core parts of its supply chain are missing in action. So, the effect of what's taking place right now is complex. And the right mature approach would be to ensure that we give a guidance once we are clear about whether the demand for our products is actually met with the availability of core products that our cus tomers will use. So, this is very, very early. And other than agrochemicals, what we have said is that the market sentiment with regards to volume is positive. We do continue to see some level of destocking taking place from China, and that continues. But at least the market sentiment for buying is not weak. So, that gives a general level of positivity. It has not yet resulted in a long -term confidence for customers who have been really going through a difficult time over the last couple of years. So, they are also cautious in their buying behavior. But they have shared that there are indications that the situation is coming slowly and steadily in a way which one would consider as normal operating environment.
Ankur Periwal : Sure. That's pretty elaborate, and thanks for that. Secondly, on the fine and specialty side, we

have been launching newer molecules, newer products there. So, two parts to the question. One, what is the progress there in terms of adding new molecules? Or probably have we been able to add more clients, whether in India or abroad on the same bit?

Maulik Mehta : Yes to both. There is progress on adding new products as well as new molecules. Many of these products that we have added to the basket, they do have an approval cycle. Some of them are in the ag -chem space, but not all of them, some are into the advanced polymer segment. So, we are working and walking with our customers through their own validation cycles, which sometimes can be just a few months and sometimes can be up to a year. So, we are supporting them. We

are interacting with them on ke y improvement opportunities, on impurity profiles or on other aspects, for example, things like the overall energy efficiency or where we are able to improve on our throughput. So, these are processes which will result in business, which is annualized but not immediately. By this time next year, we should have a basket of at least 4 or 5 new products made at an industrial scale supplied on contractual agreement terms with key custome rs.

Ankur Periwal : Sure. I was about to ask that only that what is the number of molecules we are launching, great. Just lastly, on the new R&D lab that is expected to commission at the end of this financial year. Will it be dedicatedly for polycarbonate and those value chain -led products? Or this will also be used to scale up the AI part of the business?

Maulik Mehta : It will only be for polycarbonates. While there is a very small formulation lab that will be part of this, the vast majority will be for chemical intermediates that will be used in the traditional industries that Deepak Nitrite standalone has been catering to. So, it will also house various pilot plants, which will be able to scale it up from a lab kilo scale to several hundred kg scale from where it is easy to extrapolate data for a commercial plant. So, these will be varied chemistries and platforms that will be in place, and we will have very, very little overlap with polycarbonate compounding. That will be housed in its own dedicated facility.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath : Maulik, my first question is on the phenol spreads. We have seen last couple of months, a sharp uptick in these spreads. According to you , what is driving the spreads? And is this sustainable or this may be due to the planned shutdowns? So, little bit details on this will be very helpful.

Maulik Mehta : So, as you rightly summarized , phenol and acetone are commodity chemicals. And spreads are dictated by a lot of things. So, frankly, it could be linked to the demand pressure that comes from its key raw materials of benzene and propylene. It could be because of India's robust demand. Just to highlight that there's a very interesting situation that takes place when you look at Deepak Phenolics and Deepak Nitrite, where Deepak Nitrite suffers because of high ocean freight elements in its margin profile, this becomes an entry barrier whic h is advantageous to Deepak Phenolics business, where the same product when it is transported over ocean freight makes the landed import less competitive. So, here, when we have a bias in the domestic application, we are able to take advantage of the freig ht. Whereas when we have an export bias, it starts to eat away into our margin profiles. So, one thing that is there to be said is that India remains in a

strong and enviable position when it comes to the consumption and demand for products that are made in the phenolic chain, which is phenol, acetone and IPA.

Sanjay Upadhyay : See, i f you are looking at the numbers, then I must say that more than spreads, it is important to see how we are converting things , like Maulik was just mentioning about AMS, acetophenone or as we were talking about IPA, how efficiently and effectively you are using the facilities to generate both, spreads can go up and down, but numbers, if you see, and the volumes that we are growing, the debottlenecking or whatever we have done, that is contributing m uch more than what is actually happe ning to spread s in this. I think one must see in totality rather than just focusing on spread.

Arun Prasath : Right. Understood. Just on the global supply demand, is it much more stable as compared to, say, what it was last year in the phenol -acetone chain? Is it safe to assume that?

Sanjay Upadhyay : It is for us. And secondly, we are

India -specific, and we are definitely finding the demand in India to be intact and growing, in fact.

Arun Prasath : Alright. Secondly, on the licensing part, you gave some details. Usually, in petrochemicals, the resins or for any product, there will be couple or more depending upon the product . And usually, it doesn't take this much time because we announced our intent to enter downstream last year, somewhere around March, Feb. And we are saying by this December or March 2025, we will be finalizing the licensor. Is this unusual delay? Or is this because we are doing this for the first time, we are taking a little bit more time in this?

Maulik Mehta : No. There's one point that you are a little bit mistaken on. The technology tie -up and the licenses are not for petrochemicals. They are for polycarbonates and methacrylates. So, those do not have a very large pool of technology partners, you are correct on that. But that requires a far more intense study and discussion with various options. For example, when we are looking at polycarbonates, there are various routes. Some routes have more flexibility, some routes have less flexibility. Some routes have more flexibility and are more relevant for an Indian context but come at a higher operating cost. And other routes may have more facility and more flexibility but may have more provisions that we have to take for things like statutory compliances. So, it is not a petrochemical license that is taking time. It did not take us time when we put up the phenol and acetone pl ant. It is the downstream, the polycarbonate and methacrylates licenses. And rest assured, whether it takes more time or less time is not relevant. What is far more relevant is that we take the right decision. It is not about a couple of months here or the re. We are going to be manufacturing products for decades to come, and Indian demand is going to be robust enough to be able to absorb this kind of capacity we are putting in. We took a right decision, even though it took time with phenol. We will make sur e that we take the right decision here. And frankly, we are at the tail end of it. So, I think maybe if you have some suggestions, we can take it offline into how we can speed up the process of identification and confirmation of technology partners.

Arun Prasath : One clarification, Maulik. My understanding is once you finalize the license s, then basic engineering happens and then detail ed engineering , is this on a sequential basis? So, this will take approximately 3 to 4 quarters, is this understanding right?

Sanjay Upadhyay : So, if you heard our Chairman sir speech during AGM, he said that we have put ourselves an end date as to when the production should start because we have committed ourselves to the propylene supply also. So, keeping all these things in mind, we are moving ahead. Now let's not get into nitty -gritties of this or that has happened or not. Things are going in parallel, to answer your question. It's not that. Because there are different molecules extensively, different teams are work ing on different aspects of this. So, things are working. But then it's not only one project. We are working on 2, 3 projects simultaneously, which he was mentioning in his speech. And you must have heard that how we are progressing. But then sharpening these things will be more critical and important so that you get the better yields, you get the efficiency, you get the right technology partner in this. So, those things are critical in such a large project. So, we are working on that.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella : So, one question on the AI margins, which have been somewhat under pressure, so other than performance products, are there other parts of the segment as well that have seen any sort of pressure on

margins, particularly maybe the fine and specialty chemicals?

Sanjay Upadhyay : Fine and specialty, as we are mentioning, Abhijit, that if it is exported, yes, margins and even the total demand also is down because of Europe . Because of China destocking, the other segment is also impacted. So, there is definitely volumes, we are selling, but there is definitely a lower realization as compared to earlier years. That is for sure. And that is across the industry what is going on.

Abhijit Akella : Understand. And Sanjay bhai, we have also seen an increase in the number of competitors in the fine and specialty chemicals that we produce, or is that landscape still constant?

Maulik Mehta : I think there are co -producers. I don't know whether there are more co -producers. The business landscape on those products r emains more or less what it was.

Sanjay Upadhyay : In what context you are asking, Abhijit? I mean there is no change as such in that.

Maulik Mehta : We were making it before and there is someone else who is making it now and they have started. So, I won't say that there is an increase in the competition intensity. However, there has been, as Mr. Upadhyay's also mentioned, demand uncertainty. And part of it is linked to the downstream channel material movement for customers, and part of it is linked to their own issues. But what we have done in the meanwhile is we have migrated a lot of that demand into other loc ations. So, our material movement and production rates remain relatively high. We have significantly reduced single customer or single geography dependency. In the short term, this does come at a

slight margin squeeze. There's no doubt about it. But the good thing is that our credibility with all the key customers remains intact. So, when the situation improves, as it will invariably, at that time, we will have a broader base as well as market penetration to have our choice of where to supply. One thing I will also highlight, whatever we are making, especially in agrochemicals, the customers have repeatedly qualified our product a t having the best specification profile and purity profile. Now we foc us on making sure that the business is running and the product quality and customer acceptance remains high.

Sanjay Upadhyay : So, to answer your question, Abhijit, specifically, there is no addition in the supplies or capacities as such, if you are asking me i n this fine and specialty side.

Moderator: The next question is from the line of Rohan Gupta from Nuvama Institutional Equities .

Rohan Gupta : Sir, first question is on this textile dependence in our business specifically coming from Bangladesh. We are alarmed there a little bit that there can be still some uncertainty situations arising from Bangladesh. So, what is the business share coming from textile business in our case, sir?

Maulik Mehta : So, to clarify, Rohan, it's such a recent event that it is not yet fully assessed by anybody, and our team is also working hard on it. It can have a short -term positive or it can have a short -term negative. In the medium term, I think that the business fundamentals remain intact. If it's a short - term positive, of course, we will be there to take advantage. And if it is a short -term negative, we will highlight it as we see it unfolding. Now our depen dence on the textile industry is to the extent of saying that we supply some critical feedstock to the dyes and pigments industry. Large application of that is in the textile and garmenting industry . So, because what we are making are intermediates, they f ind the home in multiple application , take sodium nitrite, for example. It is, of course, used in the manufacturing of azo dyes and a lot of other dyes. But it is just as much used as chemical and water treatment or oil and gas exploration or many others like food additives and things like tha t. I

t is difficult to quantify. We don't have any direct correlation with the ongoing crisis in terms of our customer base. Our exposure directly to Bangladesh is so miniscule, but it's important for us to just be hone st with our analysts and shareholders that this is still an in -development situation. And it is possible that we will see how this unfolds over the next couple of weeks and get a better judgment in that time.

Rohan Gupta : Sir, second question is especially on the Rs. 14,000 crores capex breakup which you are talking about. If we have some clarity, I think that you are still in the middle of multiple technology tie-up and signing on that. But a clarification, if you can give that how much do you plan to invest further in phenol , BPA , polycarbonate?

Maulik Mehta : We have actually given a remarkable amount of clarity on that front. So, we have said that Rs. 14,000 crores plus/ minus will be spent in putting up another phenol and acetone plant in downstream BPA and a downstream polycarbonate plant in about 200 KT of aniline. So, we

have literally clarified what we are making. We have clarified by when these things will be commissioned. Is there any further breakup that you are looking for? We never, as a practice, get into detailing out of investments into specialty chemicals. But these are the big ticket items that we have already an nounced an d clarified, including the time line.

Rohan Gupta : Sir, you also just mentioned that in the polycarbonate resins, though the project will be , I mean, it's a pilot project still at 30,000 tonnes as well.

Maulik Mehta : That is the compounding.

Rohan Gupta : Okay, so that is a compounding plant. And that will still be a fungible plant for later, as you consider larger opportunities for establishing a large -scale compounding facility or this is currently only at a very early pilot stage, so testing will continue as the project progresses ?

Maulik Mehta : It is a pilot plant only. Rs. 14,000 crores that we have announced does not include a full large - scale compounding facility that will be over and above this. And it will be invested in at the right time. This is a pilot facility. But in these product applications, the kind of capacity that you need even for a pilot project is between 20,000 to 30,000 tonnes. It is an extremely fungible asset. But this is the kind of the viable size that the customers also need to validate.

Rohan Gupta : Sir, you want to say , as the validity is proven, and the customer acceptance is there for our polycarb onate business that itself will be completely different capex value on top of Rs. 14,000 crores capex plan, right?

Maulik Mehta : The compounding, yes. Not just the pilot compounding, but the large -scale compounding.

Rohan Gupta : Yes, large -scale compounding only I am talking about.

Sanjay Upadhyay : When Maulik says pilot compounding, it means it's a commercial plant.

Maulik Mehta : Yes, yes it's a 30,000 tonnes a year plant.

Sanjay Upadhyay : Let’s not have misunderstanding on commercial and pilot. Pilot in the sense this is the plant where you can say it was seed marketing, giving it to customer, customer acceptance, but it is a commercial plant. See, we were doing such things in phenol, we were importing and selling. Here, it doesn't work. So, we will have to actually give them a compound which they require given the separate industries and trying and establishing our market presence in the

compounding business, so that is a full -scale commercial plant of 30,000 tonnes.
Maulik Mehta : Also just to clarify that the country has already announced initiatives like PLI for engineering plastic, things like mobile devices and EVs and automobile and things like that. Now all of these companies, which have announced an intention to invest in Ind ia, there may be international companies and there is a domestic

value -add component. So, as they invest in their capacities in

India to take advantage of the PLI, they will be using products supplied by Deepak for their BPA. Right now, this might be only to the extent of the validation process. But as those capacities and investments get commissioned, once approved, we will also h ave to make sure that our compounding facility gets commissioned to be able to supply that kind of needs that they have. So, it is not necessary that the compounding investment for the large -scale facility will happen only after 2027. It may have to happen in line with the kind of investments that our potential customers will be making to take advantage of the PLI s.
Moderator: The next question is from the line Krishan Parwani from JM Financial.
Krishan Parwani : Firstly, some clarification. I think you were mentioning 200 KTPA of aniline. Did you mention capacity of BPA and polycarbonate as well? I am sorry if I missed out on noting the same.
Maulik Mehta : No, we have not mentioned that. But I mean, you can stitch a couple of numbers together, where we have announced that we have tied up for X volume of propylene. We will be, for example, doubling our phenol capacity. And to that tune, you can assume that the downstream will have some level of market sale because even BPA is imported into India. And the rest of it will go downstream into the manufacturing of polycarbonate resin s, most of which will go into the compounding but some of which will also be sold into the market as resins, which are also currently imported.
Krishan Parwani : Noted, Maulik bhai. So, I think I've done that work in terms of 250 KTPA that you have tied up with Petronet. So, I think basis that your phenol production could be more like 500 KTPA. So, would you be using some, let's say, 250 KTPA for your existing propylene requirement or because I think you are only mentioning phenol to be doubled. So, that is 350 KTPA additional. So, what will be the phenol capacity?
Maulik Mehta : That's all the color that we have felt comfortable sharing right now. As we move forward, I am sure that we will add more detail. I also think , there are few things that we would like to keep in our pockets.
Krishan Parwani : I can understand because of the contract agreement, no worries, I understand. So, I think Sanjay sir was mentioning that you have set up a hard deadline. So, can you please highlight the timelines at least for all this chain of projects? As in would polycarbonate get set up first? Because I think in AGM, Deepak sir also mentioned that it would be polycarbonate first and then probably bisphenol A and then doubling of phenol later. How would that be?
Sanjay Upadhyay : Yes. He also mentioned about time lines. December 2027 is the date. Maybe one quarter here and there maximum , but not beyond that, so that is the deadline.
Maulik Mehta : And in terms of the order, I think right now, we have various options. It's all actually dependent highly on the interaction that we are having with our customers. So, what needs to be done by when while ensuring that there is feedstock security , those are some of the strategic options that

we are studying intensely right now. I think, frankly, all of this will be clarified in significant detail in the forthcoming quarters. I am sorry that we can't provide anything much.
Krishan Parwani : No, I understand. So, just some clarification in terms of the backward integration benefit of the new projects like fluorination and nitric acid. When could we see this flowing in the Advanced Intermediates margins?
Maulik Mehta : I think Q4 should be a good quarter with regards to many of these benefits being tangibly felt. There will be a partial boost that we will get in our Q3. But one would assume that Q4 is realistic in a key q

uarter.
Krishan Parwani : Noted. And just one, if I may. On acetophenol, did you mention any production volume or you didn't?
Maulik Mehta : No. I just said it is world scale . Just to clarify, I said that the global demand is 60,000 to 70,000 tonnes. This is the global demand. We will be putting up a world -scale plant.
Moderator: The next question is from the line of Tanya Kothary from AUM Capital Private Limited.
Tanya Kothary : So, just a couple of questions. One is the R&D spend in the last 10 years was around Rs. 125 crores, which is around 0.42% of your sales in FY24. But the international companies generally

spend around 9% to 10% of their revenue on R&D. So, why there is difference in the investment priorities between our Company and the multinational counterpart s?

Maulik Mehta : I can't answer for what the multinationals do. But if I look at FY25, as I mentioned earlier, you will see that there is a significant investment made in R&D. And generally speaking, we have intensified R&D spending over the last few years. Also, we do not really , certainly, maybe other companies consider as R&D spending, like operational excellence initiatives and energy savings. We classify them as just OPEX item. When you say 9% to 10%, these are what one will consider as "innovator compani es," where they also invest in things like intellectual property protection. They also invest in developing various formulations. And we are their suppliers. So, we make the key intermediates that go into their end products, which are then formulated. So, their R&D considers a lot of things which are not part of our R&D platform. And so, I would not compare ourselves to other good chemical manufacturing companies, who are making advanced intermediates.

Tanya Kothary : And sir, we are coming up with the R&D facility in Savli. And it is going to primarily focus on specialty applications and life sciences. Now this R&D facility is going to enhance Deepak Nitrite's competitive advantage in the domestic as well as internatio nal markets?

Maulik Mehta : I look forward to inviting you and other analysts to our facility once it's commissioned. And I think that, that will give a strong and positive indication to that question.

Tanya Kothary : Another question is on the freight expenses because actually , a lot of times the management has indicated that due to this global war and issues , we are facing some problems. So, where does this come from? Like what is the expenditure because I find just 20% growth in the freight expenses.

Sanjay Upadhyay : Tanya, we can give you the freight expenditure, but that is not going to help you because sometimes there could be FOB costs, there could be CIF costs, there could be DDA costs . So, there are different kinds of costs , but the fact remains that freight cost has gone up when you are supplying to external customers , particularly Europe and these customers. And as compared to other s, Indian freight rate is higher. So, even if your basic cost or ex freight cost is the same , landed cost of the product will be higher. So, that is what Maulik was mentioning on freight. And so just by giving the freight number, you will not be able to appreciate these.

Maulik Mehta : I think one thing that I can tell you is that freight today is about 10% to 15% higher than it was last year. Just as an example, you have customer A in Europe, who is going to be bearing the cost of freight because see companies like Deepak, or another one in India or another one in China are selling it on an FOB basis . Now the customer in Europe has to essentially pay less for freight if the material is coming from China as compared to India. So, it doesn't matter where the freight is booked , the competitiveness of Deepak's FOB product will suffer a margin erosion if compared against a Chinese pr

oduct of similar manufacturer. So, the customer will then choose basis this or may cho ose to actually buy and produce less because their downstream application is seeing a constrained margin.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Sanjay Upadhyay : Thank you all for joining this call. In case any further clarification is required, you can always write to our Investor Relations led by Mr. Nanda. Thanks once again.

Maulik Mehta : Thank you.

Call: Nov 2024

DNL/138/BSE/ 1046/2024
November 21, 2024

Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
MUMBAI – 400 001

Dear Sir,

Scrip Code: 506401

Sub: Submission of earnings conference call Transcript

We enclose herewith the transcript of the earnings conference call of the Q2 & H1 FY 202 5 held on November 14, 202 4 and the same is also available on the website of the Company at the weblink https://www.godeepak.com/financial -result/ .

Please take the same on your record.

Thanking you.

Yours faithfully,
For DEEPAK NITRITE LIMITED

ARVIND BAJPAI
Company Secretary

Encl.: as above

Deepak Nitrite Limited
Q2 & H1 FY25 Earnings Conference Call
November 14, 202 4

MANAGEMENT : MR. MAULIK MEHTA – EXECUTIVE DIRECTOR AND CEO
MR. SANJAY UPADHYAY – DIRECTOR (FINANCE) AND
GROUP CFO
MR. SOMSEKHAR NANDA – CFO

MODERATOR : MR. VIRAL SHAH – IIFL SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Deepak Nitrite ’s Q2 & H1 FY25 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the

presentation concludes. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Viral Shah from IIFL Securities. Thank you, and over to you, sir.
Viral Shah: Good evening everyone, and thank you for joining us on Deepak Nitrite's Q2 & H1 FY25 Earnings Conference Call. Today, we have with us Mr. Maulik Mehta, Executive Director and CEO , Mr. Sanjay Upadhyay, Director (Finance) and Group CFO and Mr. Somsekhar Nanda, CFO of Deepak Nitrite Limited. We will begin the call with opening remarks from the management team followed by an interactive Q&A session.
At the outset, I would like to clarify that certain statements made or disclosed on the conference call today may be forward -looking in nature, and a disclaimer to this effect has been included in the results presen tation shared with you earlier.
To begin, Mr. Maulik Mehta will share views on the operating performance and the growth plans of the Company, followed by Mr. Sanjay Upadhyay, who shall take us through the financial and segmental performance. The results documents have been shared with you earlier and have also been posted on the Company's website.
I now invite Mr. Mehta to share his opening comments. Thank you, and over to you, sir.
Maulik Mehta: Thank you Viral. Good evening everybody and a warm welcome to all of you on Deepak Nitrite's Q2 & H1 FY 25 earnings conference c all. Belated wishes for Diwali and wishing all of you a prosperous New Year ahead.
Our results documents were shared earlier with you, and I hope you've had an oppo rtunity to glance through them . I'll cover the key financial and operational highlights for the quarter and half year ended 30th September 2024 . Mr. Upadhyay will then present you with a more comprehensive financial overview during the period under review. Following that, we would love to hear your questions.
To start with, I'm delighted to share that we have commenced our foray into Advanced Materials in line with the long -term strategic plan that has been conveyed by our Chairman earlier. As emphasized by him, selecting the right technology partner has been c rucial, and we have dedicated our efforts to finalizing a Technology Licensing Agreement at the earliest . Yesterday, the Board of Directors of Deepak Chem Tech Limited (DCTL) , our 100% subsidiary, approved the following :

To proceed with the project to manufacture polycarbonate resins involving an investment of approximately INR 5,000 crore , inclusive of greenfield infrastructure and capital expenditure. This investment will be funded through a balanced mix of debt and equity, contingent upon the completion of detailed engineering.
To this end, DCTL has secured a technology partnership by entering into an agreement with affiliates of Trinseo PLC to license its technology for the production of polycarbonate resins. Trinseo's technology is highly regarded by leading customers for its q uality and consistency. Additionally, DCTL will acquire Trinseo's assets, including all proprietary equipment with an annual capacity of 165,000 metric ton nes, curre ntly located in Stade, Germany. This agreement also grants access to Trinseo's globally recognized CALIBRE ™ resins and trademark.
This marks a significant milestone, and we're actively working towards achieving our goal.
On this note, I would like to take the opportunity to mention that ,
1. India's demand for polycarbonate resins was approximately 240,000 MTPA in 2023, and it is pr

ojected to grow at a rate exceeding that of India's GDP. Currently, the entire demand is met through imports. The polycarbonate resin plant will cater to a wide range of applications across sectors such as mobility, electronics, electrical, medical equipment, aerospace, packaging and various other emerging and sun rise industries in the country. Additionally, new applications such as EV battery boxes are anticipated to further accelerate demand growth.
2. Deepak's strategy focuses on expanding downstream integration and the polycarbonate resin investment aligns with this approach as part of the phenol value chain.
Now coming to the operational performance in Q2 and H1 .
Business sentiment in the quarter remained mixed due to geopolitical uncertainties linked with high interest, limited operating rates in Europe and China, low price destocking and volatile crude oil prices. While there are segments where we witnessed posit ive sentiment, a short -term challenge from persistently underpriced product availability from China has preve nted a broader recovery so far. This was exacerbated by logistical challenges due to increasing freight rate and sailing times.
While a key market like Europe has slowed, emerging markets like Asia present growth

opportunities driven by strong domestic consumption and rising onshore value addition. India has reinforced its role as a dependable manufacturing hub, providing a key alternative to China amidst these challenges. As a result, we see manufacturing capacity and capability buildup taking place in India, driving higher requirements for a variety of inputs . Industries such as medical equipment, semiconductors, telecommunication equipments and industrial products to name a few, which ha ve not been traditionally the strength s for Indian manufacturing. We are

now emerging with exciting avenues for growth and by adding polycarbonate resins, we have positioned ourselves and our product portfolio to be increasingly relevant to these requirements. Now as a result, our business, which is 84% dependent on domestic customers has proved to be a resilient bulwark amidst this global volatility. For Q2, consolidated revenues grew at 14% year-on-year. And for H1, consolidated revenues were higher by 18% on a year -on-year basis. This performance was powered by a strong growth in the Phenolics business driven due to improved demand supported by capac ities being operated at high utilization levels , investing in upstream, debottlenecking and maintaining wallet share across our diversified product r ange in Advanced Intermediates. We have also successfully integrated sustainable energy sources, improved key product circularity and pivoted towards non -traditional customer geographies as we prioritize operating rates across locations.

In terms of profitability, EBITDA at INR 319 crore in Q2 was stable on a year -on-year basis. Realizations in Advanced Intermediates were muted this quarter and key agrochemical customers in Europe faced certain challenges, resulting in reduced offtake. While we successfully pivoted to customers in other geographies, volumes were maintained, but result ed in profitab ility temporarily being impacted. Capacity utilization and demand gains in Phenolics has substantially offset the impact of generally weak pricing on finished products in the AI segment in the quarter, enabling us to report steady EBITDA on a consolidated basis.

For H1, EBITDA increased by 15% year -on-year to INR 647 crore with an EBITDA margin of 15%. This was largely driven by Deepak Phenolics, which capitalized on steady realizations and higher volumes by optimizing capacity, and this enabled the Company to serve this increased demand from customers.

On the operational front, our domestic business, as I mentioned, contributed 84% of overall revenues versus 80% in the same quarter

last year, while exports contributed to 16%. This
reflects the shifting of volumes from Europe to Asia in most cases, and we've been able to retain or increase o ur wallet share with customers.

Coming to our segmental performance , the advanced intermediates segment generated revenues of INR 606 crore in Q2. Revenue growth was impacted by soft realizations due to the cyclicality and weak demand trends in end user segments. One of our key customers witnessed a challenge this quarter which impacted their ability to absorb committed volumes, which we partially offset by successfully redirecting the volumes to non -traditional geographies. We're also committed to broadening our customer base by strategically introducing new products and thereby expanding our offerings to reach a wider audience.

Revenues in the Phenolics segment were higher by 29% year -on-year, and EBIT margin was maintained at 15%. This improvement can be attributed to better realizations in the phenol and acetone chain, driven by favorable domestic consumption trends and expande d capacity.

Sustained capacity utilization in the quarter has been a key factor despite a very brutal summer, and this is a consistent performer in the segment.

Moving on to updates in our pipeline of projects :

- The nitric acid project is expect ed to be commissioned in H2 FY 25.
- Our other projects, including photochlorination, hydrogenation and nitration block are also commissioning together in H2 FY25. If you remember, fluorination block was already commissioned in Q4 FY24.
- In the MIBK / MIBC project, we expect commissioning in H1 FY26.
- The acetophenone project is on track and expected to be commissioned in H1 FY26.
- Additionally, our R&D center near Vadodara (Savli) is on track for commissioning in H2 FY25 . This state-of-the-art facility will significantly enhance our capabilities in

advanced chemistries as well as deliver our future growth. These efforts reflect an ongoing commitment to innovation, self -reliance and sustainable expansion.
As we work through a period of geopolitical uncertainty and other economic challenges, Deepak's strategy for future growth remains unwavering. Our strategy is to diversify, focusing on acquiring new customers across several promising markets. Additionally, we are developing new distribution channels in key geographies, which will bring us one step closer to local generic manufacturers and open up new avenues for growth. This approach not only mitigates regional risks, but also positions our best -in-class quality to capture new opportunities at a global scale.
Looking ahead, we anticipate a demand uptick from our legacy European customers in the later part of the second half of this year, potentially aligning with the end of China's destocking, leading to improved product pricing. Several projects are nearing completion over the next 6 – 12 months, including nitric acid, new nitration and hydrogenation blocks , photochlorination, acetophenone, cumene hydroperoxide, MIBK and MIBC as well as the R&D center. This is in addition to the recently commissioned projects, including multi fuel boilers, SAC unit, advanced process control systems and high -pressure fluorination assets, which will add accretive value looking ahead. New investment announcements will significantly enhance the Company's business model and chemistry platforms over the next 3 years and pave the road for new partnerships and opportunities.
I would now hand over the call to Mr. Sanjay Upadhyay, who will address this forum and take you through the financial performance and key updates during this period.
Sanjay Upadhyay: Thank you Maulik. Good evening everyone. Thank you for joining us today on Deepak Nitrite's earnings call. I'll take you through the highlights of the financial results for the quarter and half year ended Sep

tember 30, 2024.

Coming to the key developments of this quarter, though Maulik has shared already, I am pleased to convey that Board of Directors of DCTL has yesterday approved setting up a project for manufacturing polycarbonate resins. Maulik has shared all of the detail s.
As regards to funding of the project, there is no pressure on the cash flow as of now, as we have liquid surplus of around INR 800 crore and payment to Trinseo is also in the phased manner. Over and above that, we have doable limits also available. We shall come back to the market regarding funding plans in detail in due course once we have evaluated various options in detail.
Additionally, we have invested INR 34.5 crore in OXOC Chemical Limited, which has ventured into business of polycarbonate compounding based products and derivatives. This should help Deepak Group with strategic objective of forward integration, but particularly when we have our polycarbonate plant now going ahe ad with the announcement phase.
Coming to the operations of Q2, amid a challenging landscape in terms of geopolitical concerns and heavy monsoon added volatility on the prices of few raw materials , Deepak Nitrite has delivered a resilient performance. First, our operations remain highly efficient. On a consolidated basis, our ROCE is reported at 23%, continuing our track record of consistently delivering value in the current challenging macro -economic landscape.
You all may appreciate that with projects approaching commissioning gradually as stated by Maulik earlier, some of which are bottom -line accretive and some are to p-line, we are gradually getting into a high level of integration , as one of its kind amongst the chemical industries in the country . This will be a model, which will be very resilient. These product class es are catering to several core sector end users , and places Deepak in a very solid and strategic positioning , globally.
Coming to our financial performance . On the operating front, domestic business revenue stood at INR 1,714 crore and INR 3,475 crore in Q2 and H1, respectively. Export revenue were at INR 318 crore in Q2 and INR 724 crore in H1. On a consolidated basis, our domestic to export mix stood at 84:16 in Q2 FY 25 as against 80:20 same period last year.
In H1 FY 25 consolidated basis, the revenue grew at 18% to INR 4,239 crore versus INR 3,595 crore in H1 FY 24, driven by performance of the Phenolic s segment . EBITDA grew at 15% at INR 647 crore compared to INR 561 crore in H1 FY 24. Margins came in at 15% in H 1 FY25. PBT and PAT came at INR 539 crore and INR 397 crore , up 13% and 12%, respectively.
In Q2 FY 25, on a consol idated basis, revenue were up 14% to INR 2,053 crore as compared to INR 1,795 crore in Q2 FY 24. EBITDA at INR 319 crore was flat on a year -on-year basis. Margins moderated at 16% on the base of higher raw material costs and other utilities along with lower recovery for a few products. PBT and PAT stood at INR 264 crore and INR 194 crore , respectively. Profitability was aligned with the operational performance of the Company.

Moving to the segmental performance . In the Advanced Intermediates segment, revenue stood at INR 606 crore in Q2 FY 25 versus INR 670 crore in Q2 FY24. While EBIT stood at INR 47 crore translating to 8% margin during the quarter under review. In H1 FY 25, revenue came at INR 1,322 crore and EBIT came in at INR 114 crore , translating into a margin of 9% due to current en vironment as explained earlier.

The Phenolics segment delivered an encouraging performance with revenue growth at 29% year -on-year to INR 1,443 crore in Q2 FY 25 versus INR 1,120 crore in Q2 FY 24. EBIT was INR 215 crore at an EBIT margin of 15% in the quarter. In H1 FY 25, revenue grew at 3 3% to INR 2,9

07

crore and EBIT was higher by 64% year -on-year at INR 422 crore , translating into a margin of 15%.

On the balance sheet front, the Company's financial position is significantly enhanced, and the Company continues to maintain zero debt position on a net basis with a net worth of INR 5,125 crore on a consolidated basis.

Our ongoing projects are progressing well and despite a bit of unexpected delay in Q2 due to very heavy monsoon in Gujarat, we are on track to commission most of the projects in the next 6 months to 8 months. Our R&D team is driving innovation, focusing on de veloping new products that will support the expansion of our specialty chemicals capabilities. The se new plant s will enhance our self -reliance on essential raw materials and maximize profitability once fully operational. Lastly, our R&D center near Vadodara is moving ahead on schedule , with 66% allocated capex of approximately INR 115 crore having been utilized. We are confident that the addition of the R&D center related capabilities will elevate the competitive positioning further. This center will also cater to various requirements of polycarbonate compounding strategy, and this will help us in catering to the upcoming surge in demand for sunrise sectors in the country.

With that, I would now request moderator to open the forum for question and answer session, please.

Moderator: Thank you very much. We will now begin the question and answer session .

Our first question is from the line of Nirav Jimudia from Anvil Corporation.

Nirav Jimudia : Congratulations to the entire team of Deepak for acquiring the assets abroad and bringing those assets to India. So sir, question basically is on the polycarbonate side only. So one, we have announced that 165,000 metric ton nes of polycarbonate would be put up here in India at a capex of INR 5,000 crore . If you can also share your thought process on the upstream capacities of BPA and phenol, when can we hear on both of these fronts? And if possible, if you can quantify the size of the capacities for both of them, that would be helpful.

Maulik Mehta: Okay. First of all, Happy New Year, Nirav . And just to clarify, it is part of our strategy to link phenol expansion as well as bisphenol A, which are the key intermediates that are required in

order to manufacture polycarbonates. So it's simply that we were able to tie up our technology as well as get assets, which are purpose -built for this capacity earlier. I think in a couple of months, we will be able to update you with regards to the investment as well as the capacities for these other 2 products. Suffice to say that as per our usual strategy, we will ensure that the assets are rightsized so that we can no t only consume all the production internally, but also have some volume s to sell because BPA is also a 100% import into India. So we'll be able to cater to this. In phenol, we will be able to manufacture enough so that we are able to consume it into BPA as well as continue to maintain a wallet share with India's growing demand.

Sanjay Upadhyay: To add to this, we are at an advanced stage of discussions on this technology front also. Though phenol and BPA are known products, but it's better to evaluate our technology vis -a-vis the current technology available in the market. And when we come out, we'll come up with the best technology available in the market so that we do not have any future competiton . I mean, you've seen how phenol has performed. So similar thing, again, we are trying and we'll see that we get the best technology.

Nirav Jimudia : Got it. Sir, last time when we announced our capex for all the projects that is currently undergoing and getting commissioned; for this, everything is coming up at the new land parcel, I believe. So what would be the size of the area under which the entire facility

would be
accommodated? If you can just share because last time, if I'm not wrong, it was close to around 180 to 200 acres of land under which the capex was undergoing. So if you can share in terms of the size of the land requirement for such a big capex to accommodate?

Maulik Mehta: So I mean, we have a plan where we can accommodate in an expanded manner or in a more compact manner. We are also seeing how we can integrate this along with potential future expansions and other products. So the amount of space can go from anywhere between about a 160-acre plot to about 300 to 400 acres, again, depending on how much we are integrating with other products, which will be sharing a lot of these facilities. Just to clarify also that the investments that we are making right now will also permit us some headroom with regards to debottlenecking as we move forward.

Nirav Jimudia : Got it . And sir, for this technology tie -up, do we have to pay anything to the technology partner as onetime fee or any sort of understanding fee? If you can just help us understand.

Sanjay Upadhyay: Nirav , I just said in my earlier remarks that it is paid in a phased manner, okay . So it is in stages.

Maulik Mehta: But there's no royalty like one would normally have in most technology tie -ups. There is a technology fee and there is an asset purchase.

Nirav Jimudia : Got it. The second bit is on the nitric acid side. You mentioned that the pre -commissioning activities is going to start sooner and plant would be commissioned in second half of FY 25. So is it now a right time to say like what sort of capacity of nitric acid we are coming up with? And

would it be entirely for the captive purpose or we'll be selling something in the market also given the kind of ramp -up in the volumes for our existing product baskets?

Maulik Mehta: So our pre -commissioning activities have already begun , to clarify. And the capacity that we have is enough for our current consumption as well as our future growth opportunities that we have identified. In the interim, of course, we will also be able to participate in the market. But our long -term strategy continues to remain making it for consuming it. And we see good opportunities for growth in nitrated products.

Nirav Jimudia : Okay. Got it. Sir, last bit from my side is on the Advanced Intermediates. Like you mentioned that there was pressure in terms of the agrochemical customers where we do campaign -based sales. So I think our turnover on a sequential basis was down close to INR 100 crore . So was the impact higher than the INR 100 crore in some of our legacy products and the existing product baskets ? Would that help cover some of the lost sales, or is the entire INR 100 crore dip in sales coming from those customers? And since you mentioned that those customers are coming back in H2, will this sales gap be filled up again ?

Sanjay Upadhyay: I mean, there is no loss of customer, Nirav?

Nirav Jimudia : No, no, I'm not saying loss of customers. I'm saying that the customers, which have deferred their purchases maybe because of the slowdown. I was just trying to understand that this INR 100 crore impact, what we have seen in terms of top -line on a quarter -on-quarter basis, I was just trying to understand that was the impact more than the INR 100 crore and other products of ours in the Advanced Intermediates would have compensated some sort of those lost sales? Just wanted to understand that.

Maulik Mehta: No. So INR 100 crore was not linked to any single customer or 2 customers. It was linked more to the end segment, which is agrochemicals. So just to clarify, agrochemicals, as a segment, a lot of customers have been constantly down revising their volume guidance over the year in anticipation of the end of this destocking cycle and are now also communicating back to us their confidence about

significant improvement in volume pickup compared to the current and Q1, starting from towar ds the end of Q3 or Q4 onwards. So we can anticipate that this is the agrochemical slowdown that every other Indian Compan y, which also participates in this space which was refer ed to. And we also concur with the general feedback that, by and large, CY 25 looks more positive than CY 24.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: The first question is on polycarbonate. So one, in terms of the existing facility in Germany, how old is the plant? And any specific reason why Trinseo wants to sell the entire asset? And another clarification on the same , based on the current margin environment on polycarbonate, what would be our expected payback? Because in phenol acetone project, we had a payback of 2.5

years, given the margin environment was very strong. So what is the expectation on the polycarbonate project?
Maulik Mehta: Okay. So Rohit, first of all, thank you. Just to add that the capacity for 165,000 metric tonnes in Stade is their current capacity. The reason that they wanted to move their assets and the reason that we bought this is because we made it clear in our engagement with them that we were not interested in taking just a single l ine.
We were interested in taking this as they were interested in vacating the market and working with Deepak, where we would supply whatever they're in, so they are not exiting the business. They're just exiting the manufacturing of polycarbonate resins. They continue to remain invested in the intellectual property development compounding of this product, and they will look at buying the resin from Deepak as we relo cate their assets to India.
This also gives us the opportunity to supply to th e growing Indian ecosystem, but at the same time, at a manufacturing cost, which may be considerably lower than the current climate that European manufacturers are facing. And Deepak has a good experience in seeing how to optimize and debottleneck as it lea rns the nuan ces of these new processes.
So not only is Trinseo happy that its end customers will continue to remain happy with them, but it has also communicated that many of these customers are investing in capacities in India. And they want to ensure that they don't lose these customers, as their customers don't have to go somewhere else to be able to get these compounds.
And with an Indian manufacturing base, Trinseo will also be able to communicate to many of these customers that they stand derisked. So I think to start off with, while it looks like a licensing agreement and an asset purchase agreement, I would say that it is the beginning of a comprehensive partners hip moving forward.
Sanjay Upadhyay: So with regards to the quality of asset, it's top class quality. Our technical team has visited, inspected, and the quality is really good. The advantage with this asset is that you can see a running plant. It's very rare that you buy assets and you see a running plant, which is actually performing and our technical team is getting trained there . And again, the technology is from Trinseo and the assets are also from Trinseo, so that makes it all the more a very good combination for us. So there is no issue as such.
And please appreciate, this also helps us in reducing the capex commencement plan by at least 8 to 10 months minimum here. That's a major advantage we are getting here. So overall, if you see, it's a very good deal for Deepak, win -win for us and for Trinseo, both.
Maulik Mehta: And I'll just add one thing. This plant was put up when I would say money was cheaper. So the kind of materials of construction (MOCs) that went into the construction of this plant, the asset, they are very exotic MOCs. Today, if someone was to put up a brand -new pl

ant, they might try

to see how to optimize on some of these MOCs. So in a sense, we are getting a plant that has demonstrated performance, it is in top class condition and happens to have a large part of its asset base , I would say, a little bit overengineered. That gives us a lot of comfort as well in being able to see how over a period of time, we can start to eke out more and more value and throughput from the assets.
Rohit Nagraj: Sure. That's really helpful. Sir, second question, again, on the capex front. So out of the INR 14,000 crore capex plan till 2027, how much have we committed till now? And how much is left? Trying just to get a broader understanding of FY 25 and FY 26 capex .
Sanjay Upadhyay: So around INR 7,000 crore , we have committed, including this INR 5,000 crore plus earlier INR 2,000 crore what we have just shared about nitric acid and all. And balance INR 7,000 crore is there as part of MOU where the Phase 2 will commence as Maulik was telling in the earlier question regarding BPA, phenol and all these things. So this all total is INR 14,000.
Rohit Nagraj: Right. And for FY 25 and FY26, what could be the capex number?
Sanjay Upadhyay: These are the capexes , which are not going to happen this year. This is still 2027 and/ or 2028. I think around by end of 2027, 2028 beginning. So this will take us through for next 3 years minimum.
Maulik Mehta: So the parts that we have not announced will also be done sort of in parallel, but we are still in the process of tying up certain loose ends. Once we do, we will be able to add those announcements, and they will be done in parallel in terms of execution.
Moderator: The next question is from the line of Krishan Parwani from JM Financial.
Krishan Parwani: Congratualtions on the tie -up. So just a couple of points on that. So let's say, if you were to build this plant of 165,000 metric ton nes, what would have been the capex that you would have to incur? I mean, apart from the technological fee or the licensing fee that you are paying?
Sanjay Upadhyay: See, this plant has a saving definitely because it's a second -hand plant, but we are developing a

site. Why INR 5,000 crore ? Because we are developing a site, which is greenfield where you have infrastructure cost, which is a part of this capex . So a lot of infrastructure costs also we have to incur because we have to make the site ready for all future investments. Of course, not the entire infrastructure is allocated to this, but a significa nt amount is allocated to this. And hence, the total investment is higher, but this will suffice for the future -ready . So there is a saving on this, and then shifting of the plant also needs some expense, when you are dismantling all these things. So we don't want to specify the amount, how much is saving. But yes, even after this, there is a saving on the total capex .
Maulik Mehta: And it's a good amount of saving, without going into details.
Krishan Parwani: Sure. Yes, yes. I mean, that's fine. As long as there is saving, that's fine.

Maulik Mehta: Yes, yes. So there is saving on the capex as well as the time line, as Mr. Upadhyay mentioned.
Krishan Parwani: Yes. Got it. And secondly, I think in the past calls, we harped upon the technology, which does not rely on phosgenation. So does this one that you've procured, does this rely on phosgenation? If yes, how would you be sourcing the same?
Maulik Mehta: This is a process which is called interfacial polymerization. The raw materials for this are bisphenol A, chlorine, carbon monoxide and chain terminators. Let me put it this way , it is not only one of the most mature technologies in the world. It has the widest range of applications, the highest quality , an absolutely impeccable with sterling safety standard.

So there's a 3 Phase
safety system, all of it without requiring any human intervention. And let me clarify that the only products that we will be moving will be chlorine and bisphenol A, along with whatever small volume of chain terminators that one uses in the manufacturing. But you can consider that bisphenol A, energy and chlorine are the raw materials here.
Krishan Parwani: Yes. Got it. But I think when you're mixing chlorine and carbon monoxide, anyways, there is a phosgene, right? $COCl_2$, anyways. It's probably basically you are starting from the scratch and then not buying phosgene. So it's like you are, in a way, kind of reacting bisphenol A with phosgene in a way, correct?
Maulik Mehta: Okay. Let me reemphasize this. It is interfacial polymerization with the key raw materials being chlorine and BPA. And what you're talking about is a HyCO plant, which is part of this capex , which we have already projected. It's part of this INR 5,000 crore investment, which is physically located on site, and the reactions are done in tank -in-tank design with ele ctronic trips across the board. There's no human intervention that is required and the BPA is reacted within milliseconds within the plant in plant design and comes out clean. And there are chlorine destruction systems also that are put in place across the board. So this actually comes across as possibly the safest technology worldwid e.
Krishan Parwani: Got it. And just last bit, I think in your previous comment, you mentioned that this does not include the BPA, right? You'll have to still purchase the BPA from outside .
Maulik Mehta: Until we manufacture, yes.
Krishan Parwani: Okay. So this INR 5,000 crore is entirely for this polycarbonate , right?
Maulik Mehta: For polycarbonate, HyCO, associated utilities, site and site infrastructure, along with additional capacities that are already going to be built for easy expansion because it's important for us to consider expansion opportunities without needing to stop manufacturing or without n eeding to make a lot of modular additions.
Moderator: The next question is from the li ne of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: First off, congratulations on this investment. A bit of an extension on what the previous participant was asking. You've approved an investment of about INR 50 billion with the start - up in FY 28 end. Given that Trinseo had sold this asset for about $ 52 million, would it be possible to give a broad breakup of how the money would be spent? You obviously mentioned what all are going into it for the previous participant. But would it be possible to give a broad breakup of how the INR 5,000 crore would be spent? And given that for the relocation, you're entailing about 3 years, what are the key milestones that you would think about for the relocation to happen over the course of 3 years? That's the first question.
Maulik Mehta: Vivek, I think you can be rest assured that we've taken a good and accurate capital investment estimation. And I think if I'm not mistaken, my finance team can correct me, Mr. Upadhyay can

correct me. But we have taken contingencies, margin money, cost of relocation as well as cost of ensuring compliance in terms of how it will be moved. So there will be an entire strategy in place to know how the asset will move from there to here and the payments that have to be made. Again, to clarify, the cost of ensuring that the assets are ready for us to move is not in our scope. That belongs to Trinseo, and they are going to be doing that part. So in terms of how the money will be spent and how the assets will be brought here, there is a strategy that is put in place, and it is reasonably tight keeping international experts as well as Indian experts in the loop. I think over a period of time, we will be able to share some more colour on that o

r even better, I'm sure that the investors would love to get to know more on a face -to-face interaction with Mr. Mehta maybe in the forthcoming months.

Vivek Rajamani: Sure, that makes sense, and that's really helpful. Just a small clarification. When you've mentioned in terms of the size of the land parcel to kind of cater to all of your investments, I imagine the acquisition would happen progressively over the next 3 -4 years as you finalize these various investments. Would that be a fair assessment?

Maulik Mehta: I think the land is taken care of. Of course, the infrastructure development and the investment on those fronts will happen side by side. But I think the land parcel is well accounted for.

Vivek Rajamani: Great, sir. And just one last question on the Advanced Intermediates side. We focused on the polycarbonate investment. Just wanted to get some colour on what's happening on the ground and how we should think about the demand and earnings trajectory over the next few quarters?

Maulik Mehta: Present tense; future perfect. But joking aside, one can assume that a lot of the end segments where the standalone business is operating will continue to see a similar level of volatility that we saw in Q1 and Q2 up until the end of Q3. And we are seeing recovery in a lot of the products that we are in. But one can anticipate that Q3 will be a mixed bag and Q4 will be much better. This is the same thing that I had also highlighted in the Q1 con call, and we stand aligned with that even in November 2024 . So all of the indications seem to lean towards normalizing of the global environment in CY 25.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: Congratulations for the tech tie up here. Just seeking some more clarifications here. Earlier, we had gone ahead and set up that the pilot compounding plant, the polycarbonate compounding plant to be sure of which segments we want to get into. And if I hear you right, with this technology, although you mentioned it's slightly dated, it's safe and ability to enter into multiple end use segments. So just trying to understand, are we focusing on much larger addressable opportunity now versus what you were thinking of earlier? And the tech team or the tech support from Trinseo, will it be supporting us in terms of ramping up all these investments?

Maulik Mehta: So to clarify, see, it's not dated. Chemical manufacturing plants, let's put it this way , these are not plants, which are expected to last 5 years or 10 years or 15 years. I would reemphasize that the kind of safety standards that this plant has and the impeccable record that it has over its years of operation, I would say that, hence, this actu ally is a better plant than if we were to put up a greenfield asset today, along with the fact that its operational track record means that it has a stable set of customers, which appreciate t he quality and the consistency. So these products have approval cycles, which may go into 8 -9 months, 1 year, 2 years, even longer in certain cases like medical devices. So having an asset, which has already gone through that, having a technology partner who is there, who is also partially a customer, who is also working with you to see how to partner up with end consumers, all of this means that all the investments that we have made so far in our compounding facility will get ampl ified multiple times with this.

So it dramatically broad bases and eases our acceptance into the applications, which we have been targeting. So in every regard, it is simply easy to say that the speed of approval at customer ends will be much, much faster than if you were to do everythin g from the start. This is the value of a technology and business partner that is walking alongside us, and because it is a technology and business partner wa

lking alongside us, you can imagine that it is in their best interest to see how quickly we can get the product out because their customers are already even today announcing investments to put up capacities in India for consumption. So it is also in Trinseo's best interest to see how we can get on -spec and exceed the production capacity that we are transferring from Stade to India .

Ankur Periwal: Sure. That's helpful. And just a clarification, the royalty payment that we have made .

Maulik Mehta: Not a royalty. There is no repeat payment s.

Ankur Periwal: Okay, the tech fee, correction. The tech fee that we have paid, it is irrespective of whether the

capacity is 165,000 metric ton nes or going ahead, it could be probably 1 million ton nes.
Maulik Mehta: No, that's not the case and it should never be construed as that. It is for 165,000 metric ton nes and there is a headroom available . Any normal technology agreement which we have today, for example, the phenol manufacturing plant that we have designed for certain capacity, and when you exceed that capacity, you work with the technology supplier and you do pay them

something. It is obviously much less than what it would be if it was a brand -new license. But again, let me reemphasize, if I make 1 million ton nes from the same asset, there will be a payment because there is an expectation of support as well, but it is not a royalty. There is no repeating payment. It's not an annual thing.
Ankur Periwal: Yes, yes. Great. And just lastly, on the core Advanced Intermediates as well as the fine chemicals bit, you did mention that we do expect some uptick, let's say, starting Q4. But just trying to understand it better, the pricing -led pressure that we are seeing across most of the products, is there any visibility of improvement over there? And how does it impact or either defers our new product launches given the lower pricing as well as the overal l margin that we can earn in this business?
Maulik Mehta: So the new products that we are planning to launch, I think, they have a clear rationale and an assumption and agreement also with customers that there will be a pass -through of raw material cost increases or decreases, both ways. So our margin is protecte d on those investments. We ourselves also invest in upstream so that our marg in expansion is in our control. And finally, with regards to the prices, I would not comment so much on the prices, but I would say that moving forward from Q4 onwards, we are anticipating with reasonable confidence that there will be margin expansion. Will this be the case for each and every product? No, but it will be the case for enough to be able to have a meaningful improvement in our EBITDA percentage, even on a stand alone basis.
Sanjay Upadhyay: Frankly, if you see the product s what we are going to commission in second half and maybe in the earlier first half, it's all backward integrated, by and large. Or there is an integration like nitric acid, like BTC, B TF, like MIBK, MIBC. These are all integrated. So it is definitely margin accretive. It doesn't affect what is the global thing and it is a part of our overall strategy. So I don't think this temporary thing will affect any such decisions or any such things.
Moderator: The next question is from the line of Chirag Shah from White Pine Investment Management Private Limited.
Chirag Shah: Sir, just few questions. First on polycarbonate. So I'm a bit confused. This INR 5,000 crore capex that you have announced, which is starting in end 2028. Now everything will come by end 2028 or this transfer of asset will happen sooner and some production and revenue flow would happen before that. So what all is included in this? This INR 5,000 crore capex is earmarked for this 165,000 metric ton nes capacity that you'll be transferring or it is a much larger capacit

y you are
creating?
Maulik Mehta: It is part of a larger picture, which I had also announced in a previous investor call that we may consider doing these 2 things in parallel where you make the HyCO and the polycarbonate plant together, you lump them together, and you lump the second phenol and BPA plant together. If there's no gap, fantastic, it is end -to-end and if there is a gap for that period of time, you purchase the bisphenol A from outside. Or you sell the bisphenol A while the polycarbonate plant is being

constructed. And this is continuing to remain within that ambit as I had mentioned. So it is just coincidental, call it, whatever that we tied up the agreement for licensing and asset sale for polycarbonates earlier. And the INR 5,000 crore that we have announced is part of the bigger picture, which also includes phenol, bisphenol A, methyl methacrylates as well as aniline. So I mean, a lot of these things, they're not necessary to connect to each other at the same time. But when they do, it looks beautiful. And obviously, it will reduce the overall payback of the entire asset, but each one of these stand alone has a large viability based on saying, okay, there may be a situation where one comes up and then 6 months later, another one comes up. That's okay. As we've already mentioned earlier, there is a tie -up for propylene and hydrogen, and this is already in the news. This gives you a clarity that there is a plan for consumption of the same; hence, there is already in place a strategy to connect the upstream manufacturing as well as the downstream consumption into manufactu ring polycarbonates , in partnership with Trinseo , as well as the further downstream efforts that we put in place with regards to compounding . So this forms a very nice supply chain, and it affords us a large amount of flexibility in ensuring that we do the right thing at the right cost without being held almost at gun point to any single technology suppliers win. So we have the flexibility. We h ave the ability to spend at the right time, and we have a very strong ability to integrate for end -to-end value accretion. Even though we are end -to-end, but these have a good payback by themselves.

Chirag Shah: This is helpful. But my query is slightly different. So if I have to assume it would be a step ramp -up of this entire INR 5,000 crore capex , right? Something will flow in revenue in 2027 and maybe H2 2027, something will come in 2028 and the entire picture will play out maybe in 2029, the entire integration that you're talking about. So this transfer of asset, when that will start contributing ballpark?

Sanjay Upadhyay: 2028 -29. Beginning 2028.

Chirag Shah: Beginning 2028. Okay. Great. And second question is this INR 2,000 crore capex that we are doing, which most of which is coming on stream in next, say, next 12 months in a simple state. If you can help us understand on a steady -state basis or on Q2 basis, the benefits of backward and forward integration. So how should we understand this in terms of margins, in terms of ROCE? And how much time it will take for the benefit to be fully visible because there is a ramp -up time also which is involved, the teething issues could be there.

Maulik Mehta: So if 12 months includes any ramp -up time, teething issues, we consider it is less. But I think H2 2026 will be the first half where all of these investments will be commissioned and we'll be able to realize the benefits on an annualized basis. So from September next year onwards, you will see all of the investments that we have already made , start to add value.

Chirag Shah: And how should we think of benefits of backward and forward integration either in terms of margins or in terms of ROCE? If you can give some indication how to understand, it would be helpful.

Maulik Mehta: So between 2% and 4% on an EBITDA addition to the regular business operations.

Sanjay Upadhyay: Deepak Nitrite ’s EBITDA .

Maulik Mehta: Yes.

Chirag Shah: Yes, Deepak Nitrite. Okay.

Moderator: The next question is from the line of Sabyasachi Mukerji from Bajaj Finserv Asset Management Company.

Sabyasachi Mukerji : Most of my questions are answered. Just one question, Maulik bhai. On this polycarbonate resin, I have been reading quite a few articles. I suppose it's something, which is in oversupply globally. Given the fact that China has put up so much of capacity, how should one think of the project economics, the peak turnover, margins, payback? I know it's early days, but any sense on that?

Maulik Mehta: Yes. So while China has significant capacities, I would relate that it is similar to a situation like, say, for example, phenol or sodium nitrite for that matter. Deepak manufactures a little less than 1 lakh ton nes of sodium nitrite, but China has 5x that capacity. And we've been able to survive over the la st 50 years with the situation. Similarly, phenol, India has, I guess, about 500,000 tonnes of consumption to 600,000 ton nes of consumption. And there has been enough space for Deepak to manufacture while imports have continued at whatever volumes they were before we started manufacturing. And today, polycarbonate resins by themselves are imported at 240 kt on an annual basis. And we strongly believe that the consumption of this will grow at a CAGR which is in excess of India's GDP. Just to clarify, historically speaking, these assets on a global basis have operated somewhere between the 70% to 80% capacity. And we continue to believe that they will on a global scale.

Deepak has a different experience with sodium nitrite and phenol , so we will attempt to be able to run our assets at a higher capacity utilization. And the Indian market, we continue to believe is our right to win market. Meanwhile, as I've mentioned earlier, Trinseo will be a technology supplier. It will be relocating its assets to Deepak and will also be a potential customer. So with all of these things kept in mind, China may and will have capacities. It continues to invest in those. And I believe that the capacities at Deepak's end will be able to match in terms of cost effectiveness and variety of end applications. So these are not assets, which one should consider similar to just a regular chemical manufacturing asset. Because it's key to keep in mind that there are applications when these go into their advanced materials, which have a very long appro val cycle and an entry barrier. And most customers, if they're investing in India, especially if they're investing in many of these PLI schemes, there is an intrinsic domestic value -add (DVA) component. And polycarbonate resins are actually a very large part of their overall cost. So having an Indian supplier with a globally recognized credibility gives immense comfort to these customers.

Sabyasachi Mukerji : Got it. Understood. So do we expect some sort of Government support because phenol , acetone, we have ADDs, right? And that is what makes us competitive.
Maulik Mehta: We don't have any ADDs. We survive on basic duty.
Sanjay Upadhyay: There is no ADD on phenol.
Sabyasachi Mukerji : There is ADD on isopropyl alcohol, I believe .
Maulik Mehta: We've been running our assets for longer than that, so we don't use these as a reason to exist. As and when they come, we will take the benefit.
Sanjay Upadhyay: And who will invest INR 5,000 crore with the support of ADDs .
Maulik Mehta: And to clarify, an ADD is on a particular country, phenol acetone, IP, these things are like oceans all over the world. So just because you stop or you increase the entry barrier for product coming from one country, it just provides an opp

ortunity for product coming from another country. So we don't consider these things as our investment thesis. Will we take advantage of them as and when they present the mselves? Damn, right. And I think we will do just fine if the competition comes from another geography.
Sanjay Upadhyay: Frankly, if you see our strategy and the whole integrated model of business, that is much more stronger than any other business. Because, see, if we were exiting, and someone had asked, I'm not sure we would have responded, given that they have standalone capacity. But today, if you have BPA, phenol, polycarbonate, and compounding as well, that's a unique and very strong business li ne. So I mean, competition will always be there, but we are not worried about that. And that is why we are creating such a model, which is strong and resilient . And in other businesses also why we are getting into the backward and forward integration because this is what helps the business to survive whatever kind of volatility is there. So the strength lies in this. Strength doesn't lie i n the ADDs or any other things. So please appreciate that. Otherwise, there is a need of putting another phenol plant and we all have self -serve capacity. But we are doing that because we want to have an integrated model, including BPA . So this is where Deepak's strength and Deepak's vision and strategies lies.
Sabyasachi Mukerji : And what sort of IRR and payback are we looking at for this project?
Sanjay Upadhyay: See, this is not the only project. Let's not look at this project in a stand alone basis. I repeat. We'll have to see the entire basket when we announce the other projects also. And then we'll have a detailed discussion on the total IRRs and paybacks, including infrastructure . Of course, this is good , even if we don't do other products . But since we are having an integrated basket of products, we will have a discussion when we come up with other plants also.
Moderator: I now hand the conference over to the management for closing comments.

Sanjay Upadhyay: Thank you all for joining this call. In case you have further queries or questions, you may get in touch with our IR team, Mr. Somsekhar Nanda. Thank you once again.
Maulik Mehta: Thank you, and Happy New Year.

Call: Feb 2025

DNL/138/BSE/ 1059/2025
February 21, 2025

Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
MUMBAI – 400 001

Dear Sir,

Scrip Code: 506401

Sub: Submission of earnings conference call Transcript

We enclose herewith the transcript of the earnings conference call of the Q 3 & 9M FY 202 5 held on February 17, 2025 and the same is also available on the website of the Company at the weblink https://www.godeepak.com/financial -result/ .

Please take the same on your record.

Thanking you.

Yours faithfully,
For DEEPAK NITRITE LIMITED

ARVIND BAJPAI
Company Secretary

Encl.: as above

Deepak Nitrite Limited
Q3 & 9M FY25 Earnings Conference Call

February 17, 2025

MANAGEMENT : MR. MAULIK MEHTA – EXECUTIVE DIRECTOR & CEO
MR. SANJAY UPADHYAY – DIRECTOR (FINANCE) & GROUP CFO
MR. SOMSEKHAR NANDA – CFO, DEEPAK NITRITE LIMITED
MODERATOR : MR. RANJIT CIRUMALLA – IIFL CAPITAL

Deepak Nitrite Limited
February 1 7, 2025

Moderator: Ladies and gentlemen, good day , and welcome to the Deepak Nitrite 's Q3 & 9M FY25 Earnings Conference Call , hosted by IIFL Capital.
At the outs et, I would like to clarify that a certain statement made or discussed on the conference call today may be forward -looking in nature and a disclaimer to this effect has been included in the investor communication shared with you earlier.
As a reminder, all participant lines will be in listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes . Please note that this conference is being recorded.
I now hand the conference over to Mr. Ranjit Cirumalla from IIFL Capital. Thank you and over to you, sir.
Ranjit Cirumalla: Good afternoon everyone and thank you for joining us on Deepak Nitrite's Q3 & 9M FY25 Earnings Conference Call . Today , we have with us Mr. Maulik Mehta – the Executive Director and CEO , Mr. Sanjay Upadhyay – Director (Finance) and Group CFO , and Mr. Somasek har Nanda – CFO of Deepak Nitrite Limited. We will begin the call with opening remarks from the management team, followed by an interactive Q &A session.
To begin, Mr. Maulik will share his views on the operating performance and the growth plans of the company, followed by Mr. Sanjay Upadhyay who shall take us through the financial and segmental performance. The results documents have already been shared with you and posted on the Company's website.
I now invite Mr. Mehta to share his opening comments . Thank you and over to you , sir.
Maulik Mehta: Good afternoon everybody and a warm welcome to you on Deepak Nitrite 's Q3 & 9M FY25 Earnings Conference Call .
Our result document s were shared with you earlier and I hope you have had the opportunity to glance through them. I will initiate by briefly taking you through the key financial and operational highlight for the quarter and nine months ended 31st December 2024 . Mr. Upadhyay will then present you with a more comprehensive financial overview during the period under review.
Following that, we will open the forum for your questions.
As we reflect on the challenges and achievements of the quarter, it's evident that the profitability of this period has been marked by a unique confluence of events. Agrochemical intermediate s demand is generally lag adjust ed to one quarter behind in the segment , which led to a temporary idling of plant capacities in th e quarter. Persistently , stubborn raw material costs have also impacted product margins as we prioritize a market share strategy in Phenolics and dye intermediate s. Finally, projects which were targeted to be commissioned in Q3 and Q4 have faced delays in their final stretches and are now set to add value from Q1 onwards. Despite th ese transient

setbacks, we remain confident of being well positioned for recovery and sustained growth in the upcoming quarters.
Revenues in Q3 were Rs. 1,924 crore , degrowing by 5% on a Y-o-Y basis and 6% on a Q-o-Q basis , because of the earlier mentioned factors as well as a scheduled maintenance shutdown in Phenolics . Typically, Advanced Intermediates and Phenolics have a counter cyclical nature and balance each other out evenly. However, for the first time we have witnessed challenges in both segments , simultaneously.
Allow me to cover the segmental performance more specifically.
On Advanced Intermediates, revenues were at Rs. 552 crore, lower by 18% Y-o-Y. Agrochemical intermediates were affected by end of year destocking priorities by international customers.
Volume dispatches have already begun at the tail end of Q3 for EU and non -EU customers. And we expect the domestic industry to resume demand towards the end of the quarter. We have taken efforts in the mean

time to significantly improve on the product carbon footprint of these products.
And in the results we have clearly seen the dramatic jumps in our sustainability scores in indexes such as the Dow Jone s Sustainability Index.
Dyes and Pigment Intermediates have seen stable demand with growing market share. Margins have been impacted due to stubborn raw material prices, which we believe will start normalizing in the quarter. Additionally, the Indian Government has initiated investigations into dumping of some of these products, which, when coupled with For ex volatility , is expected to see margin

expansion to normal ized levels .
On Phenolics , revenues were Rs. 1,366 crore, marginally improved on a Y-o-Y basis and 5% lower on a sequential basis . Demand remain ed strong. However, performance was impacted by a plant shutdown which resulted in production volume loss. On a positive n ote, the plant resumed operations with further improvement in throughput, which will allow India to become self-reliant on domestic supply looking ahead.
We have taken several measures to ensure that profitability and productivity are meaningfully improved. We have entered into medium term agreements for amines which align well with our expanded capacity for hydrogenation. We have also completed our expansions and cost improvement initiatives for Agrochemical s and dye intermediates. This will yield higher volume at a lower cost for segments where demand is resilient.
We continue to make progress on strategic projects. Key highlights are as follows :
The company introduced new products from existing assets which will have revenue and margin improvement , and the results will be seen partially in Q4. The nitric acid complex is in its commissioning stage and will feature well from Q1 onwards with additional nitration capacities coming in line.

The new R&D center will be commissioned as scheduled towards the end of Q4.
MIBK , MIBC, acetophenone and other backward and forward integrations are expected to be commissioned in H1 FY2026. This will expand our footprint in the energy sector as well as establish our foray into advanced solvents for life science applications.
In addition, our long-term plans for the polymer value chain are also taking shape. We entered into long term contract for key building blocks at competitive rates and have agreed to acquire assets for polycarbonate resin production where India is entirely import dependent . This strategy is further accretive by ensuring that existing capacities are localized without adding to global production. While we work with our collaborators to ensure that European demand for resins is also ca tered to by this asset. All major polymer projects are expected to be commissioned by December 2027.
I would now like to hand over the call to Mr. Sanjay Upadhyay , who will address this forum and take you through the financial performance and key updates during the period under review.
Sanjay Upadhyay: Thank you , Maulik . Good afternoon everyone and thank you for joining us today on Deepak Nitrite's earning s call. I will now take you through the highlights of the financial results for the quarter and nine months ended December 31, 2024 .
As we review our financial performance of Q3 and 9M FY25 , we acknowledge the impact of several external challenges that have impacted our profitability, including deferred demand, continued inventory destocking by customers , and increase d raw material costs. Despite these headwinds, our team has remained focused on maintaining operational efficiency and progressing with long term growth plans . In this context, our EBITDA performance reflects temporary headwinds. As we move forward, we are confident that the actions what we have taken will drive recovery and improve profitability in the coming quarters.
Coming to

our financial performance . In Q3 FY25 , consolidated revenue of Rs. 1,924 crore declined by 5% as compared to Rs. 2,023 crore in Q3 FY24 . While revenue was impacted due to multiple factors already discussed , it is important to state that we have r etained or increased wallet share with key customers .
EBITDA came in at Rs. 190 crore versus Rs. 318 crore compared to on a year-on-year basis. Our EBITDA performance in Q 3 FY25 was impacted by short term challenges , including higher raw material costs, which compress ed the margins. PBT and PAT stood at Rs. 135 crore and Rs. 98 crore , respectively. Looking ahead, we are optimistic about margin recovery as demand stabilizes, new projects ramp up , and cost optimization initiatives to take effect , positioning us to improve opportunit ies in the upcoming quarters.

On the operating front, our domestic business revenue (including other income) stood at Rs. 1,645 crore in Q3, while export revenue at Rs. 279 crore . On a consol idated basis , domestic to export mix stood at 85:15.

Mov ing to the segment al performance . In the Advanced Intermediate segment , revenue stood at Rs. 552 crore in Q3 FY25 versus Rs. 674 crore in Q3 FY24 , while EBIT stood at Rs. 17 crore translating to 3% margins during the quarter under review. 9M FY25 revenue came in at Rs. 1,873 crore and EBIT came in at Rs. 131 crore , translating into a margin of 7% on the back of challenging macro environment.

The Phenolics segment delivered an encouraging performance with revenue stood at Rs. 1,366 crore in Q3 FY25 versus Rs. 1,349 crore in Q3 FY24 , while EBIT stood at Rs. 1 21 crore , EBIT margin came in at 9% in the quarter . In 9M FY25 , revenue grew by 21% to Rs. 4,273 crore and EBIT came in at Rs. 544 crore , translating into margin of 13 %.

Lastly, on the balance sheet front, the company 's financial position remains solid with a net worth of Rs. 5,222 crore on a consolidated basis , and Rs. 3,073 crore on a standalone basis. We are well under leverage thresholds, ensuring adequate headroom to increase debt , in order to fund our future expansions, which we have already announced.

We are making continued progress on our ongoing projects with several nearing completion , the results of which will be seen in the coming quarters. Th ese new plant will not only enhance our self-reliance on critical raw materials but also optimize the profitability through enhance d value add once they are fully operational .

Our R&D center near Vadodara is advancing well with 85% of work completed. This facility will strengthen our industry position and support long term growth through innovation. Our R&D team remains focused on developing new products that will expand our capabilities in the specialty chemical sector , further reinforcing our commitment to technological advancement.

In conclusion, while the past quarter presented challenges, we are optimistic about the future . With a solid pipeline of projects, a focus on cost optimization and improving market conditions , DNL is well positioned for sustained growth and long -term value creation for our shareholders.

With that, I would now request the moderator to open the forum for Q&A session.

Moderator: Thank you very much. We w ill now begin the question -and-answer session. The first question is from the line of Nirav Jimudia from Anvil W ealth.

Nirav Jimudia : I have two questions . First, when we compare our standalone business, I think our top -line between the second quarter to third quarter fell by close to around Rs. 5 3 crore , but the EBITDA impact was close to Rs. 33 crore . So, one of the reasons you have mentioned in your opening remarks was that there was some deferment of sales predominantly from the Agro intermediates. So just wanted

to understand from you that did these products hav e higher contribution margins and because of which the impact on the EBITDA was higher ? Or the sales impact of these products was higher than Rs. 53 crore and the RMC cost had an impact because of which our performance was impacted ?

Maulik Mehta: I will try to answer this question. So , what ended up happening is that while Agrochemical Intermediates certainly have played a role in the kind of margin dip that you see in Q3 , though the volumes with regards to exports both to Europe, to China , as well as to the US, those have by and large commenced in December . And you will see the results of that in the quarter . However , other than that also, in a couple of our assets where we had plant capacities available, those assets were idled until the customer demand pickup resumed . And that we are seeing now slowly in Q4 itself . So, again, I will highlight that in both of these cases , when it is Agrochemical related , demand on a global , including India scale , is expected to normalize between Q4 and Q2. But we are seeing a recovery in export as well as in domestic demand from the end of December onward s. Now , there are other products also which are relatively higher value . And in those places when we buy our raw materials, those raw materials also come with an N -1 or N -2 in terms of the prices. So, as those raw material prices slowly start to moderate , we will start seeing the effect of that in one or two m onths down the line. So, this is by and large a general situation, but it has shown exacerbated impact in Q3.

Nirav Jimudia : So, in terms of this lost performance, what we have suffer ed in Q3 , how confident are we that this could be recouped in Q4 where this sales which we have deferred , could come back to us in Q4 ? Or most of this could be spread between Q4 and Q1?

Maulik Mehta: So, we are seeing a larger part of it being recovered in Q4. We are also seeing an improvement in domestic demand which was not there in Q3, which will start to add value from the end of Q4 onward s.

Nirav Jimudia : Second question is on the nitric acid plant . So now we are in the advanced process of commissioning it by end of Q4 FY25 , if you can share how much of the capex we have incurred on the same. And if you can just give some rough understanding in terms of the savings which could accrue to us on an annual basis , based on our current requirement of nitric acid.
Maulik Mehta: So, on the first question with regards to the capex , I would say that the capex by itself has been largely under control as what we had announced earlier. However, because of the delay of a couple of quarters , there is an added impact with regards to the overheads which will all be capitalized.
So, the capex amount I have already shared earlier at that stage plus the cost of delay . But by and large , in terms of the improvement to the bottom line, again , it is more or less in line with what we had said. So , I would have loved to have that value coming in earlier in Q3. But you can anticipate that somewhere between Rs. 70 crore to Rs. 80 crore , on an annualized basis , is the margin expansion that you would see from the single project . Maybe more , I am going to be conservative.

Nirav Jimudia : Last bit on my side , like we would require additional ammonia for this nitric acid plant , and given we are already using ammonia as one of our raw materials for some of our products , how will our additional ammonia requirement be met ? So, will it be source d domestically or we have to import this ammonia through long term contracts ? If you can share your views here.
Maulik Mehta: Yes. So, we are well aware of our increased ammonia consumption as a potential risk vector. And we have diversified our ammonia sourcing, which includ

es imports as well as domestic
availability. We have also invested in expanding our ability to store, not just consume. And that investment will allow for further derisking of the supply chain. By and large, we are confident of being able to source ammonia at rates which are relatively at parity with intern ational indexes , especially Middle Eastern index , other local indexes and South Asian indexes . So, let me put it another way, we would not be disadvantaged because we have derisked our supply chain.
Nirav Jimudia : So, by saying that we would be building or expanding our capabilities to source our requirement of ammonia , so is it safe to assume that we may be constructing our own ammonia tank , so that we could be derisked from this volatility in the ammonia prices ?
Maulik Mehta: Absolutely correct.
Moderator: The next question is from the line of Arun Prasath from Avendus Sp ark Institutional Equities .
Arun Prasath: My first question is on the Phenolic s segment. Sequentially, we are seeing a 40% reduction in EBIT for the P henolic s segment. Could you break this down and explain how much of the reduction is due to volume, spreads, and the increase in depreciation ?
Maulik Mehta: So, I would hesitate from going into a great deal of detail on this , simply because Q3 also had an annualized maintenance shutdown, which resulted in some loss of productive up time. Now , this is a normal thing, and by and large most good companies engage in an annualized shutdown. In our case, it has given an advantage of seeing how to further improve the efficiencies and hence the throughput. So , I think Q3 is unfortunately for this conversation , exactly the wrong time to be able to break this up. Because in the meanwhile, what has ended up happening also is that while we had a production outage for maintenance, we have also established some advanced process controls , and we have done some debottleneck ing. And in the meanwhile, anticipating relatively stable and growing demand , a lot of consumers may have taken a position with regards to short term import of phenol, which is again uncharacteristic.
So, today , I am happy to say that India is pretty much self -reliant when it comes to phenol , and also the other co-products like acetone and IPA. Between this and Forex volatility and things like that, I do genuinely believe that moving forward I think this will create less and less of a need for importers to be dependent on material that comes from overseas. Nonetheless , Q4, Q1, all of these will have a high degree of dependence with regards to the prices of key raw materials, benzene and propylene , as well as the presence of the imported parcels which may have happened in Q3.
By and large, again, I would want to add that Deepak and India remain the only places all over the

world where there is not only a continued improvement in demand, but a continued improvement

in production as well. So , I am bullish about the medium term. And I think we will see that over a period of time this demand continues to accelerate and our ability to support this demand continues to accelerate.
Arun Prasath: Thanks, Maulik. So, I understand that o bviously we will be drawing back our market share from imports . However, specifically for this quarter, do you think that if it weren't for the shutdown, you would have delivered the same EBIT as in Q2, or would the spreads also have impacted our performance ?
Maulik Mehta: There is an impact from spread s. There is no doubt about the fact that there is an impact from spread s. And that impact from spreads may continue also into Q4 , as will some overhang with regards to the volumes already committed for imports. But when you look at the Forex volatility right now and you also look at Deepak 's enhanced capabilit ies, I think there is a strong case to be made to disco

urage importers from continuing to import.
Sanjay Upadhyay: So, I believe from March onwards this situation will normalize. Though January and February were affected by imports this year, we expect a normalized situation from March onwards .
Arun Prasath: Right, understood . Sir just one , again , coming back to spreads. G lobally, if you have to think of phenol spreads, obviously our volume is more localized and you will be replacing imports, but if our margins have improved, global spreads also ha ve to improve. So, what do you think should happen first , recovery in demand or some curtailment of the supply, especially in key supplies in Southeast Asia or China or Japan, Korea and Europe ?
Maulik Mehta: There's no question about a recovery in demand . Demand is quite strong across segments in the Phenolic s value. So , whether you are looking at auto , you are looking at pharma, you are looking at construction and furniture , the demand is robust. One individual sub -segment may have a dip or an increase, but by and large demand is not a challenge and that is unique to India. However, with regards to spread s, these are on the basis of global volatility in the indexes. So , I would be hesitant to make a strong claim about spreads significantly improving or going down. I genuinely do believe that right now, with the way that k ey raw materials like benzene and propylene are acting , there is a case to be made for , over a period of time, seeing how to improve the price s of phenol once customers are also confident that they do not need to rely on imports.
Arun Prasath: Okay . Any comment on the utilization rates in some of these geographies? Do y ou think it is sustainable, low, high? How do you see those utilization rates in these geographies , also in India?
Maulik Mehta: It's very low . And in some cases , it may be bordering on the question of profitability or not . But I would hesitate again to comment about their strateg ies. In many places what we have found is that you may have an average utilization rate which should be achieved to make the asset profitable , and some of these assets are being operated at well below that utilization rate. I cannot comment

about the strategies or how long they would continue to manufacture in these circumstances. Very often , it depends on what they look at as a short and medium -term future.
Arun Prasath: Any kind of ballpark figures on what percentage of the overall global phenol capacity is currently in the borderline profitability , which may shut down or may not ? Any estimate on the percentage of total capacity would be really helpful .
Maulik Mehta: No, I would not comment about whether they may shut down or not, but I will comment that a majority of the capacity right now worldwide, especially almost all the capacity which is non - integrated is probably at or below the threshold that one should look at for continued and sustained plant operations for meaningful margin.
Arun Prasath: And what percentage of the capacity is not integrated according to you?
Maulik Mehta: I will come back to you on that question. I am not prepared with the answer right now.
Arun Prasath: Okay, alright. My second question is on the comment mentioned in the investor presentation that you are planning to complete all the projects by FY 28. So, does it mean that the last phase will start in FY28 or the first phase of projects will start by FY28? And which one will be the last to start and which one will be the first? Any clarity on this would be helpful ?
Sanjay Upadhyay: Yes, the idea is to complete all the projects because these all are integrated projects. We cannot have a situation where we are starting one and not starting the other one. So , everything will be completed by FY28 because we have tied up the propylene supply also, if you are aware

. So, it has to go in sync, it cannot be one versus the other, otherwise the whole benefit of integration will be lost . So, the whole plan is to have a fully integrated facility up and ready.
Maulik Mehta: There will be periods of time where one part of the asset, especially for example the polycarbonate

resin asset, may get commissioned earlier and we will ensure that throughput is maximized by securing the intermediate feedstock at competitive rates . Luckily for us , right now those rates are looking quite competitive. And as Mr. Upadhyay mentioned, between now and FY28, we will ensure that all of the individual components are also commissioned so that the integrated complex , all the way from p ropylene until polycarbonate , along with the other assets which will go into the same polymer industry , will all be commissioned.
Arun Prasath: Understood. Just any update on the BPA project , have you firmed up that technology or licensure ? Where is it and in which stage is the BPA plant is right now?
Maulik Mehta: That right now I cannot comment about that. We are in close talks with a couple of parties, all of who are willing to give u s the technology, but we have not finished with any one party.

Arun Prasath: Understood. Finally, if I can squeeze in one more on our polypropylene compounding plant , have we touched based with all the domestic customers ? And what is their current feedback ? And how we will be scaling up this part of the business , can you just explain , it w ill be helpful ?
Maulik Mehta: So, we have started manufacturing some small volumes of compounds and we have been engaging with key customers to start off with more in the electronic segment. But there has been a little bit of a pivot here because earlier we were looking at establishing a polycarbonate res in plant, and now it is more of a migration of the assets along with the relevant trademarks of the asset. So , the party that we are acquiring the assets from is also the party that we are collaborating with to see how to fast track and prioritize more val ue accretive compounds, which will be sold to companies which are looking at migrating their consumption assets into India to be able to take advantage of various initiatives by the Government as well as the growing consumption expectation in India. So, the kinds of compounds that we would look at making in this facility will now be , I would say , that they would be on a better baseline moving forward because of this collaborative partnership.
Sanjay Upadhyay: To answer your question, the response from the customers is very, very positive. We are entering the EV battery market, and in those segments, we are also incorporating polycarbonate compounding. I believe we are moving in the right direction. With Trinseo, this partnership certainly gives us an advantage, as Trinseo is a well -recogniz ed brand internationally, which further helps us. To answer your question, yes, things are looking positive in the compounding sector. We are also expanding into the medical d evices segment for compounding, which is a growing market. These are advanced segments that offer better margin potential, and we are excited to be entering them .
Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.
Vivek Rajamani: Sir, in your presentation that you have uploaded, you have mentioned a couple of comments . Firstly, you have started to see a pickup in the international customer offtake. A nd I think you have also mentioned that you will see a more normalized level of profitability from Q4. So just with respect to these two points, if you could just give some more color , from a volume perspective if you had a base of 100, what kind of normalization would you expect going into Q4 or potentially Q1? And when you are saying normalize profitabi

lity, which quarter do you think we can take as a normalized level , would t hat be the first half of this fiscal or maybe even before that? So just some color in terms of that would be super helpful.
Maulik Mehta: Vivek, this is a question that internally also we have debated on a lot because certainly we will be seeing an improvement in Q4 . And that improvement trajectory will continue into Q1 as well. One question that we have been debating internally also is , what do we call normalized? Because we have had a much better margin profile two years ago and then that has slipped partially because of slowdown in demand , and partially also because of an overhang from the kinds of capacity that have been put in China, which also affect s India's profitability. So , if I am being genuinely confident here, what I can say is that Q3 was absolutely abnormal for us. I am t alking about on a

standalone basis. And I would certainly say that Q4 will be meaningfully better than Q3. Q1 will continue to maintain that trend . And if I have to say , look at my last two years , I will consider a return to normalization somewhere between Q1 and Q2, maybe in Q1 and Q2 would be markedly normal quarter . But Q4 will be meaningfully , meaningfully better than Q3, largely because of the internal efforts that we are taking for cost optimization. As demand returns as it has in some segments in Q4, we expect that tr end to continue in other segments as well. And hence , Q4 demand will be completely realized in say Q1, with margin improvement you will therefore see between the end of Q1 and Q2 a normalization.

Sanjay Upadhyay: Since Maulik mentioned about the standalone , on Phenolics side, as we mentioned earlier, Jan , Feb, yes, there is an import which has already come in . March onwards things are improving , so you will see a normalized Q1 for phenol also. So , I personally believe Q1 onwards , again, n ow what is called normal is a debate, but Q1 onwards things will certainly , certainly change. Q4 , DNL , yes, doing better than Q 3, because Q3 is no comparison. Phenol will have some impact, b ut it will also do relatively good. It would not be that bad, but yes, there is an impact of import.

Vivek Rajamani: Sure, sir. Super helpful . Thank you so much for that. Secondly, just to clarify, you did mention that some of the projects that you wanted to commission over the course of Q3 , Q4, you have seen some delays. Just wanted to clarify if this is a function of the ongoing industry dynamic where obviously demand can be significantly better ? Or are you simply taking the time to properly operationalize the plant and ensure everything is fully sorted? I just wanted to clarify if this is more about ramping up the plant properly and not a response to the industry weakness.

Sanjay Upadhyay: Yes, it is not an industry weakness.

Maulik Mehta: No, it's more of the second. I mean, we want to make sure that when it is commissioned, it is able to run straight as quickly as possible to capacity and beyond. This is where we have seen the maximum value coming. So , even though it has meant that there has been a delay from Q3 to end of Q4 in terms of commissioning, we want to be ready to be able to quickly ramp up because demand is there.

Vivek Rajamani: And just the last bit , as an extension to this, when you say 2027 or fiscal 2028 is when you want all of your capacities to be up and running, assuming you will keep the same argument where you want the capacities out there , irrespective of however the industry situation may evolve over the next three years . Would that be a fair comment?

Maulik Mehta: For the polymer chain , we would be ensuring that assets are commissioned at these times, because we have locked up the downstream as well as the upstream. So , we are confident about the market profitabil

ity . But regardless of the market ’s profitability, we will ensure that those projects are tied with regard to the execution plan.

Moderator: The next question is from the line of Anku r Periwal from Axis Capital.

Ankur Periwal : First one on the Advanced Intermediates side, given the extended pressure on margins as well as the pricing -led pressure because of China ’s overcapacity , I was just wondering about your thoughts on whether there will be a structural change in the margins this business will generate over tim e, even if demand comes back and , let's say, over next maybe one, one and a half year, there is uptick in Ag chem., etc . So, your thoughts on that side, please .

Maulik Mehta: So, let me put it this way. S tructural and unstructured , there was an element of COVID related unstructured effect on the margin . And if I have to keep that on the side for the time being, for the argument, I will say that by and large , with its upstream and downstream integrations , Deepak should be confident of being able to return to its course . And that course was relatively range - bound between , say, 18 % to 20%. Now , there is an upside also available in the future as new capacities and as medium and long -term contracts are established. But without that, if I am only looking at cost optimization , projects under commissioning as well as maintaining a market share , around 17%, 18% is the target that we should look at , at Deepak Nitrite , on a standalone basis.

Ankur Periwal : Sure. Thank you for that. And apart from Ag chem, there were other areas as well wherein we were focusing to ramp up our product s, the new launches as well. Any thoughts over there in the Non-Ag chem side ?

Maulik Mehta: Yes. So in the Non-Ag chem. side, the products that we were looking at ramping up as well as the projects which we completed in Q3 , those are now established in terms of their capacities and we are in ongoing conversations with customers, some places where the volume has been frozen for Q4 and in other places we are talking about how those volume s will expand o ver the period of the year as we discus medium term contracts. So , ensuring that our product which internally matches all of the qualifications and specs also gets a similar tick mark from the consumers end , that is the activity that is transpiring in Q4. Once we have that, then we will have more confidence when we next discuss about how those margins and those revenues are targeting to be expanded over the

year. Right now , we are in a process where our products are being qualified at customers end , and we are having ongoing conversations about medium -and long -term contract with them.
Ankur Periwal : Sure. And just a last bit on this, the revenue mix right now among the Ag chem and Non-Ag chem. Over the next two to three years how do you see that bit changing given that presumably Ag chem will see a bounce back in demand and then newer Non-Ag chem. side also will see a pickup ?
Maulik Mehta: So, what we have done is that we have expanded capacities where we believe we have the right to win. And those products and the quality of those products is well established. Those places where there is a segmental focus on Ag chem., a s it recovers , we see that there is a possibility for about 15% to 20% improvement in the volumes and the total realizations coming from that. But as a company, we have also looked at increasing our focus on Non-Ag chem. as a segment , whether that is into p ersonal cares or solv ents or polymer intermediate s. So, because of our increased attention to also investing in these , while Ag chem. will recover as and when it recovers, we will

also have a ratio which is skewed away from Ag chem. because of the investments in the other interm

ediate.
Ankur Periwal : Okay , great. And just last bit on the Phenolic s side, you did mention an expected uptick in terms of demand or spreads on the phenol side, let's say, Q1 onwards. Just curious , what is our thoughts on the improvement in demand are led by global factors here? Or there is some bit of excess Chinese phenol supply which are shifting from even the backward integrated facilities which are coming here now, and we are , hopefully , seeing some uptick there , what is driving that thought?
Sanjay Upadhyay: So, import from China is not a problem, because China is largely consuming the product for its own captive use . See , what happens , certain materials are getting diverted and because of our shutdown , the imports were a little higher. India is becoming self-reliant , I would say , with our capacity what we have added, w e have the total supply available which can meet the demand, but market will have to adjust itself. And non -integrated players will find it difficult in the near future , because they cannot meet the local suppliers ' price . And particularly , with this dollar index and dollar rupee , they will definitely find it difficult. So, c onsidering all these factors, we certainly believe and which we are seeing , that's why I mentioned that March onwards you will see things getting normalized . We are selling in the market and with healthy margin s. I do not know what is normalized or not, because then that is everybody 's thinking . But i t will be a healthy margin considering the volumes and what we are seeing . So that is the situation today . And this is the situation , this will continue in the longer run also because in India demand is growing and growing in a significant way. Somewhere it was around 10 %, 12%, but even if you feel that it is really high, so it is growing at 7 % to 8% and which gives enough room for all the players to run th e capacity full and o n healthy margins.
Ankur Periwal : Great , sir. Thanks for your detailed answers and all the best.
Sanjay Upadhyay: And one more thing which I want to answer, this AI margins , there is some component there , because we are in the project phase, and there are certain expenses that cannot be capitalized. These expenses are charged to revenue in AI, so this impact also needs to be considered. What we see in the balance sheet reflects this, but it does have an effect. For example, the nitric acid project, whic h we were supposed to start by the quarter -end or the beginning of the earlier quarter, now has an impact here in administrative costs. I'm giving an example that accountants will understand , these expenses cannot be capitalized and are charged to revenue, which affects the margin percentage. This will normalize once the plants are commissioned. So, when calculating the margins and percentages, these factors should also be taken into account .
Moderator: The next question is from the line of Sanj esh Jain from ICICI Securities.
Sanjesh Jain : First question on the Phenolics , in the opening statement , Maulik, you mentioned that there's a 10% expansion in the capacity. We earlier were doing annualized 3,50,000 metric ton nes of

phenol . Is it 10% of the 2 lakh metric ton nes of the base capacity we are talking or on the expanded capacity of 3,50,000 metric ton nes?

Maulik Mehta: I would say that , right now we are at about 3 ,50,000 metric ton nes, plus/minus.
Sanjesh Jain : Okay . So, the expanded capacity is 3, 50,000 metric ton nes plus/minus ?
Maulik Mehta: See, let's keep in mind that as any large -scale operation is concerned, winter months will always have a number which is slightly higher than summer months because of the added benefit that you get from cool weather. I am talking about it on an annualized basis. Y ou may have a higher number in cool months , and you may have a

normalized number in the hot months. I am talking about on average.
Sanjesh Jain : On a yearly basis , we should be able to do 3 ,50,000 metric ton nes plus/minus ?
Maulik Mehta: Yes.
Sanjesh Jain : Got it. That's very clear . Second on the Agrochemical side, you said that we have seen the demand picking up at the far end of December. When we see , how does the entire C Y2025 look like , because i f you look at the commentary globally , on the crop protection side the innovators are looking at volume growth in mid-single digit. That means this year should be a more normalized year from the crop protection side. Are we getting that kind of a visibility from the customer ? And how does one should look at the new product pipeline in the Ag chem intermediate si de?
Maulik Mehta: So, when our consumers say single digit or high or mid -single digits, I look at that as a positive because so far, the commentary was more linked to inventory destocking at their channels or at their consumer end. So , when they are talking about growth , that growth is without taking into account inventory destocking which anyways is towards its tail end in most of the Ag chem. The intermediates stand to benefit from this demand improvement with roughly between one quarter lag to a four, five months lag. So , on a CY basis, if the consumption pattern is normalized with a 5%, 6% improvement or whatever you said, then adjust ed for about one quarter and you would get a sense of what one might look at in the intermediate space.
Sanjesh Jain : That's very clear. What does the product pipeline look like for the Ag Chem . segment in the coming financial year ?
Maulik Mehta: So, largely the product segment that we are looking at is relatively stable. There are a couple of molecules where we have started engaging with customers, which would be more margin -accretive , but they will be made from assets which are already in place. So , capacities have been debottlenecked . There would be some margin accretion, but it all depends on the rate at which the customers are able to pick up. Those products also have to be tested at the customer s end .

Sanjesh Jain : Got it. Last two , largely book keeping kind of question s. Can you help us understand in the standalone how are we spread in terms of end application , say, on dyes and pigments , Ag chem., FMCG, consumer, can you help us with that ? And number two, w e are expecting to start the fluorination capacity next year , can you help us understand the purchase we intend to make for hydrofluoric acid , will it be domestic, will it be imported, h ow do we want to meet that requirement ?
Maulik Mehta: So, for the first q uestion , again, it's difficult to answer because we are intermediate manufacturers. I can give you an example of toluene, where the same product go es into Ag chem. , it also goes into dyes and it also goes into rubber chemicals. So , the same product that we make, it becomes difficult for us to be able to say that this is an Ag chem product . Our customers may be Ag chem. customers, but the product that we make is the same . And when there is a movement of migration of demand from one to the other , our product remains the same. So , it's difficult for me to es tablish that there is this much of a ratio of Ag chem to dyes and pigments to other chemicals or to C10 improving or fuel improving . Those become difficult , so you will have to excuse me on that .
With regards to fluorination, we already commissioned the fluorination asset about 13 months ago. So, we right now are manufacturing with , again , a diversified supply base with regards to the hydrofluoric acid. So , there are domestic manufacturers also which are physically located very close t o us. And we have also invested in a fleet of tankers which are able to move it from international port

s to us, and we have those agreements also in place.
Sanjesh Jain : It will largely be imported ?
Maulik Mehta: It will be balanced. So, the asset on ground that we have put up is capable of taking the hydrofluoric acid in multiple different ways. Tanks, ISO tanks , etc., a re purpose built only for this, and we have our own fleet there . But domestically also there are smaller tankers available , the supply of which is done by the manufacturers .
Moderator: The next question is from the line of Aditi Loharuka from CD Equisearch Private Limited.

Aditi Loharuka : Sir, my first question is, have you been making any adjustments to the quantum of your plan ned capex in light of ongoing stress in the chemical industry?
Maulik Mehta: No, I would not say that we have made any changes to the kind of assets that we are looking at putting on the ground. However, in a couple of cases , there has been a slight delay in the commissioning of the assets so that we are able to ramp it up quickly. But this delay has, of course , it does have a cost implication with regards to overheads. But beyond that, in terms of what we put up and the business case for that, by and large , it is unchanged.
Aditi Loharuka : Okay . But major consuming regions have been going through destocking in Agrochemical business , so don't you think there's any requirement to change the capex plan?

Sanjay Upadhyay: See, what is happening , Aditi, o ne cannot have current situation in mind and then take a call what to do and how to do. One major advantage of Deepak Nitrite in whatever projects we have announced is a fully integrated facility. We are in a company which it is chemistry -driven where integration is the key here . So, you cannot have one situation because of the market you pull down the capacity of some product . Ultimately , may be in a couple of months or so, we feel now that period is already over in Agrochemical s or whatever we are talking. So ultimately, the people who are having those kind of integrated facilities are certainly bound to do well because fundamentally that is a very, very strong business. If you see phenol also, we are doing such thing so that these kinds of issues do not bother us . The whole idea is to integrate facility and make your fundamental s strong . There could be temporary ups and downs , which we feel market has overreacted in Q3, but that's how people read , but t hat's okay. So, things will get normalized, and Deepak Nitrite remain s on a very, very strong footing and strong fundamentals . So, these small, I mean , temp orary things should not affect our long -term strategy and plan.
Maulik Mehta: And most of the investments that we are making, which are relating to Agrochemical s, I would say that they are more of an upstream integration . So, our wallet share remaining the same , these would become margin accretive.
Aditi Loharuka : Okay . So, you mentioned that there has been delay in some project , could you please specify those projects?
Maulik Mehta: Yes. So, for example, there has been a delay in our nitric acid commissioning, which I have already highlighted.
Aditi Loharuka : So only in this one project ?
Maulik Mehta: By and large, there is a minor delay in some smaller projects which move from one part of half year to another part of half year. The other place that there has been a delay is in MIBK / MIBC. And that would have been completed by the end of Q4, which is now slipping into H1 FY26 . We may commission one part of the asset before another part, but this has also been because of very unique engineering that we put into the asset which will give us good benefit when it comes to the project being commissioned and cost advantages as well as carbon footprint advantages.
Moderator: The next question is from the line of Rohit Nagraj from B&K Securit

ies .
Rohit Nagraj : Sir, the first question is on the Phenolics front. So, two parts . One, during Q3, did we have any inventory losses? And second part , regarding the planned shutdown, after the one that occurred in Q3, will the next one be scheduled after one and a half years?
Maulik Mehta: So, for your first part, we had inventory during the shutdown. However, at the same time, in order to mitigate any loss at the customers ' end, they did also import maybe a little bit more than they needed to . And by and large, this is something that w hen the end segment is growing, a lot of consumers end up doing this just because they do not want to be so dependent on a single supplier

recommissioning their asset after a plant shutdown exactly on time. This is something that we have developed a skill for doing. Nonetheless, the customers ' buying behavior is more linked to their need to have product available with them regardless. So , that they transpire d during the quarter.
Sanjay Upadhyay: Next shutdown will be around after one , one and a half years .
Maulik Mehta: Yes, you can assume about 18 months .

Rohit Nagraj : Sure. Sir, second question on the Advanced Intermediates . You also alluded that there was a stubborn RM price environment , was it particularly for some of the imported products given that generally over the last few quarters the chemical prices have been stable ? Or is it impacted by a certain few set of intermediates or few set of raw materials that we purchase d?
Maulik Mehta: Yes, a few set of raw material s. And by and large, they are domestically available. See , pet chems like toluene and xylene a re always in play because simply the fact that the refinery throughput s are extremely margin sensitive . And if they are not able to make the kind of margin, they just run the asset at a lower throughput. So , prices of products like toluene and xylene have been relatively stubborn simply because of a manufacturer's inability t o produce. But on the other hand, certain local raw materials, for example caustic lye, h ave been priced much higher than corresponding periods in th e past. And as a large consumer, this does affect us, especially for price sensitive products like sodium nitrate.
Moderator: The next question is from the line of Chirag Shah from White Pine Investment Management Private Limited.
Chirag Shah : I have a broader question first, and then some follow -ups. First on the on the return of capital of the business that you have . Now, if I go back into the history , Deepak Nitrite had certain inefficiency , I am talking way back , in 2010 , 2011, or even earlier. After that, you worked very well, you b rought in lot of efficiencies and executions , etc. And now again we are seeing there are delays coming in. And I am adding into the WIP project which are now commissioning from 2028 or end of 2027. So, for a business li ke Deepak Nitrite, which is semi commodity in nature , chemistry capabilities are required , along with that agility and cost capabilities are also required. Can you throw some light on why t he delay ? What's the internal factors of delay s? Is it bandwidth issues? Is it size and scale issues ? And how are you tackling it? The reason is, after this stage you have another set of bigger capexes lined up based on the MoUs that you have indicated earlier with Gujarat Government and such stuff. Ultimately, return on capital matters in a business , in any business, right. And from a 10 %, 12% ROCE business we have transitioned to a 25% ROCE business very well for your execution capability. So , first, you can elaborate wh at led to this delay? What are the internal factors ? And how you are tackling them on a sustainable basis?
Maulik Mehta: So, o ne of the reasons that we were able to go up was a draconian focus on ensuring that the e

xecution is done very well. And the project s that we are taking up have technology which is very mature. So , when the technology is mature, you have that high degree of confidence that once you

have started the project execution, you can timeline it , you can ensure that there is that headroom available for expansion as well. When you are building technology in-house , that maturity that would be there from bought -out technology is a little bit less. Now what we have done with some of our projects, for example , MIBK / MIBC, there is some level of it being outsourced technology that we have licensed. But the significant improvement that we were looking at was by putting in industry first. I mean , literally, in the whole country we would be the only company to have this particular kind of technology which is even in the utilities and the product carbon footprint.
Now , worldwide, while things like sustainability and things like that may have become less important, we do genuinely believe that there is a value to this, and that value will come. In the meanwhile, what has ended up happening is that some of these chinks which would otherwise have been easier with mature technology have caused some level of delay in the commissioning . Now , that is not to say that right now ROCE is the right number or 10 years ago ROCE is the right number. It's just a general industry assumpti on that mature bought ou t technolog ies will lead to a higher ROCE if there is clear operational focus . And purpose -built in-house technologies will have a ROCE number which may be slightly worse, but given certain experience and expertise , will improve.
Again , Chirag, I will also highlight one more thing. The assets that we are looking at commissioning are not assets where we have had decades of experience, for example, nitration . Assets for example like photochlorination or fluorination , or even unique types of purification and distillation , these are technologies which are relatively new to Deepak. And there is a learning cost which comes . Once the asset is fully running and then we are able to see how to be eking out more and more utilization from the same assets , you see a dramatic improvement in ROCE . But for the learning period, there is an implication from new technolog ies.
Sanjay Upadhyay: But I will add to this point. See , for example , nitric acid, yes, there is a delay , I w ill not say no. We could have easily done it in a new site at Dahej . But what we did is because the consumption is in Nandesari, Vadodara, w e wanted to have again an integrated facility where the supplies are

from pipeline because it is a very, very enduring benefit . So, the whole plant is set up in within our Deepak Nitrite 's existing facility of nitric acid. Now , if anybody goes and visits that, they will realize what we have done there . Yes, t oday you are seeing the delay, but tomorrow if somebody goes a nd sees the plant, somebody mentioned about ammonia, the ammonia supply is through pipeline , you h ave nitric acid supplying to Deepak Nitrite through pipeline , the tankers. It's wonderfully done, and a v ery good engineering work done by the team. It took time for us, no doubt on that, but the end result, and I am sure end result are certainly , certainly good , which you will see from the Q1. So, y es, I mean , there are delays, but then there are reasons which are valid reasons. But once the facilities are up and running, you will see the results yourself. I would rather ask somebody to go and see the nitric acid facility what we have set up in Deepak Nitrite , Nandesari plant , and then they will realize how it is done.

Chirag Shah : No, sir, I do accept your point.

Sanjay Upadhyay: See, I agree with w hat you are saying , I am no

t saying no. There is an impact on ROCE because of these delays . But yes, that is there in our mind. But certain times it takes time to take a step back and then move forward because it happen s. Businesses are not straight line. Yes, there can be some impact . As Maulik was mentioning of technology , there may be some cases where we may have to change the technology supplier , it can happen . So those things are a part of our p roject facilitie s. So, it can happen . But end result you will certainly , certainly, find that once all the projects are running , the things have changed dramatically.

Chirag Shah : Well, sir, my question was more forward -looking rather than pas t, because these are all smaller project s, MIBC/ MIBK, nitric acid plant. T he bigger projects are going to be commissioned now from end of 2027.

Sanjay Upadhyay: See, the bigger projects will certainly be like phenol what we have done , because it is not going to be in-house technology, it is going to be world's best technology when you talk of polycarbonate, when you talk of phenol, whatever products we are talking . See, this one thing one must appreciate that we have to have site s also ready, so that is also done in the past. So , those things are , I mean , that will be handled in a phenol way and not the way you handle the Rs. 300 crore, Rs. 400 cro re, Rs. 500 crore project. So, rest assured that there will not be such issues in the larger project. I understand your concern, but the point is well taken, but it is not going to happen that way. It will be happening in the phenol way .

Chirag Shah : Yes. And the second question is on the import of phenol that Maulik touched based on. First of all, the import was not at an aggressive pricing or decremental pricing which happened right , during the quarter, that's the first question , because there was shortage of supply in domestic market or it was also because the pricing was very aggressive from that perspective ? That is the first question I have on that point.

Sanjay Upadhyay: No, b ecause we had announced a shutdown and people got worried that when we will start the plant, so t here were some additional imports. So pricing is one part, but imports were done because our production was d own by around 12 ,000 tonnes to 15,000 tonnes . So that was a concern in the market and people imported.

Chirag Shah : Now, what gives you confidence that this aggressive pricing , because ultimately you will also have to benchmark your pricing to a large extent, to international prices.

Sanjay Upadhyay: See, that is why we started phenol facility. I am not saying that we will be reaching great margin, but on 3,50,000 tonnes we will have a healthy margin . Because our major plus point is India demand is growing , this is a localized phenol supply , it gives a definite advantage , we w ill be able to deliver to the market , and we will be able to run our plant at full capacity and on a healthy margin . So, there is no question because it's not easy to import and store , and trader s have also suffered . And when the trader suffers there is definitely, d efinitely a problem with them on import

side also. And we have been doing this for how many years and so many quarters. So , we know the market dynamics.

Chirag Shah : Okay. So, you are saying normalization will happen sooner than later irrespective of import dynamic how they play out?
Sanjay Upadhyay: Yes.
Maulik Mehta: Normalization will happen in the medium term. In the short term, because there has been import parcels that took place between the middle to the tail end of Q3 , that will play a factor in the first couple of months of Q4. This has also been clarified.
Chirag Shah : Yes, fair point, that's understandable.
Maulik Mehta: On the medium to long-term basis, if you look at the kind of margins tha

t are there, the Forex volatility that is there , as well as the domestic capacity , really you would have to be very, very steely minded dealer, distributor to target imports in this current environment.
Chirag Shah : And sir last thing on the Advanced Intermediates , the kind of margins that we have reported are like historic lows.
Maulik Mehta: Yes.
Chirag Shah : So, is the normalization what it was five, six quarters b ack i s the normalization that we are looking at, or the new normal would be lower ?
Maulik Mehta: Chirag, I feel hesitant about being overly bullish. Let me just put it this way that in Q4 we expect to see a meaningful improvement from Q3, but that's not saying much, right . I would assume that somewhere between Q1 and Q2 is when you will start seeing a margin profile which is similar to what you saw maybe three, four, five quarters back.
Chirag Shah : And just if you can help us with this, if we have to quantify this, the impact of perfect storm, how should we go about? So, if you can help us understand from Q2 perspective, whatever margins we refer in Phenolics and Advanced Intermediates , how should we look at those numbers ? It would be helpful if you can give us insight how to go about if you can't quantify it. The swing that we have seen from Q2 to Q3, the normalization will be somewhere between, right , if not for the perfect storm. So, if you can help us understand how we can do our own derivation, it would be helpful.
Maulik Mehta: Are you talking about in Q4 or are you talking about it in general?
Chirag Shah : No, in Q3, but if this perfect storm would not have happened the way it played out, everything against you. For example , Phenolics PBIT margins that you made 15%, would it be closer to or it would h ave been significantly lower even if the storm would not have played out the way it had , everything going against you?

Maulik Mehta: I do not know, honestly. When I say perfect storm, I did not mean it in the sense of everything that should not have happened , happened at the same time. These are market dynamics. Some of these were partially linked to things that we did, for example , our plant maintenance in Deepak Phenolics . And in other places it was, as I mentioned earlier, an inventory destocking which was at its tail end, but quarter adjusted for ourselves, intermediate suppliers. It's difficult for me to say what if that had not happened, b ut that has by and large been something that we have seen happening , as well as something that we have seen getting addressed in part and parcel over Q4 and Q1. So , as I mentioned earlier on Deepak Phenolic s, one would expect something which is a mix of you know what happened in Q3 , and let's see how the exit of Q4 is on Deepak Nitrite from something which is entirely substandard in terms of performance , a meaningful improvement , headed well in the direction of normalization.
Chirag Shah : Yes, thank you and all the best.
Maulik Mehta: Thank s. I understand you all are all looking for much more specific s because the situation calls for it. But it is still something which is in the process . We are confident of the initiatives we have taken internally with regards to cost optimization and asset debottlenecking. So , that is the kind of confidence that I am able to relay out.
Moderator: The next question is from the line of Meet Vora from Emkay Global.
Meet Vora : So firstly on the Phenolics business, if we have lost around say 12 ,000 to 15,000 ton nes kind of volumes, how have we been able to maintain the kind of top line that we have reported ? Because the top line is hardly down by around 5% , and based on these volumes my understanding is that it should have been down by around 20%. Am I missing something here?
Sanjay Upadhyay: 12,000 to 15,000 we were having inventory fr

om where we sold, but inventory is now depleted.
But what happened is, the market got this thing that , yes, Deepak Nitrite is having a shutdown , so it may impact the further supplies in future. So , there were imports which took place.
Meet Vora : So, this 15,000 ton nes is sales volume impact or production volume impact ?

Sanjay Upadhyay: Production volume.
Meet Vora : So, sales we have been able to maintain ?
Sanjay Upadhyay: Yes. Sales we have been able to maintain , maybe plus or minus something, but sales we were able to maintain.
Meet Vora : Because our EBIT has gone down by around 40 %, 45% kind of number. So , if that's the case, then impact would entirely be based on spreads only, that have contracted largely , so that understanding is correct, right?

Sanjay Upadhyay: So, there is an impact of shutdown cost also . When you run out of inventory, there is an inventory cost, there is a shutdown cost. So those are costs which are also there in the quarter sitting there.
So, f rom Q4 there will be some impact. But March onward s, things again will be back to normal.
Meet Vora : Understood. So , you are saying that there has been an element of operating deleverage as well?
Sanjay Upadhyay: Yes.
Meet Vora : And secondly on the Advanced Intermediates side, in 3Q we have mentioned in our presentation that there has been dumping of DASDA at lower prices , so the impact can be accentuated higher on this side ? Or is it because the plan ts have remained idle in the Agro b usiness ?
Maulik Mehta: Agro and DASDA are different , DASDA is a dye-intermediate , Agro is other chemicals.
Meet Vora : So, the higher impact would be because of impact in DASDA or in the Agro business in the overall segment ?
Maulik Mehta: Overall , it would be Agro intermediates, but there is an element of DASDA as well. This is why the Government has initiated an investigation.
Meet Vora : Understood. And sir, just lastly on this acetophenon e project, just wanted to understand your thought s behind this project, is it more of a backward integration or is it for some of our new product s we are trying to identify this project?
Maulik Mehta: No, no, it is not a backward integration , it’s a forward integration. It’s like we generate while we manufacture phenol and acetone. This is a valorization effort . And we will also not only be able to sell it, but we will also be able to consume it for further value -added activities from Deepak Nitrite and sell that separately to another segment in this case , for example , the pharma segment .
Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.
Sanjay Upadhyay: Thank you , all, for joining this call. In case any further clarifications are required, you can get in touch with our investor relation s team under Mr. Somsek har Nanda . Thanks again.

Call: Jun 2025

DNL/138/BSE/ 1079/2025
June 3 , 2025

Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
MUMBAI – 400 001

Dear Sir,

Scrip Code: 506401

Sub: Submission of earnings conference call Transcript

We enclose herewith the transcript of the earnings conference call of the Q 4 & FY 202 5 held on May 29, 2025 and the same is also available on the website of the Company at the weblink https://www.godeepak.com/financial -result/ .

Please take the same on your record.

Thanking you.

Yours faithfully,
For DEEPAK NITRITE LIMITED

ARVIND BAJPAI
Company Secretary

Encl.: as above

Deepak Nitrite Limited
Q4 & FY25 Earnings Conference Call
May 29, 202 5

MANAGEMENT : MR. MAULIK MEHTA – EXECUTIVE DIRECTOR & CEO
MR. SANJAY UPADHYAY – DIRECTOR (FINANCE) & GROUP
CFO
MR. SOMSEKHAR NANDA – CFO, DEEPAK NITRITE
LIMITED

MODERATOR : MS. DISHA ARORA – IIFL CAPITAL LIMITED

Moderator: Ladies and gentlemen, welcome to the Deepak Nitrite Limited ’s Q4 & FY25 Earnings Call hosted by IIFL Capital Limited. At the outset, I would like to clarify that certain statements made or discussed on the conference call today may be forward -looking in nature, and a disclaimer to this effect has been included in the investor communic ation shared with you earlier.
As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask question s at the end of today's presentation. Please note that this conference is being recorded.
I now like to hand the conference over to Ms. Disha Arora from IIFL Capital Limited. Thank you, and over to you, ma'am.
Disha Arora: Thank you. Good afternoon everyone, and thank you for joining us on Deepak Nitrite's Q 4 & FY25 Earnings Conference Call. Today, we have with us Mr. Maulik Mehta, Executive Director and CEO , Mr. Sanjay Upadhyay, Director (Finance) and Group CFO , and Mr. Somsekhar Nanda, CFO of Deepak Nitrite Limited. We will begin the call with opening remarks from the management team, followed by an interactive Q&A session.
To begin, Mr. Maulik will share his views on the operating performance and the growth plans of the Company, followed by Mr. Sanjay Upadhyay, who shall take us through the financial and segmental performance. The results documents have been shared with you earlier and also have been posted on the Company's website.
I now invite Mr. Mehta to share his opening comments. Thank you, and over to you, sir.
Maulik Mehta: Good afternoon everybody, and welcome to Deepak Nitrite's Q4 & FY25 Earnings Conference Call. Our earnings documents were shared with you earlier, and I trust you have had a chance to review them.
FY25 was a challenging year for the entire chemical industry, marked by significant external headwinds, a global slowdown in demand, amplified by geopolitical tensions and macroeconomic uncertainties . A wait-and-watch mode in the face of tariff ambiguity has meant that supply couldn't be fully absorbed, placing pressure on prices of chemical intermediates. Additionally, intense price competition, particularly from Chinese producers who have been aggressively placing suppl ies exerted further margin pressure for Indian manufacturers.
Amongst these headwinds, domestic demand served as a vital cushion, showing early signs of stabilization and recovery in almost the entire range of indus try applications. This resilience was supported by our continuous focus on cost optimization, digital transformation and an endeavor to capture niche demand through product variants and new offerings.
Given this operating framework, we have reported a resilient performance in FY25, where we focused on further strengthening our business model through key initiatives aimed at improving both product ivity as well as profitability. Record production volumes were achieved in several products through process optimization initiatives, debottlenecking efforts and capacity augmentation, all of which has served to enhance operational efficiency. Cost optimization has

been achieved by process recalibration. Simultaneously, we expanded our product portfolio and secured long -term contracts, positioning ourselves for consistent and sustainable growth. As we look ahead to FY26 with several projects commissioning on the horizon, we are confident in our ability to deliver an improved growth and profitability scenario. We have also started gaining benefits from renewable hybrid power arrangements, which will encompass almost 60% of our total consumption by the end of next year.
For fiscal year ended March 31, 2025, Deepak Nitrite reported a total income of INR 8,366 crore, growing 8% over the previous year. This growth has been achieved in

the face of
significant headwinds, and our teams have expended considerable effort to debottleneck facilities, augment capacity and develop new products and variants as well a s seeking out additional customers and non -coal markets in order to achieve the growth.
As you are all aware, product pricing remain ed subdued for most of the fiscal year. In this context, we have delivered a consolidated EBITDA of INR 1,176 crore, almost at last year's level, despite th is challenging environment. Here too, I would like to commend our team for undertaking these optimization measures, process recalibration and delivering increased production volumes of key products.
We reported a profit before tax of INR 953 crore for the year and profit after tax of INR 697 crore. While top line growth was driven by volume, which helped offset the impact of lower realization, profitability was affected by several factors. These included elevated input costs, overall slowdown in certain segments like the agrochemical indus try and some customer -

specific challenges. We are confident that we will be able to transition towards a normalized level of profitability during the financial year.
Following a subdued Q3, we indicated an expected improvement in Q4. Our Q4 performance highlights , on a consolidated basis , our total income stood at INR 2,202 crore, marking a 14% sequential increase and a 3% rise on a year -on-year basis.
EBITDA increased to INR 339 crore, a 79% increase on a sequential basis and a 6% increase on a year -on-year basis. PBT more than doubled on a sequential quarter basis to INR 279 crore, an increase of 106%. PAT of INR 202 crore is also a 106% increase on a quarter -on-quarter basis.
In Q4, we achieved record production and sales levels across several key products. This was driven by capacity augmentation, debottlenecking of select facilities and process optimization initiatives. This contributed to strong volume growth. For the quarte r, domestic sales accounted for 82% of reve nue and export contributed 18%.
While now for the segmental performance, Advanced Intermediates in the quarter recorded revenues of INR 654 crore, reflecting a 19% sequential increase. For the full year, the segment reported a revenue of INR 2,527 crore, representing a 7% year -on-year decline.
The quarter -on-quarter recovery was driven by strong performance across multiple product segments, which effectively met evolving customer requirements while demand for dyes and pigments has improved from Q3 end, pricing pressure persisted. We are actively addressing these challenges through targeted initiatives aimed at improving competitiveness and margins.

As previously indicated, agrochemical demand continued to be subdued, a trend that we expect to persist for the next couple of quarters. Nevertheless, we remain focused on prioritizing the production of high -demand products and strategically expanding into non -core markets that demonstrate consistent or growing demand. Our strategic road map also includes a downstream move in certain applications with marginal investments along with industry -leading ESG targets.
Looking ahead, we are expanding our portfolio with new product offerings and variant supported by new customer acquisition, which we believe will drive a revival and growth for the segment. The new products will also serve customers in the Pharma and Perso nal Care segment as well as high impact industrial solvents and energy applications.
Phenolics , in Q4 FY25, the Phenolics segment reported revenues of INR 1,532 crore, reflecting a 12% quarter -on-quarter and 5% year -on-year growth. For the full year, revenues increased by 16%, reaching INR 5,805 crore. This growth was underpinned by debottlenecking , capacity augmentation initiatives, which enabled us to set new benchmarks in the production and sale of key products. W

hile the market absorbed the increased production volumes, a temporary rise in imports, which started in Q3 impacted product pricing while we had taken an annual shutdown. Looking ahead, we anticipate an improvement in market conditions, coupled with softening input costs and supported by enhanced operational efficiency.
As far as project updates and the future outlook is concerned, while some of our projects experienced delays, these spillovers from FY25 has created a robust and exciting project pipeline for FY26.
By the second quarter, we anticipate the commissioning of our state -of-the-art R&D center in Savli, Vadodara. This involves over INR 100 crore of capex . This facility will give a better structure and impetus to our R&D program while significantly enhancing our innovation capabilities. We have already commissioned a facility, which is focused on compounding, which will go into applications, which are mult iple in nature from electric switches and EVs, all the way to medical devices. And this compounding facility will dovetail very nicely once we have our polycarbonate resin manufacturing setup. The nitric acid unit will be commissioned towards the end of Q1, early Q2. And this is a critical upstream integration, which will help improve reliability, reduce costs, significantly improve sustainability scores and allow us to capture a greater share o f the value chain. Expansion projects across key chemistries, including nitration and hydrogenation are set to be commissioned too, building on successful commissioning of the fluorination block in Q4 FY24 and a recently commissioned fluorination block.
By the second half of FY26, we expect to commission the MIBK and MIBC project, which are downstream derivatives of acetone. This will help enhance our integration and support value - added growth. We are also executing a major transformation in our energy consumption mix with the goal of transitioning 60% to 70% of energy consumption to renewable sources in Gujarat and Maharashtra. This shift is projected to result in a 60% reduction in carbon emissions aligning with our broader sustainability goal.
To address challenges relating to intermittency, liability and infrastructure integration, we are targeting an optimal blend of renewable energy source. This helps bring in sustainability and

operations apart from yielding significant reduction in total cost. As a legacy, the company has been rewarding shareholders by way of handsome dividend, so has it this year. Mr. Upadhyay will take you through the details of the dividend process by the Board of Directors.

As far as strategic outlook is concerned, this is probably the first time and maybe the last time I hope that we are not going to give a sharp guidance about this quarter and the next quarter, owing to geopolitical uncertainties, but we continue to remain confident about an optimistic growth in our full year projections. Now what started out as an investment thesis an d an aspiration has now become a well -accepted industry by word, Make in India, Make for the World, as most companies embrace the concept of nearshoring.

Deepak is entering a transformative phase marked by the commissioning of fully -integrated facilities that will significantly enhance operational resilience and profitability. In an increasingly volatile global environment, our strategy of backward and forw ard integration ensures that we can better serve end consumers while enabling our commodity and specialty businesses to support each other. This year represents a renewed commitment to building a new Deepak with project execution gaining momentum, technol ogy is being finalized and promising partnerships emerging in the field of material sciences.

Our growth road map includes the development of upstream products like nitric acid as well as downstream derivatives like MIBK/

MIBC, which are set to become operational in the coming quarters. A major highlight is that the Deepak Chem Tech Board approved an investment of INR 3,500 crore for new capacities in phenol, acetone and IPA, which will be integrated into the production of polycarbonate resins.

Combined with the earlier INR 5,000 crore approval, the total investment in the PC resins project, starting from phenol and acetone, now stands at approximately INR 8,500 crore. Once commissioned, Deepak will become one of the world's largest single -location producers of phenol and acetone with over half of this capacity set to be converted into higher -value derivatives like bisphenol and polycarbonate resins.

In conclusion, FY25 and particularly a strong recovery in Q4, exemplifies Deepak's operational resilience and the strength of its strategic initiatives. Despite ongoing global volatility and pricing pressures, we achieved volume growth, strengthened our ma rket footprint and advanced critical integration projects.

Thank you for your continued support and trust. We look forward on building on this strong foundation in the coming years.

I'd now like to hand over the call to Mr. Sanjay Upadhyay.

Sanjay Upadhyay: Thank you, Maulik. Good afternoon, everyone, and thank you for joining us today on Deepak Nitrite's earnings call. I will now take you through the key highlights of the financial results for the fourth quarter and full year ended March 2025.

In FY25, we recorded a consolidated revenue of INR 8,366 crore, reflecting an 8% growth over INR 7,758 crore in FY24. EBITDA stood at INR 1,176 crore, marginally lower than INR 1,199

crore in previous year with EBITDA margin at 14%. PBT was INR 953 crore and PAT came at INR 697 crore.

You all are aware that we have a strong history of proposing and distributing dividends. In order to carry that vision forward from our management this year as well , the Board has maintained a dividend of INR 7.5 per share , being 375 %, per equity share . We hope this offers an opportunity to be rejoiced by the shareholders who have placed immense trust in us. We are thankful to the shareholders and believe their unwavering trust in us and shall take us to greater heights.

After relatively muted Q3, we closed the year well, delivering 14% quarter -on-quarter revenue growth led by recovery in Advance Intermediates segment, as Maulik highlighted, we witnessed encouraging demand revival across several key products in the portfol io. In the Phenolics segment, we achieved higher volumes across all product lines. However, the pricing environment continued to remain soft due to increased imports as well as the higher raw material prices. In Q4, consolidated EBITDA rose sharply by 79% quarter -on-quarter to INR 339 crore supported partially by the Government incentive s. So, these Government incentive s are a part of the business and there will be some questions on that. It's a part of our regular income because incentives are there for 10 years, of course, this figure is high because of the accumulated INR 161 crore. But normally, we get around INR 60 crore to INR 70 crore every year. We are booking on a cash basis, actually, on accrual basis, we get around INR 60 crore to INR 70 crore every

year. So I hope I've answered that query from the investors.
Q4 has been a challenging quarter with persistent weakness in pricing. Nevertheless, we believe our initiative towards capacity augmentation, debottlenecking and cost optimization are aimed in the right direction. While the outcome of these initiatives have been lessened in Q4, we are confident that as we move forward, strategic actions we have undertaken will further stren gthen our recovery trajectory and drive improved profitability in the upcoming year.
On the operating front, domestic business earnings stood at INR 1,796 crore in Q4 and INR 6,849 cr

ore for the FY25. Export came at INR 384 crore in Q4 and INR 1,432 crore for the full year. The domestic to export mix of FY25 stood at 83 :17, on a consolidated basis.
Moving to the segmental performance in the Advanced Intermediates segment, revenue increased by 19% quarter -on-quarter to INR 654 crore in Q4 FY25 from INR 552 crore in Q3. With EBIT at INR 45 crore and margin at 7%. For the full year, revenue stood at INR 2,527 crore with EBIT of INR 176 crore reflecting 7% margin.
Deepak Phenolics posted a stable performance with Q4 FY25 revenue rising 12% sequentially to INR 1,532 crore from INR 1,366 crore. EBIT came in at INR 239 crore with a margin of 16%. For FY25, we only grew at 16% to INR 5,805 crore and EBIT stood at INR 783 crore, translating to a margin of 13%.
On the balance sheet front, the Company continues to demonstrate financial strength with consolidated net worth of INR 5,425 crore and standalone net worth of INR 3,126 crore. We enjoy a well -fortified position to undertake a plant upstream and downstream expansion, which has been covered by Maulik in his remarks. We are making notable progress with our growth

initiatives, led by a strong R&D foundation, we are developing different products to enhance our specialty chemicals portfolio.
This new capacity to improve self -reliance in critical raw materials and support margin expansion as they become fully operational. Our new R&D center near Vadodara with an investment of a little more than INR 100 crore is set to be commissioned shortly. And this will reinforce our innovation -led growth strategy.
In conclusion, while the past year presented external challenges and will continue to face external challenges in current year also, our outlook remains strong and positive with a solid pipeline of projects set to be commissioned during the year. Though th e number not be annualized number because most of the projects are getting commissioned in phased manner, say, Q1, Q2, Q3, Q4. But we are looking at a very bright next year with these whole projects getting commissioned next year. Deepak Group is well posi tioned to deliver sustainable growth and long -term value for all st akeholders.
With that, I would now request moderator to open the forum for question and answers.
Moderator: Thank you very much. The f irst question is from the line of Sanjesh Jain from ICICI Securities.
Sanjesh Jain: First, I want a clarification. Maulik bhai, you said in your opening remarks that we are looking at a few downstream product s in agrochemical s, moving up in the value chain. Second, you spoke about the new product, which will have application in agro and pharma and probably another for industrial solvent and energy. Can you give us a little bit more color on this product and what is the capex we are looking at , expansion of these products?
Maulik Mehta: Okay. So first of all, thank you for the question. These products will not really have any meaningful capex maybe other than some balancing equipment or something. And most of these will be utilizing assets that we already have in campaigns. So while we have a baseload and a foundation of some intermediates that we make, we have partnered with certain downstream customers where we would run these products as a value -add in certain campaigns. I think every month, there will be a campaign. It wi ll swing between the baseload of products and the higher value -accretive products. Now when we go downstream in Agrochemical Intermediates, here also, the focus is to do it in a very strategic manner because traditionally, we have always focused on making intermediates not really technical. So when we're doing that, we're doing that along with strategic partners. And as far as what I mentioned about the Personal Care, this again it is going to be an asset valorisation ; but it is also going to fundamen

tally add a brand -new chemistry
to our product portfolio. Just for the record, this chemistry is one that's called Friedel -Craft.
Sanjesh Jain: What chemistry is it?
Maulik Mehta: It's called Friedel -Craft , these are German names. I think that's 2 scientists who created this chemistry many, many years ago, but it has a broad range of applications. And over a period of time, it will actually also feed into the polycarbonate resin as a major application. But r ight now, the priority focus will be into personal care and pharma.

Sanjesh Jain: Very clear. That means because we were running very efficiently our plant, this means we will have more value from the same plant rather than more volume. Is that a fair statement?
Maulik Mehta: So while that answer is yes, I mean, we have a mixture of high -efficiency , continuous operations plants, for example, the phenol plant , the sodium nitrite or the nitrotoluene plant, but we also have a very broad range of batch plants, which are very well instrumented and able to have a very large number of chemistries that we're able to use in those assets. So these are assets, which will be used to make these higher value, relatively smaller volume products. And some of them will include asse ts such as our fluorination block. Some of them will include assets, which we would otherwise have used for some other chemistries. So the high -efficiency single product plants will continue to run in that manner in order to gain the base load of efficiency. And the other assets, which are batch , will be used to generate higher value, smaller volume, margin - accretive product.
Sanjesh Jain: Very clear. Now shifting gear to the standalone business this quarter, I think we had a good run on Agrochemical s sequentially. But if I look at incremental gross profit and incremental revenue, that's only 37%. That says that we are still facing some margin pressure in the underlying core product even in the Q4. When we see the margins have stabilized, are they stab ilizing at a Q4 level or at the Q3 level?
Maulik Mehta: No, neither. Even Q4 is softer than it should be. But I'm not going to give any opinion about what Q1 and Q2 will be because, I mean, literally, on a daily basis, there are news that come out that completely shatter your perception of what would be a norma lized situation. So I would rather say that we're confident about coming back to a normalized number, which is higher than the Q3, obviously, higher than the Q4. But I would say that this will be achieved on the annual number rather than on a base of Q3 or Q4.
Sanjesh Jain: That's very helpful. But can you throw some light on what's really happening? It's a demand side issue in China or it's oversupply situation in China? What really is driving a sudden spurt in competition in our product, which till now has been doing quite well even in the worst of the situation in FY24?
Maulik Mehta: So generally, what has happened over the last several years is that there has been a significant overcapacity that has been built in China. Along with that, a lot of the Agrochemical Intermediates that Deepak manufactures has a very large application base across the world, but has been largely dependent on onl y a small handful of customers. Now as these molecules go through a process where there is a patent expiry, the number of customers increases. And for a short period of time, so does the number of pote ntial competitors. So Deepak has been focusing on ensuring that it is building cost leadership as well as ESG leadership. Now there is always going to be a period of time in the middle when you're essentially competing with someone's finished good s inventory. It's easy for Deepak to compete with anybody at a global level when you're talking about manufactured products. But when you're competing with somebody's closing stock, which is de

pleting at a pretty rapid clip, but you still have the tail end of it th ere in the market, that competition becomes unable. To be honest, we are actually quite well aligned with a lot of other players who say that the down cycle of agrochemicals is petering over to the end. You have certain players who are forward integrated into the formulation, who are able to

tell you that the future is much brighter because they're there with it. We follow suit maybe with a lag of 1 quarter or 2 quarters. But we are well aligned that moving forward, the situation is not as grim as it was in FY24, FY25 with regards to volume recovery as well as over a period of time, price recovery.
Moderator: The next question is from the line of Nirav Jimudia from Anvil Wealth.
Nirav Jimudia : I have 2 questions. So, first is on the commissioning of our nitric acid plant. So when we see the other players in the industry having the capacities of nitric acid, they are integrated in terms of their upstream ammonia, whereas probably we have to purch ase ammonia from outside to support our nitric acid production. So just wanted to have your thoughts here that because we need to purchase it from the outside market, how we would be competitive vis -a-vis those players having their captive ammonia? And also, if you can talk about in terms of the opex difference between us and them over a period of time?
Maulik Mehta: Okay. Nirav, thanks for your question. Just to clarify, look, Deepak Nitrite has been in the business of consuming ammonia now for 54 years . We started off with sodium nitrite, which is

a consumer of ammonia. So our ammonia purchasing pipeline, both from domestic as well as international sources is relatively robust, and it can be made more robust with some margi nal investments here and there. So look, we don't compete with manufacturers of nitric acid. Our asset is in place for us to consume internally. So our products that we make, while nitric acid will be made, our products will be downstreams of nitric acid. And those are much higher value in a sense of multiple end applications, domestic and international demand. In fact, in a couple of places, we have tied up a large portion of our production for multiple years with formula -linked pricing, which includes movement of feedstock, for example, ammonia. So moving forward, I don't see us trying to benchmark against nitr ic acid producers who hav e their own ammonia. I look at benchmarking us against nitric acid consumers who purchase their own nitric acid, whereas we will continue to purchase and expand our purchasing policy for ammonia.

Sanjay Upadhyay: So, Nirav, to elaborate, this is a make or buy decision . It has nothing to do with the market. And then secondly, the certainty of supply and through pipeline. These are the major components one has to look at. We are not competing with anybody. We know they will be far superior than us. But assured supply, timeline supply, cost as compared to market will be much lower. Pay backs are better, quite good, in fact. So this is what calls for a make or buy decision, not as compared to how they are doing and what we are doing. How efficiently we are doing is more important. So I hope we have answered your question.

Nirav Jimudia : So just one thing here. Last quarter, you mentioned that probably we would have our own storage tanks also for ammonia. So how that is progressing and when that could be commissioned? Because now our nitric acid facilities are getting commissioned in Q2. So if you can share someth ing on that storage tanks, that would be helpful.

Maulik Mehta: So what we've done is we have already made investments and commissioned investments about storage of nitric acid as well as unloading of nitric acid to have a much higher rate of consumption on a steady basis. We have also invested into expanding our stora ge to al

low us a
greater degree of flexibility and then take that ammonia via pipeline into our consumption sites.

I won't say that, that is a significant investment, but that should also be operationalized during the year. To ensure that we have a strategically derisked ammonia sourcing strategy.

Nirav Jimudia : Got it. Second question is in terms of the input prices, like some of our major raw materials like toluene, octanol have seen a price corrections from March onwards. So just wanted to have your thoughts here, like have the product prices being adjusted commensurate with the fall in these raw material prices? Or we would have some extra delta left with us to work with? Given the kind of commentary what we have seen in your investor presentation, like you have mentioned that we are seeing a kin d of demand revival in dyes and pigment segment. So if you can relate all this with reference to these raw materials as well as your outlook for DASDA, OBA for FY26?

Maulik Mehta: Sure. So look, Nirav, as you mentioned, there is a price softening of key petrochemicals like benzene and toluene and such. Now because we are intermediates manufacturers, we are also present in multiple parts of the value chain. For example, my OBA prices do not move in l ine with toluene prices, right. So in some parts of the business, when we have a contractual agreement with customer for an intermediate, we have a formula with a pass -through clause, which may have, in some cases, 1 month. In another case, it is a quarter where there is an adjustment to the price of the product based on quarterly average movements. In other places, it is linked to the market price. So when I'm selling optical brighteners, nobody really asks me about the price of toluene and how its downward revision would improve my OBA prices. So there, it is about being able to secure long -term cus tomer contracts. And as you've mentioned, OBA, we have debottlenecked our optical brightener manufacturing capacity. We've also launched a few new SKUs , including into certain segments where we were originally expecting an extinction threat in that segment. So now our optical brighteners are able to service those applications as well. And we're working very tightly with our key accounts, our customers to increase our wallet share. But we do debottleneck in anticipation and then over the next year, work to see how we can increase our wallet share with them. So this is an ongoing activity . Even this year, we will be able to debottleneck the asset with margi nal investment. And our goal is to ensure that we are increasing our wallet share because we have upstream integration and because we have a strong value chain thesis that we are able to give to customers.

Moderator: The n ext question is from the line of Ankur Periwal from Axis Capital .

Ankur Periwal : First question on the AI part. Your commentary suggests volume -led uptick across some of the segments wherein we are seeing some green shoots. My question is more on our thoughts and strategy given that the pricing -led scenario is the way it is, probably i t will take some time for it to recover. So is there any enhancement in product specifications that we are doing to address

the margin pressure? Or there could be a reset in terms of AI margins over the medium term as we scale up this business?
Maulik Mehta: So in the AI business, the part which goes into dyes, pigments and their associated industries, I think, I had mentioned also in February that from the closing end of Q3 onwards, there has been an improvement. And that improvement was volume -led and eventu ally, it would turn into pricing improvement as well as margin improvement. So I think the volume improvement has persisted. Now we're starting to see some level of margin improvement. Again, all of this is

significantly influenced by geopolitics. So I'm cautiously optimistic, but we are seeing along the lines of what we had mentioned in February. Now when it comes to other segments such as Agrochemicals, for us, in a certain group of products, which go into Agrochemicals, we are seeing margin as well as volume improvement, but not in others. The other ones will come maybe towards the end of Q1 or Q2. I'm not sure. And hence, I am not going to give any clarification with regards to the other chemical, which g oes into Agrochemicals. What we have done in the meanwhile is, we have seen how to ensure that we are optimizing on the cost front, how we are ensuring that we are able to even go downstream in partnership with certain customers as well as ensure that there is a level of asset fu ngibility, where we are able to use the same asset to drive production for intermediates, which will go into other applications such as pharma and personal care. Revival is fully realized, we will have more options than we did 1 or 2 years ago because we will have more products commissioned across a broader range as well as we will have gone downstream to be able to have a greater security about the future of these assets.
Ankur Periwal : Sure. And just a follow -up on that. Within AI, is there any specific segment wherein the pricing or the competitive pressure is significantly higher, maybe Fine & Specialty or Basic Chemicals or even DASDA?
Maulik Mehta: So pricing pressure, of course, is significant on products such as DASDA and there is a pricing pressure on a couple of Agrochemicals. In another couple of Agrochemicals, the situation has been on an improving track. I wouldn't say that it is where I would like it to be or where it has been in the last few years, but it is on an improving track.
Ankur Periwal : Okay. Great. And just a second question on our medium -term expansion into phenol acetone downstream. So there was a tech tie -up, which I think was pending on the B PA side. So what's the status there? And from a tech perspective, are we more or less done across the product range that we are looking at? Or there is still more to go?
Maulik Mehta: Oh, bisphenol? BPA?
Ankur Periwal : Yes, bisphenol. Yes.
Maulik Mehta: I think we're at the final leg of concluding all that. The other licenses have already been tied up. Polycarbonates, as we've mentioned earlier, we are in a unique position where the equipment, the license, the final product trademark as well as our anchor customer all happen to be the same name, which gives us a great degree of confidence, not only in servicing the Indian requirement because of our compounding facility that we've already put up. But we've already started servicing the domesti c market as well as the anchor customer, which will be located in Europe and will continue to consume product that comes out of this plant. So I think we are well placed with India's growing demand as well as our anchor customers' expected demand.
Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.
Abhijit Akella: So just a clarification on the Government incentives. So number one, this was for 10 years , so how many more years does it continue for? And if I heard you correctly, you mentioned that

there was some accumulation of the incentives this year. So for what period exactly has this INR 161 crore number have been received?
Sanjay Upadhyay: Abhijit, I mentioned that on accrual basis, INR 60 crore to INR 70 crore is the accrual every year. This is till December 2028. Okay. But then you make further investment, you further qualify for th ese incentive s. So when we are considering the larger projects, we fall into a mega project scheme where the schemes are again better. And for such incentives and these things will continue there also. But on current resul

ts, what Government does is that they release 80% and 20% is withhold until they do the final verification and certifies that. So that was completed last

year. So we got current year as well as the accumulation of past year of 20%. But hence forth , it will be INR 60 crore to INR 70 crore on an accrual basis , for the existing investment.
Abhijit Akella: Right. Just to clarify, so is it fair to assume that out of this INR 160 crore, maybe INR 60 crore or INR 70 crore would have pertained to FY25 and the rest would have pertained to the previous years?
Sanjay Upadhyay: Yes, this is fair.
Maulik Mehta: While we make this happen, obviously, they will have their own period of time. So that will be accrued separately because they will be separate investments.
Abhijit Akella: Yes, sure. And I guess the commissioning for that would be basically from fiscal 2028 onwards or thereabouts, right?
Sanjay Upadhyay: Yes.
Maulik Mehta: Correct.
Abhijit Akella: Correct. Okay. Got it. The other question I had was just on the normalized margin outlook. While I understand that for the next couple of quarters, it's very difficult to hazard a guess. But when you're alluding to a more normalized level from a full year basis, is there some rough range you could point us to for the 2 segments regarding where margins could end up normalizing in each of them?
Maulik Mehta: I think it is probably not the right time to be able to answer that. We believe that the normalized margins should be higher than what they are right now. Whether that happens in 1 quarter or 2 quarters or 3 quarters, I don't know. But we're confident abou t an annualized margin, which is higher. So perhaps we see how the situation plays itself out, there will be pockets of opportunity even in the short term, it might look disproportionately higher than it should be. But I just hastened to say that it doesn't mean that Q1 and Q2 will be low and Q3 and Q4 will be high. So we are positioned in a place where we are able to take opportunities and those opportunities may be short or medium term in nature. They may be long term in nature. So we will r emain agile, and we will always ensure that we are giving a high degree of transparency to investors.
Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: Just a couple of clarifications on phenol. I know last quarter was a difficult one because you had mentioned the perfect storm. Given that you've been able to run the plants a lot better in this quarter, just wanted to get a sense if we've been able to rec oup the market share that we lost last quarter to imports and possibly increased it because we obviously expanded our capacities. And as an extension, I think you had mentioned that you will see some relief from the import pressures after March. Just wante d to get back to see if that has been happening as you were guiding in the previous quarter?
Sanjay Upadhyay: Yes, yes. You are right in this, Vivek. Of course, we are not losing an y market share , it remains intact; in fact, it's growing. We go on debottlenecking capacities and the market a bsorbs whatever we are selling. We don't see any pressure on market share as such. Q4 did face some pressure from raw material pricing, but Q1 — though Maulik has told me not to hazard a guess , but I'll still hazard a guess — Q1 is much better for phenol compared to Q4 , as raw material prices are returning , cracks are going back to earlier levels . So I can say, things are in place. We are able to sell in the market, whatever volumes we are supplying to the market and cracks are also getting improved cracks. So see, whenever we talk about something, we'll have to see the Deepak Nitrite product portfoli o. Fra nkly, we are into domestic 83%. Domestic market is growing. Domestic market is stable and though there will be

some pressure here and there in
one of the quarters, but overall, domestic markets are doing reasonably well.
Exports, we are facing pressure, maybe somewhere because of the export dynamics, what we are facing outside geopolitical situation in this. So phenol, so far domestically, we don't see much of a pressure on that, which is a large r section of our business. When we talk about AI and all these things, there also, if you see it's not that there is a pressure on product volumes or anything. It's only because of some concerns on this, but that is also now more or less getting in a stable situation now, it will fu rther improve from here. I mean whatever we have seen up till now, I think we have seen the bottom, that's all I can say. Future looks very bright, not that and with all the commissioning in a phased manner, we are very confident we'll go on because it's already done. I mean nitric acid has already started, the CNA part of it. So, with all these factors, we expect a very good year ahead, and various steps have been taken to support this .
This R&D and small, small things, which Maulik was highlighting, we must realize how are we differentiating our product, how the efficiencies are getting improved , like nitric acid equation, the supply starts from pipeline. And many things are done internally because see, the external environment remains external, but we are doing so many things here. So I see a good year and next year we will be further better becau se of steps what we are taking. I'm not talking about the

global uncertainty, what is happening. But by and large, things are in control from our side. We don't see much of an issue in running our plant operations and the commissioning of the plant. So I'm very optimistic about this, tho ugh cautiously optimistic, t hat's the right word Maulik has used. But yes, I mean, this year should be better than last year because we have seen the bottom, which I feel.

Maulik Mehta: No, I totally agree. One thing that we have learned from last year is that maybe we need to have a much sharper messaging about when we do our regular shutdowns for cleaning and maintenance because when we announced it, we announced also the period of time that we will have a shutdown as well as the fact that we would have inventory. But I think a lot of traders

because of the country's large dependence on Deepak, which has served them well, they anticipated for whatever reason that we may extend our shutdown or they wanted to derisk themselves. So we had much more of an import coming in, in the end of October, early November to compensate for a perceived extended shutdown, w hich never actually took place. We were, in fact, able to start back up at a shorter notice along with larger asset available capacity debottlenecking also. So our increased capacity came head -to-head with an increase in imports. I think maybe we can learn from this, improve our communication strategy that we put out to ensure that this kind of situation gets avoided because at the end of the day, our customers just want to feel secure about the availability given the face of uncertainty in geopolitics.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: So first, Maulik, just coming back to the technology part on our phenol polycarbonate integrated project. You said bisphenol is in the final stages, but have we finalized for the new phenol acetone complex? Or is the technology licenses finalized or we are just continuing with the existing one that we have?

Maulik Mehta: I won't answer that question. I'll just say that it has been finalized.

Arun Prasath: Okay. All right. And also , you said that from the polycarbonate project, the anchor customers' expected demand is very healthy. So, can you indicate what percentage of our overall polycarbonate capacity

this anchor customers expected demand would represent ?

Maulik Mehta: I know I'm saying this a second time to the same gentlemen. I won't answer that question as well. Frankly, that is part of the discussion that we are having. And if I answer that question, I'm giving away any leverage. So we are in conversations and what w e are telling strategic partners is that once we have commissioned their interest in working with us is well noted, and we are happy to be their partner of choice because we're able to service them with technologically trademark products. If they can help us debottleneck fast and further expand capacity quickly, then we will be able to service them faster. So leave us with that little bit of leverage for negotiation. But rest assured that our first priority is to ensure that our anchor custome rs as well as the domestic market are both well served.

Arun Prasath: Okay. All right. So that's fine. On the compounding facility you spoke about, when do we get to see some kind of revenue traction from this facility? Is it this year, next year? What stage are we in, I know you mentioned that you have sent feelers to the customers, but are we in a stage where we can confidently go and sell and book revenue in this? And what is our aspiration in the next 2, 3 quarters or in the medium term?

Maulik Mehta: No. So just think of this as an R&D center. Now it is able to make in terms of the total throughput, much larger than what you would expect very often in an R&D center, sometimes even larger than a standalone plant. But it is still to be considered as an R &D center. We have generated revenues already in the last year, we will extend that this year. But these are all to be considered as in a chemical, what you would look at it as a PO for a piloted product. So when you're talking to customers a nd you're scaling up your production in order to give them confidence that these are plant representative samples, right? And that's what they pay for. When you send them a lab

sample, they don't pay for that. But when you send them a pilot sample, a larger volume, multiple SKUs that they do pay for. But still, I would consider them as R&D projects to build customer confidence.

Moving forward, as we're able to have them do their extended testing in multiple environments, temperature, conductivity, those other things, then they will expand into full -fledged business SKUs. So we've already started seeing value. We've already starte d engaging with customer ’s long-term contracts, but these are still pilot products.

Sanjay Upadhyay: The response what we have got from our customers is very encouraging. Product is getting acceptance. Frankly, this is field marketing, what we are doing to ensure that when we come up with phenol plant, and we are ready with this facility also on a larger scale, so again, I mean, back -to-back, we have integrated facility of compounding also. And the idea is that next phenol plant will be consumed captively rather main product in the market.
Maulik Mehta: And this is a change for our strategy because the traditional thing that Deepak would do would just be to manufacture the resin and sell the resin. Now while we will do that, we will also ensure that we are selling compounds, which are made using that resi n and other smaller raw materials, which have significantly higher price as well as margin, but have a significant approval cycle. So we are starting that approval cycle earlier before the PC plant comes up so that we can then reduce the amou nt of resin that we sell in the market and increase the amount of compound that we sell.
Arun Prasath: Typically, what is the approval cycle in months? Is it 24 months, 36 months?
Maulik Mehta: For some products, it can go from 6 months to other products in things like medical devices and all that, it can go to even 36

months. They're obviously much, much higher value. And because of that, there is a very strict regulation and control. So I mean, we've been working with potential customers in multiple segments including EVs, including switches, including furniture as well as medical devices.
Arun Prasath: So what I understand is some of these approvals needs to also come from the customer's customer. Is it the right way to think? Because 36 months is too long.
Maulik Mehta: No, it is not as long , see, we look at it from a different perspective. 36 months for something, which is going to be around helping people in difficult situations where things cannot be repaired easily. And these will last with the customer, the consumer for decades. 36 months is a fair thing and the Government India as well as states, they've been very supportive. I would not put too much worry into the fact that something takes 36 months. It takes it because it will be there as a consistent business for decades to be.
Moderator: The next question is from the line of Kumar Saumya from Ambit Capital.
Kumar Saumya: Just a couple of questions. On the compounding facility, is it the same capacity that we had indicated earlier? Or has there been any changes there?
Maulik Mehta: It will be that capacity in a phased manner. Right now, it is smaller, but not significantly smaller.

Kumar Saumya: Okay. And, any indication on what is the revenue that we have booked this fiscal from the compounding facility?
Maulik Mehta: No, I won't answer that question right now because it depends on what products get accepted, when the same customer expects maybe different SKUs for separate registration or approvals, those things. So we are working together with multiple customers and mu ltiple segments. So yes, it's too early.
Kumar Saumya: Sanjay, sir, if you could just give us an indication what is the cash capex for this fiscal?
Sanjay Upadhyay: This fiscal, it won't be that high because we are almost at the verge of completion of all our earlier capex es. This should be in the range of INR 1,200 crore to INR 1,500 crore out of whatever we have announced, that INR 8,500 crore plus the residual of the earlier. So out of around say INR 9,000 crore, INR 9,500 crore, our cash capex for this year should be around INR 1,500 crore.
Moderator: The next question is from the line of Aditi Loharuka from CD Equi search .
Aditi Loharuka: I would like to know that how much is not so modest capex justified in the light of uncertainties in global trade in general and chemical industry, in particular?
Sanjay Upadhyay: Capex justification, are you asking?
Aditi Loharuka: Yes, sir.
Sanjay Upadhyay: What I mentioned just now?
Maulik Mehta: No, in general , I think.
Sanjay Upadhyay: I don't know if you're asking about the capex approvals what we have got from the Board about INR 8,500 capex , these are all well thought of strategy and well -integrated business strategies. Going backward, going forward, like compounding, like nitric acid, like polycarbonate. So , I mean, market remains what it is. But how resilient business you are creating is very relevant in this situation. If you have to answer the question on this, we can answer it confidently, we have that backward in tegration, forward integration and all kind of efficienc ies in place. So capex justification, in any case, this capex is going to take time. It's by December 2027, we'll be ready. I don't see much of a problem in taking these capex decisions, whatever we have taken. I can understand if we are entering into some other, but these are all very well -known sort of strategies what we are following.
Maulik Mehta: I'll just add one point to that, and I say this with unequivocally, I think that Deepak Nitrite has

the best investment thesis in the chemical industry in India. Across the segments, across the c

ompany sizes, the investment thesis that Deepak has is attrac ting interest across the globe. So there's no question about the fact that we have made the right decisions. Now sometimes you do have project delays, and those are regrettable. And we have to work hard to see how we can always keep on improv ing on those fronts. But if you're asking about why we are investing, what we are investing in, I think that you will have a remarkable resilience moving forward and we

are exactly where we need to be in order to take the best advantage of the geopolitical global situation. Yes, we have a large neighbor in China, but that does not change the fact that India has significant headroom to grow and Deepak has made the right ch oices for investment.
Sanjay Upadhyay: At the right time also.
Maulik Mehta: Yes.
Sanjay Upadhyay: That's very important —at what point in time you make decisions matters. Delayed decisions do not help. If you have a strategy, it's crucial to make timely decisions, and we have done so, following the right execution philosophy .
Aditi Loharuka: Okay. So, what is your strategy to handle trade uncertainties in near term?
Maulik Mehta: That's a whole separate question, and it cannot be answered over an investor con -call. Our strategy involves working with our internal operations. It works with external customers, and it works to see how to make certain assets fungible to be able to apply to multiple applications. Beyond this point, trade uncertainty is a fact of life, which we should be poised to take advantage of as we ll.
Moderator: The next question is from the line of Sanjay Kushwaha , an individual investor.
Sanjay Kushwaha: My question is, the polycarbonate and BPA products comes from petrochemicals and may face more regulation in future. As the world moves toward greener and safer materials, how are you planning to manage this transition ?
Maulik Mehta: To be honest, the world is moving towards greener solutions and that is a wonderful thing that companies around the world are doing. But the interesting thing is that the product that will come out of these systems will be required to house these cleaner a nd greener processes. When you have an electric vehicle, the polycarbonate that is used to manufacture the electric vehicle and to house the battery of the electric vehicle is also as required as the source of the fuel. So let me just give yo u this kind of assurance that moving forward, products such as polycarbonates will have different end users, but will be just as much of interest to the downstream customers who are also engaging in improving their sustainability. So it will be a slightly different SKU, but the core product will remain the same and in part a different physical property based on the requirement. So we may not manufacture more internal combustion cars and the polycarbonate resin that would be used for that compound will be th e same polycarbonate resin, which is used for a compound, which makes an EV.
Moderator: The next question is from the line of Hus eain Bharuchwala from Carnelian Capital.
Huseain Bharuchwala: Just one point. So after the debottlenecking, what is our capacity, you would say, on the phenol plant?
Maulik Mehta: I think we should have stopped much earlier answering questions about capacity because one thing that has happened is because of that, then you have licensers saying, "Oh, you know what, now if you're running it at that capacity, please pay us license fees for that." So yes, we are

consistently ensuring that we have the asset debottleneck ed. Our focus is to ensure that we maintain and grow the domestic market share. So with the current capacity, we will continue to find ways to optimize further. And which we've also signed up for greenfield plant because we are seeing that

we will soon, not right now, but soon maybe over the next 6, 8 months, reach the kind of ceiling that we can expect from this asset. So we need to work quickly to see that we have corresponding greenfield asset, whi ch will service the polycarbonate assets as well as the market.
Moderator: The next question is from the line of Meet Vora from Emkay Global.
Meet Vora: I have just 2 bookkeeping questions. First one is that what would be the accounting treatment for this Government incentive income? Will we be doing this consistently on a cash basis or on an accrual basis, as this INR 60 crore, INR 70 crore of income is more or less certain that we are

planning to accrue every year going forward.
Sanjay Upadhyay: You have to leave something for me and the auditors as well, right? If I answer your question here, my auditor might raise it later. I understand the dilemma, but we'll take a call. Let me also discuss it with the auditors .
Meet Vora: Sure. And just secondly, on the interest cost every quarter or year that we can work with, as I see that there's been a debt increase to around INR 1,000 crore by the end of March this year. So if you can give some indication over there?
Sanjay Upadhyay: Frankly, we have about INR 900 crore in cash lying with us, so our net debt is minimal. This borrowing was done primarily to ensure smooth cash flows. Secondly, we're also putting pressure on our team —our previous habit of borrowing had completely gone. So now the focus is on whether we have strong negotiation skills: are we getting the best rates, the best opportunities, like the 14 -year term loan? These aspects are being tested here, even if only in a smaller way. I could repay this loan today —there's hardly any debt to speak of. But this borrowing was done for the new company we started, DCTL . So this is what we have done. But frankly, I have no pressure on debt at all.
Meet Vora: Correct. Because gross interest cost ideally should be in sync with that INR 1,000 crore. That's why I was asking, but I understood your point.
Sanjay Upadhyay: And also there, it will be in other income, right . So the net interest also will be hardly anything. And then it gets capitalized also. I mean there are several factors here, hence it's a bookkeeping question.
Moderator: The next question is follow -up from the line of Arun Prasath from Avendus Spark.
Arun Prasath: I was asking about the capital work in progress, INR 1,600 crore we have in our books as of March 2025. So apart from the long -term projects, can you just help us understand what portion of this is getting commercialized in Q2 and Q3?
Sanjay Upadhyay: So, all the projects, what we had earlier announced for INR 2,000 crore, INR 2,200 crore are getting commissioned in the current year. This balance will be whatever we are spending, say,

phenol technology or the polycarbonate technology and this gets spilled over to the next years. But other all earlier announcements are getting completed by this year.
Arun Prasath: So majority of this will be capitalized this year?
Sanjay Upadhyay: Yes.
Moderator: As there are no further questions from the participants, I now hand the conference over to management for closing comments.
Sanjay Upadhyay: Thank you all for joining this call. In case you have any further questions , our team can answer that. Thanks once again for joining this call.
Maulik Mehta: Thank you.

Call: Aug 2025

DNL/138/BSE/ 1097/2025
August 21, 2025

Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
MUMBAI – 400 001

Dear Sir,

Scrip Code: 506401

Sub: Submission of earnings conference call Transcript

We enclose herewith the transcript of the earnings conference call of the Q1 & FY 202 6 held on August 14, 2025 and the same is also available on the website of the Company at the weblink https://www.godeepak.com/financial -result/ .

Please take the same on your record.

Thanking you.

Yours faithfully,
For DEEPAK NITRITE LIMITED

ARVIND BAJPAI
Company Secretary

Encl.: as above

Deepak Nitrite Limited
Q1 FY26 Earnings Conference Call
August 14, 202 5

MANAGEMENT : MR. MAULIK MEHTA – EXECUTIVE DIRECTOR & CEO
MR. SANJAY UPADHYAY – DIRECTOR (FINANCE) & GROUP
CFO
MR. SOMSEKHAR NANDA – CFO, DEEPAK NITRITE
LIMITED

MODERATOR : MR. RANJIT CIRUMALLA – IIFL CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Deepak Nitrite Q1 FY26 Earnings Conference Call hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.
At the outset, I would like to clarify that certain statements made or discussed on the conference call today may be forward -looking in nature, and a disclaimer to this effect has been included in the investor communication shared with you earlier. The res ults documents have been shared with you earlier and have been also posted on the company's website. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ranjit Cirumalla. Thank you, and over to you, sir.
Ranjit Cirumalla: Good afternoon everyone, and thank you for joining us on Deepak Nitrite's Q1 FY26 Earnings Conference Call. Today, we have with us Mr. Maulik Mehta, Executive Director and CEO , Mr. Sanjay Upadhyay, Director, Finance and Group CFO and Mr. Somsekhar Nanda, CFO of Deepak Nitrite Limited.
We will begin the call with opening remarks from the management team, followed by an interactive Q&A session.
To begin, Mr. Maulik Mehta will share views on the operating performance and the growth plans of the company; followed by Mr. Sanjay Upadhyay, who shall take us through the financial and segmental performance.
I now invite Mr. Mehta to share his opening comments. Thank you, and over to you, sir.
Maulik Mehta: Hello. Good afternoon everybody, and a warm welcome to you on Deepak Nitrite's Q1 FY26 Earnings Conference Call.
Our results documents were shared with you earlier, and I hope you've had the opportunity to glance through them. I will initiate by briefly taking you through the key financial and operational highlights for the first quarter ended 30th June 2025. Mr. Upadhyay will then present you with the financial overview during the period under review. And following this, we'll open the forum for the Q&A session .
As we begin FY26, Deepak Nitrite remains steadfast in navigating a compl ex global business environment. The past several months have been marked by a confluence of challenges that have significantly affected the industry. Slower -than-expected recovery in some agrochemical intermediates has stifled growth, while continued oversupply from China has impacted th e pricing. These headwinds, coupled with fairly fast -evolving geopolitical complications , have compounded the complexities. Our strong business fundamen tals underpinned by an import substitution strategy, expansion initiatives, both capacity augmentation as well as new projects, process optimization and commitment to innovation and sustainability have provided us some resilience in this backdrop.

Despite these challenges, we foresee a pickup in demand trajectory driven by improving market dynamics, the commissioning of new projects and expanding product applications. Our focus on accelerated execution, enhanced product mix, digital transformation, expansion into newer markets and product variants positions us well to capita lize on the evolving landscape. We remain confident that Deepak Nitrite will continue to deliver value, while contributing to India's larger vision of self -reliant and sustainabl e industrial growth.
Deepak Nitrite has solidified its position as one of India's leading chemical intermediate producers, recognized globally for responsible manufact uring and a supplier of choice. Our diverse portfolio serves multiple industries, underpinned by a philosophy of responsible chemistry, emphasizing sustainability, transparency and ethical business practices. Guided by experienced leadership and deep technical expertise, we continue

to s trive towards driving
operational excellence and long -term value accretion.
Our performance this quarter was sustained by volume growth across our diverse product portfolio, supported by a notable recovery in demand from non -agrochemical applications and also the initial success from certain cost optimization initiatives. In the Advanced Intermediates segment, although agrochemical intermediates are experiencing subdued global demand, we project a recovery in the upcoming period. The Phenolics segment witnessed steady demand with better realizations backed by debottleneckin g and c apacity augmentation initiatives. Our focus on cost management continues. We are excited with our pipeline of new products and upcoming projects that are set to contribute to growth in a meaningful way. In addition, we're actively expanding into newer applications to broaden our market pre sence and diversify our customer base.

For the quarter ended June 30, 2025, Deepak Nitrite reported a revenue of INR 1,897 crore, mainly driven by steady volumes, improved product mix and realization gains in Phenolics. This came on the backdrop of a ch allenging external environment. Despite pricing pressures in the AI segment , consolidated EBITDA stood at INR 197 crore, marking an 11% sequential rise with margins expanding by about 100 basis points to 10% quarter -on-quarter. This was a result of improved operating leverage from sustained volumes and enhanced operational efficiencies from our optimization and pr ocess recalibration efforts. PBT was at INR 138 crore, up 17% sequentially, demonstrating resilient operational momentum. These numbers are excluding Government incentives that we've received of INR 17 crore in Q1 FY26 and INR 161 crore in Q4 FY25 , which was a sum total of about 2 years, respectively.

The standalone Deepak Nitrite revenue was INR 620 crore, lower by 6% quarter -on-quarter. EBIT declined to INR 41 crore, primarily due to a delayed offtake of key products in the agchem intermediate space. However, we anticipate a recovery in the ensuing period. In addition, we are driving targeted initiatives to enhance our competitiveness by adding new customers through a diversification effort and into new geographies. We've seen initial improvements in the margin trends in the non -agchem space. These tr ends, along with our strong customer relationships , position us well for a sustained recovery. Also, the benefits from backward integration will enhance supply security and cost optimization even amidst global overcapacity and pricing challenges.

By implementing strategic initiatives, we have successfully expanded our product portfolio, which is expected to generate incremental annualized revenue. This growth will be driven by the commercialization of a new value stream integrated product for the d yes and cosmetics segment and the launch of a new product through a long -term co -manufacturing agreement. Overall, these targeted efforts will enhance our market presence, including untapped geographi cal opportunities, thereby creating new avenues for sust ainable growth. This is, by the way, done with existing as sets and negligible investment. And while we may have launched these products in the middle of the year, they are going to be tested by customers for stability, and then we will be able to supply commercial volumes when the next contractual cycle begins. This is expected to be in the beg inning of CY2026, meaning January 2026 .

The Ph enolics segment delivered a revenue of INR 1,287 crore, marking a sequential degrowth of 6%. Profitability was higher due to variable cost optimization amid stable sales volume and improving spreads. This was further bolstered by operational efficiencies at the plant. The segment's resilience reinforces the strength of our integrated approach.

We're progressing well on key pr

ojects that will enhance our backward and forward integration, strengthening our competitive advantage. Our concentrated nitric acid plant is in trial production phase, while for the weak nitric acid, commissioning activitie s are ongoing with the technology partner at site and are expected to be commissioned within this quarter. Commissioning of both of these plants will significantly strengthen Deepak Group's manufacturing capabilities for all nitration -based products. By scaling up production and enhancing backward integration, we will secure a more reliable and predictable supp ly chain for our key raw materials. This will not only boost operational efficiency and reduce reliance on external suppliers, but will also solidify our market leadership as an ammonia to amine supplier and reinforce our commitment to import substitution, ensuring a more resilient foundation for long -term growth.

Building on our extensive expertise in hydrogenated aromatics and non -aromatics, we have started trial production at our new hydrogenation facility, significantly expanding o ur group's production capacity. This strategic move directly supports the expansion of our product portfolio and better positions us to meet with growing global demand for high -value specialty chemicals. This new facility will not only enhance our operational scale, but also our position as a key player in this critical segment, while integrating well with our already commissioned fluorination assets.

Our advanced solvent MIBK, MIBC and others and nitration plants are expected to be commissioned in the next quarter. This move will significantly strengthen our downstream integration, allowing us to capture more value from our existing product lines and r educe our reliance on external suppliers.

We are prioritizing resilience by effectively managing resources and adapting our processes to meet with these demands. In the face of market challenges for our core agrochemical products, we've demonstrated operational agility by proa ctively repurposing our assets. This capital -efficient approach allows us to co -develop and produce alternative , higher -value products in close collaboration with our other customers. The strategy not only diversifies our portfolio, but drives new growth without requiring mea ningful capex .

Our transition to renewable energy is already delivering results. During Q1 FY26 , we have seen short -term benefits through strategic tie -ups. In order to attain our long -term goal of sourcing 60% to 70% of energy from renewables by FY27, we have signed a PPA, which will lead to significant *cost savings starting from May 2026. Overall, this initiative is projected to reduce our eCO■ emissions by an estimated 60% to 65%.
India's first integrated polycarbonate project aims to produce 165,000 metric ton nes of polycarbonate resin annually. A key part of th is strategy is backward and forward integration from propylene, which will be supplied from a feedstock of LPG. The chain of products will include from propylene to phenol and acetone, to bisphenol A and polycarbonate resins. In line with this, the Company is also expanding its phenol and acetone capacity to serve as raw materials for bisphenol A, which will also, in turn, be an intermediate for polycarbonates. And we have already entered into the polycarbonate compounding business with an invested asset in Vadodara . This holistic approach, which leverages existing expertise and the technology license from Trinseo positions Deepak Nitrite to be a highly integrated producer, reduce India's reliance on imports and secure a predictable supply chain for its downstream prod ucts. Polycarbonates are a highly versatile product range that are used widely in various applications and industries due to very unique properties, including high impact resistance, transparency, heat resist

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and light weight. They are used in sectors such as electrical, automobile, medical devices and now increasingly also in defense and drone manufacturing. This integrated complex is expected to start commercial operations by December 2027.
Deepak Nitrite is committed to expanding its integrated product portfolio and deepening market penetration with investments of around INR 10,000 crore over the next 3 years and operations spanning seven manufacturing plants across India, serving more than 50 countries, we're well positioned to deliver long -term value and contribute also to India's self -reliance.
To summarize, Q1 has demonstrated challenges and opportunities, which have tested our strategic ability amid global uncertainties. Our focus on import substitution, integration, innovation and sustainability continue to drive operational performance. We profusely thank our employees, partners and stakeholders for their continued trust and support as we work towards realizing our vision of creating a stronger, self -reliant and prosperous India.
Potential U.S. tariffs are expected to have a moderate impact on our business given that our exposure to the U.S. is limited to 2.5% to 3% at a consolidated level. We are taking proactive steps to negate this by expanding into new markets. Additionally, we're maintaining close communication with our customers and closely monitoring this unpredictable environment. More importantly, this will help increase our exposure to Bharat in line with the Viksit Bharat initiative.
Overall, we remain committed to delivering a long -term value to our stakeholders through responsible growth, operational excellence and a sustainable future.
Thank you. We look forward to building on the strong foundation in the coming years.

With this, I would now like to hand the call over to Mr. Sanjay Upadhyay, who will address this forum and take you through the financial performance and key updates during the period under review.
Sanjay Upadhyay: Thank you, Maulik. Good afternoon everyone, and thank you for joining this call today. I'll now walk you through the key highlights of our financial results for the first quarter ended June 30 , 2025 .
In the first quarter of FY26, we achieved stable operational performance on a quarter -on-quarter basis. This was predominantly driven by sustained volumes, better pricing in Phenolics as well as cost optimization initiatives. Despite persistent pricing pressure and softer demand in agrochemical intermediates, our legacy portfolio as well as Phenolics stayed resilient and maintained volumes. As hinted by Maulik, we anticipate demand revival in agro intermediates in the upcoming quarters. Meanwhile, demand in other end applications like dyes, pigments, detergents, gl ass and home, personal care, et c., remains steady.
Our EBITDA showed marked improvement, benefiting from greater operating leverage due to steady volumes along with ongoing cost control and efficiency measures. As we advance, we believe that strategic steps we have undertaken will accelerate our recovery a nd enhance profitability in the coming period.

Financial overview : On the revenue front, our domestic sales totalled at INR 1,623 crore in Q1 FY26 , complemented by export revenue of INR 267 crore. This resulted in consolidated domestic to export revenue ratio of 86:14 for the quarter. In alignment with our import substitution strategy, our keen focus on the domestic market provides a stable buff er against geopolitical shocks. This not only insulates us from the external volatility, but also ensures a more consistent demand trajectory and revenue stream, forming a predictable and resilient foundation of our long -term business stability.
Consolidated revenue declined by 7% quarter -on-quarter to INR 1,897 crore. EBITDA grew by 11% to INR 197 crore compared to INR 178 crore i

n Q4 FY25 with margin expansion at 10%.
Profit before tax improved by 17%, reaching at INR 138 crore. With a positive outlook ahead, we expect performance to improve as demand stabilizes, key projects come online and cost efficiency initiatives gain further momentum, positioning us for consistent profitability in the period ahead. Total income, EBITDA and PBT exclud e Government incentive amounting to INR 17 crore in Q1 FY26, INR 161 crore in Q4 FY25, respectively.
Segmental performance highlights : The Advanced Intermediates segment delivered revenue of INR 605 crore in Q1 FY26, lower by 7% from INR 654 crore in Q4 FY25. EBIT stood at INR 35 crore, yielding margin of 6%. In addition to ongoing macroeconomic challenges , this was impacted due to certain pre -operative expenses of projects nearing commissioning at DCTL.
Our Phenolics business showed resilience, posted an operational revenue of INR 1,287 crore from INR 1,371 crore in the prior quarter , Q4 FY25, a decline of 6% . EBIT was INR 101 crore, reflecting an operational margin of 8%. Favorable demand ensured volume stability as well as

better pricing. Simultaneously, we achieved cost optimization by effectively managing our variable expense. EBIT grew by 29% during the period.
On strategic growth and innovation front, we continue to advance our long -term growth strategy, which includes launching our new specialty chemical manufacturing facility each year .
Leveraging our strong R&D capabilities , we are focused on developing differentiated products that will expand our specialty chemicals portfolio.
The new capacit ies will enhance our self -reliance on critical raw materials, contribute to margin improvement as they scale up. Our state -of-the-art R&D center near Vadod ara, which is expected to commission soon will play a pivotal role in driving innovation -led growth.
Although the quarter presented external headwinds, we remain optimistic about our future prospects . With a healthy project pipeline, a steadfast commitment to operational excellence and improving market conditions. Deepak Nitrite is well positioned to achieve sustainable growth and deliver lasting value to our shareholders.
With that, I would now request moderator to open forum for question -answer session.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Sanjesh Jain from ICICI Securities.
Sanjesh Jain: First on the agrochemical side, can you help us understand what really has happened , it is lower demand, because destocking appears to be largely behind for t he conventional portfolios of the innovators or it is China oversupply, because China still continues to add a lot of capacity. So that issue doesn't look like going away very soon. So what gives us confidence that we should see a much better recovery going forward?
Maulik Mehta: Do you have another question also? I can answer them together.
Sanjesh Jain: Okay. Perfect. Then I will ask all the questions. So second on the, you said that volume was steady. That means, on a standalone basis — particularly in AI — volumes were broadly flattish, which suggests that agrochemicals have declined. Within the non -agrochemical segment, what should be the expected growth rate, especially for some of our key products l ike sodium nitrite, OBA, and BHA? How has that portfolio evolved? That's number two. Number three, on the value creation from the agrochemica l value chain, which you spoke about last quarter that you intend to move up in the value chain. Where are we in that effort? And when should we see benefit of that going in? And lastly, on the new product commission , could you provide an update on its ramp -up progress?
Maulik Mehta: Okay. Thank you for the questions. I'll answer the first one first. Yes, China has ramped up its capa

city significantly. But most of that capacity that has been ramped up is for the final product, which goes into formulations. We are an intermediates manufacturer. So what's important is that we focused on seeing what we can do to optimize our cost structure as well as our affluent footprint. And on both of these, along with our quality, I think we stand out as the best in the world. And this has also been given as f eedback by customers. Now the Chinese market is also open to us to supply, albeit at perhaps lower realization if we choose to take it. Now that choice

remains ours, and we will engage with all potential customers, both in India, in Europe as well as in China to optimize our customer mix. But that way, we will ensure that we are derisked from a geographical perspective. These products continue to remain extremely desired in terms of their effectiveness and efficacy at the farm level. Now that said, we have also worked to see how we can engage with partners and see where we can go downstream to further optimize our value o ffering. In a couple of the plants, we have made sure that we are able to run multiple products in discrete streams. Now these products, because we're literally in the middle of the year, at the moment, what we have worked with strategic customers for is plant pilot batches, which are roughly about 20 or 30 ton nes in terms of volume in order to be able to qualify for contractual agreements, which would start with meaningful volumes from January onwards. So these are certain steps that we have taken to not only derisk from ‘x’ particular prod uct, but also from ‘x’ particular customer. I think we will see a meaningful improvement because orders delayed are not orders declined. And meanwhile, we will see what we have to do in order to make our assets multipurpose in campaigns to be able to run along with customer req uirements. With your second question, which I'm answering last regarding the volumes. Now frankly, on the other products, which are going more into the dyes and intermediate space, I think there, our volumes are largely intact with a marginal growth. And also, by the way, in our PP, our optical brighteners and intermediates, there also, we have seen a growth in line with our debottlenecking efforts. The agrochemical products have had a temporary blip, as I mentioned. Some of them which would be higher margin have had a deferment of supply from our customers, which we are working to see how to address. So all in all, I would say that the net impact on volume is not substantial, but there has been, of course, a net impact in terms of profitability. And we're seeing what we can do to cover that for the rest of the year.

Moderator: The next question is from the line of Nirav Haresh Jimudia from Anvil Wealth .

Nirav Haresh Jimudia : I have two questions. First is on investment of close to around INR 220 crore, which you have mentioned in the annual report to manufacture a key agrochemical intermediate for foray into specialty fluorochemicals. So if you can share your views here, like is this for a novel agrochemical or this is for the off -patent product, some estimates on the market potential? And when can we see the full benefit of this investment accruing to us?

Maulik Mehta: Okay. So first of all, Nirav, thanks for the question. Just to clarify, the investment of INR 220 crore is in its construction phase and expected to be commissioned at some point between the end of January and the middle of March 2026 . We're engaging with customers just also to highlight that while the primary customer for this would be an agrochemical major for a product which is under patent and our process also would be under intellectual property control. The plant is designed in such a wa y that it doesn't necessarily only have to make that. It will also be able to supply to the cosmet

ics industry as well as the polymer industry, both of which appreciate the higher quality as well as the considerably reduced carbon footprint that this proce ss will allow us to put on the table. So this technology as well as this plant is probably the first and only of its kind, and it leverages two key strengths of the company. So the moat is significant.

Nirav Haresh Jimudia : Got it. Any time lines of the launch of this product by the innovator, because probably or possibly in the earlier phase, we'll be supplying some of the samples to them. And then once that is

launched, the sales could have been ramped up from them. So any tentative schedule have been given by the innovator to you in terms of the launch by them?

Maulik Mehta: So this product will be supplied as "plant relevant batch" in quarter 3 and in time for us to be able to engage with them meaningfully for long -term contracts moving forward. But as I also mentioned, the asset will be fungible for u s to use in other applications. There also, we are engaging with customers. There also, we are ensuring that we are using this opportunity to supply small plant relevant batches for them to test. In some of these applications, there is also things like stability t esting and all of those things. But in all of the cases, whether it is for cosmetics, whether it is for advanced polymers, whether it is for agrochemical intermediates, in all the three spaces, the customers have definitely reverted back very, very positively with regards to our industry -leading specifications and purity. So on that front, our product is a benchmark. Now we have to make sure that we are able to supply the products and run them in campaigns as efficiently as possible.

Nirav Haresh Jimudia : Correct. Just a last clarification on the answers given by you. This product which we are going to supply, is it safe to assume that it would be backward integrated in the sense that it would use most of the bouquet of products which we are currently manufacturing a nd this is a kind of forward integration going to the customer through the bouquet of prod ucts what we are already having?
Maulik Mehta: So you are partially correct. But also I'll highlight that this plant, the protected IP is the process, not the product. So the same plant will be able to make multiple products using a process which will be intellectually protected by Deepak u sing a common set of strengths. So you change the raw materials from A to B, you're able to make a product which goes into a different application. And in most of these cases, there is significant synergy with our core competencies. And in two cases, a s ignificant synergy also with Deepak manufacturing the upstream product. I hope this helps.
Nirav Haresh Jimudia : Got it . My second question is on the AGM, like the Chairman, mentioned about projects worth INR 14,000 crore under pipeline. If I'm not wrong, some turnover figure of INR 7,000 crore was also mentioned on these investments. If I recall it correctly, we are undergoing INR 8,500 crore of capex plus INR 2,000 crore of capex , which is under various stages of commissioning. So for the rest of the projects, are the products finalized? And what sort of integration it would help with the existing line of products what we already have?
Maulik Mehta: Okay. So a couple of points just to highlight. Many of the products which are in the process of commissioning, whether it is products like MIBK, MIBC, whether it is nitric acid, those are already part of this, and they are in various stages of commissionin g or something that was commissioned 1.5 years ago, wh ich was the fluorination asset. There is something which is in the process of being commissioned in this particular quarter that we are referring to and some more which is being commission ed in Q3, which is in the mechanical completion and p

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commissioning stage . So all of these put together , then over and above this, what we're talking about with regards to INR 8,000 crore of revenue is to keep in mind that when we make phenol, acetone, bisphenol A, these will be largely fed into the manufacturing of polycarbonate. So they will be able to accrue a higher ROCE and earn EBITDA percentage. So it should be looked at

in line with that, that all the investment when you look at a backward integration does not result in a top line as high , if it was just a downstream investment. But it builds a significant amount of resilience, and we are able to leverage that to create long -term agreements with our customers. One of those customers incidentally also being the company that we are acquiring t he license as well as the plant and assets from.
Moderator: The next question is from the line of Abhijit Akella from Kotak Institutional Equities.
Abhijit Akella: Just a few updates on some of the key projects, if it's possible to share. So just on nitric acid, should we expect the benefits to start from the second quarter of this financial year? Or will it really start from the third quarter? And could it add somet hing like 200 -300 bps to the Advanced Intermediates segment margin? Is that a fair estimate to have?
Maulik Mehta: Yes. I think, in terms of the margin expectation, you're right. And just to clarify, since we are in the middle of the second quarter, we've already begun trial production and we've already started the commissioning activities for the WNA asset. Integrated , both of these will be commissioned and online, on stream for their des ired capacity by the end of Q2. If we're able to take advantage of some volumes as the trial production commences, of course, there will be that benefit, which is accrued . But meaningful and consistent benefit will be accrued from the beginning of Q3 onwards at infinitum.
Sanjay Upadhyay: And to answer your question, yes, it will add to EBITDA, maybe about 2% to 3%, what you mentioned, that's right.
Maulik Mehta: Also, I'll just highlight that while we have been constructing this, we have also invested in expansion of our nitration capabilities across multiple locations. So we will be able to consume more of what we make as compared to what we had originally antici pated. So fortunately, unfortunately, whatever you want to call it, our nitration and reduction capacities have been able to come on stream with trial production in one place and commissioned in other places, a little bit earlier than the nit ric acid plant. But the good thing is that our market presence is already established, and we should be able to hit the ground running once these assets are fully commissioned.
Abhijit Akella: That is helpful. And then on the MIBK, MIBC project, you've mentioned H 2 FY26 as the commissioning time line. So realistically, what sort of capacity utilization percentages could we work with for this financial year and then maybe next financial year?
Maulik Mehta: I think there will be a ramp -up. It's going to be an accelerated ramp -up to a sense, because not only will we be making MIBK, but we'll be making the downstream of that MIBC and a couple

of other solvent s and mining chemicals as well. So the capacity ramp -up will be, I think, three or four products altogether in line with MIBK. So the answer to that is a little bit challenging. It is going to be an accelerated ramp -up. It is not going to be something that takes like a year to do. It's g oing to be months. But we will do it in line with customer approvals, because two out of these products , also have significant consumption in the cosmetic space, where there is a higher price and higher margin expectation. But for that, you have a l onger lead time for validation. So we've already started production of some of these or we're starting product

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within the month to seed market it from another location. And we are ensuring that we are able to move forward with this validation before the much larger plant comes into production. Hopefully, this will allow us to accelerate our meaningful supplies to these segments as well. If not, then there will be a couple of months of lag where their validation cycles and stability studies are in the terminal stages of approval.

Abhijit Akella: Understood. On the polycarbonate compounding facility, which is up and running at present, are there meaningful contributions expected for this year in terms of revenues or maybe profits as well?

Maulik Mehta: I think, frankly, what you should look at is not so much for this year. It's more about what we're able to accelerate on , over the next year or 2 years. I mentioned much earlier, this asset, while it will have contribution in revenue , it's a strategic investment to fast track our approval cycle. So it is to be looked at as if it is a very large -scale pilot project, and it allows us to move forward the validation cycles. Many of these end applications have validation cycles, which are more than 18 months long. So we've just started that a few months ago. And if you look at 18 months, then you should not look at a meaningful contribution if and when that happens during the year, certainly, we'll appreciate it. But it will allow us to run the poly carbonate resin plant when it is commissioned all the way to a 100 without at that time waiting for 18 months of qualification.

Abhijit Akella: Got it. So just to round up on the Advanced Intermediates segment. Obviously, profitability has been weak for the last couple of quarters. But with the backward integration now coming up, nitric acid plus the new products and the contract manufacturing ini tiatives, can we expect to sort of get back into double -digit EBIT margins maybe sometime next year or so? Is that sort of how we are envisaging it?

Maulik Mehta: Yes. In fact, if the orders from our strategic customers had not been deferred, we would have been able to see that even in Q1. But the unfortunate truth is that , this is a situation that prevailed despite our best efforts. So yes, but of course, I will just highlight that many of these products that we're talking about, like nitric acid happen to be in Deepak Chemtech. So the profits as they are will be booked in the company where they're manufactured. And as a group, we will be, of course, able to take ad vantage of that. Deepak Nitrite standalone EBIT percentage should be able to improve steadily over a period of time. But from that perspective, I would rather focus on the EBITDA of the group rather than the standalone.

Sanjay Upadhyay: But Abhijit, to answer your question, it will be a part of AI segment only. So AI segment will certainly show the improved EBITDA at a consol level.

Abhijit Akella: Sure. I understood that. Just last two quick things from me, and I'll get back in the queue. One is on the capex budget for this year. Last time, we had mentioned INR 1,500 crore for fiscal 2026. So is that still on track? And then I guess we need to incur pretty much the entire INR 10,000 crore by fiscal 2028. So the next 2 years, should we expect the remaining amounts to be spent?

Sanjay Upadhyay: This year, it would be in the range of INR 800 crore to INR 1,000 crore , roughly. That INR 500 crore is spent. So next year , it will be a significant amount out of whatever new capex is what

we have announced. So, around INR 1,000 crore we have already spent this year and next year will be around INR 3,000 crore and around INR 5,000 crore , the balance in 2028 . That's how it will be.

Abhijit Akella: So sorry, INR 1,000 crore this year and then INR 3,000 -odd crore in 2027 and the balance in 2028. Is

that correct?

Sanjay Upadhyay: Yes, yes. But some portion goes to the next year also because if you're talking of cash outflow, I'm mentioning about cash outflow, not the actual capex in the balance sheet. See, cash outflow happens subsequently also post project completion. Projects will be completed by dates what we have given by 2028. But cash outflows can happen in the next year also. It will happen, because there are some guarantees and warranties and whatever, the creditors and LCs.

Abhijit Akella: Right. Okay. Just one last thing from me on the topic of tariffs. So I guess we do have significant exposure to some industries like, say, textiles, for example, or I don't know, maybe even autos or auto ancillaries or something else, which are export -oriented and which are believed to possibly face some headwinds from the tariffs from the U.S. So Maulik, would appreciate your assessment of how you're seeing the scenario and what possibly the repercussions could be and how we could mitigate any such challenges?

Maulik Mehta: I think, honestly, anything that I say right now, I would look back at it within the next month, 1.5 months and probably wish I hadn't said it. One thing is for sure that as a Company, as an intermediate manufacturer, we must not only look at first order impact, but second order impact as well. Because our customers and their demand pickup is also dependent on what is going to happen with this. And more than that, it is also dependent on how other countries are dealing with the same geopolitic al uncertainty. But generally, what happens during times of uncertainty is, one, most companies will try to see how to derisk their supply base. Two, they will try to see how to mitigate their costs by conversing with their suppliers to see if some of these can be shared. But three, there is also an impact, which we don't consider of the rupee -dollar devaluation. And along with that also is the fact that supply chains are not built overnight. They take a lot of investment and time. And hence, any impact, bo th positive as well as negative, would be bleeding out over multiple quarters just because there is a position and a threat of tariff and an increased tariff at one time does not mean that the sum total of the impact is felt within the next month or 2 mont hs.

So, I will definitely say it's a wait -and-watch approach. I will also say that we're not without options. And I will also add that our greatest investment is into the country of India itself. As I mentioned in the AGM also, India is the world's largest econom y that has a fair balance of supply -led as well as demand -led growth. And that is something that we should harvest and cultivate because that is our true strength and potential. Meanwhile, we are working with our customers also in the U.S. to see how w e can ensure that they are derisked. And we will do it without allowing for any significant bleed from our margins as well as volumes. But I'm sorry, I'm not able to give you a much clearer answer. Frankly, you deserve a better answer, but this is not a ti me when anyone would be able to give you.

Moderator: The next question is from the line of Tushar Raghatate from Omega Portfolio Advisors .

Tushar Raghatate : I just wanted to know like you're doing INR 9,000 crore capex in DCTL. So considering the polycarbonate resin import and the end user markets in the polycarbonate, what sort of market size you are seeing in order to cater from this PC compounding facilities going forward?

Sanjay Upadhyay: You are asking about polycarbonate market size in India?

Tushar Raghatate : Yes, the Indian market size which you are trying to put up going forward?

Sanjay Upadhyay: 4 lakh metric tons.

Tushar Raghatate : 4 lakh MT, okay. And considering the size of the capex , what sort of IRR and in how many years do you see the cash flows

contributing positively going forward ? By when will you recover the amount?

Sanjay Upadhyay: See, the payback is around 5 years, 5.5 years, between 5 and 5.5 years when you take the entire integrated value chain. You cannot be doing it in bits and pieces. So it's from bisphenol A to phenol, the entire capex will be 5, 5.5 years payback, 16% to 18% IRR.

Tushar Raghatate : Fair enough. And in the phenol business, like one of the major iron ore capacity in Germany, which is about 30% of their capacity is getting shut due to European carbon policy. Any benefit we are seeing from that in the phenol business?

Sanjay Upadhyay: See, phenol, if you heard our Chairman today morning, we have expanded capacity. Even this month also, we have reached another peak. And we are able to sell the entire volume s. And that's because of these reasons only. Because we are one of the integrated players. That's one thing. And secondly, India is consuming these intermediates in a significant way. Our demands are increasing , so we are able to sell , that's why we are increasing the capacity when we are putting up polycarbonate also because we can't let go the market. So you can see the numbers and results that is demonstrating our ability to produce and sell both.

Tushar Raghatate : Got it. One of the players is setting up phenol and acetone capacity in India and also plans to enter the BPA segment. Do you anticipate any competition arising from this going forward? Secondly, considering your phenol and acetone capacity to serve polycarbonate, do you have plans for merchant sales in phenol, acetone, or BPA in the future ?

Sanjay Upadhyay: See, by and large, this will be captive. There is room for one more player also, because the way

demand is growing. But our additional capacity comes for a captive consumption largely.
Maulik Mehta: But there will be demand of phenol BPA, which is also sold in the market, but it will be a much smaller share of the total capacity.
Tushar Raghatate : Got it. Considering the thumb rule of polypropylene and other things like the 165 KTPA, I think the capacity can be much higher going forward, considering the applications you are working on?
Maulik Mehta: I'm not sure what thumb rule this is.

Sanjay Upadhyay: I mean, today, whatever plan we have, this is the capacity we are setting up. So, I mean, and beyond that, today, we can't say anything further.
Tushar Raghatate : Got it. So my question is basically the quantity of polypropylene and BPA is used and the phenol is used to make polycarbonate. On that front, there is a huge room of expansion in the polycarbonate. So on that front, I'm asking post calendar year 2027. So what sort of market you are seeing for that?
Sanjay Upadhyay: I understand your question, but the point is, let us cross 2027, 2028 first, then we can discuss. I said, there is a time, we can't jump to these kind of discussions now. Because we are in the process of setting up such a large capex and projects. Beyond that, today, we will not be able to answer further on future expansion, beyond 2027. That is not possible.
Maulik Mehta: Yes. One thing that I can mention is that, when there is an established plant which is integrated with room to grow, further expansion does not take such time as fresh greenfield plant. And also the investment required to expand is very, very small compare d to, again, a greenfield asset.
Tushar Raghatate : Okay. Sir, and my last question, like Bayer has a subsidiary in India to cater the polycarbonate, the import resin. So , post the capex getting commercialized, do you see yourself as the lowest cost producer in India for polycarbonate?
Maulik Mehta: Bayer is not into polycarbonate. You may be referring to Covestro. It got separated from Bayer several years ago. We're going to be working with a lot of different partners in the downstream

.
And you can look at us as co -producers because we will al so be getting into compounding. We will also be partnering on compounding with various players, just to be clear, Bayer, ex -Bayer Covestro does not have manufacturing for polycarbonates in India. And it will be the first.
Tushar Raghatate : Got it. And you also mentioned in your Deepak Advanced product subsidiary that you're working up with the ABS plus polycarbonate blend. So just wanted to understand you're having plan to manufacture ABS or you have some collaboration with other s who are already manufacturing ABS in India?
Maulik Mehta: No. Not in India. We're talking to everybody right now. ABS is massively oversupplied globally. So there's plenty of options. We have no intention of getting into ABS manufacturing. But we will be supplying to ABS.
Tushar Raghatate : But certainly, are you planning to manufacture epoxy resin because it's a INR 2,000 crore, INR 3,000 crore market of imports in India?
Maulik Mehta: I won't respond to that. This is something that is being internally evaluated. But at the moment, I have no comment for epoxy resin.
Moderator: The next question is from the line of Aditi Loharuka from CD Equisearch Limited.
Aditi Loharuka: I would like to know that how are you adapting to rising risk of trade war?
Maulik Mehta: Whatever adaptation we do, then the trade war looks different in the next week. So I think, honestly, the best thing that we are able to do to adapt for a trade war is look within, look at our

partners, our business partners, suppliers and customers all over the world. Because, as I mentioned earlier, we are not without options, and we're not without relationships. Frankly speaking, as I mentioned, the direct impact that it has on Deepak's consolidated business is not substantial, but the second order impact is something that is to be ascertained. So no clear answer to give you right now, which is worth your time. But we are evaluating options, and we're engaging with everybody, including the U.S. companies. Let's be clear, companies, our customers, our suppliers, nobody benefits from a trade war. If someone benefits, it may be a Government or someone else. But customers, which are companies prefer stability of supply and strategic partnerships. So we're navigating into this together, not alone.
Aditi Loharuka: Yes. The situation is unpredictable, I agree. But given the current scenario, what are the options that you have to deal with this?
Maulik Mehta: The options that we are working on our investments for, because these options allow us to cater

to investments which are already being planned by the consuming industry within India. So when we are investing in something which is going to be made in India using feedstock that is made in India and consumed by customers in India, this is one way that we are working to see how to protect the future of Deepak Nitrite's growth trajectory.
Aditi Loharuka: And how will this impact your capex plans?
Maulik Mehta: There's no direct impact to the capex plan. The capex plans are as we have already delineated them. And with regards to cost of material of construction and such, I don't know. But when we are relocating a polycarbonate plant, let's keep in mind that significant assets are already constructed and bei ng packed and brought to India. So you don't have to invest in brand -new assets. These are very high -quality assets, extraordinarily well maintained. Frankly, there are assets that were put up at a n expense, which today would have been prohibitive in the kind of metallurgy that they have. So let's say that we have assets which we are able to put up, which would have cost considerably more if we were to invest everything all over again in a brand - new plant.
Aditi Loharuka: No. What I want to understand is like when we make any capex plans, we h

ave in mind that this
plan will generate a certain sum of revenue and the major exports are in the U.S. also. So I want to know that how will this impact your capex ? As in , do you have any plans of slowing down capex if the tariffs are high or anything as such?
Maulik Mehta: We do not have plans to slow down our capex , because of the tariff war that is ensuing all over the world. Because our capex plans are very clearly targeted towards supplying our product to Indian customers with some amount being supplied to our technology partner who will compound it into their applications in Europe.
Moderator: The next question is from the line of Rohit Nagraj from B&K Securities.
Rohit Nagraj: On MIBK, MIBC, we said that the ramp -up will be relatively faster. In terms of current pricing, what is the optimal level of revenues that we are expecting? And what are the EBITDA margins that we are expecting on the downstream products?

Maulik Mehta: But when you say current pricing, I see MIBK, more than MIBC, the pricing is highly dynamic and volatile. If I look at the last 6 months and now, it's been extremely, extremely volatile. So if I'm just to look at MIBK as a standalone product, I'm looking at a merchant revenue of close to about INR 550 crore. And let's see because like I mentioned, this is very, very dynamic.
Rohit Nagraj: Right. And in terms of EBITDA margins, any number you want to put to?
Maulik Mehta: Difficult to say right now. Because it is integrated with the upstream. So just putting it on a standalone basis would not be the right answer. It has to be balanced with cracks all the way from propylene to acetone to MIBK, MIBC and the other solvents.
Rohit Nagraj: Got it. On the Phenolics front, so this quarter, again, we have been able to increase the volumes. However, the margins have declined materially, both on sequential as well as Y -o-Y basis. So was there any element of inventory losses on our raw materials?
Maulik Mehta: Sorry, just to correct you there. I would actually say that it is quite the reverse of that. The margins have improved from what was actually a multiyear low in quarter 4.
Sanjay Upadhyay: Almost 8% to 11%.
Maulik Mehta: Yes. So it's been a substantial drop. However, in quarter 1, I would also highlight that two things have happened. One is we've had our highest ever production, but also our production has been constrained in the same qua rter, because of the heat wave. Our last highest production was in the coldest month of the year. So it is heartening to know that we are capable of making a new high in the hottest month of the year. But the kind of heat wave that took place in Gujarat, especially in Dahej wa s unprecedented for the last, I think, 50 or 70 years. And hopefully, with this learning and this experience as we move through the rest of the year, now hopefully into colder months, we will be able to maintain this high production. So just to course correct here, in quarter 1, volumes were lower than they co uld have been despite having touched a high peak, but the cracks were higher than they were in Q4. As I mentioned, multiyear lows in Q4, and there has been at least some level of an improvement in Q1.
Sanjay Upadhyay: Q1 is better than Q4, Rohit. I don't know how you are saying it is lower. Because the incentive of INR 161 crore, which we had mentioned that you need to remove from the last quarter , Q4 FY25 . Then you will know the real EBITDA between Q4 and Q1.
Maulik Mehta: As well as INR 17 crore in Q1 FY26 .
Sanjay Upadhyay: Yes, and INR17 crore in Q1 FY26 .
Moderator: The next question is from the line of Tejas Sonawane from Asian Markets Securities.
Tejas Sonawane: Three questions from my side. Firstly, on the capex plan, the second MOU, which we had announced of INR 9,000 crore. So we also had mentioned about plans of expanding into MM

A,
PMMA and NME. So if you can provide some update about these products? Secondly, I just wanted to know if you can give us some color on the peak debt levels, which we could see by FY28. And thirdly, on the quarterly numbers, adjusting for the Government incentive scheme

from the segmental revenue of Phenolics, removing the Government income from the quarter 4 numbers as well as quarter 1, we see there is a sequential decline of 6%. While in the initial remarks, you did allude to the fact that on the realization front, we have seen some improvement as well as the volumes were steady during Q1. So what could have led to this 6% decline sequentially adjusting for the Government incentive income?
Sanjay Upadhyay: So the MOU of MMA is, whatever we have announced INR 8,500 crore, that is what the announcement is. Very soon, we'll be coming up with the BPA announcement also pr ovided our Board approves that. But of course, they will approve, but approval is pending today. MMA, we'll come back to you when we decide on that. Today, we have not yet decided. So today, the capex plan is around INR 11,000 crore. If you include BPA also into that plus whatever we have spent earlier, so that is the plan on that capex .
Second question, even at peak levels, we do not expect to cross the threshold of around 1.5x Debt -to-Equity at the time of project completion. Once the project is operational and begins generating returns, we anticipate debt levels will normalize . So if it can be in the range of, say, INR 7,000 crore, INR 7,500 crore, we have worked out, but it depends on the capex , how we are phasing out, what kind of creditors and LCs and everything. But roughly, it can be in the range of INR 7,000 crore, INR 7,500 crore, considering INR 11,000 capex . And what was your third question?
Tejas Sonawane: It was on the quarterly segmental performance. So , if you remove the Government incentive income from the Q4 FY25 segmental Phenolics revenues and the Q1 FY26 revenues, there is a sequential decline of 6%. While in the initial remarks, you did highlight that realizations have improved sequentially, while the volumes also have been steady. So what led to the 6% decline which you have seen sequentially, excluding the Government incentive income?
Sanjay Upadhyay: You are talking about revenue?
Maulik Mehta: Yes. I'll answer that. I think, you may have misunderstood when we said realization, what we were referring to was the bottom line, the EBITDA. However, when we spoke about revenue, you're correct that there is a 6% sequential degrowth after adjusting for the SGST benefit. The improvement in the realizations, aka, the EBITDA is because of somewhat of an improvement in the spread as compared to Q4 FY25 . I hope this clarifies.
Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Maulik Mehta: Thank you. Have a good day, and thank you for attending the concall. Happy Independence Day. And please whatever worries there are about global geopolitics, I think this is a good time to remember that this is a young democracy. We've come fast. We have a long way to go, and the future is actually within us. Thank you.

Call: Nov 2025

DNL/138/BSE/111 8/2025
November 20, 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
MUMBAI – 400 001

Scrip Code: 506401

Dear Sir,

Sub: Submission of earnings conference call Transcript

We enclose herewith the transcript of the earnings conference call of the Q2 & H1 FY 2026 held on November 14, 202 5 and the same is also available on the website of the Company at the weblink https://www.godeepak.com/financial -result/ .

Please take the same on your record.

Thanking you.

Yours faithfully,
For DEEPAK NITRITE LIMITED

ARVIND BAJPAI
Company Secretary

Encl.: as above

Deepak Nitrite Limited
Q2 & H1 FY26 Earnings Conference Call
November 14, 202 5

MANAGEMENT : MR. MAULIK MEHTA – EXECUTIVE DIRECTOR & CEO
MR. SANJAY UPADHYAY – DIRECTOR (FINANCE) & GROUP
CFO
MR. SOMSEKHAR NANDA – CFO, DEEPAK NITRITE
LIMITED

MODERATOR : MR. RANJIT CIRUMALLA – IIFL CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Deepak Nitrite ’s Q2 & H1 FY26 Earnings Conference Call hosted by IIFL Capital Services Limited.
At the outset, I would like to clarify that certain statements made or discussed on the conference call today may be forward -looking in nature, and a disclaimer to this effect has been included in the investor communication. The results documents have been shared with you earlier and also posted on the Company's website.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ranjit Cirumalla from IIFL Capital. Thank you, and over to you, sir.
Ranjit Cirumalla: Good afternoon, everyone, and thank you for joining us on Deepak Nitrite's Q2 & H1 FY26 Earnings Conference Call. Today, we have with us Mr. Maulik Mehta, Executive Director and CEO , Mr. Sanjay Upadhyay, Director – Finance and Group CFO , and Mr. Somsekhar Nanda, CFO of Deepak Nitrite Limited.
To begin, Mr. Maulik Mehta will share his views on the operating performance and the growth plans of the Company, followed by Mr. Sanjay Upadhyay, who shall take us through financial and segmental performance.
I now invite Mr. Mehta to share his opening comments. Thank you, and over to you, sir.
Maulik Mehta: Good afternoon everyone, and a warm welcome to all of you on Deepak Nitrite's Q2 & H1 FY26 Earnings Conference Call. Our results documents were shared with you earlier, and I hope you've had an opportunity to glance through them. I will initiate by briefly taking you through the key financial and operational highlights for the quarter an d the half year ended 30th September , 2025.
As we move into FY26, the operating environment remains complex and challenging. We continue to uphold our commitment to responsible chemistry, creating value responsibly for all our stakeholders, our people and our planet. This philosophy anchors our visi on. Strengthened by our core fundamentals of agility, customer responsiveness and continuous process improvement, it provides us with the resilience to deliver an accretive performance even amidst multiple headwinds.
In Q2 FY26 , Deepak reported consolidated revenues of INR 1,922 crore , higher on a quarter -on-quarter basis. This was accompanied by an improved profitability as we reported a 5% quarter -on-quarter increase in consolidated EBITDA at INR 224 crore . You will notice that we are presenting our performance on a sequential quarter basis as the operating backdrop over the last 2 quarters has been broadly comparable, particularly in terms of pricing trends, tariff development, ongoing geopolitical situati ons and int erest rate movements. On a year -on-year

basis, however, the change in the operating environment is far more pronounced with factors such as U.S. tariffs, dumping intensity and under -pricing either being absent or significantly less severe during the corresponding period last year.
Our Phenolics business continues to show performance in continuously challenging times, reporting a revenue growth of 2% on a sequential basis, accompanied by a strong 23% improvement in EBIT. Top line growth was aided by higher throughput, including achie ving a record quarterly production and sales of Isopropyl Alcohol. This was supported by favorable product mix and lower feedstock prices, which aided profitability.
The Advanced Intermediates segment (AI), on the other hand, navigated headwinds from tariff actions and the influx of underpriced imports. We countered these challenges by pivoting to non - traditional geographies and proactively engaged with customers, thereby prot

ecting market share
and volumes, which helped us to report a largely stable top line. However, pressure on realizations were fairly severe and profitability has been impacted. We'v e undertaken some aggressive optimization actions to partially miti gate this impact, and this will be seen in the quarters ahead.
In terms of outlook, we are optimistic about our prospects given the strong traction in Phenolics. And further in the AI segment, we anticipate an improvement in performance on the back of better volumes for agrochemical -linked intermediates from Europe as well as other geographies, enhanced contribution from capacities that have undergone debottlenecking and an improved ability to capture contribution across the value chain with our upstream integration assets, which are expected to be fully operational i n Q4 FY26 . There can be a further uptick to our expectations

should there be an amicable resolution to the U.S. tariff matter.
A key development to share is the commencement of our hydrogenation asset at Deepak Chem Tech on 26th September , 2025, which came at an investment of about INR 118 crore as well as the inauguration of our state -of-the-art research and development center at Savli, which is alongside its sister concern, which is focused on polymer compounding.
The R&D center was built with an investment of about INR 100 crore and spread over a 5 -acre campus, which will serve as an innovation hub for developing chemistries, specialty applications, polymer technologies as well as scale -up and semi -commercial batches . The center will focus on expanding our product portfolio and increase our operational excellence. It will also help us to develop a technology platform and work on new chemistries in partnership with key customers. We're confident that this investment, coupled with our right strategic initiatives with key customers will provide a platform and thrust our efforts in this area over time. It already has served to reinforce the brand value of the Deepak Group and is servi ng to support and attract global partne rships in the CDMO as well as the CMO space. It will also, of course, help to further derisk hazardous chemical manufacturing processes through rigorous process safety protocols and thus elevating our HSE practices. Moreover, we're on the cusp of a transformative growth phase.

Our planned investments in a mega complex, India's first integrated polycarbonate project, which is a strategic leap towards self -reliance and high value addition, supported by long -term feedstock arrangements with Petronet LNG and robust policy tailwind under the 'Atmanirbhar Bharat' project. This is a landmark step in backward as well as forward integration for the group. Deepak's strong pipeline of upstream products such as Nitric Acid as well as downstream products such as MIBK and MIBC are set to be o perationalized in the following few quarters. However, there have already been products manufactured under these banners for seeding made by a different location in the group's portfolio.
At Deepak, responsibility is not just an add -on. It is core and embedded in our DNA. We're transitioning towards achieving 60% of our energy consumption coming from renewable sources, which may exceed 70% once regulations and policies about banking are mad e clear. We've already achieved a significantly reduced emission score and increase d our intensity in a meaningful way in H1 FY26.
In conclusion, Deepak stands at the threshold of a new era of sustainability and innovation -led growth with disciplined execution, strategic investment and an unrelenting focus on operational excellence. We will continue to strengthen our foundation for lo ng-term success. Our commitment to integration, renewable energy and digital transformation is not only enhancing our efficiency, but de epening our competitiv

e edge.
As we move forward, our priority remains clear to deliver enduring value to all stakeholders through consistent performance, prudent capital allocation and sustainable profitability. We're building a future -ready enterprise that balances growth and respons ibility and success with trust. Together, we will ensure that Deepak continues to create a lasting impact for our stakeholders, community and for India that we're all proud to help build.
I would now like to hand the call over to Mr. Sanjay Upadhyay, who will address this forum and take you through the financial performance and key updates during the period under review.
Sanjay Upadhyay: Thank you, Maulik. Good afternoon, everyone, and thank you for joining us today on Deepak Nitrite's earnings call. I will now take you through the highlights of the financial results for the quarter and half year ended September 30, 2025.
Amid a challenging landscape, Deepak has sustained a resilient performance. The Company expanded its market share, especially in the Phenolics segment. Our operations remain capital efficient, which has added to the returns. On a consolidated basis, our ROCE is reported at 14%, continuing on our track record.
Coming to our financial performance on the operating front, our domestic business revenue stood at INR 1,632 crore and INR 3,256 crore in Q2 and H1, respectively. Export revenues were INR 270 crore in Q2 and INR 536 crore in H1. On a consolidated level, the domestic to export mix stood at 86:14.

In Q2 FY26 on a consolidated basis, revenue stood at INR 1,922 crore compared to INR 1,914 crore in Q1 FY26. While EBITDA came in at INR 224 crore , up by 5% on a sequential basis. Margins were up by 100 basis points at 12%. PBT and PAT stood at INR 163 crore and INR 119 crore , respectively, up 5% and 6%, respectively.

In H1 on a consol basis, revenue stood at INR 3,836 crore compared to INR 4,239 crore in H1 FY25. EBITDA came in at INR 438 crore in H1 FY26 compared to INR 647 crore in H1 FY25. Margins came at 11% in H1 FY26. PBT and PAT came at INR 318 crore and INR 231 crore , respectively.

Moving to our segmental performance. Deepak Phenolics delivered an encouraging performance with the revenue growth of 2% quarter -on-quarter basis, INR 1,333 crore in Q2 as compared to INR 1,304 crore in Q1. While EBIT grew at 23% sequentially at INR 145 crore and EBIT margin came in at 11% in the quarter. In H1 FY26, revenue stood at INR 2,637 crore and EBIT came in at INR 263 crore , translating into a margin of 10%.

In the Advanced Intermediates segment, revenue stood at INR 588 crore in Q2 FY26 compared to INR 605 crore in Q1 FY26, while EBIT stood at INR 23 crore , translating into a margin of 4% during the quarter under review. In H1 FY26, revenue came in at INR 1,193 crore and EBIT came in at INR 58 crore , translating into margin of 5% despite the current environmental and challenging circumstances.

On the balance sheet front, Company's financial position is significantly enhanced. The Company continues to maintain low gearing position with debt -to-equity of 0.21 and net worth of INR 5,550 crore , maintaining a strong balance sheet for planned future expansion.

We are also excited about our new R&D center at Savli, which is set to drive innovation and product diversification. As Maulik shared, it will play a vital role in strengthening our capabilities in life science, material science and sustainable solutions, reinforcing our long -term competitiveness by enhancing our moat in existing areas and opening new vistas for growth.

Lastly, our ongoing projects reflect our commitment to long -term growth and self -reliance. Our Nitric Acid as well as MIBK/MIBC plants are expected to be commissioned soon, while the MIBK/ MIBC plant, along with offsite and utility projects, are in an advanced sta

ge of
completion and are expected to begin pre -commissioning activities soon, leading to the commercial phase . Apart from above, we are in final stage of construction activity in specialty chemical plant. The polycarbonate project is on track and signifies a major advancement towards building one of the world's first fully integrated value chain in phenolics.

As these projects come to fruition, they will enhance our competitiveness, improve margins and support sustainable growth, creating lasting value for all our stakeholders.

With that, I would now request the moderator to open the forum for Q&A session.

Moderator: Thank you very much. The first question is from the line of Nirav Jimudia from Anvil Wealth .

Nirav Jimudia: Sir, a few questions. So first, you mentioned that in the Advanced Intermediate s business, we are expecting some better trajectory for the select agrochemical intermediates in the second half. So I just wanted to understand like when those supplies to those global majors who were using our intermediates were at the peak level, if we just compare Q2 vis -a-vis those peak volumes, how much of the volume erosion or the quantities would have fallen from those peak volumes, which they were earlier taking from us?

Maulik Mehta: Okay. Nirav, thanks for the question. In the second quarter, regardless of the peak volumes, the volumes that we sent were essentially 0 or close to 0. And this is because there was an intense, I think, 4 or 5 quarters of inventory des tocking that took place. And hence, what ended up happening is that customers were essentially not even producing. They were only trying to release their own inventory of finished good s product. Now all of this also meant that the intermediates from our side were impacted, so basically, let me put it this way, that these products are conspicuously absent in our Q2 results.

Nirav Jimudia: Correct. So sir, just taking this ahead. So let's say, in terms of the recovery, what we are expecting in H2, how are you seeing these volumes picking up in the subsequent quarters based on your interactions with the customers?

Maulik Mehta: So cautious optimism here. And I think all of them, just like us, are all waiting for some degree of clarity with regards to things like U.S. tariffs and overall the situation with regards to crops such as soya and corn and other things. So what we are see ing definitely is that moving forward, the number is no doubt higher than the 0 that it was in Q2. We are not aware of what it will grow to or plateau up to. But right now, what we have in clarity is that material movement is to begin from, I think, this month or next month onwards. And then there are discussions that are ongoing with regards to volumes with regards to diversified geographies where now even China and other regions like India have come into play. So there are multiple conversations that are taking place. Rest assured that on these fronts, especially on these kinds of agrochemical intermediates, we are looking at more traction in H2 than in H1.

Nirav Jimudia: Got it, sir, helpful. Sir, second question is on the ammonia side. Since we are already in the process of commissioning the WNA and CNA plant. And what we have understood is that most of the domestic players in India have a very little to offer in terms of the excess ammonia. And also because it requires large storage infrastructure, how are we placed in terms of our ammonia contracts, (a). And (b), in terms of minimizing our storage and transportation cost to minimize the impact of the highe r ammonia cost, which otherwise the domestic players are currently charging on?

Maulik Mehta: So fair question. One, we do have an alignment similar to the way that we have with regards to other key raw materials, which allow us to import ammonia as well as buy from domestic sour

ces. So I think there is a fair diversity in terms of our ammonia sour ces. And generally speaking, the product that we are buying has a degree of linkage with regards to international indexes. That said, then the second question that you were asking was regards our ability to store. Now our ability to store his torically over the last 30, 40 years was limited to a very minuscule volume, which was close to maybe just a couple of days of consumption. Now moving

forward, I think from the end of Q3 onwards, anyways, we've already commissioned a storage facility about last year, which about doubled our storage against our consumption. And now I think it will be roughly about 15x how much we would have had over these many years. Again, I don't know whether this will be enough moving forward, but we're actively seeing how we can do it in a way which is going to give us an accretive benefit and do it in a safe way. So now we have multiple storage facilities that are all feeding into our consumption point where pipelines. And we already have in place also a network of tankers that move. Now I think from Q4 onwards, not only will our consumption capacity increase almost to a double or more, but our storage facility will be equal to about 15 days of the higher consumption as against maybe 1 day that we have had for the last 40 years.

Nirav Jimudia: Sir, last from my side, since now we are in the process of commissioning the WNA, is it possible to share the capacities for both of them? Like what sort of operationalized capacities we are coming up with?

Maulik Mehta: I'll tell you the nameplate capacity, but you can reflect on our ex all that nameplate capacity is only a challenge to see how we can overcome. So we would be on an annualized basis, I think, producing roughly between 250 to 270 tons per day.

Nirav Jimudia: What about WNA?

Maulik Mehta: And I think somewhat close to that with regards to concentrated acid, maybe slightly lower because we also are large consumers of WNA.

Nirav Jimudia: Got it. So sir, here, like in terms of this Nitric Acid plant and capacities, would it be fair to assume that initially as our requirement picks up over the subsequent quarters, we would try to maximize the plant utilization and try to sell the excess production in the market and try to cover up the fixed c ost? Or would it be only for our captive consumption only and nothing would be sold outside?

Maulik Mehta: No, we will make sure that we've been aggressively increasing our nitration capacity and also, in many cases, our hydrogenation capacity. So we're looking at significantly increasing our own self-consumption because that's where we will make more margin. I 'll just put it in a simple way. Our Nitric Acid plants will be pushed to their limits regardless of anything. So our consumption plan is happening independently and aggressively, but our Nitric Acid production plan will happen aggressively o f its own accord.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: My first question is on the volume growth on phenol. We have mentioned there is some sequential growth. So what will be the Y -o-Y growth because we have done debottlenecking of the phenol plant. So if you can share this, it will be helpful.

Maulik Mehta: Are you talking about in H1? Or are you talking about in H2?

Arun Prasath: In Q2, in this quarter? And overall, if you can guide what will be the FY26 volume growth on the phenol front?
Maulik Mehta: Yes. So in Q2, I think it was very moderate growth. I think it was about 2%, 3%, frankly. And we actually had a very hot summer in Dahej. And these large continuous plants prefer to have nice cool climates. So the cooler the winter, the more efficient our assets will be. We also had

a
pretty heavy monsoon. So I would say that in H2, we should be able to operate the plant and be able to squeeze out more output in H2 .
Arun Prasath: Okay. If I remember rightly, the debottlenecking and the capacity was supposed to grow by around 10 %. So summer to summer shouldn't also be a 10% volume growth? Or is it some other constraint in selling the material in the domestic market? How should we look at it?
Maulik Mehta: No. Let me just clarify. This 10% was something that we said earlier. So I'm not sure about what base it was set on. This was, I think, several quarters ago. So that we have already achieved. That is behind us. Look, honestly, Arun, every quarter, the team says that they're looking at maybe 4% opportunity to debottleneck. And then every quarter, they achieve it and then they come back saying that, okay, now we've identified some other places where we can optimize. So this is an ongoing activit y, and I'll join all of our shareholders in congratulating them for constantly aiming higher. So even looking ahead, they have similarly come back with the same commentary that they have given every single quarter that while they achieved last quarter's efficiency improvement numbers, they believe that there is some headroom left, and they are targeting to do that. And generally, all of this is around with, I would say, either 0 or insignificant CAPEX . So this is all an efficiency improvement from the plant side.
Arun Prasath: No, absolutely. I was just trying to reconcile my own numbers. No, it goes without saying that it's certain ly a good number.
Maulik Mehta: 10% that I had mentioned has already been achieved. We've gone past that. So the 3% I'm referring to is over and above , I don't even know when I said 10%, but I think it would have been at least a few quarters ago. So we are past that point.
Arun Prasath: No, I was reconciling because last year, we took a shutdown in Q3. After that, we said there is a debottlenecking. So I was expecting that's why the Q2 to Q2, there should be some bigger volume growth. Nevertheless, no problem. I'll reconcile offline.
Maulik Mehta: There is a summer, winter , monsoon aspect that does come in. So , I would hasten don't look at it literally quarter -on-quarter last year Q2 and this year Q2. Don't look at it from that perspective at all. What I had said last year in Q2, 10%, we've done it. It's behind us. After that, subsequently, there has been furthe r debottlenecking. And now subsequently, the plant is confident of being able to create even more headroom in H2. Let me just put it that way.
Arun Prasath: Understood. Okay. All clear, very clear. My second question is on the current state of roughly INR 2,000 crore is there in the balance sheet. Now that we are in the final stages of each of the projects, which is about to be commissioned. So can you just give a breakup of how should we

look at this INR 2,000 crore ? And how much of this INR 2,000 crore so far , we have spent on the phenol and the integrated polycarbonate? And how much of this will be capitalized in the balance sheet in the next 6 to 8 months?
Maulik Mehta: Most of this is not on phenol and polycarbonate. Maybe if there is something minor, that would have been with regards to things like licensing fees or something like that, I don't think that would be considered for investments which will be commissioning in this quarter and in the upcoming quarters . And there is some balance amount of it, which will be in commissioning during the first quarter of FY26.
Arun Prasath: Can you still provide some kind of a breakup between various projects which are under commissioning, excluding maybe the polycarbonate.
Maulik Mehta: So I think 95% of this would not have anything to do with polycarbonates or phenol. So Nitration, hydrogenation and fluorination in Dahej , this would

be over Nitric Acid in Nandesari.
This would be over the R&D facility. This would be over a couple of other multi -purpose plants. So the R&D facility was commissioned. The hydrogenation was commissioned. Nitration will be commissioned at some point either this month or early next month. Nitric Acid will be

commissioned this quarter. It's in the process of being commissioned, in fact. And then you will have some balance, the multi -purpose plants, which are going to be commissioned between March and May 2026 . And finally, MI BC and MIBK, which will be commissioned by March 2026 . And that will be then taking care of all of that INR 2,000 crore that we had announced into specialty chemicals and upstream integration.
Arun Prasath: So largely, this INR 2,000 crore say by March 2026 or April or before June 2026, we should see fully capitalized, right?
Maulik Mehta: Most of it in this year and I think 2 projects will be commissioned in the first quarter of next year. So by June 2026 , I think June end, everything will be done , whatever we had announced.
Arun Prasath: And if you can also provide timelines when we can see the full impact on both the revenue and the bottom line should also be by June 2026 or it will be a little bit elongated ?
Maulik Mehta: When it is for upstream integration such as Nitric Acid, we start running hot as soon as we are able to because we don't foresee any challenge in consumption. In nitration, and hydrogenation also, we will see how quickly we can go to 100 %. And again, these are all now as compared to before, they're all flexible assets. So they will be able to do multiple different kinds of products. But for the multi -purpose plants, which are going to be commissioned between March and June 2026 , there, there will be a ramp -up based on customer validation and on the basis of those stability trial things, which traditionally take anywhere between 3 to 5 months. So there, we will have some production and it will be over 70 customers. But then high operating rates will be from, I would say, mid Q3 onwards, which will then arrive at the end of December or December onwards. So that's how it would be.
Arun Prasath: How much we have spent on Oman plant so far?

Sanjay Upadhyay: Oman will take some time. So maybe 24 months from now.
Moderator: The next question is from the line of Abhijit Akella from Kotak Institutional Equities .
Abhijit Akella: Just on the agrochemical intermediates, where there's been some kind of stop in exports. Are the U.S. tariffs a factor behind this as well? Are these intermediates subject to the tariffs? And is that a factor holding back the demand from customers? Or is it purely a matter of end demand?
Maulik Mehta: Okay. So Abhijit, the problem is that the U.S. tariffs have been spread across the whole world. So nowadays, everything is one way or another linked to U.S. tariffs, either the anticipation of tariffs being withdrawn or the imposition of new tariffs or the uncertainty about what is tariff ed and what is not tariff ed. So this creates a lot of uncertainty in the customers' perspective. Even if there is a conversation about whether Ag purchases will take place in China, bought from the U.S. and th ose questions, I would say that, you can throw this tariff word at anything nowadays. And with fair confidence, you can say that there is some impact because of this. So I would rather say that while tariffs are certainly a significant portion of the uncertainty, in Q1 and in Q2, but mostly in Q2, the gap has been genuinely simply because of an inventory buildup, which it took a lot longer than it should have to deplete itself. So when our customers are not producing, they are not in a position to buy our intermediates. When the customers start consuming, then they are in a position to buy our intermediates. So moving

forward, as I have mentioned, it is
more linked to th e consumption plan rather than just the tariffs. The tariffs will, of course, affect the intensity of the consumption.
Abhijit Akella: Okay. Fair enough. Yes. Got it. And just on the Advanced Intermediates segment, the 3% revenue decline we see year -on-year this quarter to INR 588 crore . Would it be possible to just help us get a split between volumes and prices for that segment for the quarter?
Maulik Mehta: I'll give you the answer, but the answer won't make sense because the value drop is from one direction where the volume is not high and the volume bump is in another direction where the margins are not high. So let me put it this way. As I mentioned, key c hemicals being absent from our Q2 sales plan has been a significant contributing factor to the top line as well as the bottom line. But in other places, ironically, our production efficiencies and our throughput continue to remain high even in the face of dumping from China as we are ensuring that we maintain market share because whatever one says, important at this point is to ensure that we keep our plants running at optimized efficiencies, and we remain key in our customers' wallet shares. So we are confident that sooner or later, this kind of dumping either by policy measures or non -policy measures it will start to moderate to levels which have been traditionally there over the last how many years. But look, honestly, nothing stops a large country like C hina from importing sanctioned natural gas from Russia, even if other countries cannot. And this will, of course, lead to a degree of arbitrage, which we are happy to forgo because it's better to operate with all legal compliances, not really get into spac es which have sanction risks and all those things. So we

believe that these things will moderate in terms of the impact on the bottom line. And we believe that it will be in H2.

Abhijit Akella: Right. Are there any preoperative expenses also within Advanced Intermediates that are depressing the results? And if so, is it possible to just quantify how much that impact might be?
Sanjay Upadhyay: There are expenses which is a part of this. To quantify, it will be around INR 15 crore for the quarter.
Abhijit Akella: Okay. Similar number in Q 1 as well, Sanjay bhai ?
Sanjay Upadhyay: Yes, yes. Similar number.
Abhijit Akella: Okay. Got it. Maybe just one last thing, on the new products that we are proposing to launch in Advanced Intermediates, any incremental color you could share there regarding, end users, those sorts of things. And I mean maybe growth potential and revenue potential, that will be very, very helpful , Maulik.
Maulik Mehta: Sure. What I can tell you right now rather than getting into revenue potential because these are still products which we have recently started producing. And I'm happy actually, I'm delighted to share that I think we have started production of 7 new products in just Q2 itself. And these are all homegrown, home developed products, which we did not really require any technical technology licensing or anything. All of these products for example, it is into life sciences in another 3 cases, these are into what we call effect chemicals. So they go into applications such as polymers, flame retardants, mining chemicals, etc. Now all of them do have a validation and an approval cycle. I think a large amount of them would go to customers in Japan and in the EU. So they do have a validation cycle required. Happy to share that our product specifications so far have exceeded what i s available in the market as told to us by our customers. Nonetheless, stability studies and all that have to be carried out bec ause in some cases, what they qualify as food grade because they have contact with food ingredients. So these qualification cycles can take as little as 3 months or as much as 5 months. And I think by some point, maybe towards the end of Q4 or the middle of Q1, we would be able to have an aggressive ramp -up on all of these. All of these will be done in existing assets themselves. And they will be done in campaigns. All of them have good margin profiles. And they will factor significantly in our FY27 numbers and completely in our Q2 FY27 numbers, but they will start to feature in Q1 as well. And I think as we come closer to that, I will be able to share more light. But these are exciting molecules with a lot of upside potential on margin and volume. So we're just about starting to scratch the surface.
Abhijit Akella: That's very, very helpful. The total investment in these products would be how much? Is this part of the multi -purpose plants? And if so, how much have we spent on that area?
Maulik Mehta: So in a couple of cases, yes, for agrochemicals, I think one pharma product, it will be in the multi -purpose plant. In the others, it will be in existing plants, which have already been refurbished to make them more compliant to these stringent specifications. So other than the multi -purpose plant investment, nothing else is, I would say, a significant capital investment, maybe small things such as solid handling systems and powdering systems, HVAC systems, those things. So these are all what we consider as minor. We don't go into tom -toming about them as investments, but there is a good upside potential in terms of their market penetration

and growth because the product quality has been surpassing the customers' expectation. But now we have to await their validation period.
Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.
Sanjesh Jain: First, on the agrochemical molecules, you spoke about moving up in the value chain. When we should see that? And how many products are we working there? And the effect of that should be visible in the second half of this fiscal year? That's one. Number two, on the phenol spread that appears to be quite depressed. It's gone further down. Can you help us understand whether it's a demand side issue or whether it's a supply side issue? And if it is supply side, where are we seeing the supplies com ing in and how much more can come in? Number third, you said in your opening remarks that we have seen Chinese dumping in a few products in other geography because they are facing challenge from U.S. tariff. Which are these products and which are the

geographies, whether it is also coming into Indi a? So these are the 3 questions.
Maulik Mehta: Okay. I'll answer your third question first. So the significant amount of dumping that we are finding from China would be in products such as sodium nitrite, would be in products such as DASDA, which is an intermediate to make optical brighteners and in a couple of cases of nitro aromatics. So the pressure from Chinese dumping is substantial. Now obviously, it is always going to be a fight about maintaining wallet share versus maintaining a price premium. And this is a balancing act. With rega rds to the margin question with regards to phenol spreads, I think right now, we are in a very strange position where none of these things are actually representative of the reality on the ground simply because you've had a lot of these situations such as a few traders and distributors in India being san ctioned by the U.S. Government. There has, therefore, been a curtailment of the normal trade flows that one would see between South Asia and India in terms of the large volume petrochemical products. Obvious ly, that also affects products such as phenol and all. So what you're seeing as indexes are different from what is being felt on the ground in terms of the ease of availability or the premium that is charged over and above the index to service the India

n m arket. So what turns out to be a negative for the AI segment because of a challenge in bringing petrochemical products into India also turns out to be at least a short - term advantage for Phenolics because it is able to ensure that it continues to retain a market share even if it is able to create a small premium in the short term, it's able to do that.
Sanjesh Jain: Moving up in the value chain in terms of agrochemical, you spoke about it a few quarters back. Just wanted to get your sense, where are we in the process? And when should we see these products commercializing?
Maulik Mehta: So our ability to commercialize will be within the quarter. We're speaking with a couple of potential strategic partners to see how we can do it together, which allows them to have an expanded presence in India without needing to put steel on the ground. N ow we're trying to see whether we can do it together, if not together, then we will find a different s trategy to approach the market. What we've also done in the meanwhile is assets which are used for making one agrochemical intermediate are now fungible towards being able to make other agrochemical intermediates or other life science intermediates. So most of our assets over the last 6 months have been made increasingly fungible because we are continuing to anticipate a degree of

volatility that we have not seen in the previous few years. First and foremost, our focus has to be to see that we can do multiple products in the same plant in a campaign basis or by saying, okay, let's break this plant up into Stream 1 and 2. Stream 1 will continue to do the legacy products. Stream 2 will continu e to do these 2 or 3 new products and campaigns. This is how we are approaching to increase our own resilience and by being product agnostic but chemistry focused.
Sanjesh Jain: Got it. One follow -up question there, Maulik, on the sanction part you spoke about in the Phenolics spread. Now that increasingly when Indians are talking of using lesser Russian oil, that means the feedstock prices can increase in India. Are you seeing th at impact? And can it act as a negative catalyst in coming quarters?
Maulik Mehta: See, feedstock prices in products such as toluene, benzene, xylene , normally, even if there are large Indian refiners, there is also a significant trade flow that takes place from Asia, from South Asia. Somehow you don't generally see these products being imported from China, but whether it is Korea, whether it is Thailand , Taiwan, etc, you do see a regular trade flow from these regions into India. And I think that , there is a short -term blip with regards to the dealer distributor network havi ng some sanction threat over them. But other than that, I would not say that Russian oil sanctions would dramatically affect the prices on such things such as toluene, benzene, xylene. I could be wrong. But so far, we have not seen any direct implication of that.
Moderator: The next question is from the line of Kumar Saumya from Ambit Capital.
Kumar Saumya : A couple of questions from my side. Firstly, when I look at the difference between Advanced Intermediates and overall business , we have seen good improvement over the last 2, 3 quarters. If you could help me understand what is driving this? Is it entirely Chem Tech or there is some contribution from polymer compounding as well?
Maulik Mehta: No, not so far. We're optimistic. I think once the projects start getting commissioned, Chem Tech will become a significant contributor to the group's bottom line. But again, just to be clear that the products that are being made in Chem Tech are products which are largely familiar to the business teams in both Deepak Nitrite and Phenolics. So the teams are across the board working together to ensure that there is smooth project execution and commissioning. There have been

delays in the last c ouple of quarters. There's no doubt about it. But we are starting to ensure that
there is a greater degree of control and coordination. And that's why we are more positive about
the commissioning dates, as I had mentioned earlier.
Kumar Saumya : Got it. Where are we on this compounding business right now? Have we started that asset? Have we start ed to test the market?
Maulik Mehta: So we put up a polymer compounding facility, which I would still call a pilot facility in Savli. And this is a state -of-the-art facility. So this is allowing us to create formulations, which are in their validation process. But now in compounding, these va lidations, unlike agrochemicals and other products, these validations can take up to almost maybe a year or 18 months. So that's the reason we started early, and that's the reason that we have started seeding this. So we've been

getting a lot of positive traction on that front. What we're also starting to do is engage with potential strategic players who are already there in this space to see if there's opportunities to approach jointly for certain applications where there is IP on which they have and an interest and intent in ge tting into the Indian market. And at the same time, they're able to see how to get this made in our own, as I mentioned earlier, our pilot facilities to service the customers. Otherwise, it's not really com petitive for them to do it in high -cost regions such as Europe. So this is an ongoing activity and still too early to congratulate ourselves, but we are seeing positive traction from global majors on this front. How much this translates into what percentage of the polymer revenue coming from these kinds of partnerships and how much of it comes from doing it ourselves, it's too early to say.
Kumar Saumya : Got it. Two questions for Sanjay, sir. Firstly, on the cost control measures that we have seen in the standalone business. How should we look at this? Should we expect this run rate to continue? So just if you could throw some light on this because we are seeing some cost controls even quarter -on-quarter and year -on-year on the employee cost side, other expenses.
Sanjay Upadhyay: Yes, yes. I mean that is an ongoing exercise. In fact, I had mentioned in last conference call also that the Company is actively pursu ing the cost -cutting measures because the market being whatever it is, these tariffs , I mean certain things are not in our control. But cost cutting or reducing the spend on this, we can certainly do and you are seeing in the first half and you will see in the second half also. Going forward, there will be reduction in the fixed cost over a nd above whatever w e have achieved so far.
Kumar Saumya : Got it. Lastly, the CAPEX guidance for this year was about INR 1,500 crore . Are you holding on to that?
Sanjay Upadhyay: More or less same.
Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.
Vivek Rajamani: The question was an extension to the previous participant. Just with respect to the downstream integrated polycarbonate projects. Could you just give us how should we think about the CAPEX for fiscal 2027, fiscal 2028? And if you could also give us an update with respect to the timelines of the commissioning of the various parts?
Sanjay Upadhyay: So commissioning, we had mentioned earlier, it will be in the month of January to March 2028 quarter . And we are trying to see all the project goes on stream by and large at the same time because it's a very integrated approach we are taking. So some project may start late. But ultimately, completion should be during the same time. Now we are still working on 1 or 2 products on that. So on the exact dates we will come back to you later. But by and large, our endeavour is to complete at the same time by March 2028. If t

here's a delay in propylene supply,
then we may have to push back our project also or we m ay run through imported BPA. But that all calculations we are making now once we know the reality what is going on . I mean when we come nearer to the project.

Vivek Rajamani: Sure, sir. That's clear. And any indication of how we should think about the CAPEX spend over the course of this March 2028 startup? You mentioned INR 1,500 crore of CAPEX for this year. Could you just give us an indication for fiscal 2027 and fiscal 2028 as well?
Sanjay Upadhyay: Okay. You want the CAPEX outlay for next 3 years . It will be around INR 3,000 crore to INR

4,000 crore . Because the total outlay is around INR 9,000 crore . So, INR 3,000 crore , INR 3,500 crore this year and then INR 4,000 crore next year.

Moderator: The next question is from the line of Sajal Kapoor from Antifragile Thinking.

Sajal Kapoor: Maulik, I heard the refreshing keyword fungible earlier on the call. So how does the new state -of-the-art R&D center at Savli combined with Deepak's existing digital and intellectual capital, enable a more sort of nimble and multi -purpose incremental CAPEX investments approach, perhaps helping avoid the prolonged rigidity and risks that are often associated with large dedicated CAPEX in a volatile and uncertain world. That's my first question.

Maulik Mehta: Okay. Thanks for the question. So basically, the R&D facility has a 3 -pronged approach to it. One is to develop new molecules. The other one is what we call process intensification, how to make the same molecules more efficient. And the third one is to bas ically look at processes independent of each other. So for example, I have a plant that makes sodium nitrite or I have a plant that makes nitrotoluenes. Now it is a plant. It has a certain reactor setup. It has certain peak efficiencies and k inetics. What can I do using AI? What can I do using the data lake that we have generated? And what can I do to identify other products that can be made in the same reactor assembly without compromising on safety and perhaps ensure that rather quickly usin g just the digital tools available at our fingertips like modelling software . For example, or by doing failure mode analysis, how can I quickly have a tech pack developed internally to be able to replace the existing product with a new product as quickly as possible so that at least my bottom line is secure if I feel that there is a per iod of time where I'm expecting a lull in the marketplace. So one of the key things that we have done, thanks to that is, as I mentioned, we have genuinely accelerated our ability to take products from idea to commercial. Now they do appear to be attractiv e to customers, but they have to go through their validation period. And we've cherrypicked ones which would be made using assets where there is currently a lower occupancy. We've made large volumes of those and then seeded them out in time to ensure that the assets are then cleaned up so that they are available to make the legacy product. And once we get this feedback from customers, hopefully, for steady -state supply, then w e will be able to run multiple products in campaign. And all of this, again, feeds to a very tightly integrated system between the idea generation, the R&D, which is both the software as well as the hardware, the people who are there in it, the piloting and scale up for sample seeding and then the plant teams. So that's why I just want to carefully say that while we are introducing a lot of new chemistries . I think by the end of next year, we will be at least in India, a company that has the maximum amount of chemistry platforms under one house compared to any other Indian chemical compa ny. We will also see that much of this is developed using in -house R&D and a collaborative approach. As

I mentioned, software, hardware, pilot plant, engineering and R&D.

Sajal Kapoor: Yes. So data lake, I like that. And thanks for giving a very detailed and very reassuring answer. We have all been personally invested in Deepak for many, many years and look forward to a long-lasting glory ahead. My second question is, Maulik, given India currently imports all the polycarbonate, what market intelligence beyond "import substitution" underpins conviction in future domestic demands from EVs, electronics and also healthcare?

Maulik Mehta: So a lot of the investment that is going into all of these, what we would call sunrise segments in India, although I would say also that you have a neighbor like China where these are mature technologies. What I qualify in India is, it's a term which I think other people don't like, but I'll share it anyways, is a second -mover advantage where a lot of these applications are already finding a high degree of maturity and acceptance. Polycarbonates are the backbone in a sense. What is important i s the changing formulations and the compounds that are created by using polycarbonates as a backbone. So if I was to give you an example, a chair is a chair, been a chair for the last how many ever centuries. What changes is the fabric, what changes is var ious things like the flexibility, the modularity, those thing s. But a chair remains a chair. Polycarbonate resin is a chair. The compound is the different functionalities that you can add to it. So if you want to create a resistance to heat, if you want to create insulation or conductivity, all those properties are added onto the backbone of a polycarbonate. And that's where you have the compounding and the formulations. So the interesting thing is that India actually imports a substantial amount of the polycarbonate backbone itself. Our effort, step 1 has been to make polycarbonate as cost efficiently as possible. But because that takes a couple of years and large -scale p roject execution, what we've done is, in the meanwhile, we have gone downstream and we started seeding ourselves into the mind space and the factory space of our customers to say that here, we are offering you compounds, which are made using polycarbonate as a backbone. Now as these compounds start getting accepted and validated at our customers' end, those are electronics, those are things like mobile phones and auto components and those things. Then it will just simply look like polycarbonate manufacturing was an upstre am integration. Even though it was thought of first, it came in last and it integrated as a cost optimization measure.

Sajal Kapoor: Absolutely. And second mover advantage is brilliant strategy, Maulik, because if you can learn from the mistakes of the first mover and make it better and cheaper maybe, nothing like it. So thank you for that.

Maulik Mehta: Thank you. I really appreciate it. I'll just add one more point. This is also one of the reasons why we chose to go with it, rather than investing in putting up a brand -new polycarbonate facility, we went with an asset which has been proven with a high degree of reliability where over this period of time, you've seen the cost of everything like metals, ex otic alloys and all that go up. So honestly, if I was to put up a brand -new plant today, the same exotic alloys would be available at least 100% higher cos t. So here, we have an asset where we have proven reliability, understanding about how maintenance has taken place, how scheduling for those things has taken place, learning from experience comes in for free in a sense. And so, I want to allay anyone's concern here thinking that if it was a greenfield investment, would it have had more traction. To be honest, the way that we've gone ahead with this has not been to save money, but

it has been to be able to hit traction very fast , where we have been able to buy in experience literally for free when putting up the asset.

Moderator: The next question is from the line of Nisha Pobaru from Vajani Capital Services .

Nisha Pobaru : My first question is, could you please explain the sensitivity of your margins to the fluctuations of the propylene price, which is the raw material of phenol.

Maulik Mehta: I've mentioned this earlier also , the index, I think because of these short -term challenges, is not a fair representation of the price at which we consume the feedstock. So I think it's a fair question, a good question, but maybe the same question, if it is asked next quarter or in Q1, I would be able to give you a more honest answer.

Nisha Pobaru : And the second question that I have is, can you just give me a guidance about the revenue and the profitability for the next quarter or the financial year?

Maulik Mehta: Look, all I can say is that we are cautiously optimistic about H2, which is, I would say, better than what we saw in Q2. And this will partially come from what we hope is an improving market sentiment and a demand sentiment. And partially, it will also come from the commissioning of investments that are in that process in Deepak Chem Tech. I'm referring to an answer given before.

Moderator: The next question is a follow -up from the line of Arun Prasath from Avendus Spark.

Arun Prasath: My question is on the polycarbonate project. So now that we have reaffirmed our start date as before March 2028. So if you have to work backwards, what should be the latest period by which we should finalize, let's say, each individual packages like detailed engineering or ordering long lead items or when we should be breaking the ground. Those time lines, if you can just explain, it will be very helpful.

Maulik Mehta: I think I can just say one that we've already broken ground, first of all. So there is already a site development that is taking place. In the meanwhile, we've already appointed the dismantling contractors in Q1. Dismantling has already started in Stade in Germany. We have also, as I mentioned, as Mr. Upadhyay clarified, that this is our goal with regards to ensuring that this is an integrated complex. If there is a mismatch in timelines for whatever reasons, we have already ensured that the i nvestment includes that degree of flexibility where we are able to afford a degree of mismatch. So while everything will be integrated as the final outcome. If there is a mismatch where one thing comes up before another thing, there's ample opportunity for placing that in the market also, and there is ample opportunity for us to buy the feedstock and have that as a storage in our site where the downstream cons umption may be ready before the upstream integration.

Arun Prasath: So our endeavour is to start polycarbonate resin capacity any cost before this time period, but you are flexible let say, BPA or the phenol one, right?

Maulik Mehta: We've already signed an agreement for licensing and basic package for the phenol plant. As you're aware, we've already signed an agreement with Trinseo for the technology and assets to make polycarbonate resins. We've already approved the dismantling contractor in Q1. We've already appointed an EPCM for polycarbonate and all the offshore off -site and utility packages. And we are in advanced stages of our discussion with regards to certain utilities being supplied as part of the integrated asse t. So I think across the board, there's a lot of activity. A lot of things have been signed. There are a few things that are still in front of us, but I hope that this gives you confidence about the alacrity with which we are progressing on this.

Arun Prasath: Any update on BP A part because I think we are to finalize the tec

hnology, I guess?

Maulik Mehta: I look forward to answering that question.

Arun Prasath: Okay. So still some discussions are going on, it seems.

Maulik Mehta: Let's give the team the best opportunities they have to get the best technology possible. But just to be clear, rest assured, nothing in this value chain stops us from executing whatever has been signed off. So none of these things are dependent on somethi ng else happening first. Let's be clear about that.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Sanjay Upadhyay: Thank you so much for taking out time to join us on earnings conference call. I hope we adequately answered all your questions. We look forward to connecting with all of you again in the next quarter. Thank you.

Call: Feb 2026

DNL/138/BSE/11 36/2026
February 18, 2026

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
MUMBAI – 400 001

Scrip Code: 506401

Dear Sir,

Sub: Submission of earnings conference call Transcript

We enclose herewith the transcript of the earnings conference call of the Q 3 & 9M FY 2026 Financial Results held on February 13, 202 6 and the same is also available on the website of the Company at the weblink https://www.godeepak.com/financial -result/ .

Please take the same on your record.

Thanking you.

Yours faithfully,
For DEEPAK NITRITE LIMITED

ARVIND BAJPAI
Company Secretary

Encl.: as above

Deepak Nitrite Limited
Q3 & 9M FY26 Earnings Conference Call
February 13, 202 6

MANAGEMENT : MR. MAULIK MEHTA – EXECUTIVE DIRECTOR & CEO
MR. SANJAY UPADHYAY – DIRECTOR (FINANCE) &
GROUP CFO
MR. SOMSEKHAR NANDA – CFO, DEEPAK NITRITE
LIMITED

MODERATOR : MR. RANJIT CIRUMALLA – IIFL CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to Deepak Nitrite ’s Q3 & 9M FY26 Earnings Conference Call hosted by IIFL Capital Services Limited.

At the outset, I would like to clarify that certain statements made or discussed on the conference call today may be forward -looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.
I now hand over the conference to Mr. Ranjit Cirumalla from IIFL Capital. Thank you, and over to you, sir.
Ranjit Cirumalla : Good afternoon everyone and thank you for joining us on Deepak Nitrite 's Q3 and 9M FY26 Earnings Conference Call. Today, we have with us Mr. Maulik Mehta, Executive Director and CEO , Mr. Sanjay Upadhyay, Director, Finance and Group CFO , and Mr. Somsekhar Nanda, CFO of Deepak Nitrite Limited.
We'll begin the call with opening remarks from the management team, followed by an interactive Q&A session. To begin, Mr. Maulik Mehta will share the views on operating performance and the growth plans of the Company, followed by Mr. Sanjay Upadhyay, who shall take us through the financial and segmental performance. Thank you, and over to you, sir.
Maulik Mehta : Good afternoon everybody and a warm welcome to you all on Deepak Nitrite's Q3 and 9M FY26 Earnings Conference Call. Our results documents were shared with you earlier, and I trust you've had the opportunity to review them. I will briefly cover the financial highlights an d the operational highlights for the quarter and nine months ended 31st December 2025.
Mr. Upadhyay will then take you through a detailed financial review, following which we would be happy to address your questions.
The global chemical industry continues to navigate through a very complex operating environment characterized by persistent pricing pressures, heightened competitive intensity and an uneven demand pattern across key end segments. These challenges driven la rgely by global trade flows, protectionism and aggressive pricing by Chinese producers have influenced market dynamics throughout the year.
In this backdrop, Deepak Group has delivered a mixed performance characterized by higher volumes with transitionally subdued margins. During Q3, our consolidated total revenue stood at INR 1,983 crore, registering a growth of 3% on both a year -on-year and a quarter -on-quarter basis. EBITDA for the quarter increased by 16% year -on-year to INR 219 crore , underscoring the benefits of improved operating efficiencies and prudent cost control measures. This demonstrates stability despite softer price realizations across select product categories. For the nine-month period of FY26, consolidated revenue stood at INR 5,820 crore with an EBITDA of INR 658 crore . While profitability during the nine -month period reflects the impact of

challenging pricing conditions, our continued focus on operational excellence and volume -led growth supported performance stability.
Our domestic to export revenue mix remains at 83:17 during Q3 FY26, highlighting the resilience of our domestic franchise while continuing to strengthen global customer relationships. Working capital efficiency remained a strategic priority and through tighter inventory planning, supply chain optimization and improved receivables discipline, we achieved better cash flow management and enhanced balance sheet quality.
The Phenolics segment delivered a consistent performance during the quarter. Revenues from operations stood at INR 1,334 crore and EBIT reached INR 145 crore , representing a 20% year -on-year increase. Increa

sed phenol and acetone sales volumes were driven by higher plant utilization and ongoing process optimization, resulting in better operating leverage.
The Advanced Intermediates segment recorded stable revenue growth with Q3 FY26 revenue reaching INR 652 crore , reflecting a growth of 18% year -on-year and 11% quarter -on-quarter. This was driven by higher volumes with improved market penetration of key products. However, EBIT for the segment stood at INR 15 crore , reflecting this continued pricing pressure arising from aggressive Chinese dumping and global oversupply.
A defining milestone during the year has been the strategic integration and ramp -up of new capacities. The commissioning of the nitric acid plant, both the WNA as well as the CNA plant in Nandesari, along with the nitration and expanded hydrogenation plant at Dahej completes our vertical integration across the ammonia -nitration -to-amines value chain. This integration enhances raw material security and structurally strengthens our margins through reduced supplier dependency. It also unlocks a broader downstr eam product portfolio and positions Deepak Group as probably the only complete ly integrated aromatic -to-amine player.
Our long -term growth strategy remains firmly anchored in value chain integration and specialty product expansions. The MIBK/ MIBC project is progressing well and is targeted for

commissioning within this quarter. Our polycarbonate project, a transformational step involving India's first integrated propylene to polycarbonate manufacturing. Plant dismantling activities at Stade, G ermany are underway, marking a major milestone towards relocation to India. In the meanwhile, engineering activities, technology e ngagement and site construction, amongst other initiatives are progressing at a steady pace.
We are accelerating our transition towards green energy by sourcing 60% to 70% of our energy mix from hybrid renewable sources, improving energy efficiency and embedding green chemistry principles across operations.
To navigate current near -term headwinds, the Group is strategically prioritizing product innovation and geographical expansion with a specific focus on our fluorination, nitration, diazotization and amination segments. A boost to this strategy comes from a favo urable shift in the U.S. India tariff policy, along with a complete removal of anti -dumping duty (ADD) by the U.S. on Deepak's sodium nitrite exports.

Complementing this market expansion, the Group's integrated approach of leveraging in -house nitric acid production for downstream nitration and amination is set to steadily improve overall profitability. With this positive backdrop, the Group expects a favourable performance in Q4 FY26. Notably, the India -EU trade deal provides Indian chemical companies with seamless access to one of the world's largest markets, boosting global competitiveness through reduced trade barriers. This fosters long -term strategic partnerships and encourages European firms to integrate Indian manufacturers into their high -value supply chain while also opening up important sectors of the Indian consumer base to European manufacturers for high -end products such as automobiles.
Deepak is driving the Group's commitment to integrating different value chains, which will increase margins, enhance resilience and reduce our carbon footprint in both current and future investments. Our strategy is guided by three core mantras: achieving the world's best qualit y, maintaining the world's best capacity utilization and ensuring complete integration across the value chain.
Overall, while cautious, we remain optimistic. Recent developments in global trade dynamics present an encouraging medium -to-long-term opportunity base. We remain focused on driving operational excellence, accelerating ramp -up of new capacities, expanding our

specialty and
high-value product portfolios, deepening geographical diversification and maintaining financial prudence.
I would now like to hand over the call to Mr. Sanjay Upadhyay, who will address this forum and take you through the financial performance.
Sanjay Upadhyay : Thank you Maulik. Good afternoon everyone and thank you for joining us today on Deepak Nitrite's earnings call. I will now take you through the highlights of financial results for the quarter and nine months ended December 31, 2025.
Deepak Nitrite (DNL) delivered a steady and resilient financial performance during the third quarter and the nine months period FY26. Despite external headwinds, our strategic focus on project execution, volume expansion, operational excellence and disciplined cost management enabled us to maintain stability across our core businesses. Strong capital efficiency continues to underpin our performance with consolidated ROCE at 15%, reinforcing our ability to consistently create value across business cycles.
For Q3 FY26, the Company reported consolidated total revenue of INR 1,983 crore , reflecting 3% growth both year -on-year and sequentially. This performance primarily was driven by improved volumes supported by better plant utilization and stable domestic demand. Our diversified product portfolio and agile operating model helped mitiga te the impact of softer pricing trends across certain categories.
On the operational front, domestic revenues stood at INR 1,647 crore in Q3 FY26 and INR 4,903 crore for the nine months ended December 2025. Export revenues were INR 328 crore in Q3 and INR 864 crore for the nine months period. On a consolidated basis, export revenue stood at 17% for Q3 FY26.

EBITDA for the quarter stood at INR 219 crore , registering a 16% improvement compared with Q3 FY25. This growth highlights the benefits of operating leverage, process optimization initiatives and sustained cost discipline. The EBITDA margin improved to 11% compared to

10% in the corresponding period quarter last year. PBT stood at INR 151 crore , representing a 12% year -on-year increase. Q3 FY26 PBT includes one -time exceptional provision of INR 12.84 crore under the new labor codes.

For the nine months ended FY26, consolidated revenue stood at INR 5,820 crore . EBITDA amounted to INR 658 crore and PAT stood at INR 331 crore . The moderation in profitability during the nine -month period reflects ongoing pricing pressure and margin compression in select product lines. We also incurred certain one -off pre -commissioning costs for our new projects. As revenue scales, these expenses will be more effectively absorbed. Nevertheless, sustained operational performance and volume -led growth suppor ted the overall financial resilience.

Now coming to segmental performance, the Phenolics business continued to demonstrate strength and stability. During the quarter, segment recorded revenue of INR 1,334 crore and EBIT of INR 145 crore , reflecting a 20% year -on-year growth in EBIT. Higher sales volume in phenol and acetone, better net raw material realization, finished goods margin, along with process optimization efficiency gains contributed to enhanced operating leverage.

In Advanced Intermediates, the segment delivered strong topline growth with Q3 FY26 revenue of INR 652 crore , representing an 18% year -on-year growth and 11% sequential increase. Growth was driven by higher volumes and improved market penetration. However, EBIT stood at INR 15 crore impacted by continued pricing pressure arising from global oversupply, residual inventory destocking and aggressive import competition.

Finance cost for Q3 FY26 stood at INR 11 crore , reflecting higher borrowing associated with growth investments. Depreciation and amortization expenses stood at INR 58 crore following capitalization of newly commission

ed assets like nitration and hydrogenation. The Company's financial position remains strong, providing adequate liquidity and flexibility to fund strategic growth initiatives, results of which shall be visible in the coming quarters.

Working capital optimization remains a priority through improved inventory controls, enhanced supply chain efficiencies and tighter receivable management. We strengthened cash flow discipline and improved operating cycle metrics, reinforcing overall balanc e sheet robustness.

Our balance sheet continues to remain robust, supported by disciplined capital allocation and prudent leverage. Consolidated net worth stood at INR 5,651 crore , providing strong financial flexibility to support future growth and expansion. Capital allocation during the period was firmly anchored to our long -term strategic priorities with accelerated investments across multipl e high -impact growth platforms.

We continue to scale key projects, including expanded specialty and commodity chemical manufacturing capacities at Deepak Chem Tech Limited, alongside mega integrated complex, establishing a fully integrated value chain from cum ene-to-polycarbonates and other advanced derivatives.

Notably, for the upcoming polycarbonate project, necessary financial arrangements and funding tie-up are at the final stage, ensuring readiness for both capital and balance sheet perspective. These initiatives are progressing as per schedule and are poised to deliver a decisive step change in the revenue diversification, margin expansion and sustainable shareholder value creation.

Looking ahead, while near -term market conditions may continue to be influenced by global supply and demand dynamics, our integration advantage, cost leadership programs, operational excellence and prudent financial management position us well to navigate through th is cycles and deliver long -term stakeholder value.

With that, I would now request the moderator to open the forum for question -answer session.

Moderator: Than k you very much. We will now begin the question -and-answer session. The first question is from the line of Nirav Jimudia from Anvil Wealth.

Nirav Jimudia : Few questions , in one of the investor presentation slides, we have mentioned that we are in the process of introduction of new products. So if you can share how many products would be coming up? Where are we in terms of these products with the customers, the user industr ies/ application s? And if possible, the size of revenue which Company is expecting from these products put together?

Maulik Mehta : Nirav, thanks for the question. At the moment, we have a pipeline of about 15 products at various stages between R&D , piloting and awaiting customer feedback with regards to samples. So the largest segments in terms of applications , would be in applications such as mining chemicals, flame retardants, personal care, flavors and fragrances and polymer applications.

Nirav Jimudia : So are any of these products coming up in first half of FY27, where some of these could be commercialized and we can see some revenue contribution from them?

Maulik Mehta : So, other than the last one, which I mentioned, which is polymer applications, which requires medium -sized CAPEX . The others are already made at pilot scale. The plant mapping is also

done in available assets and the production plan will align with the customers' requirement plan. So that's going through its validation cycles, including purity profiling and stability studies. So, as and when those things finish, which should happen in the next couple of months, we will then have a plan with re gards to production and dispatching. So many of these will come over in the next several months in a staggered manner based on the stage of approval.
Nirav Jimudia : Second question is on the sodium nitrite. So we mentioned tha

t the duties which were there
earlier has now been removed. So let's say, before the tariffs in place and post tariff, how much volumes we were exporting before and after the tariffs and which ha s now got a fair chance to get recouped with the removal of tariffs by the U.S.A?
Maulik Mehta : So, historically, for the last couple of years, you're referring only to sodium nitrite, right?
Nirav Jimudia : Correct.

Maulik Mehta : So, historically, in the last couple of years, when we exported to the U.S. specifically, it was to the tune of about 5,000 tonnes a year. And over the last 8 months, th ere has been a tariff overhang between antidumping duty , tariffs and other things in excess of about 105%. So now, of course, the total tariff overhang would b e substantially less than that. So we are still engaged with customers to see how we can ensure that we play a more critical role in sodium nitrite consumption in the U.S . but our focus always is to ensure that we are there to add value rather than reduce value.
Nirav Jimudia : Perfect. And last question from my side is with respect to the FTA with EU because what I could understand from our annual report is that our exports to Europe is substantial, close to around 46% of our standalone business. So with the kind of product prof ile we are having and the kind of opening up of EU probably from next year onwa rds? How do you see this opportunity shaping up for us in terms of the current products as well as extension of the current products in terms of the forward integ ration? And also if you can share your thoughts , are we importing any raw materials currently from Europe, which earlier used to have a duty and with this EU FTA had a fair chance of duty getting removed?
Maulik Mehta : Okay. So Nirav, you're well aware that the EU India FTA requires a ratification by several countries. So what is there is a proposed FT A and it will take whatever period of time it takes six to eight months , is what we believe , in terms of full ratification by all the 20 -something member countries of the EU. Along with that, I would also want to add that whether it is the U.S. or it is Europe or the U.K., all of these are unmitigated tailwinds , all positive for the Indian chemical industry, sp ecifically also for Deepak. So that said, like anything else, this was my short answer. But in the long answer, there are obviously nuances. For example, Europe does not currently have a very high tariff barrier for Indian products to go there. But it increases the opportunity for European companies, which are currently under a real malaise to have an export opportunity to India. Deepak will also be looking forward to being able to procure some raw materials from Europe, for example, such as cyan uric chlori de where we are dependent on imports. But at the same time, you have a mix between this, the bilateral trade agreement with the U.S., which will also have a lot of product imported into India, and it will open up certain segments, which, in my personal opinion, India is highly constrained on, whether it is in the farm segment or whether it is in the energy segment, where Indian consumers stand to benefit the most. So I'm not getting into Governments, but I'm talking about the Indian consumer at large, really will benefit, and that will increase the production and the disposable income of all of the countries that are involved. So I'm not commenting on what happens to Government tax and tariff revenues. But these kind of trade deals where the benefit flows down to the consumer certainly have the significant advantage that comes to industries such as the chemical industry, the agriculture industry, the construction industry. So this will have a positive effect when you look at all of these things put together. If you look at only the EU India trade deal, you will feel like the positive

effect is, in my opinion, a fraction of what it will turn out to be given the progress of time.
Nirav Jimudia : Just a last clarification. When can we expect the full benefit of nitric acid into our operational numbers?

Maulik Mehta : So we commissioned the nitric acid plant in the middle of December 2025 . This quarter and next

quarter will be the first period where we would have pretty much 100% consumption of nitric acid. And we also have expanded our nitration and our hydrogenation capacities. Now I'm sure this question will come up later on, there were two points where there was a miss timing impact in Q3, where we had only limited control. We anticipated the commissioning of our nitric acid and our nitration assets at the same time. Unfortunately, that did not happen and the nitration with the ETP assets got commissioned earlier. And the nitric acid plant had some technical challenges in the last mile. So that got delayed to middle of December 2025 , which meant that for that period of time, we took it upon ourselves as a strategic call to ensure that we maximize our market presence even if it comes at the expense of having to procure raw materials like nitric acid at spot rates. Now this meant that Q3 looked much weaker. We do believe that we have taken the right approach. Similarly, in sodium nitrite, we had an original judgment in our favo ur in October 2025 , and we were anticipating the public announcement. But after that, the U.S. went into a shutdown for about 45-48 days. And this delayed the formal announcement of the judgment. And that's why it also disrupted our sales planning as we had originally envisaged to the U.S. So now both of these challenges are behind us, and we look forward with some degree of optimism mo ving forward. It's a long -winded answer, but I hope it also answered your question about nitric acid.
Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.
Sanjesh Jain : I got a few questions, Maulik bhai, First, regarding the standalone business: for at least part of this quarter, nitric acid and the gross profit margin, or material margin, at 33.6%, are probably among the lowest we have seen in the last seven to eight years . Can you help us understand which product category , where we have seen a significant margin compression? And when you see that we are staring at a favo urable Q4, what do we really mean from an Advanced Material or a standalone point of the business, which are the product categories which is showing some green shoots for Q4?
Maulik Mehta : Okay. So, first of all, the two biggest pinch points that occurred to us where, as I said, that we had limited ability to control the outcome. One was the delayed announcement of the antidumping duty b y the U.S. imposition on India. It's also heartening to just share that the removal of the duty, by the way, is specific for Deepak Nitrite. It is not a removal of duty for Indian manufacturers. It's only for Deepak. But because we anticipated that the public announcement would happen imminently after the judgment was passed. And this was in the beginning of October 2025 . So there, we had our hopes up, but unfortunately, the U.S. went through its own turmoil on this front and that affected our margins.
The second point that affected our margins was, as I mentioned earlier, when we had our nitration capacities commissioned and our hydrogenation capacities that were commissioned towards the tail end of Q2 FY26 , it became tactically sound even though it compressed margins in Q3 FY26 . You will notice that we mentioned even in our discussion that we did have significantly higher volumes in Q3 FY26 than in past quarters. So this was done with full knowledge that we were buying the feedstock at spot prices beca use we were no longer expecting to remain in the market for purchase o

f products such as nitric acid. So we had no long -term contracts or quantity discounts or such that we were able to apply in our purchase. Nonetheless,

we worked hard to see how to ensure that we are occupying a signi ficantly larger market presence, b ut within the quarter this did hit our contribution numbers. And finally, one last point is that for Deepak Nitrite as a standalone entity, most of the world, which is going through its own turbulent times, has a financial year closing in December. So a lo t of customers were also already in a depressed state in terms of their own operating activities, and they were more focused on inventory rationalization rat her than anything else. All of them also were under the impression that India was going through a period where there were high tariffs, uncertainty about a lot of other trade dynamics. So no one was sure about how to place long -term commitments or even med ium-term commitments. You look at February 2025 , and of course, the mood is quite different. And we have to see how this plays out in the remainder of Q4 FY26 and Q1 FY27 onwards.
Sanjesh Jain : Maulik bhai, Just one more question on the third point you mentioned regarding customer destocking worldwide , we were still able to sell significantly higher volumes, correct? So is destocking really the reason for the margin compression, or did we place that additional volume elsewhere at a lower margin? Is that the point you’re trying to make ?
Maulik Mehta : No, we placed that same product at a higher cost because we had to buy the raw materials, which we were otherwise intending to integrate ourselves and manufacture. So our cost of goods became much higher than it should have been in a traditional situation. And instead of being restrained in the supply of our products to the market, we became aggressive in the supply of

our products into the market. When I'm referring to these products, the larger markets here are domestic or near domestic. Whe n I'm referring to financial year closures and inventory destocking, I refer more to the European and the U.S. markets. I hope this clarifies.

Sanjesh Jain : No, that clarifies. And regarding a favourable Q4 FY26, what green shoots are we seeing? Are we mainly expecting these issues to be resolved and margins to recover, or are we also seeing early signs of improvement in demand?

Maulik Mehta : We are looking at margins coming back to a normalized basis because of our integration. But let me also point out that we are working closely with customers on, as I mentioned earlier, some new products. Those are already in the process of being approved. I ju st want to also share that whatever it is with regards to trade agreements and all, it is still quite a turbulent environment. So, I definitely expect Q4 FY26 to be better than Q3 FY26 . I also want to be cautiously optimistic on this front because whatever happens with regards to India and the Western countries that are our traditional markets, it doesn't change the fact that there is a significant Chinese overcapacity. And this will affe ct a couple of products. I don't anticipate that it affects every single one of our products, maybe many of our products, 60%, 70% of our products are not as directly affected by Chinese oversupply. But when this oversupply is there, it does affect our cus tomers.

So, agrochemicals continues to be a space where there is a marginal improvement in the outlook, but it is not a consistent improvement. It is still a little bit rocky. And places where we expect to see an uptick because of these trade agreements are places su ch as dyes and pigments, mining chemicals, explosives, polymer applications, food applications, pharmaceuticals, personal care, those are places where I expect a good improvement, which has nothing to do with the Chinese

overcapacity. And in all of this, of course, one thing that remains a bright spot is India's own growth story. So any product , such as phenol that is sold in India continues to see robust demand. And we remain quite optimistic about the downstream also as we are investing a significant amount there.

Sanjesh Jain : That’s Clear. One follow -up on agrochemical s, Maulik bhai, which you touched upon partly. If you look at the commentary from the global majors, a couple of them have already put out their earnings, they are turning more cautious on CY26 than what we have heard them, say, six mo nths back or three months back? And even if you look at some of the Indian peers who supply to the agrochemical major s have also turned a little cautious on the demand side , particularly on the pricing side, while we look a little more optimistic, is it more product specific that we are looking at or we are looking to diversify or as we have spoken earlier that we are moving up in the value chain, some of those efforts are pay ing up?

Maulik Mehta : So it is a little bit product specific, but it's also geography specific. So when you look at agrochemicals, you're talking about fungicide, herbicide, insecticides, seed treatment, et c. So there's a lot of different applications and weather patterns play as much of a role as overcapacity or inventories. So the answer will be different depending on product categories, geographies and weather. When you have commentary coming out from a lo t of agrochemical majors, some amount of that is also due to inventory stocking, but some amount of that is also due to what they expect to see in terms of geopolitics. For example, now in the recent couple of weeks, it seems like the U.S. is very bullish on agriculture exports to India, which has never traditionally been a large importer from the U.S. Similarly, you're seeing that there is, at the same time, an imbalance between what Brazil is producing and what the U.S. hopes to accommodate on the world stage. So these trade tensions across geographies do conti nue to play out. And for us, as an intermediate supplier to these majors, the impact of that is generally seen one to two quarters down the line because our products are eventually going one or two steps down the line to these majors.

Last one point that I'll just mention on this front is that we've also made a medium -scale investment in Dahej for agrochemicals. That is uniquely positioned because it has a tremendous value integration with our chemistries. And the process that we are fo llowing is a world's first. So that , basis its carbon footprint , basis its cost , and basis its product quality , will remain unmatched in the world for this product or this product category. That will ramp up along with customer allocations on the basis of whatever contractual versus available. And that will play out in full for supplies that go on from October onwards for calendar year 2027 onwards. But it will play a role even in the first few months after commissioning.

Sanjesh Jain : Very clear. One last question from my side. On the phenolics side, generally, winter appears to be best for us from the production perspective. And earlier, we have optimized ourselves to produce 350,000 metric ton nes of phenol. Have we touched that kind of capacity in this winter as well? And number two, post Q3 FY26 , we have seen a good run -up in the prices of phenolics.

Should that also make us positive for Q4 FY26 on the phenolics side? Are the spreads for us even in India showing that trend?
Maulik Mehta : I want to share something. Today, we manufactured our 2 million th tonne of phenol.

Sanjesh Jain : Congratulations on that.
Maulik Mehta : Yes. Looking back, you focus so much on the months and the quarters that it's also always good to step back and look at the jou

rney so far. In terms of spreads , cracks and phenolic crack versus global cracks and all of those things, we continue to feel quite optimistic about finding new spots for potential debottlenecking even in our existing assets. We are seeing some degree of volatility, both on acetone as well as on phenol. Some of it may be seen as temporarily p ositive or temporarily negative, b ut I just wan t to clarify that this particular quarter, Q4 FY26 is always a quarter where you would expect a degree of volatility because China goes in for its new year, customers start looking at their purchase patterns differently because in India, you have the financial year closing, you have a lot of CAPEX outlays also based on Government investing in construction and infrastructure. So this is a quarter where any answer that I give you will be outdated within the next week.
Sanjesh Jain : That's clear. But from the production perspective, we are hitting that peak, right? A bsolutely, no problem with that?
Maulik Mehta : I mean we've gone past what we thought were peaks in the past.
Moderator: The next question is from the line of Arun Prasath from Avendus Spark.
Arun Prasath : Just few questions. First on the projects that we have started in this quarter, can we broadly give a direction to reach steady state, say, 80% to 100% utilization, how many quarters we will take and how long it will take to reflect in our P&L? That's number on e. And second is, broadly in the last three years in the AI segment, the topline has reduced from, say, INR 3,000 crore , right now, we are close to around, say, INR 2,400 crore of annual run rate. What percentage of this would be purely led by the pricing, if you can give the pricing and volume decline or a growth, some broad directions on this .
Maulik Mehta : Okay. So , for all of the capacity or the investments that we have made so far, it is largely broken down into, I think, about INR 100-odd crore for the R&D facility, which is a strategic investment. So we don't look at operating rates there. Then you have the nitration, you have the hydrogenation, you have the fluorination, chlorination and the nitric acid investment. So on the nitric acid invest ment , on the nitration and on the hydrogenation, we are expecting to run at 100% or close enough to 100% utilization from this quarter onwards. They may be between 95 % to 100 %, 105 %. That's the kind of range we look at in terms of asset utilization on these fronts. When we are referring to photochemical , chlorination and fluorination, that we expect those utilizations to pick up in Q1 FY27 . And when we talk about the fluorination , diazotization asset, which we commissioned in May, that will have a gradual ramp -up in line with customer requirements . When we talk about MIBK, it will have a ramp -up in Q1 FY27 in a phased manner because these technologies are extremely unique. So the proc ess that we have invested in, while it is a high CAPEX investment, it is probably the most efficient process in the world, and it allows us to have some downstream value -add products also along with MIBK and MIBC. There, we hope to have a reasonably quick ramp -up because what we did is on MIBC, we started seed marketing even over the last four months. And we've seen a good degree of customer interest, both in India as well as abroad. So this asset will all ow us to be able to service the

customers where we already have a broad degree of acceptance. And finally, on the high - pressure alkylation asset, which will come in around between June and July 2026 , that will have a ramp -up over two to three months basis the customer requirement. And with that, we will complete the entirety of our Phase 1 of investments. And I'm not referring at all to any small to medium scale up to about INR 100 crore of investment, which are in debottlenecking as

sets.
Arun Prasath : Understood. Just one additional information on this. At current prices, what would be the steady - state revenue that we are talking for these production blocks at a cumulative basis? That will also be helpful. And my question on the AI segment, INR 3,000 crore to INR 2,500 crore , volume and pricing break up. If y ou can address that also will be useful?
Maulik Mehta : Yes. We can certainly drill down into that, Arun. Just to once again just clarify about half of the

investment that we've made, which was into things like nitric acid production, we don't anticipate any revenue. This was always clarified as an upstream int egration. And EBITDA improvement was substantial , EBITDA improvement into the AI business. When we refer to products such as MIBK, MIBC and the nitro aromatics, I think on MIBK, MIBC, the right time to talk about will be Q1 FY27 because Q4 FY26 is the period of commissioning. And there is an oversupply right now in the market. But at the same time, India is entirely import dependent. The entirety of the market that we seek to service for MIBK is in India. And we have what we believe is the most efficient process of converting acetone to MIBK in the world. We have to see how this plays out with re gards to overcapacity in China versus our efficient plant processes, but it is an integration story. So , I'll refer to revenue coming from this only in Q1 FY27 . With regards to the numbers that we spoke about in Q3 FY26 in the Advanced Intermediates segment, I would say that at the very moment, a substantial amount of this is because of pricing, not so much because of volume. There is some volume impact because of key agrochemical intermediates. But there is more than that, I would say, a pricing impact bec ause of the oversupply situation from China.
Arun Prasath : Understood. On the hydration, nitration and fluorination blocks with the photochemical fluorine blocks already started, any ballpark revenue on the current pricing?
Maulik Mehta : No. Just to clarify, the photochemical fluorine will start towards the end of this quarter. The fluorination which we have commissioned , right now it is just doing small batch plant transfer key intermediates with customers. But it will be more of a steady state. So these two are generally looked at together. And we'll refer to the revenue at that time because we're also currently in conversations with key customers about these particular assets. So , I want to give business teams the opportunity , to be optimistic or cautiously optimistic or whatever.
Arun Prasath : Maybe we'll get the update from you probably in next quarter. My second question is on India – Europe FTA. See, in polycarbonate, we have very high aspiration and Covestro is the market leader there. And probably this FTA gives Covestro the slight advantage in competing against in the markets like India. Does it negate the cost benefits in India, es pecially in a highly gr ade specific products like polycarbonates?
Maulik Mehta : I don't believe that it does, frankly. I believe the kind of investments that are taking place in India for consumption of polycarbonate resins and compounds. When we first envisaged this project, we were looking at India's import dependency of about 2 lak h tonnes a year of

polycarbonate resin, not even the compounds. So, when Covestro exports, they generally import the compounds, and I'm referring to the resin itself that is imported. That was, I think, just about 1 year, 1.5 years ago. And right now, India has already been importing in excess of 300,000 tonnes. So just within a year, our estimates of what India's domestic requirement of polycarbonate resins has changed by a factor of 50% , we are planning on coming online with this asset over the next 2, 2.5 years in an integ rated fashion with propylene, phenol, BPA and then polycar

bonates. So we believe that the resilience of this integration as well as the investments that are taking place in India for the consumption of the resin as well as our earlier investment also into the compounding piloting facility to work in partnership with companies such as Covestro, such as SABIC, such as Trinseo itself , will help us be very relevant in India's consumption of the resin as well as the compound. So we don't anticipate this or any o ther trade deal to really derail the advantage of having an integrated chain in India.
Arun Prasath : Right. On phenol also, if you see European players are operating at a very low operating rate because they couldn't sell to the Chinese when the Chinese started their plant. So 10 percentage swing is large because it's duty free now. Should we be worried i n phenol also because at least in phenol, the market is large in India and import is still coming. So should we see some step - up or restarting of the European phenol operators to dump, say, in India?
Maulik Mehta : I don't think so, frankly speaking. India already imports a certain degree of phenol from Asian countries , where it is made more cost effectively and it is supplied here. I mean, if a place as close to India as Singapore decided to permanently shut down its phenol manufacturing, I don't anticipate that the removal or reduction of an import duty , and by the way, Singapore is a t 5% import duty into India , it is negligible, to be honest. If it could have survived operating in Singapore conditions by exporting to India, it would have. I don't anticipate any inflow of any substantial amount of phenol coming from Eur ope to India. However, I do anticipate with all of these free trade agreements and all that , improvement in the consumption of phenol itself in Europe, where there will be a gradual recovery of downstream consumers such as automobiles. So when that happens, it is good for everybody. But at the same time, the way Chinese investments have been taking place over the last couple of years now are starting to alarm even the Chinese Government. So they are putting all sorts of deflation control measures in place. So what happens with regards to trade deals is to be looked at, in my opinion, personally from the

chemical industry in pretty much a positive light. What happens with regards to China's attempt to rein in its deflationary cycle because of its overcapaciti es needs to be looked at in an entirely separate lens. And there is no real reason to conflate these two.
Arun Prasath : Understood. Are there any new Chinese capacities coming onstream this year in phenol ?
Maulik Mehta : Last year, the year before that, the year before that, this year, next year, every year. India has not traditionally been in the past, even with the kind of overcapacity, even with the physical proximity of China to India, India has not really been the des tination for Chinese phenol.
Arun Prasath : No, no, but it does depress the spreads, right? If there is suddenly higher capacities there and people who are selling to Chinese couldn't sell there, they obviously bring down the international prices. So that's the point of view of my question ?

Maulik Mehta : Yes. I mean, look, we may end up finding some volume coming. It's an ocean, right? So material flows happen the way that they happen. We have to be resilient no matter what, b ut I just want to share that this is not a new phenomenon. This has been taking place since we commissioned the project, since we conceptualize d the project, and it will remain always. In the meanwhile, we have to see whatever we can do to be as internally resilient as possible. Even in the last couple of months, there has been announcements about Far East Asia n capacities shutting down permanently this year . So there is in Singapore, an announcement of a shutdown, in the Far East, an a

nnouncement of a shutdown. In China, the announcement of capacities coming in, capacities that may be constrained because of the Government's campaign. In Europe, capacity is being brought down permanently. So this is a very dynamic situation.
Arun Prasath : Understood. One bookkeeping question for Sanjay bhai or Nanda ji. We've seen the reported standalone revenue and the reported AI segment revenue closely match in the past. However, over the last two quarters, there has been a small but growing difference. Difference in reported standalone revenue versus a segment revenue and as well as the EBIT? What could be the reason for this ?
Sanjay Upadhyay : This is due to the inclusion of Deepak Chem Tech's AI -related business within Deepak Nitrite's AI segment .
Arun Prasath : But Sanjay bhai segment revenue is lower than the standalone revenue. And EBIT is also lower than the standalone EBIT.
Sanjay Upadhyay : So there are other income also included it's because of that.
Arun Prasath : So segment EBIT includes other income for the respective segments. That is what you are saying?
Sanjay Upadhyay : So revenue will include other income , whereas this is not there in the EBIT. Arun, if okay, I can call you and discuss.
Arun Prasath : No problem, sir. We'll do it separately.
Moderator: The next question is from the line of Tushar Raghatate from Omega Portfolio Advisors.
Tushar Raghatate : I just wanted to know the new products which are coming up, like 10, 15 products. Firstly, the competitive scenario in India and in that specifically the application of mining and explosives and the polymer one. So our right to win in this segment, what is your view on that?
Maulik Mehta : On the mining, the explosives and which segment?
Tushar Raghatate : Polymer, through any PPDA ?
Maulik Mehta : Okay. So , first of all, on all of these, we do have an extremely strong right to win because we manufacture all of these in an integrated manner . The teams are already working very tightly along with customers to see how there is a significant value addition that Deepak is able to provide to customers. So, for example, one of the applications, which has turned out to be a significant one in terms of volume in India is the explosive segment. So products such as

trinitrotoluene, which seem to be in very high demand all over the world for their mining applications as well as the defence applications. So Deepak is a strong partner to these applications and these customers. I wouldn't call it dependency , but t here's a very high degree of collaborative partnership where the technical teams of both sides work hand -in-hand to see how to improve the performance to make it meet and exceed military grades at global standards. So this is something which has actually t ranspir ed over the last year. We expect to see the outcome of this over the next three months, six months, whatever as it picks up because the kind of investment that's going here is very major, not at our end, but at our customers' end. In terms of other mining chemicals, as I've mentioned, we already started seed marketing products such as MIBC and that has also been received very favourably . But we've been waiting for our main plant to come up so that we can start manufacturing volumes in line with customer dem ands. So we will see how that progresses, and I should have good feedback to you. But rest assured, the market across geographies is looking forward to Deepak value and volume addition here. Finally, when it comes to certain other segments where you have energy, things like heat treatment and things like that. Again, we are working along with customers. We are bullish here. We were more bullish a couple of years ago when global industrial poli cy also encouraged more of these investments. But lately, between the U.S. and other regions, they have deprio

ritized
these, that said, our product quality is excellent. It's been received well, and there are still good customers in these segments, not so much yet in India, but in other regions, and we are working with them. So this is something that we expect to see landing in somewhere over the next 6 months. Until then, these will be small -scale volumes.
Tushar Raghatate : Fair enough. And this Chinese VAT reb ate renewal and the Chinese anti -involution stan ce. So there are some companies from India supplying intermediates to global giant s. They said that the prices has improved adjusting that VAT reb ate thing. Do you see that for our product basket?
Maulik Mehta : Some, we see that there is an anticipation of improvement in others. These are still ongoing conversations. Very often, what ends up happening is that the final action that the Chinese Government takes may be a version of what it has announced it will work on. And it will also be based on how rigorously it kind of follows through. I think this month, you will also get the five-year strategic road map, I think the 15th five -year plan. Let's see how much it features into that. Until then, these are all conver sations which are more intent -driven rather than on -ground reality.
Tushar Raghatate : On the phenolic s front, the major laminate players in India have been increasing their capacity and major companies' capacities are on stream as well. So do you see a place where you might go for a phenol debottlenecking or some CAPEX in case the polycarbonate plant gets a little extended?
Maulik Mehta : We continue to remain vigilant about debottlenecking opportunities. Even right now, we are seeing how we can do a little bit more or a lot bit more even in the existing side. But in the meanwhile, to be very clear, the second phenol plant that is coming in will have some amount of its product being consumed internally for polycarbonates and some amount of it will be placed outside for market sale. So we expect to remain as relevant as a percentage of India's consumption as we are right now. So if the current phenolics consumption in India's requirement

is, let's say, I think, 55% to 60%. We're working hard to ensure that it remains that moving forward also.
Tushar Raghatate : Fair enough. My last question, you mentioned in the standalone business , some kind of raw material s, you got it from the spot market. Had there been any case if you have procured internally, what would be the gross margin difference to that?
Maulik Mehta : I don't want to speculate. But in the Q2 FY26 concall, I had sounded quite upbeat about our Q3 FY26 performance. You can assume that the delta between how upbeat I was and what it turned out to be would be an accurate reflection of the gap between having our own self -consumption versus buying it at spot rates. So the rates that we ended up buying these raw materials was obviously higher than we would have procured if we were not investing in our own asset and if we continue to buy large volume s with discounts and contractual agreements in place.
Moderator: The next question is from the line of Pranitha Shetty from Morgan Stanley.
Pranitha Shetty : I had two questions. One on advanced i ntermediates , so taking into account the antidumping duty withdrawal as well as the U.S. India deal and the EU deal. Could you give us some color on the outlook of this segment going forward?
Maulik Mehta : The outlook of the segment for the advanced i ntermediate or Deepak Nitrite in particular?
Pranitha Shetty : Advance d intermediates would be better?
Maulik Mehta : So, as I mentioned earlier, we are cautiously optimistic , Q4 FY26 would be better than Q3 FY26 . But Q4 FY26 will also be a quarter where we have the performance looking better from middle of the quarter rather than the beginning of the quarter. And frank

ly, I think Q1 FY27 will be
continue in that positive direction. Q4 FY26 will be better , but Q1 FY27 will be better still.
Pranitha Shetty : Okay. On the follow -up on the initial question when you answered on sodium nitrate, I didn't get the amount of the current exports what we do to U.S. in terms of sodium nitrate. You said around 5 KTPA is what we used to do a few years ago ?
Maulik Mehta : No, I said for the last few years, we've been doing 5 KTPA.
Pranitha Shetty : Okay. And prior that it was?

Maulik Mehta : There was an antidumping duty even when there was a 50% reciprocal tax on India. So the antidumping duty was specific on sodium nitrite and the reciprocal tax was on all Indian exports to the U.S. We were operating in a regime where it was about 105%, 106% total gap between the ex -factory price here and the price within the U.S. for Deepak 's sodium nitrite. That will be significantly reduced now because the antidumping duty has been reduced from whatever that 45%, 48% was to essentially zero. The countervai ling duty continues to remain as it was, more or less, I think 3%, 4%, 5%, something like that. And then you have the 18% reciprocal duty as against the 50% reciprocal duty. So, the delta, as you can see, is down from about 106%. So it is certainly heartening news for Deepak Nitrite in particular. And we're still working with

customers to understand what the near term and the medium term looks like, both in volumes as well as in value.
Pranitha Shetty : That was a detailed explanation. I had another quick question on phenol. Does the company get a premium pricing to the benchmark market pricing on phenol and acetone?
Maulik Mehta : The answer is not universally yes. In some segments, it does because our quality is superior and 100%, it is superior compared to the co -mingled phenol or acetone that is imported into India. Recent development has been that we have also started selling pharmacopoeia -grade acetone , small volumes , but this is a beginning, and we see how to ramp this up moving forward. But in terms of the premiumization of the product, it is a very relevant one. And in some segments, I would say that our phenol is over -spec, so we don't really get any value premium for that. The premium that we get is with regards to our physical proximity to the customers. Our ability to supply to them in different packaging types, drums or tanks or IBCs, all those kinds of things and as well as having a really strong customer relationship and dealer network. So the premium that comes is the premium of convenience in most cas es. And in some applications, customers do pay a justifiable premium because they require a higher quality and we supply a higher quality.
Moderator: The next question is from the line of Rohit Nagraj from 360 ONE Capital .
Rohit Nagraj : First, quick question on polycarbonate facility. So based on the current status of the project, when is the facility likely to be commissioned?
Maulik Mehta : Rohit, we gave certain anticipated timelines. Plus/ minus a couple of months, it is basically aligned with that. December 2027 is the timeline we had discussed for being onstream. So we are roughly on track. If there are any delays, we will keep you informed . But so far, all the activities with regards to site dismantling at Stade , Germany as well as site construction works at Dahej. Both of those things are progressing. This is, of course, a very delicate execution where you have to get those assets here properly. And meanwhile, you have to have these assets built here. And you're doing th is in partnership with the equipment and technology supplier where they will also be an anchor customer. So they have an inventory that they have to keep drawing down until our asset starts onstream again. So , we're working to see how we can manage this as well as possible.

On the second phenol plant , that is coming online along with the upstream propylene at PLL, Petronet. So that we have delinked it from the polycarbonate asset. If they all happen along the same time, no problem. If there is a misalignment also, we have worked with the assumption that there will be a misalignment and we're going with that production schedule.
Rohit Nagraj : Sure. And second question is on the Advanced Intermediates. So given that probably some products where there is continuous oversupply and because of which the pricing margins are under pressure, are we recalibrating some of the product slate to focus more on better margin products or something new where the valuation can be there?
Maulik Mehta : So, while we're doing new products, we prioritize in Q2 FY26 and Q3 FY26 on the assumption that we need to see how to maximize in line with our assets, which have been debottlenecked

the new investment that has come in. We have a familiarity with the market, and we have a nitric acid plant being commissioned. And our anticipation originally was that all of these are going to happen around at the same time. In fact, the nitric acid plan t would be commissioned a few weeks earlier than the nitration assets. So our first priority and target was no matter what happens, let's make sure that we are being aggressive with market presence here, even if it comes at some short -term price drops beca use we want to be significantly higher in line with our upstream investment. So that was a plan. It was a good plan, unfortunately, because nitric acid

got delayed in its commissioning. Even during that period where it was being delayed, we did deliberate on this, and we believe that the right thing to do was to remain the course, continue to see how to ensure that we are aggressively utilizing our recently commissioned and existing assets, place the product in the market even if it comes at a short -term im pact on price.
Moderator: The next question is from the line of Sanil Jain from Ambit Capital.
Sanil Jain : I just have two questions. So, the first one is, can you let us know the CAPEX outlay for 2026 and 2027?
Sanjay Upadhyay : Around INR 2,500 crore .
Sanil Jain : INR 2,500 crore for FY26?
Sanjay Upadhyay : INR 2,500 crore is for FY27, not FY26. FY26 is already underway , that would involve spending of around INR 100 crore, bringing the total to approximately INR 1,200 –1,300 crore .
Sanil Jain : Okay. Understood. And the second question is that , if we see the phenol spreads, they have declined sequentially. But if we see the gross margin of the Phenolics business, then the gross margins have improved by 150 bps sequentially. So can you help me understand the disconnect between the spreads and the gross margin s?
Maulik Mehta : The spreads you are referring to are based on international indices, as are the cracks you mentioned. In terms of our margins, one contributing factor is the increased pressure on suppliers in India . So we have been able to see that our raw material procurement and our FG pricing, the cracks there are slightly different compared to global cracks. And secondly, there is a value add that comes from increased capacity utilization, which allows you to iron out more and more of the potential inefficiencies that you consider into what you calculate as a crack in other companies.
Sanil Jain : Okay. So what will be the utilization rate for the phenol business?
Maulik Mehta : I think we're at a significant utilization rate. We are trying to work through some debottlenecking exercises, and we're trying to align that in time with what we would traditionally have as shutdown periods for regular inspection of things like boilers an d all that. So there's no specific number I can give you that number passed a long time ago. We have some room between where we are and where we can be.

And we continue to investigate other opportunities for further debottlenecking.
Moderator: The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani : Just wanted to understand a couple of things. First, what has led to the delay of close to 2 years in commercialization of our MIBK and MIBC project?
Maulik Mehta : Krishan, first of all, it hasn't been a delay of two years. There has been a delay, no doubt about it. Honestly, if I'm being very frank, we attempted something which generally is not practiced in the chemical industry. So worldwide, I think we would be the only chemical company in this kind of chemistry where we decided to go ahead with a divided wall colum n saying that India is inherently disadvantaged against places like China when it comes to energy cost as well as energy quality in terms of power and t he steady -state availability of energy. So we went ahead with a technology, which is new to this space. We put a lot of our own engineering hard work into that. And in the construction of this technology, there were a lot of hiccups that took place. Luckily, they've been ironed out, but it ended up taking longer than it should have. In line with that, what w e therefore, did was we started seed marketing of the downstreams of MIBK earlier. So this was one of the areas where we had a delay. On the other hand, the second place where we had a delay is where we said that, look, there is this Chinese overcapacity, there is the situation. While the plant is taking its time being constructed with these technical hiccups, what can we do with regards to further optimi zing on certain things like the catalyst. So we've been working to see how we can improve on that front, improve the recyclability, improve the cost, those fronts. Our original schedule , it was ambitious.
Krishan Parwani : Okay. Fair. I understand where you're coming from —it's probably just technical delays. However, it would be helpful, perhaps going forward, if you could indicate that the timeline is tentative rather than exact. That would allow some buffer when building in the number s. That was my suggestio n. Secondly, Maulik bhai, you mentioned that in the AI segment , there is a pricing pressure, which has led to kind of a subdued performance. Does that mean your volume growth could have been broadly similar to the 20% year -on-year g rowth reported in the AI segment this quarter?
Maulik Mehta : So I want to just clarify. I think partially, the pricing pressure and the margin pressure, to be completely honest, were a little bit self -inflicted, as I mentioned earlier, because we decided tactically to be aggressive in placing our product in the mark et. That would allow us to also ensure that, as usual, if there are any technical hiccups or this and tha t in newly commissioned plants. They get ironed out as you're making it, ensuring the quality is the right quality, placing

it in the market. Certain s mall challenges, for example, would be things like the ETP running as efficiently as it needs to be, product being supplied in drums versus tankers versus other SKUs. So some of these things get ironed out when you commission, and we decided to be a little bit aggressive post commissioning even before the upstream integration was commissioned. So that is where we ended the quarter. If I look at this quarter and the next few quarters, our job will be to ensure that we maintain our market presence now that we have our upstream integration. And we see whatever we can do to improve the prices where it doesn't look like as a key supplier, we are in such a hurry to push. These volumes are there. We were maybe over aggressive because we wanted to ensure that our qu ality matches and even if it is with a discount, this and that. Now the customers are satisfied with the quality and the consistency of our

supply. We work with
them to see how we can, over a period of time, optimize on pricing. I want to clarify that this is not something which is across the board. This has been in certain products , key amongst this,

for example, would be a product called para -nitroaniline, which is made as an isomer. And it was anyways a soft market. I think by increasing our production and supply to the market, we may have softened it a little bit more. We'll work to see how we can improve the margins over and above the margin expansion that comes from the integrated raw material.

Krishan Parwani : Understood. And lastly, if I may. So, have we started manufacturing BPF from BTC? And consequently, have we begun using nitric acid in -house? Which stage are we currently in ? And will those benefit our AI margins to improve going forward?

Maulik Mehta : Okay. Krishan, just to clarify, BTC is produced through the photochemical halogenation with chlorine. BTF is produced via Halex, replacing the three chlorines with three fluorines. Therefore, there is no nitric acid consumption there.

Krishan Parwani : I meant separately. Yes, I meant separately, like BTC to BTF requires HF, right? So my first point was that whether you have started the fluorination and the nitric acid for the other reactions, let's say, probably meta -aminobenzotrifluoride , MMBTF you would use there or maybe before creating TFM somewhere or for the other products also. So that was the whole question?

Maulik Mehta : Okay. First of all, amazing clarity on the product profile. I really have to commend you, Krishan. And the second point that you mentioned with regards to BTC to BTF, as I mentioned, I think a couple of questions ago was that this will come online in Q1 FY27 . While the asset for fluorination has been commissioned, I think, about a year or 1.5 years ago, there were challenges with regards to getting the right quality of the BTC. I hope that as we're speaking right now and in the next month, tho se Gremlins will have gone out of the system. And from Q1 FY27 onwards, we anticipate either BTC to BTF or other products which have the exact same chemistry . So instead of tool, you just replace tool with something else. Those will feature in, and they will continue to have the nitration reduction and downstream assets also being consumed for the same thing. So we have a degree of multiproduct flexibility. Same process, multiproduct. And nitric acid is something that we have been already manufacturing from the middle of December 2025 onwards a nd as I speak, I think close to about 100% of our requirement is already made ourselves, 100%. And over the next couple of months, we're still seeing that there are opportunities to debottleneck both the nitric acid as well as the nitration assets.

Moderator: Ladies and gentlemen, that was the last question from the participant. I now hand over the conference to management for closing comments. Over to you, sir.

Maulik Mehta : Thank you very much, and look forward to speaking with you for the Q4 results conference call and every opportunity to speak to you in the interim. Thank you.

Call: May 2026

DNL/138/BSE/1156/2026
May 22, 2026

Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
MUMBAI – 400 001

Dear Sir,

Scrip Code: 506401

Sub: Submission of earnings conference call Transcript

We enclose herewith the transcript of the earnings conference call of the Q4 & FY 2026 held on May 18, 2026 and the same is also available on the website of the Company at the weblink https://www.godeepak.com/financial -result/ .

Please take the same on your record.

Thanking you.

Yours faithfully,
For DEEPAK NITRITE LIMITED

ARVIND BAJPAI
Company Secretary

Encl.: as above

MANAGEMENT : MR. MAULIK MEHTA – DEPUTY MANAGING DIRECTOR
MR. SANJAY UPADHYAY – DIRECTOR (FINANCE) & GROUP
CFO
MR. SOMSEKHAR NANDA – CFO, DEEPAK NITRITE
LIMITED

MODERATOR : MR. RANJIT CIRUMALLA – IIFL CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Deepak Nitrite Q4 & FY26 Earnings Conference Call. At the outset, I would like to clarify that certain statements made or discussed on the conference call today may be forward -looking in nature, and a disclaimer to this effect has been included in the investor communications shared with you earlier. The results documents

have been shared with you earlier and have also be en posted on Company's website. As a reminder, all participants' lines will be in listen -only mode and there will be an opportunity for you to ask questions af ter the presentation concludes. Please note that this call is being recorded.
I now hand the conference over to Mr. Ranjit Cirumalla from IIFL Capital. Thank you, and over to you, sir.
Ranjit Cirumalla : Thank you . Good afternoon, everyone, and thank you for joining us on Deepak Nitrite Q4 and FY26 Earnings Conference Call. Today, we have with us Mr. Maulik Mehta , Deputy Managing Director of the Company; Mr. Sanjay Upadhyay, Director, Finance and Group CFO; and Mr. Somsekhar Nanda , CFO of Deepak Nitrite Limited. We will begin the call with opening remarks from the management team, followed by an interactive Q&A session. To begin, Mr. Maulik Mehta will share views on the operating performance and the growth plans of the Company, followed by Mr. Sanjay Upadhyay, who shall take us through the financial and segmental performance.
I now invite Mr. Mehta to share his opening comments. Thank you, and over to you, sir.
Maulik Mehta : Good afternoon everybody, and a warm welcome to all of you on Deepak Nitrite's Q4 and FY26 Conference Call. Our results documents were shared with you earlier, and I trust you've had the opportunity to review them. I will cover the key operational, strateg ic and financial highlights for the quarter and year ended March 2026. Mr. Upadhyay will subsequently take you through the detailed financial review, following which we'll be happy to address your questions.
The global chemical industry continued to operate in a challenging environment during FY26, characterized by persistent global challenges and uneven recovery in demand. The environment further intensified in the fourth quarter due to the war in the Middle East, following which the industry witnessed unprecedented disruption in established sup ply chains, challenges to logistics and freight with the blocking of the Strait of Hormuz , leading to volatility in prices of crude oil as well as related feedstocks. C oncurrently, as logistics disruptions persisted, both suppliers and buyers identified new opportunities by swiftly adapting and securing alternative channels.
While global demand conditions remain mixed, domestic demand in India continued to witness relatively stable momentum across several end industries, including automotive, infrastructure, pharmaceuticals, electronic, polymers and other downstream sectors. C onsequently, integrated and reliable manufacturing companies such as Deepak with a strong operational capability were able to capitalize on emerging opportunities arising from the evolving global supply chain landscape.
In this demanding environment, Deepak Group has demonstrated a remarkable agility in the face of adversity, delivering strong operational and financial results for the fourth quarter of FY26.

During quarter 4, consolidated revenues stood at INR2,127 crore compared to INR2,202 crore in FY25 and INR1,983 crore in Q3 of FY26. EBITDA for the quarter stood at INR383 crore , reflecting strong sequential growth of 74% over Q3 and 13% on a year-on-year basis. Profit before tax and exceptional items stood at INR301 crore , while profit after tax stood at INR220 crore , registering a growth of more than 120% quarter -on-quarter and 9% year -on-year.
EBI

TDA margins improved significantly to 18% during the quart er under review compared to 11% in Q3 FY26 .
Our quarterly performance was underpinned by stable volumes and favorable pricing, alongside enhanced plant fungibility as we pivoted towards high demand products, customers and markets .
Furthermore, continuous plant process refinement and cost optimization initiatives, coupled with deeper supply chain integration have fortified our competitive positioning and sustained growth momentum across business segments. Our domestic to export reven ue mix stood at 86:14 reflecting the resilience of our domestic franc hise while continuing to maintain meaningful engagement across export markets.
For FY26, consolidated revenue stood at INR7,947 crore , while EBITDA and PAT stood at INR1,041 crore and INR551 crore , respectively.
Coming to the segmental performance. Advanced Intermediates witnessed a healthy growth trend during Q4, boosted by stable domestic demand and a favorable pricing environment, neutralizing the impact of slower exports caused by global logistics disruptions. Revenues for the quarter stood at INR708 crore compared to INR654 crore in Q4 FY25 and INR652 crore in Q3 FY26. EBIT improved substantially on a sequential basis to INR34 crore compared to INR15 crore in Q3 FY26. Profitability drivers included an optimize d product mix and superior realizations relative to input costs. Our deepened integration continues to provide a competitive edge through an increased raw material self -sufficiency and reduced supply chain vulnerability .
The Phenolics segment delivered strong performance during the quarter despite geopolitical

disruptions impacting supply of critical feedstocks. Revenue from operations for Q4 stood at INR1,429 crore , while EBIT stood at INR287 crore compared to INR239 crore in Q4 last year and INR145 crore in Q3. EBIT margins improved to 20% during Q4. Performance was supported by stable plant operations, improving spreads across the portfolio, downstream demand recovery and a disciplined procurement strategy. Ongoing process optimization and debottlenecking initiatives continue, and they will improve op erational flexibility while strengthening our domestic market leadership position.
During FY26, we witnessed successful commissioning, stabilization and ramp -up of Deepak Chem Tech's nitration and hydrogenation facilities at Dahej. These projects enhance raw material security, reduce external dependency, improve structural cost competitiveness and strengthen our positioning as a deeply integrated chemical manufacturer.
Our long -term growth remains anchored in value chain integration and specialty chemical expansion. We witnessed a steady progress of our multipurpose agrochemical intermediates and MIBK, MIBC projects, which are scheduled for commissioning in Q2 FY27. Ours and India's first fully integrated polycarbonate facility execution is on track. For this project, Chem Tech

has entered into a strategic long -term agreement with Praxair India to establish a dedicated on -site HyCO plant at our Dahej facility. Under this ‘Build -Own -Operate’ model, Praxair India will manage the dedicated on -site infrastructure, allowing us to maintain a sharp focus on the polycarbonate resin project, significantly enhancing execution visibility and reduce upfront investment and supply chain resilience.
Against the backdrop of heightened geopolitical tensions, we continue to strengthen our competitive position through disciplined execution and focused cost leadership initiatives.
During FY26, we undertook a comprehensive cost optimization program aimed at improving product yields, enhancing energy efficiency as well as increasing manufacturing productivity through digital technological initiatives.
While geopolitical and macroeconomic uncertainties may continue creating near -term vol

atility
across global markets, we believe the industry is gradually moving beyond the most disruptive phases of the cycle.
I would now like to hand over the call to Mr. Sanjay Upadhyay, who will take you through the detailed financial performance and key operational updates for the quarter and full year under review.
Sanjay Upadhyay : Thank you, Maulik. Good afternoon, everyone, and thank you for joining us today on our earnings call. I'll take you through the highlights of the financial results for the quarter and year ended March 31, 2026.
During Q4 FY26, domestic revenue stood at approximately INR1,835 crore , while export revenue stood at INR292 crore , resulting in domestic to export revenue mix of 86:14. For the full year FY26, domestic revenue stood at INR6,791 crore , while export revenue stood at INR1,156 crore .
For the quarter, Company reported consolidated revenue of INR2,127 crore compared to INR2,202 crore in Q4 FY25 and INR1,9 83 crore in Q3 FY26. Performance during the period was supported by stable domestic demand and improved realizations across established product categories.
EBITDA for Q4 stood at INR383 crore compared to INR339 crore in Q4 FY25 and INR219 crore in Q3 FY26. EBITDA margin improved significantly to 18% during the quarter compared to 11% in Q3 FY26. This was underpinned by strategic combination of proactive feedstock procurement, improved core product realization and the structural margin benefits of backward integration and by-product valorization .
PBT before exceptional items stood at INR301 crore , while PAT for the quarter stood at INR220 crore , reflecting growth of 9% year -on-year and 120% quarter -on-quarter. Earnings per share for Q4 stood at INR16.1 1.
For the full year FY26, consolidated revenue stood at INR7,947 crore , while EBITDA stood at INR1,041 crore and PAT stood at INR551 crore . Please note that revenue and PBT excludes

dividend income of INR91 crore in FY26 and INR98 crore in FY25, along with one -time land

transfer gain of INR13 crore in FY25.
The Board has recommended a final dividend of INR7.5 per equity share for FY26, reaffirming our commitment to delivering consistent shareholder value, continuing to invest in strategic growth and long -term value creation.
Now coming to segmental performance. The Advanced Intermediates segment recorded healthy operational momentum during Q4 FY26 . Revenue for the quarter increased to INR708 crore compared to INR654 crore in Q4 FY25 and INR652 crore in Q3 FY26, reflecting growth of 8% year-on-year and quarter -on-quarter basis. EBIT improved to INR34 crore compare d to INR15 crore in Q3 FY26. The business recorded stable volume growth during the quarter, along with pricing gains for end products supported by improving demand acro ss key end user applications. The Company continues to focus on portfolio optimization, product expansion and cost efficiencies and deeper customer engagement to strengthen long -term competitiveness within this segment.
The Phenolics segment delivered strong gains during the quarter despite continued volatility of feedstock and global supply chains. Revenue from operations for Q4 FY26 stood at INR1,429 crore , while EBIT stood at INR287 crore compared to INR239 crore in Q4 FY25 and INR145 crore in Q3 FY26. EBIT margins improved significantly to 20% during the quarter. Performance was supported by improv ing spread across the portfolio, stable downstream demand and integrated manufacturing benefits. Ongoing process optimizati on and debottlenecking initiatives continue to strengthen operational flexibility, cost competitiveness and market responsiveness.
Operational excellence and cost discipline remain key priorities during FY26. The Company continued its focus to process optimization, energy efficiency initiatives, manufacturing productivity improvements and digit

al transformation programs across manufacturing locations.
Finance costs for Q4 FY26 stood at INR19 crore , reflecting borrowings associated with ongoing growth investments and strategic expansion projects. Depreciation and amortization expense stood at INR63 crore following capitalization of newly commissioned assets.
The Company's balance sheet remained healthy and resilient, supported by prudent capital allocation and disciplined financial management, providing adequate financial flexibility to support future growth initiatives. Consolidated net worth stood at INR5,869 crore , providing adequate financial flexibility to support future growth initiatives.
Now coming to growth initiatives and outlook. Near -term industry conditions are expected to remain influenced by geopolitical developments, Chinese supply dynamics, U.S. tariff policies and feedstock volatility.
Against this backdrop, the Company remains focused on strengthening integration, expanding it into value -added downstream chemistries and enhancing differentiated capabilities across high potential product segments.

Strategic investments in polycarbonate project and downstream chemistry expansions continue progressing in line with the planned timelines and are expected to support product diversification, import substitution and margin improvement in long -term growth.
Supported by a strong integrated manufacturing platform, diversified portfolio, disciplined execution and resilient balance sheet, Deepak Nitrite remains well positioned to navigate near -term volatility while creating sustainable long -term value for the stakeholders .
With that, I would now request the moderator to open the forum for question -answer session, please.
Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Sanjesh Jain with ICICI Securities.
Sanjesh Jain: First, on the nitric acid, can you just help us understand in this quarter, what was the utilization? Did we achieve the margin profile we were looking at? I know this is not the right quarter, but are we on track to get that INR90 crore , INR100 crore of EBITDA addition for the nitric acid, which we planned earlier? That's my first question.
Maulik Mehta: Okay. Sanjesh, thanks for the question. So in Q4, while we did start the plant, we were unable to run it on a consistent basis because of some technical issues that took place during the quarter under review. We're working along with the technology supplie r and the equipment supplier to address these. So once the plant is under stable operations, we do anticipate the kind of target that we're looking at. But during this quarter under review, we were roughly at about 45% of utilization. And hen ce, for the balance, we had to secure nitric acid from the market in order to ensure that our products continue to be manufactured and sold.
Sanjesh Jain: Got it. That's clear. My second question is on the Phenolic s side. I know it is a very volatile and a difficult quarter. But just wanted to understand on the raw material availability that is

propylene, how much of our capacity right now are we running? And what's the scenario on the propylene availability? Are we able to run the plant at full or we are still running suboptimal because of the availability of raw material? And on the spread, again, some of the listed players did highlight that there is a significant difference in the price of Phenolic s product in China market and Indian market. Should it sustain for a few more quarters before we converge? Or you think that conversion will happen much sooner than what we think? So colo ur on that will be really helpful.
Maulik Mehta: So Sanjesh, just a clarifying question. You're referring to Q1 or Q4?
Sanjesh Jain: I'm referring to Q1 and a little color on the Q2 also will be really hel

pful.
Maulik Mehta: Okay. So first of all, I'll just highlight that in Q1, in the first part of April, when there was a concern about feedstock availability, we also preponed the annual maintenance. So both of those were kind of addressed within that same period of time , I think it was about 10, 11 days. And what we have done in any case , in the meanwhile is , we have enough of the intermediate product so that we were able to continue to supply to the market. So our plant efficiencies, which are a factor of feedst ock as well as operational capabilities continued relatively unhindered. So we

expect that Q1, our productivity and our efficiencies will continue to be in the same improving trend as they have been quarter -on-quarter. Q4 to Q1 will also have some marginal benefit. And I want to highlight that because this is also a product where the re is global availability, I don't want to comment on this principle of ergodicity where we assume that the next month is going to be a factor of the last month. So given that, I want to share that our profitability will continue to remain healthy, will co ntinue to be on an improving trend as compared to Q4. And we have enough feedstock as well as finished product to be able to cater to India 's growing requirement. So I don't anticipate a challenge on that front because of propylene or anything like that. Wherever possible, we have ensured that we have secured all our relevant raw material and wherever relevant, we have ensured that we are able to pass through our cost increases. Nonetheless, we will see that during this quarter and the next quarter, we are remaining very close to our customers, engaging with them on a regular basis so that wallet share, and market share always remains something that we maintain.
Sanjesh Jain: Okay. That's quite clear, Maulik bhai. One last question from my side. Any comment on MIBK/MIBC commissioning? When can we expect that or do you think this is not the right time to start a new plant and probably you would wait for another quarter to see how the industry uncertainty settle s and then we go for the new product?
Maulik Mehta: Basically, we're finishing with the mechanical completion of the plant and we will soon be getting into the pre -commissioning cycle as it may be. And at some point, maybe perhaps at the tail end of Q1 or the early part of Q2 is when we will be looking at commissioning of the asset because the asset is commissioned along with a couple of other plant assets as well. So we kind of remain on track with that.
Moderator: The next question is from the line of Nirav Jimudia from Anvil Wealth .
Nirav Jimudia : First of all, congratulations on improved set of numbers this quarter. First question is on the standalone business. So given the kind of capex es what we have announced , the one for the fluorinated molecule of INR220 crore that was announced, which was supposed to start operations in Jan, plus some 6, 7 new products which you have told us that have already started production and they are at the various stages of customer approvals. So how do we see FY27 specifically from the standalone business point of view, given these new products? And (b), given the kind of raw materials what we use for the standalone business like ortho -xylene , ammonia, sulfuric acid, AHF, how have we secured it in terms of the availability of these key raw materials and d emand for some of our products which are specifically custom -made for the export markets. So if you can share your thoughts here, that would be very helpful.
Maulik Mehta : Sure. So Nirav, I'll answer both your questions. First question was with regards to new products. So the 6, 7 new products as well as the fluorinated molecules , etc., we've already started the manufacturing for the commercial scale validation batches. And those are already either s

upplied
to customers, and we've received positive feedback or in the process of being transported to customers. So in all of these, as we said earlier, we anticipate commercial production on a regularized basis from Q3 onwards because this will reach our export customers towards the end of Q3 in time for their CY 2026 requirements. So we remain broadly on track. We are constantly engaging wit h customers, updating them about the current possibilities , and they are also

appreciating this transparency . So far, I do not anticipate any concern on those, including the fluorinated molecule as well as the non -fluorinated molecules. Now with regards to the volatility on the feedstocks, such as, as you mentioned, ortho -xylene or toluene and others. So what happened was that in the beginning of Q4, I was tracking what was taking place in the Middle East. And in the end of January, early February, what we noticed is that you are having multiple U.S. aircraft carriers kind of con verging on a location, but in a pincer movement. Now generally, this is a rare occurrence. And generally, in the past, whether it is the first gulf war, second gulf war or in the case of 2008 or whatever, it has actually preceded a significant volatility in pr ices. So from that perspective, we took the very unusual call of securing raw material. We chose to buy it at every dip. You can appreciate that this was a risky move in the beginning of quarter 4, which is a few months away from the end of the financial y ear. So we targeted to buy in every dip. So we actually entered the end of Feb and Q1 with a much higher stock of critical feedstock, whether it was on high seas or whether it was with local suppliers, products such as benzene, products such as xylene and toluene and all that. We ended up with a much larger inventory than we would traditionally have had in Q4. So this was because we saw an unusual movement and we did not actually anticipate a hot war, but we did anticipate volatility. And that position has held out quite well for us, whether it is in Q4 or in subsequent quarters. Going with this perspective, we anticipate that the Company has a reasonable inventory of feedstock at enviable prices until we see a stabilizing , perhaps at the end, maybe Q2 or maybe halfway through Q2.

Nirav Jimudia: Perfect. And so , can we assume that with this kind of raw materials, what we have secured in Q4, some benefit would have come in Q4, but most of this should come in Q1 impacting positively our standalone numbers?

Maulik Mehta: I can say that our Q1 looks on track for numbers, which are better than Q4, whether it is on standalone or on a consolidated basis. So we anticipate Q1 to be better than Q4, which was, of course, better than Q3.

Nirav Jimudia: Got it . And sir, in terms of the products, what we have in the domestic market, like DASDA, which was under pressure for, I think we have also filed antidumping duties and on the sodium nitrate, which also you have updated last quarter regarding the U.S. tariffs , plus the anti -chain, I think, which is also now looking better in terms of its application in the agrochemicals. So , apart from the stuff what we have mentioned, is there any green shoots in any of the products, what I just mentioned , on where we can see some improved performance also coming in FY27 for us?

Maulik Mehta: There are some green shoots, and I will resort to once again mentioning safe harbor here. But what has happened also, which was actually announced in December 2025 is that China will administer significant constraints on certain key chemistries, including production, storage and transportation. So there, we find that there will be some uptick in the demand as well as the profitability for nitration products. Some of the products that you've mentioned are linked to the nitration chain, where De epak continues to have

a significant global market share. So we anticipate that these will have a bit of a tailwind. Now meanwhile, there is also some degree of a headwind, but it is a global headwind, not limited to India or Deepak, which is in the sulfur downstream. So whether it is the availability of sulfur, the cost and the price of sulfuric acid, SO2, Oleum, etc ., those are places where there will be a heightened cost. But like I said, the

important thing is to check what the delta between international prices and Indian prices are. And there, if we are able buy to maintain par for the course, we anticipate no significant net impact to the Company and the benefit as it comes from nitration chemistries, which Deepak has a considerable market position as well as a technological strength.

Nirav Jimudia: Perfect. Sir, last question from my side. In terms of the Phenolics business, like we have already alluded the confidence in terms of the improved performance in Q1. So is it because our IPA business should do well in Q1 given the kind of the competitor who produces IPA through propylene route and we through an acet one route, where propylene availability currently is a challenge for most of the players in India. So if you can share your thoughts here with respect to IP A and also if you can sh are the production numbers for phenol for FY26, that would be very helpful.

Maulik Mehta: Thanks, Nirav. I appreciate the questions, but I continue with my position of not going into details on production numbers. What I can say is that whatever is the Indian requirement for

IPA, Isopropyl , Deep ak Nitrite and Deepak Phenolics in that continues to remain the largest capacity, which is able to service the market for all the specifications, including pharmacological grade. So from the perspective of our ability to supply, that remains unconstrained. From the perspective of saying what are the margins, frankly, we look at it only on the perspective of an integrated margin approach because our assets are cost competitive. Our product quality is of the best nature. And finally, how much we make will be a balance of what the margins are in terms of the intermediates as well as the FGs. As I also mentioned, we will also be looking in the next couple of months at producing MIBK and MIBC. So we expect to have a good healthy mix of downstream as well as upstream.

Moderator: The next question comes from the line of Arun Prasath with Avendus Spark.

Arun Prasath: My first question is on the Phenol spreads. Typically, Phenol is a very well traded commodity across the high seas. So when we are seeing this preferred differential spread between, say, China and India, this could be either because of the local players in China stocking and restocking or say, a Phenol is not able to or not in a position be transported because of the say container issues. So that is the reason we are seeing an issue or should we expect this to get back to the normalcy post the crisis? Or are you seeing this trigge ring some kind of a chain reaction where , this could put the Phenol in the path of cyclical recovery?

Maulik Mehta: Okay. So Arun, it's not possible for me to comment on the spreads of other companies and other countries. What I can say is that Deepak continues to operate with a high degree of productivity efficiency and is able to ensure that it is able to create the margin that you are seeing. And I've also already qualified that we anticipate Q1 will be somewhat better than Q4 , and also be better than last year's Q1. So keeping that in mind, let me put it this way, there's a lot of factors at play. Even though we're seeing that plant capacities all over the world are being constrained because of their own operating costs. We are also, at the s ame time, seeing volatility in currency, in freight times , freight costs and material movement from port to cus

tomers' plant. So in all of these cases, all I can say is that having a domestic supplier of high -quality products is a game changer for domestic consumers who don't need to be blocking in the kind of wor king capital that they would need to if they were importing with the kind of geopolitical risks that they are

seeing. So at this time, I can confidently say that Deepak being a domestic supplier is something that our customers depend on to be able to aggressively work on their downstream expansion activities.

Arun Prasath: Understood. One follow -up to that question is that do we see domestic buyers, especially in the Phenol market, back to ordering at the regular intervals or they are still resorting to the need - based buying ?

Maulik Mehta: So answer to this question, to be honest, Arun, is mixed. In a lot of cases, it has kind of resorted back to a normalized buying pattern. In some cases, they have not, and by and large, this is because of other factors such as availability of products or availability of gas and other inputs. So it is not just about the demand supply of their own products, but it is their manufacturing environment. So what is important for them is to know that Deepak is always there, always ready and always abl e to supply at a moment's notice. So this is one thing that they just never need to worry about. That gives them a lot of support and that allows them to park their working capital where it is need ed most.

Arun Prasath: Understood. My second question is on the status of where we are in terms of nitration and the second hydrogenation plant. Is the plant ramping up well and running as per the level of utilization that we thought of initially? And second, on your answer to t he nitric acid utilization of 45%, is this the average one or this is the exit utilization at which we are currently operating?

Maulik Mehta: So on your first question on nitration and hydrogenation, those plants are already commissioned and they are operating with the right productivity and efficiency as expected. With regards to nitric acid, what we had as a situation is when we were operating , we were operating at full utilization. But as I mentioned, we did encounter technical challenges due to which the plant has been under repair and maintenance in line with our technology there and equipment present. So, this is primarily our CNA plant , our concentrated nitric acid plant is operating normally .

Arun Prasath: Understood. On the nitration and hydrogenation, any way you can quantify where we are in terms of utilization ?

Maulik Mehta: No, those plants are fully operational. They've been commissioned, I think, at the end of Q2 or early Q3. So those are okay. There is a positive contribution and if there is a constraint, it has been with regards to the availability of nitric acid where the prices have been substantially higher, where we've been constrained to buy from the market because of technical challenges , other than that all our plants are in line and operational.

Arun Prasath: Understood. One question on polycarbonate. We have mentioned that the commissioning target of 2028, this is only pertaining to PC resin or to the entire Phenol and BPA production blocks as well?
Maulik Mehta: So what I've mentioned, which Mr. Upadhyay has also clarified , is that the answer is at this moment, the same for the integrated. However, we've clarified that the PC resin plant will happen independently. It may happen alongside. It may happen with a mismatch of a few months. And the Phenol expansion will happen in line with the commissio ning of the propylene supply. So

our capex includes the ability to have this in a slightly disjointed manner. So what we are anticipating is that perhaps they will all happen on track. Perhaps there will be ma

ybe a quarter
or so of mismatch , but all of the assets that we put in place as they are operationalized, they should be able to run at a high degree of plant productivity. In line with that, we've already been working to see how we can start compounding and supplying our polycarbonate comp ounds to customers in India as well as outside of India. So we anticipate that to also reach its capacity in line with our resin plant .
Moderator: The next question is from the line of Tushar Raghatate with Omega Portfolio Advisors.
Tushar Raghatate : The receivable days has increased. Just wanted to know a specific reason to that. Secondly, in the Advanced Intermediate business, do you see a major growth in that for FY27 going forward because the business seems to be very underutilized compared to the historical numbers ?
Sanjay Upadhyay : So what you are seeing as underutilized is actually the realization which has gone down, not th at the capacity had gone down. Capacity, we are running full, but it was the realization which was lower as compared to earlier years. With regards to the outstanding number of days, in some cases, we have changed the model , because today we are passing through a very volatile situation, and we do not want to risk our outstanding. So , instead we have gone into a dealership and CSA model. That is helping us in at least securing our outstanding. So these are the reasons for this.
Maulik Mehta : I'll also share that the new products that we have talked about , whether it is in Chem Tech or in Deepak Nitrite, the new downstream products which are in the ag chem space and outside of the ag chem space also. They are all significantly margin accretive . Therefore, in FY27, we expect a stronger margin profile, even for the standalone business, compared with FY2 6. We are also working towards a return to what we consider normalcy a couple of years ago. So FY27 will be this period where you wi ll see an improving trend.
Tushar Raghatate: Fair enough. And sir, due to the anti-involution stand of China, do you see any realization improvement in standalone businesses?
Maulik Mehta: Like I said whether it is because of the anti -involution stand or critical hazardous chemistries, etc., or the global demand improvement, whatever you want to call it, we do anticipate an improvement in the margins as well as the gross numbers as we progress into FY27. That is on the base of existing product portfolio as well as new products.
Tushar Raghatate: Fair enough. Sir, one of the player in India , providing intermediate to the global plant, they said that in the agrochemicals, the volumes are increasing, but the prices are not in favor. Do you see the same happening in your agro chemical part of the business?
Maulik Mehta: This is, again, very nuanced, and it depends on the chemicals , it depends on the feedstock availability , it depends on the margin profiles. So generally, what we are witnessing is that the benefit will be unevenly distributed between integrated players and non -integrated players. So players who have occupied a larger number of positions on the supply chain will be able to

benefit from this improvement in the volumes and with a general degree of de -risking in the margin portfolio.
Moderator: The next question comes from the line of Rohit Nagraj with 360 ONE Capital.
Rohit Nagraj: First question is on the Phenolics part of the business. So after the maintenance over the last one month or so, are we operating at optimal utilization of the plant?
Maulik Mehta: Just to clarify, the maintenance was only in the beginning of April, maybe for about 10 days or so, not for the month of April. And we are operating at this moment , at high efficiencies. So we do not anticipate a constraint from plant or from feedstock availability.
Rohit Nagraj: Sure. And the second question is , we have s

aid that we have certain low -cost raw material. Have
we passed on the entire pricing increase which has been witnessed in the market? Whether the prices have been adjusted to the current RM prices? And an allied question to that, given that the final product prices for our Advanced Intermediates as well as Phenolic s business, both have increased, so have we witnessed any demand side contraction in the domestic or exports market?
Maulik Mehta: Okay. Thanks, Rohit. So just to clarify, we were able to secure feedstocks on dips, which we did very judiciously. So going into the end of Q4 and into Q1, we are in a good position. In terms of passing on the same price increases equivalent to the market conditions, that is an ongoing exercise. What we do is we balance out that as well as market participation and wallet share. So what we are seeing is that, by and large, that has been a good work done by the busines s teams, keeping on constan t engagement with customers as well as ensuring that plant productivity is at a high degree. Now with regards to demand volume, as you can anticipate, demand volume for our products fluctuates based on availability of other co -products as well as their own production cycles. Keeping that in mind, what I can say is that we continue to have a significant wallet share across the board. I don't think that there has been any significant disruption in terms of wallet share and ensuring that we are engaging with customers . What we're giving them is a good degree of certainty , that Deepak stands there. Even if it is at market prices or whatever, they don't need to work hard to use up their foreign exchange to block import parcels because Deepak is there.
Moderator: The next question comes from the line of Archit Joshi with Nuvama IE.
Archit Joshi : First question on the Phenolics bit, knowing that there's a lot of fluidity, the dynamics are evolving in the global trade. But have we assessed a scenario wherein some of the European capacities or maybe Taiwanese or South Korean capacities are overshootin g their cost curve in a scenario where energy costs are rising, feedstock prices are rising and let's say, if the situation persists for a fairly bit longer , and knowing that we are in a cost competitive scenario, should we see a position wh erein some of these capacities might be ousted from the system? So that would be my first one, Maulik .
Maulik Mehta: Thanks, Archit. So , Phenol , it's like an ocean. So water just flows wherever it can. So while there is a disruption, you will have some capacities going offline, some capacities being idled temporarily, some capacities being taken down for maintenance, sometimes in Europe,

sometimes in the Far East, some places like China, you will have commissioning of some capacities, whatever it is. One thing is fact that India , in all of this , remains a positive dynamic in terms of growth, in terms of consumption. And ensuring that there is availability of products such as Phenol is key for our customers. Whether they import it and deal with the kind of volatility that they would face , in terms of the amount of time that it takes, the exchange gain or loss and the working capital blockage , what we are focused on seeing right now is our ear to the ground and focusing on optimal plant utilization efficiencies there and ensuring that we are as close to JIT as possible. So our customers are able to focus on their own expansion activities. So I see that there is consolidation also on one side, geopolitical volatility also on the other side. Our job is to be able to exude a sense of stability.
Archit Joshi: Sure. Understood, Maulik. The second one is on the proposed overhauls in China on these nitration plants. I believe it was supposed to get triggered on 1st of April or 1st of May . But I think this was more specific to the region of Shandon

g, where I think there is almost 30%, 35%
of nitration capacities. And we had seen in the past that products like DASDA and thus by far our OBA portfolio had benefited back in 2019 when there was an explosion or a ripple in the supply chain because of these i ssues. Are we referring to that when you made this comment about certain tailwinds that we might foresee in the nitration portfolio? And as such an action already taken place where some of these Chinese plants who are asked to automate using DCS and all have not done so and the tailwind is already seen or is prevailing?
Maulik Mehta: Okay. Thanks, Archit. To clarify, my comment was not linked to one or the other province because this is a general CCP guideline with regards to the chemistries as well as the safe material movement as well as the transport, which includes, of course, also product at port and transport over oceans. So it is an all -encompassing audit, and it is an all -encompassing compulsion, which is not also limited to only things like DCS. Now like I said, this is something which can be considered as a tailwind, not speci fically linked to A product or B product like DASDA . And again, it is not just nitration, but nitration has been a problem child in China again and again because a lot of plants operate without safety standards, whether it is at storage or production. Given that this is a structural tailwind for companies lik e Deepak who do it in a responsible manner.
Archit Joshi: Maulik, my only point being is that have we started seeing these developments on ground in

China, irrespective of which province is it? I just wanted to know how are we backing our comment on this tailwind part? Has it already started happening is what I wanted to know?
Maulik Mehta: It has already started happening.
Moderator: The next question comes from the line of Vidhi Shah from C. R. Kothari & Sons .
Vidhi Shah : Regarding the Polycarbonate project, by when do we expect to commission this? And how will this be funded?
Maulik Mehta: So we've clarified earlier, and we are, by and large, remaining kind of in line with that, and we are expecting it to be commission ed by June 2028.

Vidhi Shah : Okay. And what will be the funding source for this INR5,000 crore or something?
Sanjay Upadhyay : So, the total project, what we have announced is around INR11,000 crore . The funding is for all the project s together. We have tied up with the banks for d ebt. It will be in the ratio of 60 -40. We have already started putting in equities here. Bank funding is already in line. And once we put in 25% of equity as per the bank condition of 40%, we'll start drawing from the d ebt. So funding is not an issue. We are generating enough cash and bank loans are also tied up. So as and when required, if at all required, we'll approach the market.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Sanjay Upadhyay : Thank you so much. Thank you all for joining us on this call. In case of any further clarifications are required, you can get in touch with our investor relationship team , Mr. Somsekhar Nanda or Mr. Gopal Thakkar . Thank you once again.